OECD Economic Surveys

Finland

OECD

Volume 2004/14 – December 2004

OECD ECONOMIC SURVEYS

2004

Finland

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Pursuant to Article 1 of the Convention signed in Paris on 14th December 1960, and which came into force on 30th September 1961, the Organisation for Economic Co-operation and Development (OECD) shall promote policies designed:

- to achieve the highest sustainable economic growth and employment and a rising standard of living in member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;
- to contribute to sound economic expansion in member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

The original member countries of the OECD are Austria, Belgium, Canada, Denmark, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. The following countries became members subsequently through accession at the dates indicated hereafter: Japan (28th April 1964), Finland (28th January 1969), Australia (7th June 1971), New Zealand (29th May 1973), Mexico (18th May 1994), the Czech Republic (21st December 1995), Hungary (7th May 1996), Poland (22nd November 1996), Korea (12th December 1996) and the Slovak Republic (14th December 2000). The Commission of the European Communities takes part in the work of the OECD (Article 13 of the OECD Convention).

Publié également en français.

© OECD 2004
Permission to reproduce a portion of this work for non-commercial purposes or classroom use should be obtained through the Centre français d'exploitation du droit de copie (CFC), 20, rue des Grands-Augustins, 75006 Paris, France, tel. (33-1) 44 07 47 70, fax (33-1) 46 34 67 19, for every country except the United States. In the United States permission should be obtained through the Copyright Clearance Center, Customer Service, (508)750-8400, 222 Rosewood Drive, Danvers, MA 01923 USA, or CCC Online: *www.copyright.com*. All other applications for permission to reproduce or translate all or part of this book should be made to OECD Publications, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

Table of contents

Assessment and recommendations 11

1. Recent performance and key challenges 23

Growth performance 24
The labour market 34
The fiscal position in the context of rapid ageing 41
The major environmental policy challenge: reducing carbon emissions in a cost-effective way 54
Medium-term projections 56

Notes 61

Bibliography 64

Annex 1.A1. The OECD estimate of structural unemployment 66
Annex 1.A2. What fiscal surplus is appropriate? 68

2. Product market competition and economic performance 73

Introduction 73
Macroeconomic performance and indicators of competition 74
Foreign competition is limited 80
Competition law and its enforcement 86
Extensive public ownership can create competition problems 86
Regulatory policies at the sectoral level 92
The public sector may stimulate competitive markets 111
Macroeconomic effects of regulatory reform 113
Overall assessment and scope for further action 115

Notes 118

Bibliography 121

3. Raising the employment rate 125

An ambitious employment target is appropriate given rapid ageing 125
Raising the employment rate of older workers 125
Raising the employment rate of younger workers 136
Tackling job mismatch by increasing wage flexibility 137
What form should tax cuts take? 144
What contribution can reforms to active labour market policies make? 147
Overall assessment and concluding remarks 150

Notes 152

Bibliography 155

© OECD 2004

4. Fiscal priorities ahead of ageing 159
Improving services via more efficient provision 159
Reforming the fiscal framework guiding municipal spending and taxation 166
Creating room for future welfare service demand by rebalancing public and private funding 180
Overall assessment and concluding remarks 188
Notes 191
Bibliography 194

Annex A. Progress on structural reforms 197

Acronyms and abbreviations 203

●●●●●

Boxes

1.1. Nokia fact sheet 28
1.2. The fiscal policy objectives 44
1.3. The 2003 and 2004 budgets and the 2005 budget proposal 45
2.1. Meat prices in Europe 81
2.2. The Finnish legal and enforcement framework 87
2.3. Public ownership in Finland 90
2.4. The relative performance of state-owned companies 92
2.5. The Finnish market for alcohol 95
2.6. Agricultural support and restructuring 97
2.7. The electricity market and price formation 99
2.8. Interconnection regulation and termination costs in telecommunications 106
2.9. Different forms of variable airport charges 109
2.10. VAT handling charges for purchases abroad 111
2.11. Competition problems when public units participate in market activities 112
2.12. Economy-wide effects of sectoral reforms 113
3.1. Wage bargaining in other Nordic countries 141
4.1. The government's programme to raise public sector productivity 162
4.2. Control problems in municipal finances in other Nordic countries 168
4.3. The Norwegian KOSTRA information system 177
4.4. Proposed changes to the tax treatment of voluntary pension schemes 183
4.5. Child care allowances 189

Tables

1.1. The 2003 stability programme fiscal projections 48
1.2. The outlook to 2005 57
1.3. Two medium-term scenarios 58
1.A2.1. Key assumptions of Finland's stability programme 68
2.1. Output, employment and productivity 75
2.2. Central government ownership 91
2.3. Key structural features of the retail sector 94
2.4. Pre-tax electricity prices in Europe 101
2.5. Pre-tax natural gas prices for industry 103
2.6. Assumptions and effects of pro-competitive regulatory reform in selected industries 114

© OECD 2004

2.7. Summary of recommendations 117
3.1. Changes in early retirement schemes in 2005 reform 131
3.2. Employment, unemployment and inactivity status 132
3.3. Effect of alternative pension reforms on participation rates and the employment rate 134
3.4. Unemployment benefits 143
3.5. Age distribution of unemployment and active labour market measures 149

Figures

1.1. The sources of differences in income 24
1.2. GDP growth 25
1.3. GDP per capita 25
1.4. The sources of growth 26
1.5. Contribution of ICT-manufacturing and producing services to aggregate labour productivity growth 27
1.6. Terms of trade 29
1.7. Difference between GDP and "command GDP" growth 30
1.8. Labour productivity in selected ICT-using services 30
1.9. Contribution of ICT-using services to aggregate productivity growth 31
1.10. The sectoral composition of output 33
1.11. Business investment 35
1.12. Aggregate labour market indicators 35
1.13. Annual hours worked per worker 36
1.14. Inflation and unemployment rates 38
1.15. Employment rates 39
1.16. Mismatch has increased 40
1.17. Mismatch for unskilled labour 41
1.18. Recent fiscal developments 42
1.19. Expenditure slippage and municipal tax hikes 43
1.20. Tax wedges on labour and aggregate tax-to-GDP ratio 47
1.21. Government and private pension assets 50
1.22. Long-term fiscal scenarios 51
1.23. Scenarios for public employment 52
1.24. Ageing-related change in public spending 54
1.25. Public spending is skewed towards transfers 55
1.A2.1. Effect of early and strong ageing on fiscal sustainability requirements 70
1.A2.2. Effect of net assets on fiscal sustainability requirements 71
2.1. Indicators of product market regulation 76
2.2. R&D spending and industry structure 78
2.3. Hirschmann-Herfindahl indices of industry concentration 79
2.4. Price difference between Finland and the European Union 80
2.5. Import penetration 82
2.6. Import penetration by type of manufacturing industry 83
2.7. Openness indicators 84
2.8. FDI positions in OECD countries 85
2.9. Relative size of the public enterprise sector 89
2.10. The food price index in Finland relative to the European Union 96
2.11. Distribution charges to household customers 102
2.12. Telecommunication charges 105
2.13. Broadband penetration and user charges 107
3.1. Retirement, by age and pension scheme 126

© OECD 2004

3.2. Financial incentives to retire under regular retirement schemes 128
3.3. Inactivity because of illness or disability 130
3.4. Employment rate of young adults 136
3.5. Expected length of study in tertiary education 138
3.6. Wage compression, low-skilled service employment and unemployment 139
3.7. Relative wages in knowledge intensive market services 140
3.8. Marginal tax wedge on labour 145
3.9. Marginal taxes and hours worked 146
4.1. Productivity in public administration and services 160
4.2. Variation in health centre productivity 161
4.3. Waiting times, spending and incentives 164
4.4. Public and private providers by service area 165
4.5. Public and private service providers: an international comparison 166
4.6. Public consumption and municipal tax rates in Denmark 169
4.7. Composition of revenue 171
4.8. Property tax revenue 172
4.9. Distribution of municipal tax rates 173
4.10. Municipal corporate tax and spending growth 174
4.11. Expenditure on tertiary education institutions 185
4.12. Relative earnings by level of education 186
4.13. Day care arrangements for children under school age 188

© OECD 2004

BASIC STATISTICS OF FINLAND (2003)

THE LAND

Area (1 000 km^2)	338.1
of which:	
Agricultural (1999)	27.0
Forests (1999)	229.4
Lakes (1999)	34.1

Major cities (thousand inhabitants, end 2002):	
Helsinki	559.7
Espoo	221.6
Tampere	199.8
Vantaa	181.9

THE PEOPLE

Population (thousand, end 2002)	5 206
Number of inhabitants per km^2 of land area	17.1
Net natural increase (thousand, end 2002)	6.1
Net migration (thousand, end 2002)	5.2

Labour force (thousand)	2 600
Employment (thousand)	2 359
Employment (% of total):	
Agriculture, forestry and fishing	5.2
Industry and construction	26.1
Services	68.7

PARLIAMENT AND GOVERNMENT

Composition of Parliament (number of seats):	
Centre Party	55
Social Democratic Party	53
National Coalition Party (conservatives)	40
Left Alliance	19
Green League	14
Swedish People's Party	8
Christian League	7
Other	4
Total	200

Government, number of ministers from:	
Centre Party	8
Finnish Social Democratic Party	8
Swedish People's Party	2
Total	18

Last general elections: 16 March 2003

PRODUCTION AND PUBLIC SECTOR

Gross domestic product (billion EUR)	143.6
GDP per head (EUR)	27 575
Gross fixed capital investment:	
% of GDP	18.0
Per head (EUR)	4 975

Public consumption (% of GDP)	22.0
General government (% of GDP):	
Current and capital expenditure	50.2
Current revenue	52.3

FOREIGN TRADE

Exports of goods and services (% of GDP)	37.0
Main exports (% of total):	
Metals, machinery and transport equipment	28.1
Electrical and optical equipment	26.5
Wood, pulp and paper	25.7
Other goods	19.7

Imports of goods and services (% of GDP)	29.9
Main imports (% of total):	
Intermediate goods	37.8
Consumer goods	28.2
Capital goods	21.6
Energy	12.3

THE CURRENCY

Monetary unit: Euro

Currency units per USD, average of daily figures:	
Year 2003	0.8852
August 2004	0.8203

Executive summary

The transformation of the Finnish economy over the last decade represents one of the few examples of the "new economy" taking hold in Europe. Output and productivity growth over the second half of the 1990s was among the highest in the OECD, and the recovery from the global downturn has been much stronger than for the euro area as a whole. However, imminent population ageing threatens to expose weaknesses in the labour market. Demographic developments, which over past decades have been broadly neutral, could reduce the growth rate of GDP per capita by ¼ of a percentage point *per annum* over the remainder of this decade and by almost 1 percentage point over the next decade. This, combined with the likelihood of smaller productivity gains in the information and communication technology (ICT) sector, a continuation of falling ICT prices as well as the mediocre performance in the sheltered sectors, threatens the future growth of living standards. Within a decade, and in the absence of further policy changes, these developments together could imply that Finland not only loses its top performer status but could face a protracted period of slow growth, as illustrated in the following scenario:

	Contribution to annual average growth rate of GDP per capita			
	1995-2000	2000-05	2005-10	2010-20
Productivity growth	2.5	1.7	1.8	1.8
Demographics	0.0	0.0	–0.2	–0.9
Employment rate	1.8	0.3	–0.3	0.1
GDP per capita	**4.4**	**2.1**	**1.3**	**1.0**

In order to avoid such a scenario a number of key challenges need to be addressed to sustain the strong growth performance over the coming decades:

– ***Growth needs to be enhanced and broadened by boosting competition and labour market flexibility.*** Priority should be given to reducing state ownership, lowering support for agriculture and further reforms in utilities, transport and the retail sectors, as well as a further strengthening of the competition framework. Greater flexibility in implementing central wage agreements would also help.

© OECD 2004

- ***Wide-reaching reforms are needed to achieve the government's ambitious employment rate target.*** This could offset up to four-fifths of the expected cumulative decline in living standards resulting from ageing over the next two decades. But this is unlikely to happen without wide-reaching reforms, many of which do not currently appear on the government's reform agenda. Foremost among these are the further curtailment of various early retirement schemes, over and above what is due to be implemented in 2005. Consideration should also be given to tapering the generosity of unemployment benefits with duration. Reductions in taxes on labour are also important and should be focussed at the lower end of the wage distribution, while recognising that there is also a strong case for subsequent reductions at the upper end.
- ***Public finances need to be improved and room for labour tax cuts created by tight spending control.*** Further pension reform is needed in order to improve government finances in the face of the ageing shock. The reform to be introduced in 2005 will help in this respect, but is not sufficient. As a minimum requirement, central government and municipalities should avoid fiscal deficits, while the pension funds continue to accumulate assets. Maintaining these balances, while reducing the high taxation of labour, will require more efficient service provision, better fiscal coordination with municipalities and meeting some of the future growth in service demand via private funding.

A broad package of measures along these lines, which would both achieve the 75 per cent employment target and boost productivity growth, could double the expected increase in GDP per capita between now and the end of the next decade, relative to the scenario shown above.

© OECD 2004

This survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of member countries.

•

The economic situation and policies of Finland were reviewed by the Committee on 7 September 2004. The draft report was then revised in light of the discussions and given final approval as the agreed report of the whole Committee on 21 September 2004.

•

The Secretariat's draft report was prepared by Dave Turner, Jens Lundsgaard, Jens Hoj and Michael Wise under the supervision of Peter Hoeller.

•

The previous Survey of Finland was issued in March 2003.

Assessment and recommendations

The impressive growth performance may not persist

Over the past decade, the growth performance of the Finnish economy has been among the most impressive in the OECD, underpinned by both strong productivity and employment gains. However, the standard of living as measured by gross domestic product (GDP) per capita is still only close to the median OECD country. Moreover, the contribution of the information and communication technology (ICT) sector to future growth is unlikely to be as great as in the second half of the 1990s, and ageing will occur sooner and more rapidly than elsewhere. Within a decade these developments threaten to usher in a period of stagnation in living standards.

Key challenges for sustaining growth are to:

A number of key challenges need to be addressed to sustain the strong growth performance and to further close the income gap with the best performing OECD countries.

Enhance and broaden growth potential

– *Growth potential.* Outside the dynamic export-oriented ICT sector the performance of many parts of the economy, particularly those sheltered from international trade, has been poor. Moreover, those sectors with the highest growth potential, such as the knowledge-intensive services, are relatively small despite the high level of skills and educational attainment of the labour force. Various policy initiatives to boost product market competition and labour market flexibility are needed to enhance growth prospects as well as ensuring that they are more broadly based.

Raise employment

– *Employment.* The major economic policy target of the government is to add 100 000 jobs by 2007 (pushing the employment rate to about 70 per cent) and to reach a 75 per cent employment rate over the medium

© OECD 2004

term. Achieving the latter would offset up to four-fifths of the expected negative impact of ageing on living standards over the next two decades. By raising potential output and tax revenues it would also mitigate the fiscal pressures resulting from ageing.

Ensure sustainable public finances

– *Public finances.* To prepare for the fiscal implications of ageing, further pension reform is needed, though this is currently not on the policy agenda, as a reform of the system will be implemented from 2005. Absent further reform, the projected rise in pension and health-related spending means that a sizeable general government surplus would be necessary to avoid future tax increases. Further pension reform, structural measures to boost employment and more efficient public spending are therefore necessary to create room for lowering the high taxation of labour.

A recovery is underway, but medium-term prospects are mediocre

Partly stimulated by an expansionary fiscal stance, Finland has recovered more quickly from the global downturn than most euro area countries, and higher growth is likely to persist through 2005. Specifically, growth has averaged 2 per cent *per annum* in 2002 and 2003 and output is expected to rise by 2½ per cent in 2004 and 4 per cent in 2005, propelled by strong foreign trade and further tax cuts. As a result, cyclical slack could already be absorbed in 2005. Nevertheless, the unemployment rate could still remain above 8 per cent, close to the structural unemployment rate. The medium-term outlook is much bleaker. Demographic developments, which over past decades have been broadly neutral, could reduce the growth rate of GDP per capita by ¼ of a percentage point *per annum* over the remainder of this decade and by almost 1 percentage point over the next decade. Moreover, the growth contribution from ICT production is likely to diminish. Both together could imply GDP per capita growth of only 1 per cent over the next decade, highlighting the need to press ahead with reforms that will strengthen future growth potential.

© OECD 2004

Higher investment may be needed to boost productivity

One means of boosting future productivity growth, as labour becomes relatively scarce due to ageing, is to raise the capital-labour ratio. However, this ratio has fallen since the early 1990s. The low overall level of business investment may also explain why Finland only has a mediocre ranking among OECD countries in terms of investment in ICT, despite being a world leader in ICT production. The government will be introducing a major reform of capital income and corporate taxation which aims at increasing investment.

The competition framework needs further strengthening

Enhancing competition is another important area where policy can raise productivity and growth potential. The competition policy framework was overhauled in 1988 and the competition law was recently brought into full conformity with the prohibition-based system of European Union (EU) competition law. However, there are areas, where the framework could be strengthened further:

– *The Finnish Competition Authority should direct more of its resources towards addressing cartels and other restraints. Moreover, the Market Court should be freed from minor public procurement disputes by establishing a public procurement authority and introducing a minimum jurisdictional threshold.*

– *Sanctions need to be substantial and credible to secure deterrence. Moreover, individual liability should be considered. Both measures would contribute to increase the effectiveness of the new leniency programme.*

– *In publicly-owned companies competitive activities should be separated from activities governed by policy objectives that are non-competitive. The playing field* vis-à-vis *private companies should be levelled by abolishing the tax advantages of some non-incorporated public enterprises. To remove the conflict between the state's regulatory role and its ownership interests, publicly-owned companies should be concentrated in a ministry without regulatory oversight. However, the preferred solution would be an extensive privatisation programme.*

– *The* de facto *independence of the Competition Authority should be recognised formally.*

© OECD 2004

Some sectors are in need of comprehensive reforms

While competition is robust in exposed sectors, several indicators point to relatively weak competition in a number of sheltered sectors. Conversely, the rapid efficiency gains in the telecommunication and electricity sectors following their early liberalisation, as well as the marked effect on food prices of the recent entry of a couple of foreign-owned chains into food retailing, provide examples of the potential gains from increased competition. To boost competition, additional measures should be introduced:

– *The role of sector regulators should be enhanced. Although more elements of* ex ante *regulation are being implemented, such regulatory oversight of liberalised network industries should be strengthened further to support the introduction of competition and to prevent companies from exploiting their local monopoly power. Non-discriminatory third party access charges need to be applied more effectively and formal separation of vertically-integrated companies pursued. Regulatory capture, and over regulation should be prevented and as competition becomes viable in these sectors, the regulatory approach can be replaced by the application of general competition principles.*

– *Efforts to promote competition in network industries would be helped by a more rigorous evaluation and competition-neutral financing of universal service obligations. Moreover, the reform process should be accelerated in the railway and postal sectors and the license system should be reviewed in the latter sector to ease entry. Competition in domestic air transportation should be promoted by setting individual airport charges to reflect the true cost of each individual airport and by introducing a market-based system for slot allocation.*

– *Regulation of retail distribution should be relaxed; shop opening and zoning laws should be reviewed to facilitate entry.*

– *National agricultural subsidies are large and come on top of those provided by the Common Agricultural Policy. They should be brought down. Phasing them out could be accompanied with income support, if deemed necessary.*

© OECD 2004

Achieving the employment objectives requires a broader set of measures

The long-term objective of reaching a 75 per cent employment rate, from below 68 per cent currently, will only be realised with the help of a broad package of labour market reforms. The government's approach focuses mainly on cuts in labour taxation and improvements and expansion of active labour market policies (ALMPs). The government has emphasised that future tax cuts are contingent on a low central wage agreement, which would lead to fiscal savings, particularly on the public sector wage bill. Nevertheless, the authorities would need to remain vigilant that fiscal policy remains on track, particularly in the period beyond that covered by the wage agreement. Moreover, a low wage settlement has yet to be secured, and in its absence further tax cuts, unless accompanied by lower spending, are likely to compromise fiscal objectives and may eventually end up being reversed. On the basis of current evaluations, it is unlikely that any expansion in ALMPs in isolation will have much effect on aggregate labour market outcomes. However, the government's emphasis on ALMPs is welcome to the extent that it is conceived as part of a "mutual obligations" approach whereby effective re-employment services and benefits are provided to job-seekers, which in turn have to look actively for a job. The intention is to make participation in active measures mandatory for continued receipt of labour market support (the basic means-tested unemployment benefit) after some period of unemployment, although details of how this will operate have yet to be decided.

Raising the employment rate of the old and young should be a priority

Comparison with other OECD countries suggests that the greatest potential for raising the employment rate is at either end of the age spectrum. Recent improvements in the employment rate of older workers and the introduction of a wide-ranging pension reform next year are encouraging. However without additional reforms, future improvements in the participation rate of older workers may do little more than contain the effect of ageing on aggregate participation rates. This would imply that little progress will be made towards achieving the government's employment targets.

– *The wide-ranging pension reforms coming into force next year will help to raise the participation of older workers by providing very high accrual rates between the ages of 63 and 68. This in itself will reduce the attractiveness of the early retirement options.*

© OECD 2004

Nevertheless, it is still a matter of concern that some pathways to early retirement remain open, particularly through disability and unemployment benefit schemes. This could blunt the increased incentives to work longer that are provided by the reformed old age pension system. A priority for reform should be the further curtailment of early retirement pathways. At a minimum this should involve an end to the preferential treatment of the older unemployed. They are able to remain continuously on benefit with little obligation to either look for a job or participate in active measures. The planned relaxation of medical assessments required to receive disability benefit should not be implemented, and instead more of those currently claiming disability benefits might be helped into work with active measures.

– *In addition, demand-side barriers to the retention and hiring of older workers should be tackled, including the removal of the age-related component of social security contributions, and further emphasis placed on lifelong learning to ensure that skills are upgraded throughout a career.*

– *The low employment rate of younger workers also partly reflects the long time taken to complete education and begin work. Another focus for policy is therefore to reduce the average age at which young people begin to work, through lowering the average age of beginning and completing studies. Various initiatives, including greater possibilities for a 3-year rather than 5-year degree and speeding up the transition from school to tertiary education, are being introduced. But replacing grants with fees and loans in tertiary education, as recommended by a recent Employment Task Force, should also be considered.*

Policy must address the nexus of wage determination, benefits and labour taxes

Raising the employment rate will also require that job mismatch problems are addressed. One reason for job mismatch is wage compression due to the prevalence of centralised wage agreements. It is further aggravated by high replacement rates and high average and marginal rates of labour taxation. The effect is most apparent in the scarcity of jobs for the low skilled in the service sector and high unemployment among the unskilled. Current measures to tackle this problem include the tax deductibility for domestic help. In addition, tax cuts in recent years have included an extension of the earned income tax allowance which disproportionately benefited low-paid workers. To

© OECD 2004

maximise the gains to employment any further tax cuts should focus on reducing employers' social security contributions for the low paid, as is already planned for 2006. However, there is also a case for reducing high marginal tax rates further up the earnings distribution. The highly progressive tax system may discourage work effort, particularly from the highly skilled, make it more difficult to attract and retain such workers, and also inhibit growth in some of the more highly-paying dynamic service sectors.

– A *direct way of tackling job mismatch problems is to introduce greater flexibility into the system of centralised wage determination, perhaps along the lines in other* Nordic *countries, where firm level negotiations typically determine how the central wage agreement is implemented.* In *this respect, agreement on a low central norm in the wage negotiations, which begin this autumn to determine the basis for wages over the following two years, would provide more scope to introduce productivity- or profit-related differentials.* The *negotiations should also take into account that output prices may rise by around* 1 *per cent* per annum *less than consumer prices, and that aggregate productivity developments are likely to be more modest than in the past.* At *the very least, future central wage agreements should avoid specifying minimum absolute changes in wages, which lead to larger percentage changes in the costs of low-paid workers.* In *addition younger workers should be exempt from the wage floors which are often specified in sectoral wage agreements, in some cases at a high level in international comparison.*

– Plans *to introduce a cut-off period for the passive receipt of the unemployment benefit which is available to those not eligible for the earnings-related benefit (currently claimed by more than half of the unemployed) may help to reduce the reservation wage for low-skilled work.* But *there is also scope for tapering the earnings-related unemployment benefit with duration of the unemployment spell to intensify job search.* At *present, replacement rates for this benefit are among the highest in the* OECD.

© OECD 2004

Even though the fiscal position is strong and a major pension reform will be introduced, preparations for a further reform should start soon

In comparison with other OECD countries the fiscal position of general government appears very strong, both in terms of the surplus (2 per cent of GDP in 2003) and net asset position (34 per cent of GDP in 2003). However, such a comparison is potentially misleading in at least two respects. First, Finland faces rapid ageing earlier than other OECD countries. Second, pension funds are included in the general government account (essentially because contributions are mandatory). They account for the net asset and surplus position, whereas central government and municipalities combined were in slight deficit (plus ¼ and minus ½ per cent of GDP, respectively) in 2003 with a combined deficit of 1 per cent of GDP projected for 2004 and 2005. A major reform of the pension system will be introduced from next year with a number of innovative features – including sharply rising accrual rates after the age of 63 and a life expectancy adjustment – which will improve both incentives to work longer and fiscal sustainability. Nevertheless, the net assets of the pension funds are insufficient to cope with rising future pension costs, despite the recent reform of the pension system. Absent further reform, contribution rates are still expected to rise by 5 percentage points over the next three decades. To ensure fiscal sustainability, a combined central government and municipal surplus of about 1 per cent of GDP would then be needed for the remainder of this decade in order to keep the tax-to-GDP ratio constant, even with some improvement in the employment rate.

– *Although the present pension reform has not yet been implemented, thinking about further pension reform should start soon. In addition, the curtailing of early retirement options, discussed above, would further enhance the incentives to work longer from the impending pension reform.*

– *Further reform options could improve the financial viability of the pension system with little or no adverse impact on incentives to work. For example, the accrual of pension rights during non-work periods (for example during study leave) as well as the higher accrual rates that can be earned by a worker in the early fifties have little economic rationale, and removing them would halve the required increase in future contribution rates.*

© OECD 2004

– *Central government and municipal fiscal deficits which cannot be explained by the economic cycle should be avoided. With the future demographic increase in health-related spending, the government's fiscal objective should be considered a minimum requirement, even if further pension reform is undertaken. It stipulates balancing the central government finances by* 2007 *under normal circumstances of economic growth. However, a cyclically-adjusted central government deficit of more than ½ per cent of* GDP *is projected for* 2005 *indicating that further structural reform or spending restraint is required, and all the more so if additional tax cuts are to be implemented.*

Spending pressures are likely to grow and public sector efficiency must be raised

As the memory of the crisis in the early 1990s wanes, the demand for still more and better welfare services is growing and puts pressure on central government and municipalities' finances. Recent targets to limit government spending have been frequently over-shot, public employment is growing by more than 1 per cent *per annum*, while the share of public consumption in potential GDP has started to increase. These developments threaten to derail the government's fiscal strategy by undermining the room for further tax cuts that are needed to improve incentives to work and invest in Finland. With a recovery underway, there is no need for a fiscal stimulus and further tax cuts should be matched by spending restraint. A major challenge will be to raise public sector efficiency.

– *The cost effectiveness of public spending should be raised, and over the medium term, with many retiring from the public sector, this may be the only way of improving – or even maintaining – services, as it will be difficult to recruit a sufficient number of professionals in the face of a shrinking workforce. The government's initiatives aiming to simplify administration, make better use of information technology and increase exposure to competition are thus welcome.*

– *Providing better incentives for public service providers to be more efficient is a way forward. In health care, for example, more activity-based funding could help reduce the exceptionally long waiting times. Also, involving a wider range of private sector providers via contracting out and voucher arrangements would promote innovation. The share of private providers is very low compared with other countries.*

© OECD 2004

Municipal finances need attention

Insufficient efforts to raise efficiency and new service obligations imposed by government and parliament have led municipalities to raise their income tax rates recently. Indeed, the autonomy of municipalities to set income tax rates could prove to be the Achilles heel of the fiscal framework with municipal income tax hikes neutralising the central government cuts.

– *To avoid such tensions, the menu of taxes which municipalities control should be changed. In addition, the municipal share of corporate tax revenues should be decreased or eliminated in order to reduce the effect of cyclical fluctuations which tend to ratchet up municipal spending. At the same time, and as a counterpart, the upper limit on real estate and land taxes, which are currently low by international standards, should be removed.*

– *To prevent an upward drift in service spending, the automatic upward adjustment of state grants in response to municipal cost increases should be abolished, and conditions for ad hoc support to individual municipalities should be tightened considerably. Benchmarking of municipal service efficiency can be developed much further. In this respect, Norway provides an example which might be followed, by making a much wider range of comparative performance indicators available publicly. More transparency would help to alert citizens and municipal boards when local service efficiency is below average, in which case any expansion of service provision should be funded by first exhausting the potential for productivity improvements and reductions in unit costs before increasing tax rates.*

Public spending must focus on what is essential to safeguard welfare

Currently a broad range of welfare services is funded by the state, ranging from the essential, such as emergency medical care, to more peripheral, such as home help for the elderly and childcare. Over the longer term as demand for such services grows, particularly from the elderly in areas that are related to health care, it is important that the government considers what are the core welfare services for which it will continue to provide public funding and equal access. For other less-essential welfare services it will be important to allow part of the growth in demand to be met by private spending, otherwise longer-term fiscal sustainability will be compromised.

– *User fees as a share of municipalities' total health and social spending have fallen over the last decade, so the government's*

© OECD 2004

intention to ensure that in future they are uprated in line with cost developments is to be welcomed. Beyond that, charging for ageing-related services should be re-organised to better allow users to pay for care and practical help, beyond what is regarded as necessary. Financial instruments should be better developed to help the elderly finance co-payments. Private health insurance could also play a greater role for supplementary services.

– *Public spending should be reconsidered in areas where the underlying policy objectives could be achieved with less demand on public finances. Public spending on tertiary education is among the highest in the* OECD, *and more resources could be provided by graduates who benefit from high wages. Introducing graduate contributions while lowering top income tax rates would make it easier to attract highly-skilled foreigners. Also, public spending is heavily skewed towards transfers compared with other countries, and some of the most expensive elements, such as early retirement schemes and child home care benefits should be reconsidered to make room for increasing service demands.*

The reform agenda should be more wide-ranging

This Survey argues that the benefits from reforms are likely to be large. Reaching the government's medium-term employment rate target, for instance, would offset up to four-fifths of the future impact of ageing on living standards, while static benefits from raising competition alone could amount to more than 3 per cent of GDP with additional dynamic improvements to growth likely, but difficult to quantify. As ageing is due to set in so rapidly and full reform effects may not be felt for several years, early action is needed. Finnish policy making is characterised by a desire to reach consensus with the social partners on reforms. This clearly has advantages in educating everybody about the need for reform and in carefully weighing the trade-offs involved. On the other hand, attempting to reach consensus can also lead to slow progress with necessary reforms and the government's current policy agenda appears too limited. Wide-ranging and deep reforms are needed to cope with the implications of ageing, while preserving the basic principles of the welfare state.

© OECD 2004

1. Recent performance and key challenges

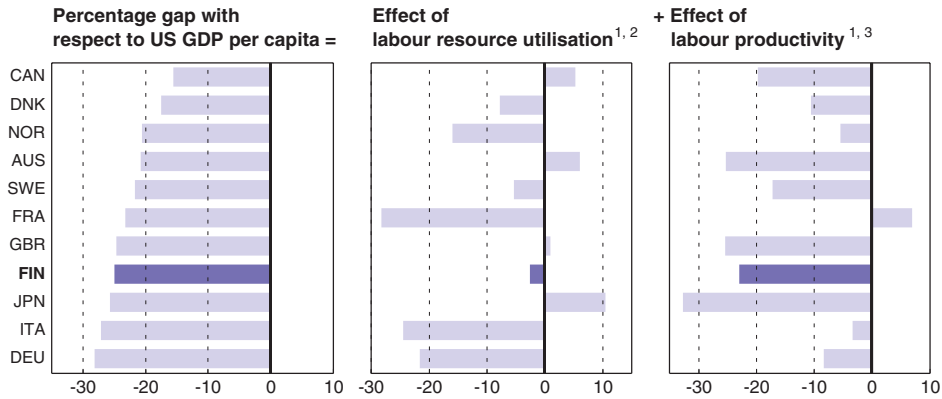
Over the last decade, the growth performance of the Finnish economy has been among the most impressive in the OECD. The transformation of the economy is often cited as one of the few clear examples of the "new economy" taking hold in Europe. Productivity growth has been rapid in the information and communication technology (ICT) sector underpinned by high levels of research and development and a well educated and skilled workforce. However, despite rapid growth, the standard of living as measured by gross domestic product (GDP) per capita is still only close to the median OECD country and the trend decline in the price of ICT products suggests that benefits will increasingly flow to users rather than producers. Moreover, ageing will occur sooner and more rapidly than elsewhere, which will reduce the working-age population and raise the dependency ratio considerably. A number of key challenges need to be addressed to sustain the strong growth performance and to make progress in closing the income gap with the best performing OECD countries, both in terms of labour utilisation and productivity (Figure 1.1):

- B*roaden and enhance growth potential*, as the future growth contribution from ICT production is unlikely to be as strong as over the late 1990s.
- R*aise the employment rate*, which is low compared to other Nordic countries and to levels achieved during the 1980s, in order to mitigate the adverse effect of rapid ageing on living standards.
- E*nsure the sustainability of public finances*, by preparing another pension reform and by maintaining a sizeable fiscal surplus over the remainder of this decade. This would raise the assets that can subsequently be drawn down as the costs of ageing rise. At the same time, efficiency gains in the public sector need to be pursued vigorously and private provision encouraged to create room for reducing the high tax burden further.

Each of these key challenges is discussed further below in the context of reviewing recent performance in terms of growth, the labour market and fiscal policy. The major environmental challenge of reducing greenhouse gas emissions in a cost effective way is then reviewed. Finally, the prospects of meeting the current challenges are discussed in the context of a medium-term scenario.

© OECD 2004

Figure 1.1. **The sources of differences in income**
2002, in 2000 PPP terms



1. Percentage gap with respect to the US level.
2. Labour resource utilisation is measured as total number of hours worked divided by working-age population.
3. Labour productivity is measured as GDP per hour worked.

Growth performance

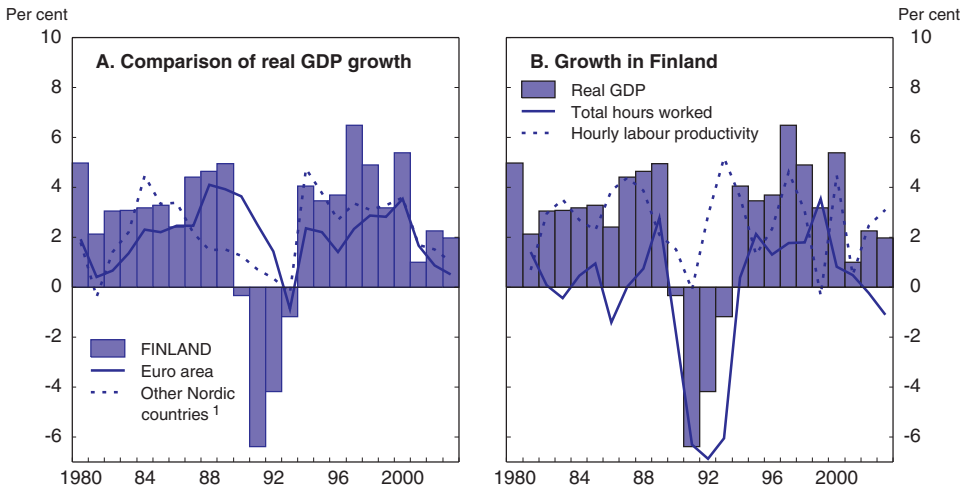
A striking feature of the long-term growth profile is its relative volatility, notably the depth of the recession in the early 1990s, which is among the most severe endured by any OECD country in the post-war period, as well as the strength of the subsequent recovery (Figure 1.2, Panel A and Figure 1.3). The recession of the early 1990s led to widespread re-structuring,[1] considerable scrapping of the capital stock and a continuous decline in the capital-output ratio over the 1990s. It also led to the large scale use of early retirement schemes. Over the second half of the decade – the period closely associated with the emergence of the "new economy" – growth in labour productivity and GDP per capita, was among the highest in the OECD (Figure 1.4). Surprisingly, productivity growth was not significantly higher than that achieved over the 1980s (Figure 1.2, Panel B), although allowing for the declining trend in the capital stock per worker suggests that there was a steep increase in multi-factor productivity growth (Daveri and Silva, 2004; Jalava and Pohjola, 2001). It also contrasts favourably with the trend decline in hourly labour productivity in continental Europe.

The "new economy" contribution from ICT *production has been impressive…*

The contribution of ICT manufacturing to whole economy labour productivity growth is estimated at ¾ per cent *per annum* between 1995 and 2002.

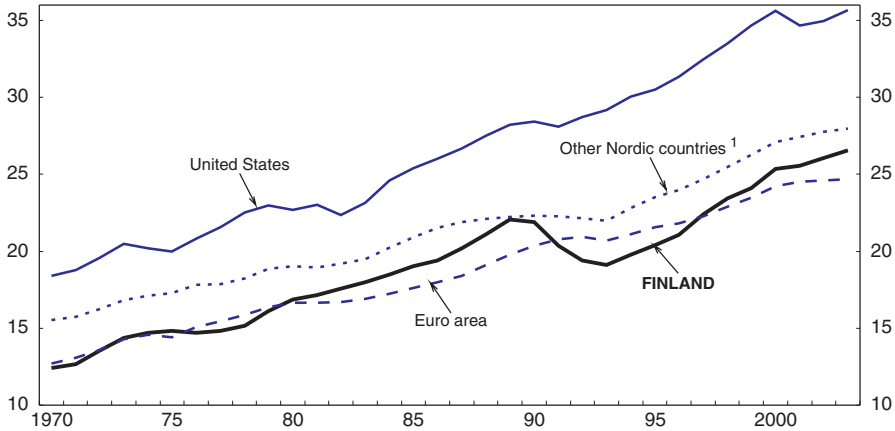
© OECD 2004

Figure 1.2. **GDP growth**[1]



1. Weighted average of Denmark, Iceland, Norway and Sweden using 1995 GDP and PPPs.

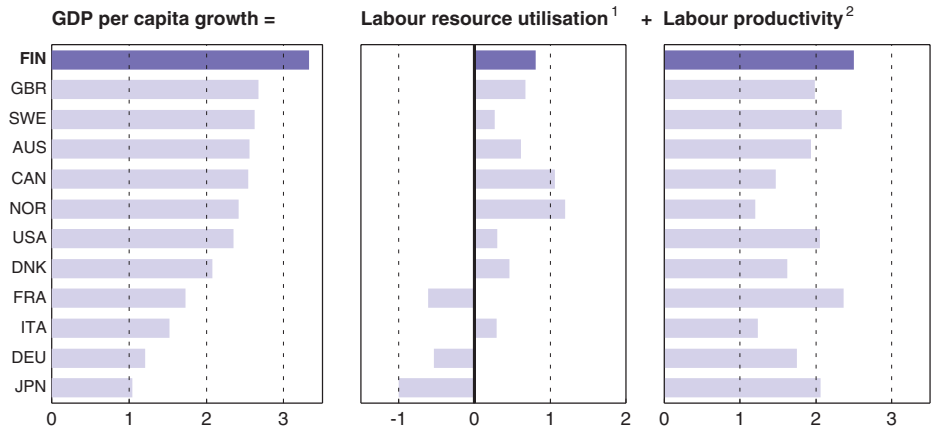
Figure 1.3. **GDP per capita**
Thousand USD, 2000 PPPs



1. Weighted average of Denmark, Iceland, mainland Norway and Sweden.
Source: OECD, *National Accounts*.

© OECD 2004

Figure 1.4. **The sources of growth**
Per cent *per annum*, average 1994-2003



1. Labour resource utilisation is measured as total number of hours worked divided by working-age population.
2. Labour productivity is measured as GDP per hour worked.

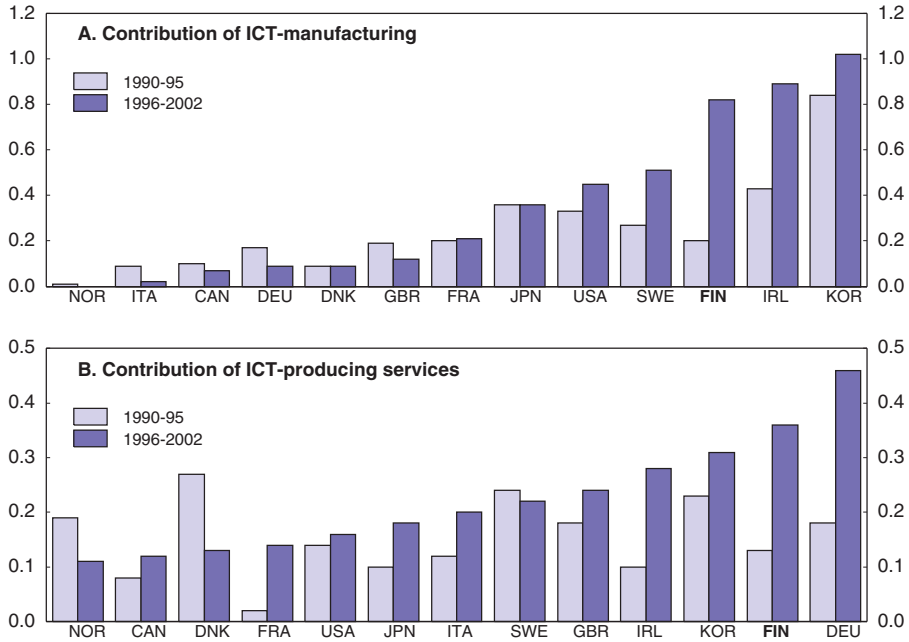
This is somewhat higher than in the United States and was only exceeded by Ireland and Korea (Figure 1.5, Panel A). It was in large part due to the success of Nokia, the world leader in mobile telephony, and an associated cluster of smaller ICT manufacturing firms (Box 1.1). Nokia's contribution to GDP growth was greatest in 2000 when it contributed 1¾ percentage points to total economy growth of 5½ per cent. Mainly due to this sector the overall level of hourly manufacturing productivity now exceeds that in the United States, having lagged behind by almost 20 per cent at the beginning of the 1990s (Maliranta, 2004). The ICT-producing services sectors, in the case of Finland mainly telecommunications, contributed about one-third of a percentage point *per annum* to aggregate labour productivity growth since the mid-1990s, which is also among the highest in the OECD and a considerable increase from the first half of the 1990s (Figure 1.5, Panel B). This strong performance is probably due to the early deregulation in this sector, as argued in Chapter 2, and provides a good example of the benefits of increased competition.

… but the counterpart is falling ICT *prices…*

However, a complete account of the contribution of ICT production to national income needs to allow for the declining trend in ICT prices. With ICT

© OECD 2004

Figure 1.5. **Contribution of ICT-manufacturing and producing services to aggregate labour productivity growth**[1]



1. Contributions to value added per person employed, in percentage points. For the first period (1990-95): 1991-95 for Germany; 1992-95 for France and Italy; 1993-95 for Korea. For the second period (1996-2002): 1996-98 for Sweden; 1996-99 for Korea and Spain; 1996-2000 for Ireland, Norway and Switzerland; 1996-2001 for France, Germany, Japan, the United Kingdom and the United States.

Source: OECD, *The Economic Impact of ICT – Measurement, Evidence and Implications*, 2004 ed., Tables A5.1 and A5.2.

exports currently accounting for over one quarter of all goods exports, the decline in the price of ICT products is the main cause of the continuous decline in the terms of trade since the mid-1990s which has not been experienced by any other euro area country (Figure 1.6), including Ireland, the other major ICT exporter. It explains why the growth rate of the consumption deflator has consistently exceeded that of the GDP deflator, on average by around ¾ of a percentage point *per annum* since the mid-1990s. If a correct measure of living standards reflects consumption possibilities, then arguably the conventional measure of GDP per capita should be adjusted to reflect this differential. An alternative measure is "command GDP",[2] which includes export volumes but deflates nominal exports by the import deflator (on the argument that the purpose of exports is to provide for

© OECD 2004

Box 1.1. Nokia fact sheet

Nokia is the world's leading producer of mobile phones. Mobile phones account for about three-quarters of its net sales, while networks account for most of the rest. Nokia managed to continually increase its world market share in mobile telephones over the 1990s, from just over 20 per cent in the mid 1990s to about 35 per cent at the end of the decade. However, this share stabilised between 2000 and 2003, and in the first quarter of 2004 has fallen to an estimated 30 per cent of the global market in the face of increasing competition. Increasing global competition has also put pressure on prices, with the price of the lower-range models estimated to have been cut by 25 per cent in the first half of 2004. Reflecting these developments the share price of Nokia has *fallen* by about one-third (in dollar terms) from the beginning of 2003 to July 2004, compared to a *rise* of about two-thirds in an index of share prices for the global telecommunications equipment sector.

At the peak of the last ICT cycle in 2000, Nokia is estimated to have accounted for 2.8 per cent of Finnish GDP and over 1.6 percentage points of GDP growth. However, following the subsequent slump in ICT, it has averaged about ¼ of a percentage point *per annum* between 2001 and 2003.

In 2001 Nokia's share of total research and development (R&D) spending was close to one-third, and just under one-half of all private sector R&D. Taking into account Nokia's foreign R&D investments, R&D spending was about EUR 3 billion in 2001, compared to about EUR 3½ billion for total private R&D spending in Finland. Relative to these sums the level of public support, channelled through Tekes (an organisation under the auspices of the Ministry of Trade and Industry) is minor, amounting to less than 1 per cent. But even without Nokia, R&D in Finland would be a higher share of GDP than the average found in the EU. Nokia also co-operates in production and R&D with a network of numerous smaller firms in Finland. In 2000 there were about 300 such companies, with about 20 000 employees.

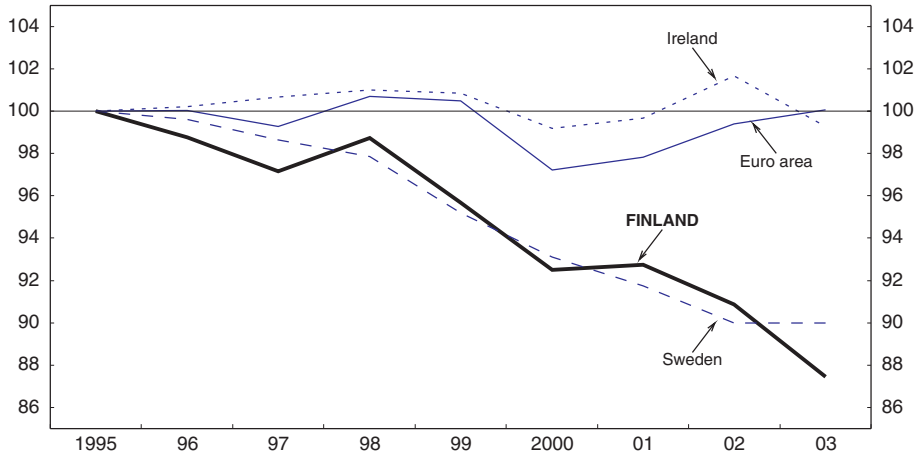
While Nokia has a substantial impact on Finnish growth, exports and R&D its direct impact on employment is much smaller. In 2001, the number of Nokia employees in Finland fell marginally to 23 700, around 2 per cent of total employees in the business sector. Almost 60 per cent of its Finnish staff (and a third of its total staff) work in R&D, but the share of Finnish personnel declined to 41 per cent from 51 per cent of its total staff in 1998.

Nokia paid EUR 0.7 billion taxes in Finland in 2001 (2 per cent of total taxes received by the general government), down by a third on the previous year. At the end of 2001, Nokia shares were 63 per cent of the market value of the Helsinki stock exchange and foreigners held 91 per cent.

Source: This box draws heavily on Ali-Yrkkö and Hermans (2004) and Financial Times (2004).

© OECD 2004

Figure 1.6. **Terms of trade**
Index 1995 = 100



imports). It results in a downward adjustment to growth by about 0.7 percentage point *per annum* since the mid-1990s, with a tendency for the adjustment to be larger in recent years (Figure 1.7). The only OECD country where the size of this adjustment is larger over this period is Korea, which is also a major ICT-exporter, but where the effect is also due to a massive fall in the exchange rate during the Asian crisis of 1998.[3, 4]

... and the productivity response from ICT-*using services has been disappointing*

Falling prices suggest that the benefits of ICT will increasingly accrue to the *users* rather than *producers* of ICT (Bayoumi and Haacker, 2002). In terms of investment in, rather than production of, ICT, Finland has only a mediocre ranking compared with other OECD countries (Pilat and Devlin, 2004). Nevertheless, falling ICT prices may have led to an improvement in the labour productivity performance of some of the main ICT-using services in the second half of the 1990s.[5] In financial services productivity growth since the mid-1990s compares favourably with most other OECD countries (Figure 1.8, Panel A), although most of the gains were made by 1999. Productivity growth in wholesale and retail trade of about 2 per cent *per annum*, while above the OECD average, was much less than half the rate observed in the United States (Figure 1.8, Panel B). Overall, the

© OECD 2004

Figure 1.7. **Difference between GDP and "command GDP" growth**
In real terms

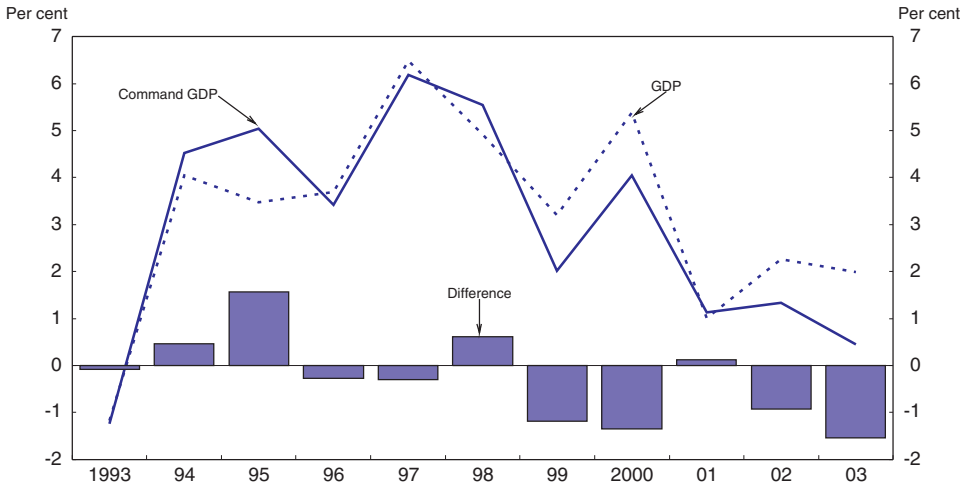
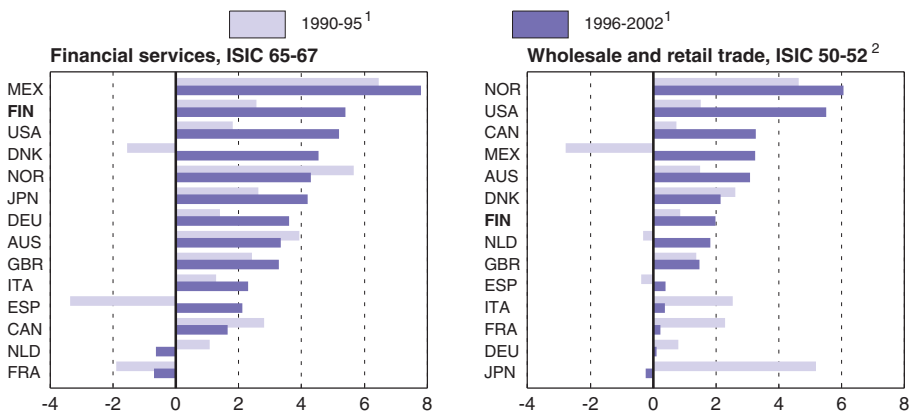


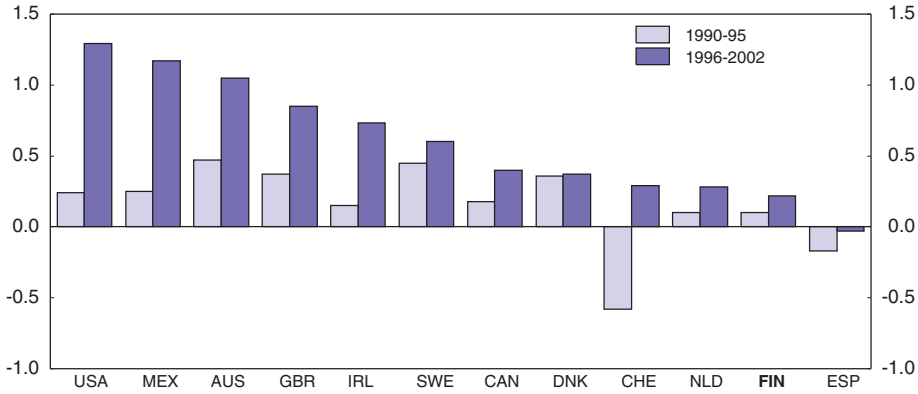
Figure 1.8. **Labour productivity in selected ICT-using services**
Value added per person employed, annual average growth rates in per cent



1. 1992-95 for Germany; 1996-2001 for Australia, Mexico, United Kingdom and United States.
2. Wholesale and retail trade includes hotels and restaurants for Japan.
Source: OECD, STAN database.

© OECD 2004

Figure 1.9. **Contribution of ICT-using services to aggregate productivity growth**[1]



1. Contributions to value added per person employed, in percentage points. OECD countries shown are those for which there was an increase in the productivity growth contribution between the two sub-periods.

Source: OECD, *The Economic Impact of ICT – Measurement, Evidence and Implications*, 2004 ed., Table A5.1.

contribution of improvements in ICT-using services to aggregate labour productivity falls well short of developments in a number of the better performing OECD countries, especially the United States (Figure 1.9).[6] Probable reasons as to why the pick-up in productivity growth in these sectors has not been greater are rigidities in product and labour markets. There does seem to be an inverse relationship across OECD countries between tight product market regulation and high employment protection legislation on the one hand and the share of ICT investment in total fixed investment on the other (Pilat and Devlin, 2004). Moreover, the existence of a substantial gap in the level of productivity of the whole economy compared with the better performing OECD economies (Figure 1.1), despite the high level of manufacturing productivity, implies that the scope for catch-up in the service sectors is considerable.

The structure of the economy must continue to evolve

The structure of the economy has evolved considerably since the beginning of the 1990s, when it was much more dependent on the production of primary commodities. However, further structural change is required to develop sectors with strong growth potential, and so reduce reliance on ICT-manufacturing and take full advantage of the high level of educational attainment and skill of the workforce (OECD, 2004a).[7] A reason why the aggregate productivity contribution from ICT-using services is not large relative to other OECD countries, is that the size of these sectors is relatively small. Indeed, the structure of economy is, with

© OECD 2004

the important exception of high-tech manufacturing, under-represented in the fast growing sectors such as the knowledge intensive services[8] and over-represented in agriculture, forestry, mining, and low- and medium-tech manufacturing where growth has tended to be slower (Figure 1.10).

The structure of the economy partly reflects relative resource endowments, for example the presence of a large forest-based industry, but future change may be inhibited by rigidities in labour and product markets. There is evidence that competitive pressures in the sheltered sectors are weak, as indicated by relatively high price levels, a low degree of openness and inward foreign direct investment (FDI) and high state ownership, as discussed further in Chapter 2. There is some cross-country evidence that a lack of competition may inhibit employment growth in those services with high income elasticities (Messina, 2004). In the labour market, rigidities in wage determination, high labour taxes and generous levels of benefits may all hamper structural adjustment as discussed in Chapter 3. In particular the resulting compressed wage structure may hamper growth in retailing and wholesaling, which is both a sector where the productivity gains from the application of ICT may be large and which may provide much needed jobs for unskilled workers.

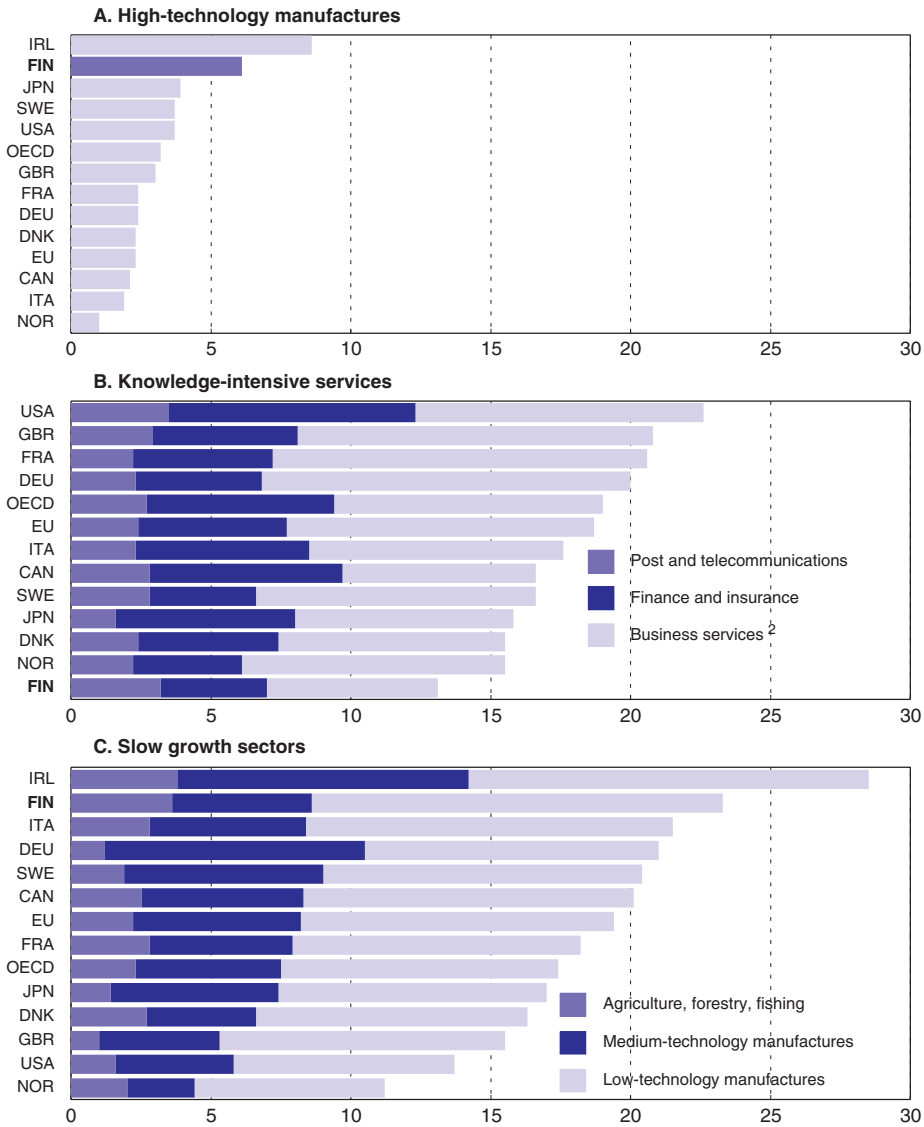
In media and political discussions[9] "offshoring" (or "international outsourcing") has become a prominent issue. Indeed, the relatively high share of manufacturing in GDP, suggests that pressures for offshoring may be greater than in many other OECD countries. In Finland the discussion has focused on the "China effect", although China only accounts for a small percentage of the stock of outward foreign direct investment and in future the potential for outsourcing to the new EU countries, particularly Estonia, may be even greater. Estimates of the gross job losses which can be attributed to this phenomenon are difficult to come by, although according to one estimate (Nykänen, 2004), Finnish firms employ about 20 000 employees in China, with Nokia being the largest employer. While this amounts to less than 1 per cent of total employment, in a small country, much of which is sparsely populated, the disappearance of a factory can have a major impact on the local economy. A possible policy response to such pressures – which is not contemplated by the present government, but for which the unions push – would seek to prevent the loss of jobs by tightening employment protection legislation. However, this would almost certainly be a retrograde step, not only because the long-term net effect on domestic jobs of offshoring is likely to be positive (OECD, 2004b),[10] but also because it would hamper future structural adjustment across industries and sectors within the domestic economy.

The current recovery: demand and output developments

GDP growth in 2003 was 2 per cent, slightly below that in 2002, but well above the ½ per cent for the euro area average (Figure 1.2, Panel A). The strength

© OECD 2004

Figure 1.10. **The sectoral composition of output**[1]
Percentages, 2000



1. Share of value added in total value added.
2. Business services include renting of machinery and equipment (71); computer-related services (72); research and development (73); and other services (74).

Source: OECD, *OECD Science, Technology and Industry: Scoreboard 2003*, Tables D.6.1 and D.7.

© OECD 2004

of the recovery has so far been based mainly on domestic demand, with a negative contribution from net exports of minus ½ per cent to growth in 2003, whereas over the second half of the 1990s net export growth contributed on average almost 1 per cent *per annum* to growth. Moreover, while the volume of exports grew by 1 per cent, the value of exports fell by 2 per cent as a consequence of falling export prices, mainly for ICT goods.

Reflecting the initially slow pick-up in global demand and more recently Nokia's loss in market share for mobile phones (Box 1.1), the contribution of the electronics sector to aggregate growth since the global ICT downturn at the turn of the millennium has been muted, especially in comparison to the late 1990s. Value added in volume terms from the electronics sector was flat throughout much of 2003 and has risen on average by 3½ per cent *per annum* since 2000, while in nominal terms it has fallen by 2 per cent *per annum*.[11] In comparison, over the second half of the 1990s the annual average increase in electronics output was 26 and 23 per cent *per annum*, in volume and value terms, respectively.

An expansionary fiscal stance has been an important factor boosting the growth in domestic demand, as discussed further below. Real private consumption grew by 4¼ per cent in 2003, fuelled by tax cuts as well as low interest rates. The saving ratio was close to zero in both 2002 and 2003, well below that in any other euro area country with the euro area average at 11½ per cent in 2003.[12] The volume of private fixed investment fell in both 2002 and 2003, by around 4½ and 3 per cent *per annum* respectively, with much larger falls in plant and machinery investment. Given that share of business investment in GDP is already below its historical average (Figure 1.11) this does not augur well for future productivity developments. The low overall level of business investment may also explain why Finland only has a mediocre ranking among OECD countries in terms of investment in ICT, despite being a world leader in ICT production. The government will be introducing a major reform of capital income and corporate taxation (details given below in Box 1.3), which aims at increasing investment.

The labour market

The employment rate target

Both the employment and unemployment rate have been fairly stable since 2000, following a 7-year period of continuous improvement since the deep recession in the early 1990s (Figure 1.12). The employment rate averaged 67½ per cent in 2003, and although this compares favourably with the OECD and euro area averages, it is well below that in the other Nordic countries (which have a similar tradition of high female participation in the labour force) and below the rate that prevailed prior to the recession of the early 1990s. A major aim of the government is for employment to increase by 100 000 by the end of the current electoral period in 2007, implying an increase in the employment rate to about 70 per cent,

© OECD 2004

Figure 1.11. **Business investment**
Share of GDP, in per cent

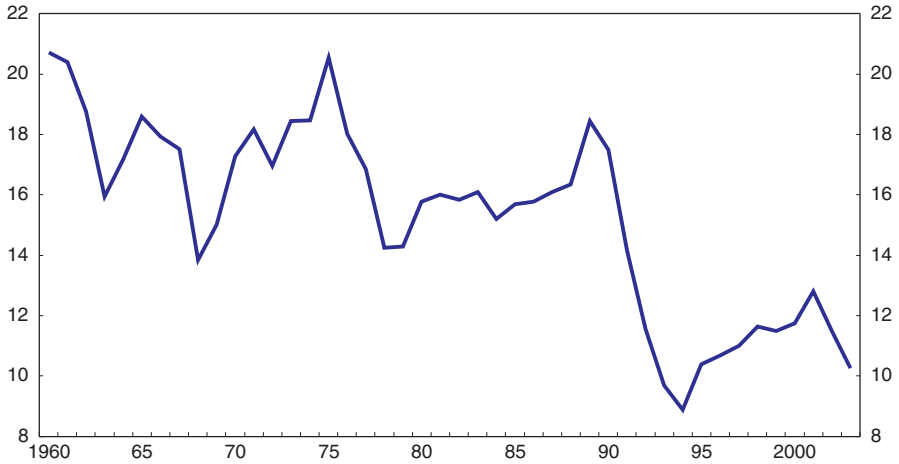
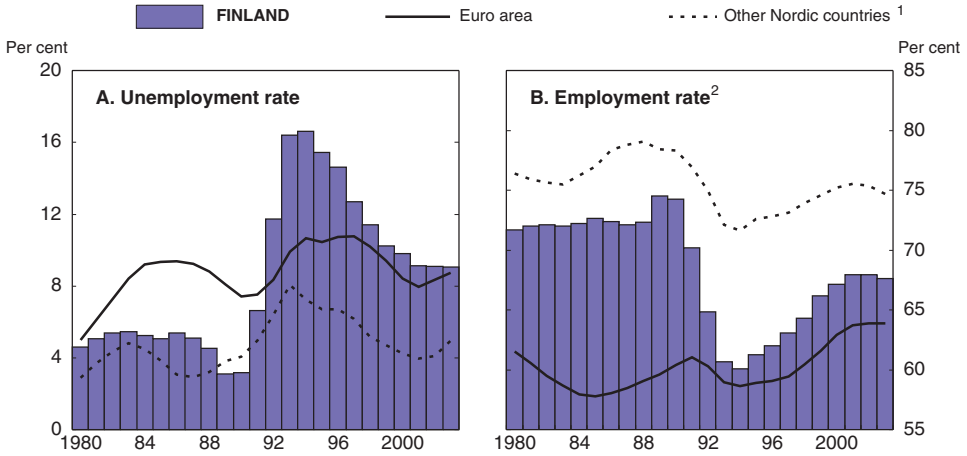


Figure 1.12. **Aggregate labour market indicators**



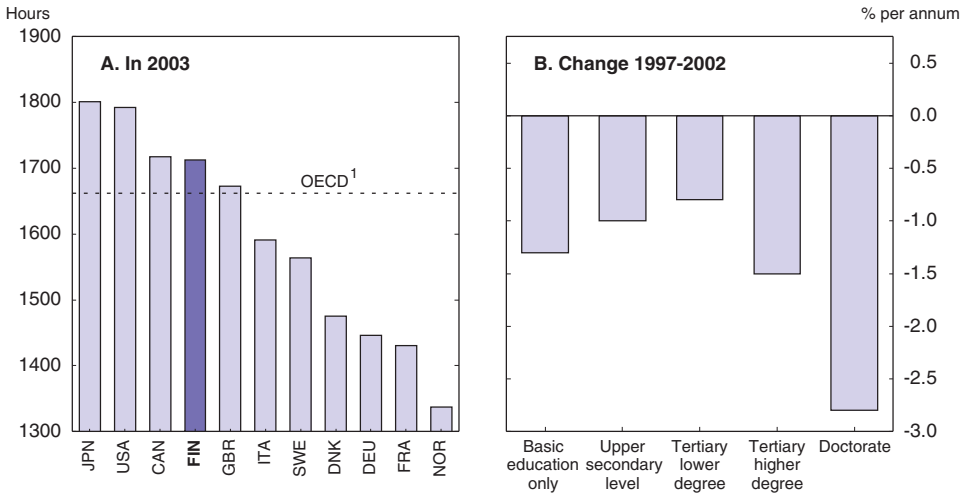
1. Denmark, Iceland, Norway and Sweden.
2. Total employment as a per cent of working-age population (aged 16-64).
Source: OECD, *OECD Economic Outlook*, No. 75, June 2004.

© OECD 2004

which is also the EU-wide Lisbon target. Achieving this target is an intermediate step towards the more ambitious objective of a 75 per cent employment rate by the end of the following electoral period in 2011.

Targeting the employment rate, rather than the unemployment rate, relates more closely to the concept of labour utilisation, although the difference becomes smaller as broader definitions of unemployment are considered.[13] More specifically in the case of Finland there is a need to offset the adverse impact of ageing on living standards by raising employment through drawing on the pool that is not covered by the standard definition of unemployment, for example by encouraging people to retire later. While the total population is expected to remain quite stable until 2020, the population aged over 65 is expected to rise by about a half. Raising the employment rate will mitigate the implied shock to both living standards (as proxied by GDP per capita) and fiscal sustainability. One drawback of the employment rate as a measure of labour utilisation is that it does not encapsulate any measure of average hours worked. Somewhat surprisingly, given the high tax wedge, average hours worked are significantly higher than in most other Nordic and continental European countries (Figure 1.13, Panel A), although the decline in average hours since the mid-1990s has been in line with the OECD average. Of greater concern is that the trend decline in average hours worked is larger for those with higher education qualifications (Figure 1.13, Panel B).

Figure 1.13. **Annual hours worked per worker**



1. Unweighted average of 24 OECD countries.
Source: OECD, Hours worked database and Statistics Finland, Labour Force Survey.

© OECD 2004

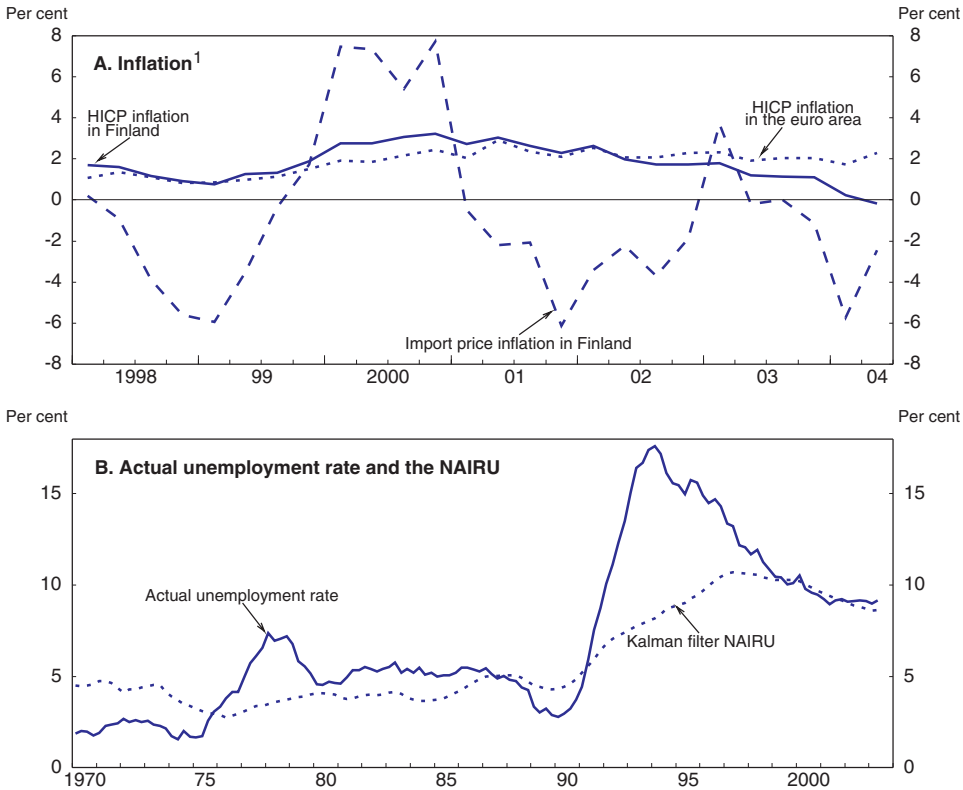
Unemployment is mainly structural

While the employment rate is a sensible policy target to increase labour utilisation, the gap between the structural and actual unemployment rate provides a gauge as to what extent this can be achieved by demand-based measures. The unemployment rate has been fairly stable since 2000 and was around 9 per cent in 2003, marginally above the euro area average, but well above the average of the best performing OECD countries (Figure 1.12). Some indication of the extent of slack in the labour market may be gleaned from recent inflation trends. Inflation according to the harmonised index of consumer prices (HICP) has been the lowest in the euro area since the final quarter of 2003 when it averaged about 1¼ *per annum*, and in March prices fell by ½ per cent (year-on-year) as a result of indirect tax cuts on alcohol (Figure 1.14). Abstracting from the effect of indirect taxes, the fall in HICP inflation from 3 per cent in 2000 reflects declining import prices, as well as slack in labour and product markets. Indicators of the structural rate of unemployment, or NAIRU, which incorporates information on inflation developments including the effect from imported inflation, suggest that the NAIRU is currently about 8½ per cent, having fallen from a peak of about 10 per cent in the mid-1990s (Figure 1.14, Annex 1.A1). If unemployment is mainly structural in nature, an important implication is that the contribution from an upturn in demand (whether from an expansionary fiscal policy or a pick-up in export demand) to durably achieving the government's employment objectives, particularly the more ambitious long-term objective, is probably small. Achieving the targets will require a range of structural measures to both reduce structural unemployment and raise participation.

That structural unemployment in Finland is so much higher than in the other Nordic countries may appear puzzling as these countries share broadly similar labour market institutions, in the form of high labour taxes and generous welfare benefits, although as discussed further in Chapter 3, centralised determination of wages appears more rigid. Part of the explanation is that current high unemployment in Finland may be a consequence of past shocks, notably the recession of the early 1990s which was much more severe than in other Nordic countries, interacting with institutional labour market settings (Blanchard and Wolfers, 2000). An example is the dramatic increase in the use of an unemployment pathway to early retirement, which was available in the 1980s but was only extensively used following the recession of the early 1990s (Koskela and Uusitalo, 2003). While the recession of the early 1990s may have been exceptional, the relatively high degree of specialisation in exports has made the economy more vulnerable to large shocks than most OECD economies. For example, the drop in the growth contribution from net exports coinciding with the global downturn in ICT, from plus 2¼ percentage points in 2000 to minus ½ a percentage point in 2001, was among the sharpest in the OECD, although domestic demand has

© OECD 2004

Figure 1.14. **Inflation and unemployment rates**



1. Year-on-year percentage changes.

remained remarkably stable. Finland is also probably more dependent on a single firm (Nokia), than any other OECD country. These factors together suggest that an important additional reason for increasing flexibility in the labour market is to limit the unemployment costs of future shocks.

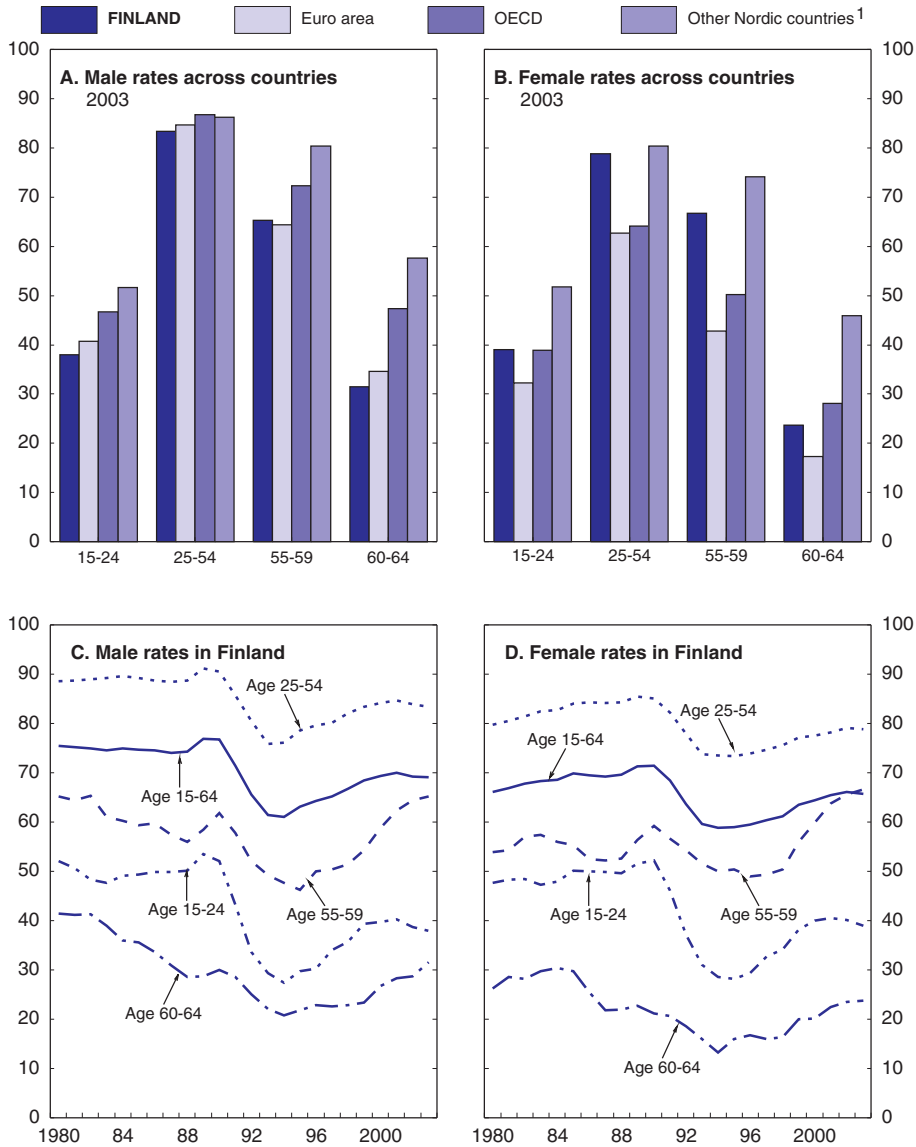
Employment rates for older and younger workers are low

Benchmarking suggests that there may be greatest scope for raising the employment rates at either end of the age spectrum, particularly for males (Figure 1.15, upper panels). Conversely the employment rate of prime-age (aged 25-54) females is well above OECD averages, although it remains slightly

© OECD 2004

Figure 1.15. **Employment rates**

Employment as a percentage of population in the same age group



1. Weighted average of Denmark, Iceland, Norway and Sweden.

Source: OECD, *Labour Force Statistics* and Statistics Finland.

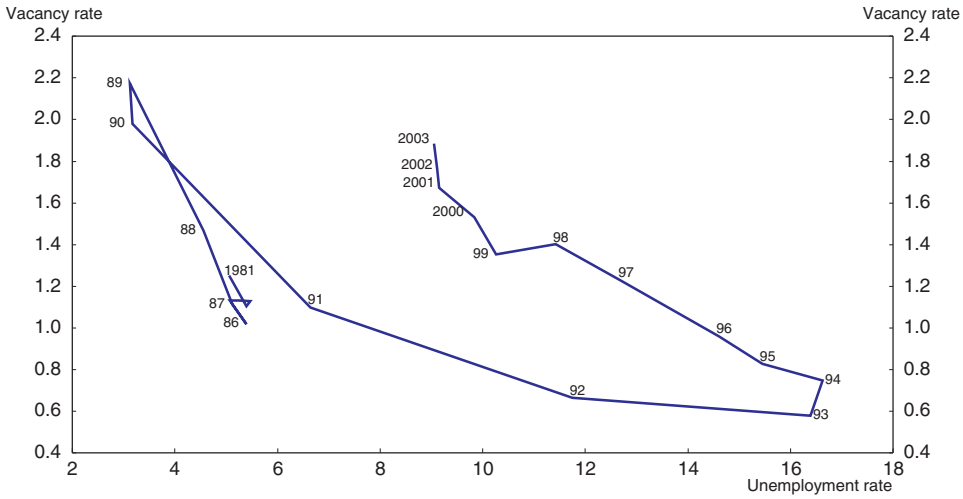
© OECD 2004

below that in other Nordic countries. The employment rate of those aged 15 to 24 is low in international comparison, and, in contrast to the employment rate for prime age and older workers, has fallen since 2000 (by 1½ percentage points). The employment rate of older males remains below the OECD average, and well below the average for other Nordic countries. Moreover, average hours worked by older males is, in contrast to other demographic groups, also well below the OECD average (OECD, 2004b), partly reflecting the generous provision of "part-time pensions", discussed further in Chapter 3. There have, however, been substantial increases in the employment rate of older males since the mid 1990s; between 1995 and 2002 the employment rate of those aged 55 to 59 increased by 16 percentage points, the largest increase of any EU country (Figure 1.15, lower left panel), although there was no further improvement in 2003. Much of this increase, which was greater than the increase for other age groups, is probably due to tightening of various early retirement schemes as well as the increasing take-up of part-time pensions, as discussed further in Chapter 3.

Mismatch is a serious problem

A good labour market performance is also undermined by labour market mismatch. One indication of the increase in mismatch is the outward shift of the Beveridge curve (Figure 1.16), which suggests, for example, that the vacancy rate in 2000 was similar to that in 1988, but the unemployment rate was about

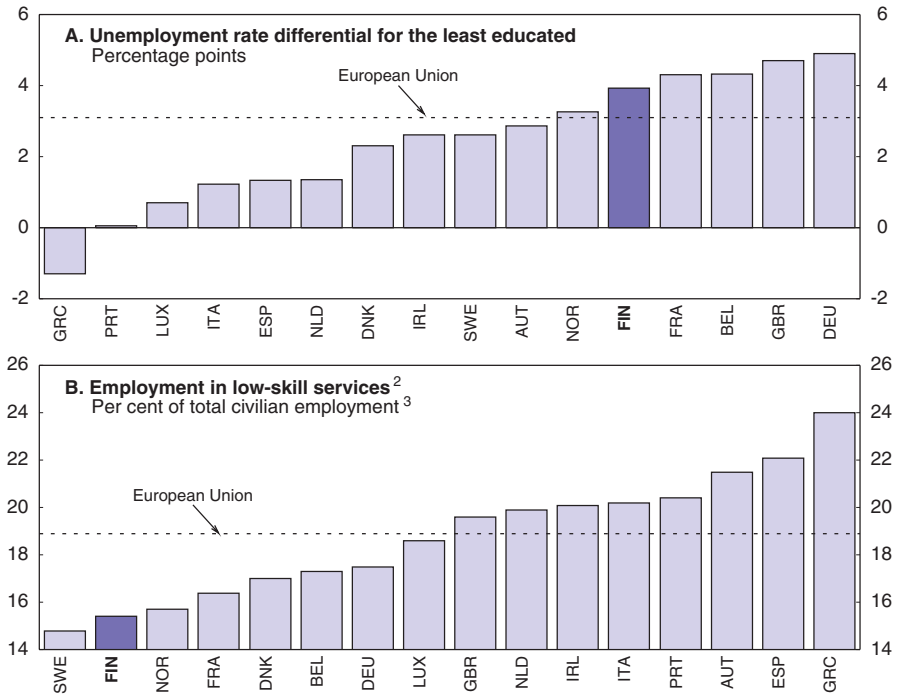
Figure 1.16. **Mismatch has increased**



Source: Työpoliittinen Aikakauskirja 1/2004.

© OECD 2004

Figure 1.17. **Mismatch for unskilled labour**
Age 15-64, 2002[1]



1. Or latest available data.
2. Wholesale and retail trade, repair of motor vehicles, hotels and restaurants.
3. Dependent employment for France.

Source: Eurostat; OECD, database on Labour Force Statistics.

double.[14] Perhaps the most striking example of mismatch is the shortage of opportunities in the low-skilled service sector, coinciding with the highest differential between the unskilled and aggregate unemployment rate in the European Union (Figure 1.17). This points to problems in the nexus of wage determination, benefits and wages, which are discussed further in Chapter 3.

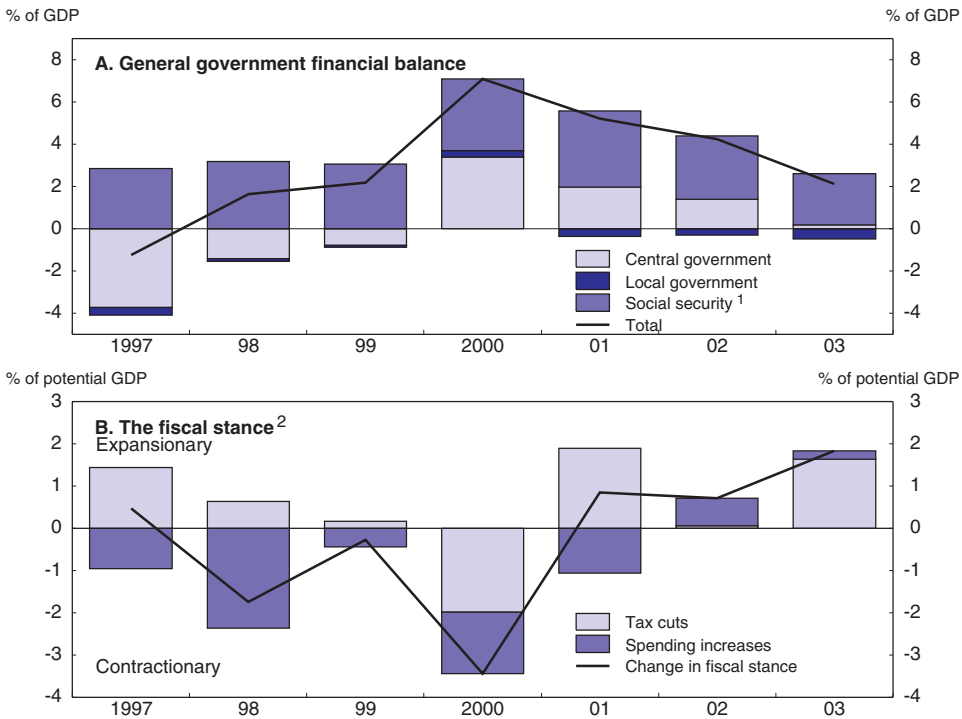
The fiscal position in the context of rapid ageing

Recent fiscal performance

The general government financial surplus has shrunk from a peak of 7 per cent of GDP in 2000 to 2 per cent in 2003, with this surplus more than accounted

© OECD 2004

Figure 1.18. **Recent fiscal developments**



1. Including employment pension funds.
2. The fiscal stance is measured by the change in the cyclically-adjusted general government financial balance, positive values indicate an expansionary fiscal stance. The components – tax cuts and spending increases – are all measured on a cyclically-adjusted basis.

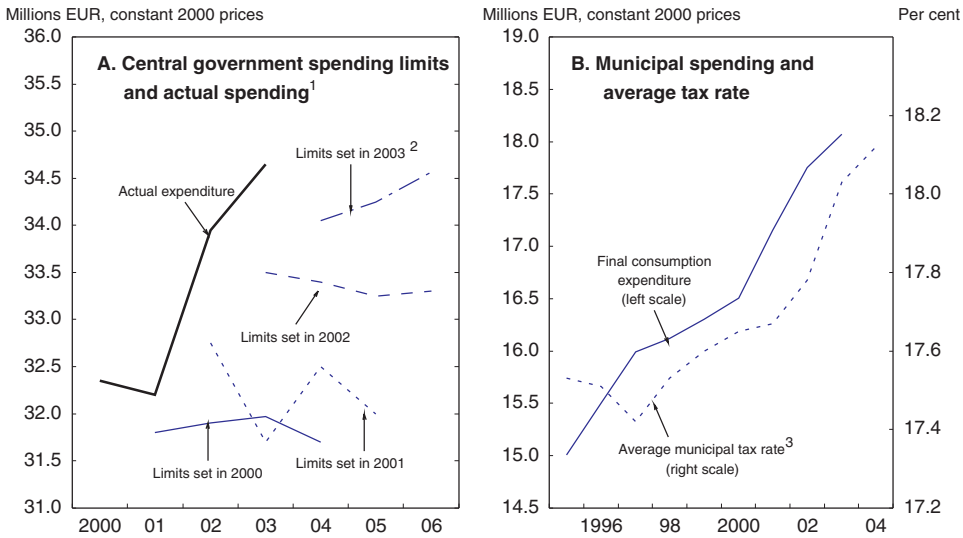
Source: Statistics Finland and OECD, *OECD Economic Outlook*, No. 75, June 2004.

for by the social security and pension funds (Figure 1.18, upper panel). While some of this decline is a result of cyclical weakness, more than half of the decline reflects discretionary fiscal policy. Indeed, with a reduction in the structural balance by 3½ per cent of GDP over the last three years, the only OECD countries with a more expansionary fiscal stance were the United Kingdom and the United States, while the fiscal stance of the euro area as a whole has been largely neutral. In 2001 much of the expansionary fiscal stance can be explained by a loss in asset-related tax revenues (direct taxes on household and corporate income from capital gains as well as direct taxes on household income from stock options) as equity prices slumped, which is not easily classified as discretionary.[15] However, in 2002 it is mostly explained by expenditure increases and in 2003 by discretionary tax cuts (Figure 1.18, lower panel).

© OECD 2004

The fiscal stance has been looser than implied by the fiscal objectives of the previous government, elected in 1999, which was to maintain a general government surplus of about 4½ per cent of GDP by keeping central government spending at its 1999 level in real terms until 2003.[16] Repeated expenditure slippage, however, meant that central government spending in 2003 was about 8 per cent above the 1999 level (Figure 1.19, Panel A). The current government's fiscal policy objectives are less ambitious and aim for a gradual increase in central government spending of 4 per cent in real terms over the four-year period to 2007, which is equivalent to ¾ per cent of GDP (Box 1.2). The central government spending limit for 2005-08 decided in spring 2004 did *not* revise upwards the previous limits set for 2004-07, unlike on previous occasions. However, developments in the municipal sector, which accounts for three-quarters of public employment, risk undermining fiscal discipline. In particular, the acceleration in municipal consumption spending since 2001 is a matter for concern because it has driven up municipal income tax rates which are set by municipalities individually and are outside the control of central government (Figure 1.19, Panel B). Total public

Figure 1.19. **Expenditure slippage and municipal tax hikes**



1. Following the definitions of the central government budget, not the national accounts. Includes transfers to municipalities. Actual expenditure for 2003 is preliminary.
2. These are the limits set by the old government. The expenditure limits of the new government exclude cyclical components and interest payments and are therefore not directly comparable.
3. Weighted by taxable income.

Source: Ministry of Finance, Statistics Finland and the Association of Finnish Local and Regional Authorities.

© OECD 2004

Box 1.2. The fiscal policy objectives

The government's fiscal policy objectives are set out in the June 2003 government programme and stipulate:

- The central government debt-to-GDP ratio must be reduced (excluding cyclical factors).
- The government aims to secure balanced central government finances under normal conditions of economic growth (*i.e.* in cyclically-adjusted terms) at the end of the electoral period in 2007, measured in terms of national accounting.
- Growth in real spending by central government is limited to EUR 1.12 billion over the four year electoral period. A similar amount is envisaged for tax cuts.

The institutional framework gives particular emphasis to the spending objective via the decision on central government spending limits made by government and communicated to parliament each year in March. Each year the spending limits are updated reflecting price and cost developments and structural changes in the budget, but the government has emphasised that apart from these technical adjustments, the limits are not supposed to be changed.

The spending limits concern all central government outlays (including transfers to municipalities) except variations in social security spending reflecting business cycle movements, interest payments on public debt and a few other spending items such as government spending covered by revenues received from the European Union. Consequently, the spending limits concern about 75 per cent of the central government budget and account for about 20 per cent of GDP. Municipalities, on the other hand, are *not* constrained by these spending limits and can determine spending and tax rates autonomously.

To avoid an excessive deficit, the fiscal framework includes an "emergency brake" stating that: "the government's underlying premise is that the central government deficit, in national account terms, should not exceed 2¾ per cent of GDP *even* in conditions of weak economic development. If, *in the light of forecasts*, the deficit *threatens* to grow larger than this, the government will, *without delay*, propose the necessary measures for reducing expenditures as well as other measures to avoid an overrun."

Source: Prime Minister's Office (2003), Ministry of Finance (2003a and 2004a).

consumption volume has expanded by an annual average of 2 per cent from 1995 to 2003 and public employment by close to 1¼ per cent. Whereas private sector employment is still 8 per cent below the pre-crisis level in the early 1990s, public employment is now above its pre-crisis level. During the second half of the 1990s, strong private sector productivity growth, improvements in aggregate labour

© OECD 2004

utilisation and modest public sector wage developments meant this expansion could be accommodated without a rise of the share of public consumption in GDP. However, with potential growth having slowed since 2000 and public sector inflation having increased, the share of public consumption in potential GDP has risen by 1 percentage point, demonstrating the need for public spending to adjust to a less optimistic outlook for potential growth.

Although recent budgets have cut income and indirect taxes substantially (Box 1.3), taxation of labour is still very heavy. Both the average and the marginal tax wedge on labour are among the highest in the OECD, even after the tax cuts implemented in recent years (Figure 1.20). Reducing the tax wedge on labour further is therefore of great importance for longer-term performance, given the increasing mobility of skilled labour and growing evidence that high tax wedges act as a disincentive to work effort. But with the ongoing global recovery, it is increasingly important to match tax cuts with spending restraint or with increases

Box 1.3. The 2003 and 2004 budgets and the 2005 budget proposal

The 2003 and 2004 budgets

Reducing the taxation of earned income has been a key element of the 2003 and 2004 budgets as well as of the supplementary budget for 2003 introduced after the change of government in May 2003:

- State income tax rates were cut by 1 percentage point at all income levels from January 2004, following a similar reduction by ½ percentage point from January 2003 and ½ percentage point from July 2003 (0.4 per cent of GDP). Thresholds in the state income tax scale were increased by 1 per cent each year (0.1 per cent of GDP). Also the maximum deduction for work-related expenses was raised (0.2 per cent of GDP) and the maximum earned income allowance in municipal taxation has gradually increased from EUR 2 140 in 2002 to EUR 3 550 in 2004 (0.3 per cent of GDP) which should raise incentives to work at low income levels.
- Car taxation was reduced by 14 per cent from January 2003 and alcohol taxation was cut by a third from March 2004 to counter cross-border trade following EU enlargement (0.3 per cent of GDP). Conversely, energy taxation was raised by 5 per cent in 2003 (0.1 per cent of GDP).

Spending was raised in several areas with active labour market policies and health care standing out as the main examples (0.1 per cent of GDP each). Transfers to municipalities have been raised to compensate for cost increases in health and social services and loss of tax revenue because of the increase in the earned income tax allowance (0.4 per cent of GDP).

© OECD 2004

Box 1.3. **The 2003 and 2004 budgets and the 2005 budget proposal** (*cont.*)

Proposals for corporate and capital tax reform

The government has proposed a reform of corporate and capital taxation, to be implemented in 2005. The immediate net fiscal effect will be a reduction of tax revenue by ¼ per cent of GDP:

- The corporate income tax rate will be reduced by 3 percentage points to 26 per cent and the tax rate on investment income paid by individuals will be reduced by 1 percentage point to 28 per cent. In order to neutralise the revenue effects for municipalities, the share of corporate tax revenue flowing to municipalities will increase from 19¾ per cent currently to approximately 22 per cent from 2005.
- Partial double taxation of dividends will be introduced. Voluntary pension insurance schemes will be taxed as capital income instead of as earned income. The transfer of enterprises to descendants will be taxed less. The net wealth tax rate will be reduced from 0.9 to 0.8 per cent and the minimum threshold for taxation will be raised from EUR 185 000 to EUR 250 000. Companies will no longer be taxed on the gains from sales of assets but cannot deduct losses either.

The 2005 budget proposals

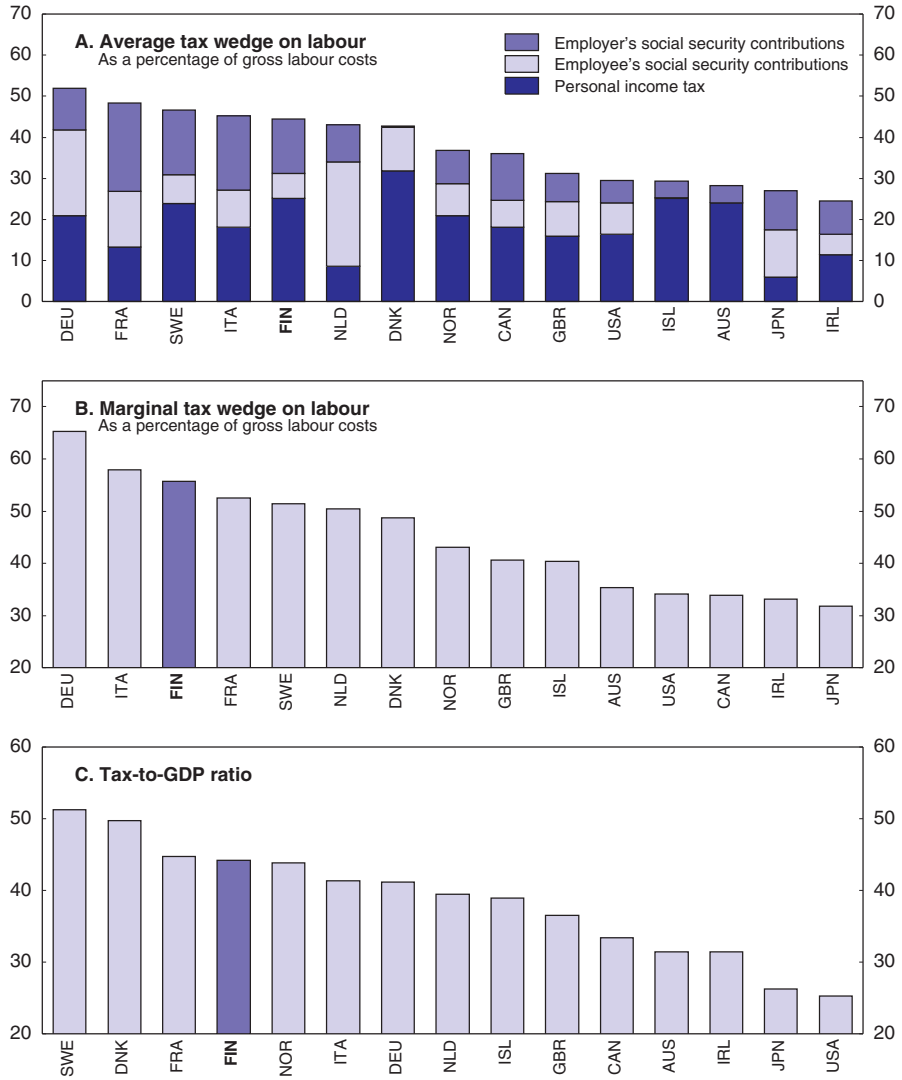
The budget proposals respect the spending limits originally announced in May 2003 and which are also noted in the government programme. For 2005 the spending limit is EUR 28.8 billion out of which 28.4 billion is allotted in the budget proposal with the remaining 0.4 billion left to cover salary increases for government employees, further active labour market measures and any supplementary budget spending introduced during the fiscal year. Further income tax cuts, which could be "considerable", are dependent on a moderate central wage agreement. In line with the spending limits for 2005-08 announced in the spring, state grants to municipalities will be adjusted upwards by the equivalent of ¼ per cent of GDP in 2005 to reflect an increase in costs for statutory tasks incurred over recent years.

Source: Ministry of Finance (2003b; 2003c; 2003d; 2004b, 2004c).

in other taxes, such as property taxes, that are less distortionary than labour taxes. The income tax cuts implemented in 2003 and 2004 have helped sustain growth during the global downturn, but with the output gap expected to close in 2005, demand stimulus is no longer needed. Tax cuts should now focus on bringing about structural improvements in employment and business activity on a permanent basis.

© OECD 2004

Figure 1.20. **Tax wedges on labour[1] and aggregate tax-to-GDP ratio**
2003



1. For a single individual at the income level of the average production worker. Tax wedges are calculated as the sum of personal income tax, employee plus employer social security contributions together with any payroll taxes as a percentage of labour costs (gross wage plus employers' contributions).

Source: OECD, *Taxing Wages 2000-2003*.

© OECD 2004

The governments' medium-term fiscal projections

The November 2003 Stability Programme projections (Ministry of Finance, 2003e) suggest that the general government surplus will remain at about 2 per cent of GDP until 2007, by which time the output gap is projected to have closed (Table 1.1). Given that the pension funds are projected to continue running surpluses of about 3 per cent of GDP, this implies that the central government would miss its target to be in balance by the end of the electoral period and

Table 1.1. **The 2003 stability programme fiscal projections**
Per cent of GDP

	2002	2003	2004[1]	2005[2]	2006[2]	2007[2]	Change 2003-07
Financial balance							
General government	4.2	2.3	1.7	2.1	2.1	2.2	–0.1
Central government	1.4	–0.1	–0.7	–0.8	–0.9	–0.9	–0.8
Local government	–0.3	–0.5	–0.4	–0.2	–0.2	–0.1	0.4
Social security funds	3.0	2.8	2.8	3.0	3.2	3.2	0.4
General government							
Total revenues	51.9	51.0	50.4	50.8	50.8	51.0	0.0
Total expenditure	47.7	48.7	48.7	48.7	48.8	48.8	0.1
Financial surplus	4.2	2.3	1.7	2.1	2.1	2.2	–0.1
Net interest payments	0.2	0.1	–0.1	–0.3	–0.3	–0.4	–0.5
Primary balance	4.4	2.4	1.6	1.8	1.8	1.8	–0.6
Components of revenue							
Taxes	33.1	32.1	31.5	31.6	31.5	31.4	–0.7
Social security contributions	12.4	12.4	12.4	12.5	12.7	12.8	0.4
Other revenues	6.5	6.5	6.5	6.6	6.7	6.7	0.2
Total revenues	51.9	51.0	50.4	50.8	50.8	51.0	0.0
Components of expenditures							
Consumption expenditure	21.6	22.5	22.8	23.0	23.2	23.3	0.8
Social income transfers	16.8	17.2	17.3	17.3	17.3	17.3	0.1
Interest payments	2.2	2.1	2.0	1.9	2.0	2.1	0.0
Subsidies	1.4	1.4	1.4	1.4	1.3	1.3	–0.1
Gross fixed capital formation	2.9	2.7	2.5	2.4	2.4	2.3	–0.4
Other expenditure	2.7	2.8	2.7	2.7	2.6	2.5	–0.3
Total expenditure	47.7	48.7	48.7	48.7	48.8	48.8	0.1
Gross debt level, % of GDP	**42.7**	**45.1**	**44.7**	**44.9**	**45.0**	**44.6**	**–0.5**
Cyclical developments							
GDP output gap	–0.2	–1.3	–1.1	–0.7	–0.4	0.0	1.3
Cyclically-adjusted balance	4.3	3.0	2.4	2.4	2.3	2.2	–0.8
Cyclically-adjusted primary balance	6.5	5.1	4.3	4.3	4.3	4.3	–0.8

1. Estimated.
2. Forecast.
Source: Ministry of Finance, Stability Programme for Finland, November 2003 update.

© OECD 2004

instead remain in deficit by almost 1 per cent of GDP. Taxes are projected to fall by ¾ of a per cent of GDP between 2003 and 2007, but this is partly offset by higher social security contributions (up nearly ½ per cent of GDP) and "other revenues". Total expenditure are projected to remain stable as a share of GDP, despite a fall in net interest payments by ½ per cent of GDP. There is also a change in the balance between public consumption and capital spending; gross fixed capital formation is projected to fall to less than 2½ per cent of GDP, which will be the lowest level in more than three decades, while public consumption rises by ¾ per cent of GDP to the highest level since the mid-1990s. In summary, it appears that, absent positive surprises, the government risks missing its fiscal objectives – a feature common to the OECD's medium-term baseline projection. Nevertheless, the general government surplus as a share of GDP would remain among the highest in the OECD, raising the question as to whether this is an issue of major concern.

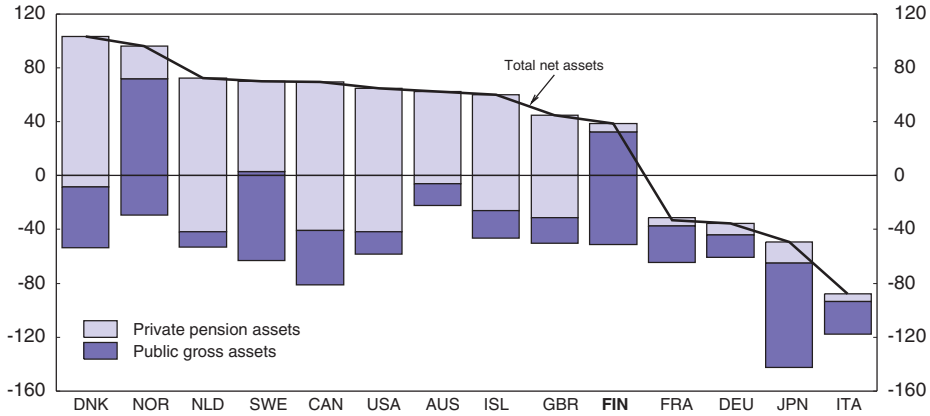
The current fiscal position appears strong, but this is partly misleading

Comparisons of the general government's surplus (at 2 per cent of GDP in 2003) and net asset position (34 per cent of GDP) with other OECD countries can, however, be misleading because of the inclusion of the pension funds within general government. While, of course, the assets held by pension funds should be taken into account when assessing fiscal sustainability, other countries accumulate pension assets in schemes that are recorded outside general government. Some of these are mandatory and some are voluntary. Including such private sector pension assets changes Finland's comparative position considerably (Figure 1.21). In particular, a comparison with Denmark and the Netherlands is striking, because their occupational pension schemes are compulsory or quasi-compulsory, but they are recorded in the private sector. At respectively 104 and 73 per cent of GDP the combined net asset position of general government and private pension schemes jointly is considerably stronger than that of Finland at 39 per cent of GDP in 2001. Compared to the large continental European countries, however, Finland is relatively well prepared for ageing by having partly pre-funded the future pension liabilities for the earnings-related pension with substantial assets held by the pension funds.

Long-run calculations of fiscal sustainability suggest that having accumulated net assets equal to one-third of GDP raises the sustainable expenditure level by 2 per cent of GDP, as compared to a number of European countries with a net debt position of close to about half of GDP (Annex 1.A2). However, working in the opposite direction, the fiscal room for manoeuvre is more constrained because of the timing and magnitude of the ageing shock. With ageing setting in early (about a decade earlier than in most other countries) the sustainable expenditure level is reduced by nearly 1 per cent of GDP. Likewise, the stronger response of

© OECD 2004

Figure 1.21. **Government and private pension assets**[1]
2001, in per cent of GDP



1. Combined assets of general government and private tax-favoured retirement schemes. The lower starting point of the bars is public gross debt as a per cent of GDP.

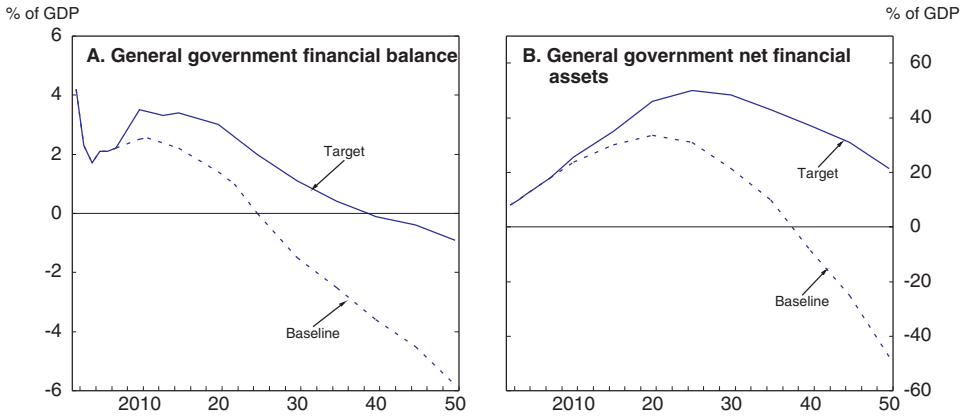
ageing-related public spending due to comprehensive welfare provision reduces the sustainable spending level by another 1 per cent of GDP. Thus, starting with net assets rather than net debt does *not* imply that Finland can run smaller surpluses than other countries for the rest of this decade, because ageing sets in early and pay-roll taxes may need to rise by another 5 percentage points to cover future ageing-related spending, even after the recent pension reform.

Ensuring fiscal sustainability will require continued policy reform

With ageing happening earlier and more rapidly that in most OECD countries, the current fiscal policy is not sustainable in the sense that the current generosity of pension and transfer incomes and spending on public services cannot be maintained at current levels without raising taxes in the future. If current policies are maintained, OECD calculations indicate a need to consolidate government finances by 1 to 2 per cent of GDP and run general government surpluses of 3 to 4 per cent of GDP for the rest of the decade, even assuming some improvement in the employment rate (Annex 1.A2). The government's own projections have arrived at a similar result; the "baseline scenario" of Finland's latest stability programme suggests that a continuation of current policies will imply general government surpluses of about 2 per cent of GDP over the remainder of the decade which will eventually result in accelerating debt as the fiscal costs of

© OECD 2004

Figure 1.22. **Long-term fiscal scenarios**[1]



1. The baseline scenario assumes a constant tax rate, whereas the target scenario assumes additional consolidation (expenditure cut and revenues increased) so that the financial balance is one per cent higher than in the baseline by 2010.

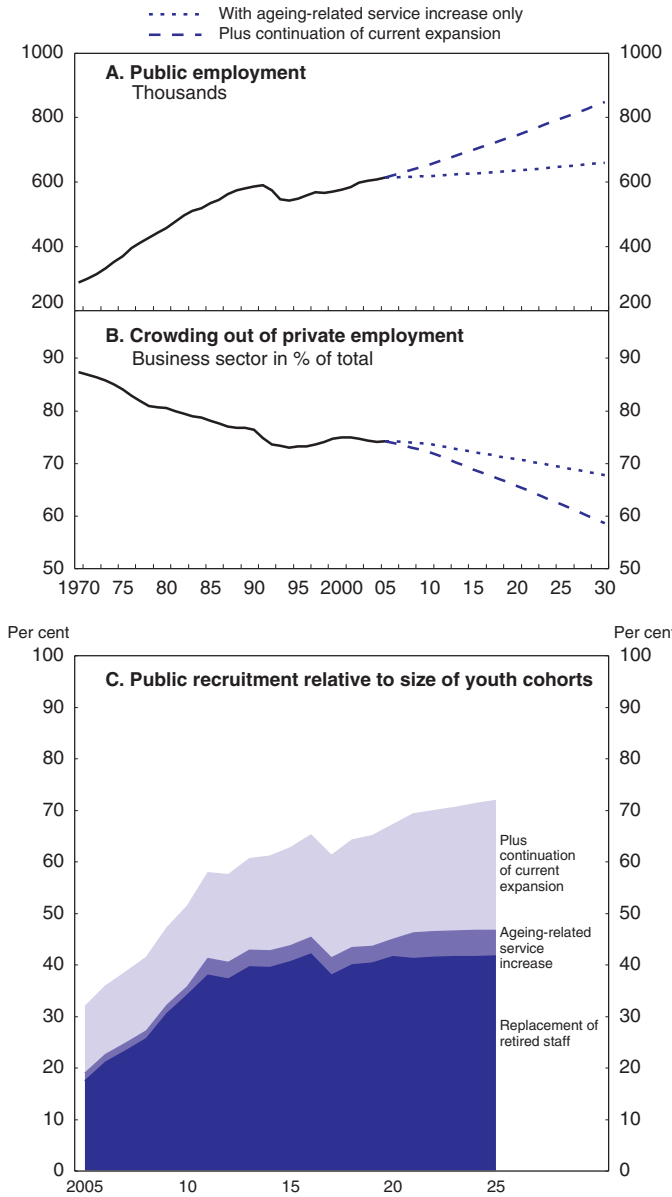
Source: Ministry of Finance, "Stability Programme for Finland", November 2003 update for baseline and target scenario.

ageing materialise, leaving a bill to be paid by future generations (Figure 1.22). Conversely, an alternative "target scenario" included in the Stability Programme assumes additional fiscal consolidation measures (an unspecified combination of tax increases and spending cuts) in the years 2008-10, after the current electoral term, which is sufficient to raise the surplus by about 1 per cent of GDP and avoid a sharp deterioration in debt (or any need to raise taxes) in future decades.

The need for fiscal prudence is further underlined when viewed from the perspective of the labour market because a continuation of the current expansion in public sector employment would have dramatic consequences for private sector employment once ageing sets in strongly. Between now and 2025, merely meeting the demographically determined additional service demand would imply an increase in public sector employment by about 6 per cent. However, with the population of working age expected to decline by about 11 per cent over the same period, and in the absence of any improvement in the aggregate employment rate, the share of the business sector in total employment would fall from 74 to below 70 per cent.[17] But public employment actually expanded by close to 1½ per cent annually from 2000 to 2003 – an increase that cannot be attributed to demographic changes – and if this continues on top of the ageing-related increase, then the share of business sector in total employment would fall to 60 per cent two decades from now (Figure 1.23, Panel A).[18] The problem is aggravated by the fact that public sector retirement will double less than a decade from now. Currently,

© OECD 2004

Figure 1.23. **Scenarios for public employment**



© OECD 2004

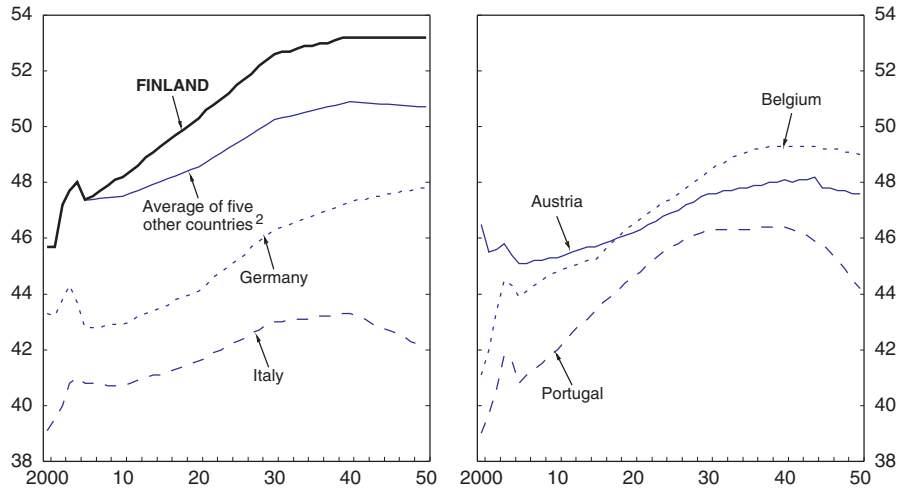
replacing those who retire from the public sector requires the equivalent of one in five of the young entering the labour market. But with more rapid retirement, it will require two in five already in the next decade, and if the current expansion of public employment were to continue in addition to ageing-related service spending, the equivalent of *three out of every five* persons entering the labour market would have to enter the public sector (Figure 1.23, Panel B).[19] A substantial improvement in public sector productivity is therefore the only viable option for the longer term so that a growing service demand can be met without increases in public employment that would crowd out private sector demand.

To ensure fiscal sustainability, and create room for further tax cuts, three broad policy directions should be pursued in addition to reforms to raise employment.

- *Raise efficiency in public services*. Even modest efficiency improvements in the provision of publicly funded services can contribute to substantial fiscal improvements if continued year after year. A recent exercise by the Bank of Finland (Kinnunen, 2002) suggested that modest public sector productivity growth in ageing-related public services (especially health) would significantly improve long-term fiscal sustainability, and by more than the effect of the pension reform to be implemented in 2005. Nevertheless, it should not be underestimated how demanding it will be to achieve even modest productivity improvements as productivity has declined during recent years.
- *Reform the financing of municipalities*. Recent increases in municipal spending and deficits raise concerns that they will eventually lead to further increases in municipal income tax rates, which will thwart the objective of reducing the overall tax burden on labour. Reforms which lead to greater certainty in the revenues available to municipalities and provide them with greater incentives to expand their tax bases or pursue more efficient spending might reduce some of this pressure. In addition, changes to the menu of taxes available to municipalities should be considered.
- *Reconsider the priorities for public spending*. Public spending, including transfer payments, is a relatively large share of GDP and ageing will lead to further upwards pressure (Figure 1.24). To cope with these pressures there is a need to consider what are the core welfare services and whether future increases in service demand can be met via private funding. There is also a need to reduce the cost of transfer payments, which account for a relatively large share of public spending. This share rose in parallel with that of the other Nordic countries (excluding Iceland) over the 1970s and 1980s, increased steeply during the deep recession of the early 1990s, but although it has declined since then, it has maintained a persistent differential *vis-à-vis* Denmark, Norway

© OECD 2004

Figure 1.24. **Ageing-related change in public spending**[1]
Primary current expenditure in per cent of GDP



1. The countries included here are those for which reasonably comparable information is available in the Stability Programmes 2003/04. The projections include demographically-induced changes in spending on pensions and health care for all countries shown here. For Germany and Italy education and unemployment benefits are also included, for Portugal education and child care, and for Belgium early retirement, occupational diseases and industrial accidents, unemployment and family allowances.
2. Percentage point increase similar to that of the weighted average of Austria, Belgium, Germany, Italy and Portugal, but rebased to match primary current expenditure in Finland in 2005.

Source: National Stability Programmes, 2003/04 versions.

and Sweden of 4 percentage points (Figure 1.25). Thus, one way of safeguarding the core welfare services, while creating the room for tax cuts, is to reduce expenditure on transfer payments. Reform of some of these schemes, particularly those relating to early retirement, could also improve labour market performance, as argued in Chapter 3.

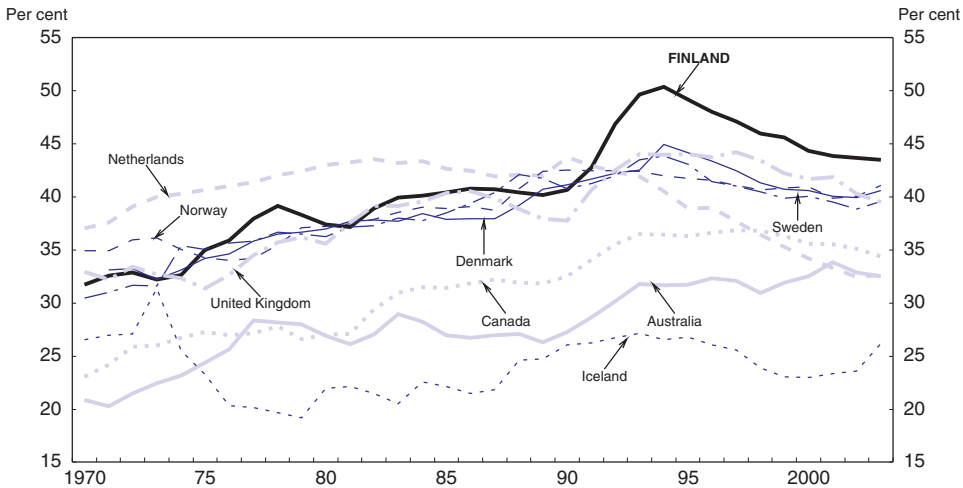
The means by which progress along these lines can be made is discussed in Chapter 4. In the meantime it appears prudent to balance, at the very least, the central government finances.

The major environmental policy challenge: reducing carbon emissions in a cost-effective way

The energy-intensive nature of the economy has resulted in high and rapidly growing greenhouse gas emissions that the government is committed to curb.[20] Finland led the way in taxing carbon emissions by being the first country to

© OECD 2004

Figure 1.25. **Public spending is skewed towards transfers**[1]



1. Social security transfers as a percentage of the sum of public consumption and social security transfers.

introduce a carbon tax in 1990. It is participating in global efforts to limit green house gas (GHG) emissions through the Kyoto Protocol. While the EU Burden Sharing Agreement stipulates that Finland has to stabilise its emissions by 2008-12 at their 1990 level (as compared with a decline by 8 per cent for the Union as a whole), it will be challenging to attain this target: business-as-usual projections suggest that, in the absence of further policy measures, Finland will miss its 2008-12 target by 16.5 per cent. And the costs of abatement are likely to be high; according to Commission estimates, unit abatement costs could be the third highest in the European Union (Capros and Mantzos, 2000).

In the 2001 National Climate Strategy, the government decided that building a new nuclear electricity plant would be the most economic method to reduce emissions. In the meantime, the nuclear power plant is at the planning stage and should start operating in 2009. It will reduce emissions by 7 million tons of CO_2 and thereby reduce the expected overrun of the emission target by half. The carbon abatement strategy also focuses on policies to promote renewable energy and energy saving and efficiency.

Finland reformed its carbon tax following the opening of the Nordic electricity market. To avoid competitive disadvantages, the carbon tax on electricity was scrapped and tax payments for energy-intensive industries capped. Effective tax rates vary considerably between fuels and sectors, thus undermining

© OECD 2004

the effectiveness of the carbon tax. The government supports the EU-wide emission trading scheme that will be implemented in 2005. The national implementation of the EU-wide emission trading scheme will equalise participants' abatement incentives and reduce emissions where abatement is cheapest. However, emission trading will cover only energy-intensive manufacturing industries and combustion plants (about a third of all greenhouse gas emissions and half of carbon dioxide emissions). Carbon taxation therefore still has a role to play to make sure that other economic agents face similar abatement incentives.[21] This requires an overhaul of the existing carbon tax so that effective tax rates better reflect carbon content and permit market participants get refunded. The rate of carbon taxation should be revised regularly in line with the average allowance price to ensure an efficient allocation of abatement efforts across sectors. The EU greenhouse gas emission trading directive raises a challenge, however, as allowances have to be given away free, implying maybe a need to raise taxation elsewhere. The government has not yet decided on the necessary changes to the carbon tax regime.

Medium-term projections

The short-term outlook to 2005

Based on the OECD projections finalised in April 2004 (OECD, 2004b), output is likely to return to potential much quicker than for the euro area as a whole (Table 1.2).[22] Output growth may reach 2½ per cent in 2004 and almost 4 per cent in 2005, as the pick up in world trade strengthens export demand. Net exports are expected to add ½ and 1½ percentage points to GDP growth in 2004 and 2005 respectively. Stimulated by tax cuts, consumption will continue to grow strongly in 2004, but should moderate in 2005. Business investment is expected to respond to rising demand and to recover gradually.

With potential output rising by 2 per cent *per annum*, output is expected to slightly exceed potential in 2005. Nevertheless, the unemployment rate will remain above 8 per cent, close to its structural rate, while employment will only increase by about 30 000 between 2003 and 2005, suggesting that the government's target of raising employment by 100 000 between 2003 and 2007 is unlikely to be met without broader structural labour market reforms.

Without any further major tax cuts, central government and municipalities are expected to show a combined deficit of almost 1 per cent of GDP in 2005. Thus, if the pension funds continue to run surpluses at around current levels, the general government surplus will return to about 2 per cent of GDP by 2005. If, as seems quite possible, the government were to implement additional tax cuts, perhaps in conjunction with any new wage agreement or because the employment target was looking to be out of reach, then the fiscal surplus would clearly be reduced.

© OECD 2004

Table 1.2. **The outlook to 2005**

Percentage changes, volume

	2003	2004	2005
GDP components			
Private consumption	3.6	3.0	2.7
Government consumption	0.7	1.4	1.4
Gross fixed capital formation	–2.3	1.8	3.7
Public sector	7.1	0.7	–0.3
Private sector	–3.9	2.0	4.4
Residential	7.7	7.6	5.8
Non-residential	–8.7	–0.8	3.7
Final domestic demand	1.6	2.4	2.6
Stockbuilding[1]	0.2	–0.6	0.0
Total domestic demand	1.8	1.7	2.6
Exports of goods and services	1.3	4.6	9.2
Imports of goods and services	0.9	4.8	7.8
Foreign balance[1]	0.3	0.4	1.4
Statistical discrepancy[1]	–0.1	0.5	0.0
GDP	1.9	2.5	3.7
Command GDP	0.2	2.6	3.2
GDP of the euro area	0.5	1.6	2.4
Prices and wages			
Harmonised consumer price index	1.3	0.5	1.6
GDP price deflator	0.7	0.6	1.7
Private sector wage rate	4.0	3.4	4.2
Terms of trade	–3.8	0.4	–0.9
Labour market			
Employment rate (level)[2]	67.6	67.6	68.2
Unemployment rate (level)[3]	9.1	8.9	8.3
Current balance (% of GDP)	5.7	6.5	6.9
Interest rates (%)			
Short-term	2.3	1.7	1.8
Long-term	4.1	4.1	4.7
Government net lending (% of GDP)			
General government	2.1	1.6	2.1
Central government	0.3	–0.4	–0.7
Municipalities	–0.5	–0.6	–0.2
Pension and social security funds	2.4	2.6	3.0
Memorandum items:			
Output gap (level)[4]	–1.4	–1.1	0.3
Output gap of the euro area (level)[4]	–2.0	–2.3	–1.8
Household saving ratio[5]	0.3	1.2	1.0

1. Contribution to GDP growth.
2. As a percentage of the working-age population.
3. Per cent of the labour force.
4. Per cent of potential GDP.
5. As a percentage of the disposable income.

Source: OECD, OECD *Economic Outlook*, No. 75, June 2004.

© OECD 2004

Two alternative scenarios to 2020

To examine prospects beyond 2005 and up to 2020 – a period over which the "greying" of the population will be among the most rapid in the OECD – two alternative scenarios are sketched out. These scenarios are constructed in a form that highlights the effects of demographic changes on living standards and the success or failure of achieving the employment target. More specifically, GDP per capita is divided into three components:

$$\text{GDP per capita} = \text{output per head} \times \text{employment rate} \times \frac{\text{population of working age}}{\text{total population}}$$

Both scenarios adopt the same demographic assumptions,[23] which suggests that the fall in the ratio of the population of working age to the total population will reduce growth in per capita GDP by ¼ of a percentage point *per annum* over the second half of this decade, and by almost 1 percentage point *per annum* over the following decade (Table 1.3).

In the central scenario, labour productivity is assumed to grow by 1¾ per cent *per annum*, which is significantly less than the 2½ per cent growth experienced over the second half of the 1990s and more in line with (cyclically-adjusted)

Table 1.3. **Two medium-term scenarios**

		Annual average growth rate			
		1995-2000	2000-05	2005-10	2010-20
Central scenario					
Contributions to growth in GDP *per capita from*:					
[1]	Productivity growth[1]	2.5	1.7	1.8	1.8
[2]	Demographic contribution[2]	0.0	0.0	–0.2	–0.9
[3]	Employment rate[3]	1.8	0.3	–0.3	0.1
[4] = [1] + [2] + [3]	**GDP *per capita***	**4.4**	**2.1**	**1.3**	**1.0**
[5]	Terms of trade adjustment	–0.5	–0.6	–0.5	–0.5
[6] = [4] + [5]	***Command* GDP *per capita***	**3.9**	**1.5**	**0.8**	**0.5**
Optimistic scenario					
Contributions to growth in GDP *per capita from*:					
[1]	Productivity growth[1]	2.5	1.7	2.0	2.0
[2]	Demographic contribution[2]	0.0	0.0	–0.2	–0.9
[3]	Employment rate[3]	1.8	0.3	0.5	0.7
[4] = [1] + [2] + [3]	**GDP *per capita***	**4.4**	**2.1**	**2.3**	**1.8**
[5]	Terms of trade adjustment	–0.5	–0.6	–0.4	0.0
[6] = [4] + [5]	***Command* GDP *per capita***	**3.9**	**1.5**	**1.9**	**1.8**

1. Productivity growth is labour productivity growth per head of employment (aged 15-64).
2. Demographic contribution is the rate of change in the ratio of the population of working age (15-64) to the total population.
3. The employment rate is employment divided by the population of working age (15-64).

Source: OECD Secretariat calculations.

© OECD 2004

productivity growth experienced since 2000. It is thus assumed that the contribution from ICT production has diminished. The employment rate projections are derived from recent OECD labour force participation projections described in Burniaux *et al.* (2003) and it is assumed that the structural rate of unemployment remains at around 8 per cent. An important feature of the labour force projections is that they do incorporate the effect of the forthcoming pension reform to be implemented from 2005, based on cross-country results regarding the effects of the financial incentives to continue working. The effects of the reform are relatively modest, only raising the aggregate labour force participation rate (of those aged 15 to 64) by about ½ a percentage point. There are two reasons why the effect of the pension reform may not be large: firstly, many aspects of the reform are only phased in gradually after 2005; but more importantly, as discussed further in Chapter 3, many pathways to early retirement remain open and this will blunt the improved financial incentives to work longer which result from the reform of the old-age pension system. On this basis, overall growth of GDP per capita is 1¼ per cent *per annum* in the second half of this decade, slowing to only 1 per cent *per annum* over the next decade. This would represent a very substantial deceleration, both compared to the experience of the last decade or over the last three decades when the growth rate of per capita GDP has average 3¼ and 2 per cent *per annum*, respectively. It would also almost certainly mean that the gap with those OECD countries which currently have higher levels of GDP per capita would widen rather than narrow.

Moreover, if the terms of trade continue to decline at the average rate of the last decade, then measures of command GDP would be reduced by a further ½ per cent *per annum*. On this measure, the standard of living would only increase by ¾ per cent *per annum* over the remainder of this decade and by a mere ½ per cent *per annum* over the next. An important question is whether the trend decline in the terms of trade, driven by developments in the electronics sector will indeed continue. It is possible that the take-up of innovative new products, for example the widespread adoption of third generation (3G) mobile phones, could boost both export prices and volumes. On the other hand, over and above the effect of technological advances, additional downward pressure on prices may also be a consequence of mobile phones becoming increasingly "commoditised", following earlier trends in personal computers, with increasing outsourcing to original design manufacturers which make phones that are sold under other companies' brand names.

An alternative, more optimistic, scenario has also been constructed. The most important difference with the central scenario is that it is assumed that the government objectives for the employment target will broadly be met, although not necessarily within the time horizon currently envisaged. Thus, the employment rate rises to 70 per cent by the end of this decade and over the following decade the long-term objective of a 75 per cent employment rate is both reached

© OECD 2004

and maintained. Discussion of the means by which this could be achieved is postponed to Chapter 3, but growth of GDP per capita is boosted by about one percentage point *per annum* over the remainder of this decade and up to ¾ of a percentage point *per annum* during the next decade. The improvement in GDP per capita might, however, be smaller if the productivity of the marginal workers was lower than the average level of productivity.

On the other hand, the implementation of further reforms in product and labour markets, which, for example promote adjustment towards sectors with higher growth potential and which can best exploit productivity gains from using ICT, might lead to higher productivity growth. If it also encourages the growth of new export sectors, so that there is less reliance on electronics, it might also eventually halt the decline in the terms of trade. On this basis – achieving the employment objective, maintaining productivity growth at its long-term trend rate and halting the trend decline in the terms of trade – growth in command GDP *per annum* is almost 2 per cent *per annum* over the remainder of this decade and 1¾ per cent *per annum* over the next decade.

The fiscal policy challenges would be much starker in the central scenario than in the optimistic scenario. In the former, absent further measures, the general government surplus is likely to remain at about 2 per cent of GDP from 2005 to the end of the decade. However, as argued above, this is inadequate to cope with the future consequences of ageing without either future increases in taxes, or another pension reform or a precipitous deterioration in the net asset position that will not be sustainable over a longer horizon. Conversely, in the more optimistic scenario fiscal pressures would ease and allow the possibility for a reduction, rather than an increase, in the tax burden. Achieving the employment objectives might lead to an *ex ante* improvement in the general government surplus of the order of 3½ per cent of GDP, which would go some way to offsetting the fiscal pressures from ageing-related expenditure on health and pensions and, given spending restraint elsewhere should provide room for cutting tax rates.[24] Indeed, the achievement of the optimistic scenario is likely to depend on a reduction in the tax burden, which as emphasised in Chapter 4, will almost certainly require reforms over the long term to constrain growth in government spending.

The remaining chapters of the S*urvey* set out the broad lines of a far-reaching policy agenda – for product market competition, the labour market and fiscal policy – which would make the achievement of the optimistic scenario more likely.

© OECD 2004

Notes

1. The recession of the early 1990s was caused by a banking crisis, the collapse of trade with the former Soviet Union and a sharp devaluation that triggered a wave of bankruptcies due to difficulties servicing foreign currency denominated debt, see Bordes *et al.* (1993).

2. An approximate measure of command GDP can be calculated as:

   Command GDPV = TDDV + XGSV * (PXGS/PMGS) – MGSV,

   where TDDV is real domestic demand, XGSV and MGSV are real export and import volumes and PXGS and PMGS are the export and import price deflators. See OECD (2004d) for further discussion.

3. Turkey and Sweden have a command GDP adjustment which is slightly smaller (0.6 per cent *per annum*) than Finland since 1995. In the case of Turkey this is explained by the massive depreciation of the exchange rate, but in the case of Sweden this is probably explained by its position as a major ICT exporter.

4. Allowing for the trend decline in relative export prices is also important in assessing aggregate export performance. The OECD's standard measure of export performance compares export volume growth with the growth in export markets (a weighted sum of the growth in import volumes in trading partner countries) whereas an alternative measure compares nominal export growth with nominal export market growth (in a common currency). On the volume-based measure Finland's export market share has *risen* by about 10 per cent since the mid-1990s, whereas on the value-based measure it has *fallen* by 15 per cent.

5. These productivity improvements most likely stem from the falling price of ICT products rather than any direct spilllover effects from ICT manufacturing, since as shown by Daveri and Silva (2004) the direct input-output links from the ICT manufacturing industry with most of the rest of the economy are thin.

6. Once allowance is made for the fall in the capital stock per worker, the contribution of the pick-up in total factor productivity of ICT-using services is slightly greater on a cross-country basis, although the number of countries for which a comparison is available is more limited (Pilat and Wölfl, 2004).

7. Finland has one of the highest levels of educational attainment across the OECD, particularly for younger cohorts and females (OECD, 2003). In common with Sweden and Denmark, it has one of the highest rates of worker participation in training in the OECD, partly due to co-financing schemes which increase incentives for both firms and employees to invest in training.

8. Market knowledge-intensive services comprise post and telecommunications, finance and insurance and business services (ISIC sectors 64, 65 to 67 and 71 to 74).

© OECD 2004

9. A Working Group headed by the Economic Policy Advisor to the Prime Minister has recently been set up to consider issues raised by globalisation and its impact on Finland. A report is due in autumn 2004.
10. Part of the additional income generated abroad is likely to flow back in the form of extra demand for goods and services or as repatriated earnings, and cost savings to domestic firms that are not passed onto consumers in the form of lower prices will be partly re-invested, creating new jobs. Olsen *et al.* (2004) look at the effects of offshoring on the Danish textile and clothing industry and find that even though employment in the industry fell by 80 per cent between 1975 and 2000, a large proportion of those laid off subsequently found jobs in other industries and only a small fraction becomes unemployed.
11. The electronics sector is here taken to be the manufacture of electrical and optical equipment.
12. The saving ratio may be biased downwards in international comparison because compulsory pension contributions are not included as part of savings (rather they are deducted from income before arriving at personal disposable income) which reduces the saving rate by about 1½ percentage points.
13. See Kurri (2004) for a discussion and reconciliation of alternative measures of unemployment for Finland.
14. Bunders (2003) provides an alternative measure of mismatch based on the time taken to fill each vacancy, but comes to a similar conclusion about an increase in the extent of mismatch over the 1990s. He also shows that mismatch is a bigger problem in Southern Finland.
15. Corporate tax revenues in Finland appear to be more sensitive to movements in asset prices than most other OECD countries (Eschenbach and Schuknecht, 2002).
16. When the previous government was elected in 1999 the initial fiscal objective was to maintain a central government structural surplus, although this was later re-specified as an actual surplus of 1½-2 per cent of GDP, together with a general government surplus of 4½ per cent of GDP.
17. The demographic and employment projections underlying these calculations are those used in the central scenario discussed at the end of this chapter.
18. These estimates are based on projections for ageing-related service spending included in the 2003 Stability Programme (Ministry of Finance, 2003e). The average annual public employment growth from 2000 to 2003 was 8 000 persons of which no more than a thousand can be attributed to service demand-induced by demographic changes. The scenario with continued growth therefore assumes that about 7 000 public employees are added each year in addition to the ageing-related increase.
19. This calculation is based on detailed information about the age structure of persons currently employed by the state, assuming that this is representative also for municipalities.
20. The climate change issue was discussed in greater depth in the previous S*urvey*.
21. Peat has only been taxed lightly so far, but almost all installations burning peat will be covered by the EU trading scheme.
22. The major external development since the projection discussed here was finalised, has been a substantial increase in the price of oil; since mid-August the oil price has averaged more than USD 40 per barrel, compared to a price of just over USD 30 per barrel underlying the projection detailed in Table 1.2. The impact of higher energy

© OECD 2004

prices on growth and inflation will depend on the extent to which the rise is permanent or temporary. However, even if energy prices remain high, the impact may be modest. The importance of oil for domestic production has dropped significantly in all OECD countries since the 1970s, and for Finland, the oil intensity of output is similar to the average of OECD Europe and about 20 per cent below the OECD average. In addition, the pass-through from oil price increases to core inflation has been relatively limited in recent years, consistent with stable inflation expectations and increased central bank credibility, and will be further dampened by the appreciation of the euro.

23. The demographic projections used are the same as those used by Burniaux *et al.* (2003) and correspond to the latest Eurostat projections. The latest national projections released by Statistics Finland imply a slightly smaller negative demographic contribution to GDP per capita growth of –0.15 per cent *per annum* over the second half of this decade and –0.8 per cent *per annum* over the next decade.

24. This calculation assumes that a permanent rise in the employment rate translates into a permanent rise in potential employment in the business sector and hence in business output. The latter is calculated using the production function underlying the OECD's calculation of potential output described in Giorno *et al.* (1995). The fiscal implications of higher potential output are then evaluated by assuming that tax revenues rise in line with GDP but that government spending remains unchanged.

© OECD 2004

Bibliography

Ali-Yrkkö, J. and R. Hermans (2004), "Nokia: a Giant in the Finnish Innovation System", Chapter 6 in G. Schienstock (ed.), *Embracing the Knowledge Economy*, Edward Elgar, Cheltenham.

Bayoumi, T. and M. Haacker (2002), "Its not what you Make its how you Use it; Measuring the Welfare Benefits of the IT Revolution across Countries", CEPR *Discussion Papers*, No. 3555, Centre for Economic Policy Research, London, *http://ideas.repec.org/p/cep/cepdps/0548.html*.

Blanchard, O. *et al.* (1990), "The Sustainability of Fiscal Policy: New Answers to an Old Question", OECD *Economic Studies*, No. 15, OECD, Paris.

Blanchard, O. and J. Wolfers (2000), "The Role of Shocks and Institutions in the Risk of European Unemployment: the Aggregate Evidence", *Economic Journal*, No. 110.

Bordes, C., D. Currie and H. Söderström (1993), *Three Assessments of Finland's Economic Crisis and Economic Policy*, Bank of Finland, Helsinki.

Bunders, M. (2003), "The Matching Function in the Finnish Labour Market 1988-2002: Regional and Occupational Differences in the Efficiency of the Matching Process", *Bank of Finland Discussion Paper*, 32/2003, *www.bof.fi/eng/6_julkaisut*.

Burniaux J., R. Duval and F. Jaumotte (2003), "Coping with Ageing: a Dynamic Approach to Quantify the Impact of Alternative Policy Options on Future Labour Supply in OECD Countries", OECD *Economics Department Working Papers*, No. 371, *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Capros, P. and L. Mantzos (2000), "The Economic Effects of EU-Wide Industry-Level Emission Trading to Reduce Greenhouse Gases", *http://europa.eu.int/comm/environment/docum/0087_en.htm*.

Dang, T.T., P. Antolín and H. Oxley (2001), "Fiscal Implications of Ageing: Projections of Age-Related Spending", OECD *Economics Department Working Papers*, No. 305. *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Daveri, F. and O. Silva (2004), "Not Only Nokia: What Finland Tells Us about New Economy Growth", *Economic Policy*, Vol. 19, No. 38.

Eschenbach, F. and L. Schuknecht (2002), "Asset Prices and Fiscal Balances", *European Central Bank Working Paper Series*, No. 141, Frankfurt, May, *www.ecb.int/pub/wp/ecbwp*141.*pdf*.

Financial Times (2004), "Nokia Begins to Get the Message", May 6.

Giorno, C., P. Richardson, D. Roseveare and P. van den Noord (1995), "Estimating Potential Output, Output Gaps and Structural Budget Balances", OECD *Economics Department Working Papers*, No. 152, *www.oecd.org/dataoecd*/32/52/1863308.*pdf*.

Gordon, R. (1997), "The Time-Varying NAIRU and its Implications for Economic Policy", *Journal of Economic Perspectives*, 11(1), Winter.

Jalava, J. and M. Pohjola (2001), "Economic Growth in the New Economy", UNU/WIDER *Discussion Paper*, No. 2001/5, *www.wider.unu.edu*.

© OECD 2004

Kinnunen, H. (2002), "Weakening Employment – A Threat to Public Finances", *Bank of Finland Bulletin*, Vol. 76, No. 3, Helsinki.

Koskela, E. and R. Uusitalo (2003), "The Unintended Convergence: How Finnish Unemployment Reached the European Level", *Labour Institute for Employment Research Discussion Paper*, No. 188, *www.bof.fi/eng/6_julkaisut*.

Kurri, S. (2004), "How Many People in Finland are Unemployed", *Euro and Talous*, 4/2003.

Malirinta, M. (2004), "Creative Destruction in Finnish Manufacturing", *The Finnish Economy and Society*, The Research Institute of the Finnish Economy, No. 1.

Messina, J. (2004), "Institutions and Service Employment", *European Central Bank Working Paper Series*, No. 320, Frankfurt, *www.ecb.int/pub/scientific/wps/date/html/index.en.html*.

Ministry of Finance (2003a), *Decision on Central Government Spending Limits in* 2004-2007, submitted to Parliament 22 May.

Ministry of Finance (2003b), *The Budget for the Year* 2003, *www.vm.fi/tiedostot/pdf/en/*30747.*pdf*.

Ministry of Finance (2003c), *Government Proposes a Stimulatory Supplementary Budget*, Press Release, 21 May.

Ministry of Finance (2003d), *Statement by the Government of Finland: Reform of Company and Capital Income Taxation*, 13 November, *www.vm.fi/vm/liston/page.lsp?r*=44956&*l*=*en*&*menu*=2636.

Ministry of Finance (2003e), *Stability Programme for Finland, November* 2003 *Update*, *www.vm.fi/tiedostot/pdf/en/*44686.*pdf*.

Ministry of Finance (2004a), *Decision on Central Government Spending Limits in* 2005-2008, submitted to Parliament 10 March.

Ministry of Finance (2004b), *Central Government Budget* 2004, *www.vm.fi/tiedostot/pdf/en/*42260.*pdf*.

Ministry of Finance (2004c), *Budget Proposal Supports Economic Growth and Employment*, Press release August 18, *www.vm.fi/vm/liston/page.lsp?r*=88037&*l*=*en*&*menu*=2635.

Nykänen, P. (2004), "Valuuttamuutokset lisäävät houkutusta tuotannon siirtoon" (Currency Changes Add to the Temptation to Transfer Production), Kauppalehti, *www.kauppalehti.fi*, accessed 28 March 2004.

OECD (2003), OECD *Economic Surveys: Finland*, OECD, Paris.

OECD (2004a), *Developing Highly Skilled Workers: Review of Finland*, mimeo, OECD, Paris.

OECD (2004b), OECD *Economic Outlook*, No. 75, OECD, Paris.

OECD (2004c), OECD *Economic Surveys: Euro Area*, OECD, Paris.

OECD (2004d), OECD *Economic Surveys: Switzerland*, OECD, Paris.

Olsen, K., R. Ibsen and N. Westergaard-Nilesen (2004), "The Decline of the Danish Textile and Clothing Industry", *Aarhus School of Business, Department of Economics Working Paper*, No. 04-5, *www.hha.dk/nat/wper/*04-5_*kbrinwn.pdf*.

Pilat, D. and A. Devlin (2004), "The Diffusion of ICT in OECD Economies", in *The Economic Impact of* ICT: *Measurement, Evidence and Implications*, OECD, Paris.

Pilat, D. and A. Wölfl (2004), "ICT Production and ICT Use: What Role in Aggregate Productivity Growth", in *The Economic Impact of* ICT: *Measurement, Evidence and Implications*, OECD, Paris.

Prime Minister's Office (2003), *The Government Programme of Prime Minister Matti Vanhanen's Government on* 24 *June* 2003, *www.valtioneuvosto.fi/vn/liston/base.lsp?r*=696&*k*=*en*.

Richardson, P. *et al.* (2000), "The Concept, Policy Use and Measurement of Structural Unemployment: Estimating a Time-Varying NAIRU across 21 OECD Countries", OECD *Economics Department Working Papers*, No. 250, *www.oecd.org/dataoecd/*49/29/20686301.HTM.

© OECD 2004

Annex 1.A1

The OECD estimate of structural unemployment

This annex reports recent estimates of the rate of structural unemployment, hereafter NAIRU, using a Kalman filter and reduced form price Phillips curve, following the OECD approach described in Richardson *et al.* (2000).

The NAIRU estimates are produced using a reduced form Phillips curve in which a measure of core consumer (HICP) price inflation is related to past inflation, demand pressures as reflected in the gap between the unemployment rate and the NAIRU, measures of real import prices and the deviation of productivity from trend. The latter two variables are used to control for supply shocks. This approach is related to the so-called "triangle" model put forward in Gordon (1997). Lagged levels of inflation are included to capture adjustment lags in prices and wages as well as factors that might affect inflation expectations (which are otherwise not modelled). The Phillips curve equations are estimated with constraints imposed to ensure that there is no long run trade-off between inflation and real activity, implying that a temporary reduction in the unemployment gap will result in a permanent increase in inflation.

Various import price measures are tested in estimation – the rate of change of the nominal rate of price inflation for imports of goods and services (weighted by the degree of openness in the economy), real oil price inflation (weighted by oil intensity in production) and import price inflation deflated by a moving average of the rate of change of manufacturing unit labour costs. However, in the case of Finland only the latter is found to be significant and retained in the final preferred Phillips curve equation.

Allowance is also made for potential effects from labour productivity by including a term in the deviation of productivity from trend. Such a term will be present in a reduced form Phillips curve if there are differences between the way in which trend and actual productivity enter the underlying structural wage and price relationships, although the coefficient on this term is relatively small and insignificant for Finland.

An important difference between the Phillips curve for Finland and that adopted for most other OECD countries is that inflation is found to be better explained by the gap between the logarithm of the unemployment rate and the NAIRU, rather than the absolute gap. This helps to explain why the massive increase in unemployment relative to the NAIRU in the early 1990s did not have a greater deflationary effect. The sacrifice ratio, the percentage point years of unemployment required to reduce the annualised rate of change of inflation by 1 percentage point, is 1.7 according to the estimated equation.

The NAIRU is treated as an unobserved stochastic variable, with estimates obtained using a Kalman filter under the assumption that the NAIRU is a random walk. The signal-to-noise ratio is chosen so that the resulting Phillips curves have good statistical properties and the degree of variation in the NAIRU is less than the observed unemployment rate.

© OECD 2004

The Phillips curve equation is estimated on quarterly data over the period 1970 Q1 to 2003 Q2 and takes the form:

$$\Delta\pi_\tau = \underset{(-7.8)}{-0.615}\,\Delta\pi_{\tau-1} - \underset{(-5.7)}{0.469}\,\Delta\pi_{\tau-2} - \underset{(-2.3)}{0.181}\,\Delta\pi_{\tau-3} - \underset{(-3.8)}{0.446}\ln(U_\tau/U^*_\tau)$$
$$+ \underset{(1.7)}{0.144}\,(\pi^m_{\tau-4} - \pi^{ulc}_{\tau-4}) + \underset{(1.3)}{0.039}\,(\rho_\tau - \rho_\tau^*)$$

where Δ denotes the first difference operator, t-ratios are reported in brackets and
π = Core rate of HICP price inflation
U_τ = Unemployment rate
U^* = NAIRU
π^m = Import price inflation
π^{ulc} = Unit labour cost inflation (4-quarter moving average)
ρ = Labour productivity growth rate
ρ^* = Trend labour productivity growth rate
Standard error of equation = 0.515, R^2 adjusted = 0.413.

The estimated NAIRU is shown in Figure 1.14 in the main text and rises from about 5 per cent in the late 1980s to a peak of about 10 per cent in the mid 1990s, before gradually falling to 8½ per cent in the first half of 2003, implying a relatively small gap relative to the actual unemployment rate of 9 per cent.

© OECD 2004

Annex 1.A2

What fiscal surplus is appropriate?

Given the high level of unemployment, the argument is sometimes made that Finland should cut taxes or raise public spending to stimulate the economy rather than continue with fiscal surpluses. Proponents of this view often point to the fact that the current surplus on general government net lending of 2 per cent of GDP is higher than in any other European Union (EU) country, among which the larger ones have deficits of 3-4 per cent of GDP. Also, the general government has net assets whereas all other EU countries have net debt is taken to imply that Finland could better afford fiscal deficits than other countries. This annex demonstrates why these arguments are misleading and why Finland needs to have larger surpluses now than other countries. Firstly, ageing sets in particularly early in Finland and is also stronger than in many other countries. Secondly, starting with assets implies that a higher level of spending or lower level of taxes and a lower primary fiscal balance can be sustained over the coming decades, but general government net lending – which is typically the focus of fiscal policy analysis – needs to be higher than if Finland had started off with debt. Reducing high labour taxes is important, but room for this should be created via labour market reforms and spending restraint, not via a deterioration of the fiscal balance.

As discussed in Chapter 4, the general government surplus is generated by the occupational pension funds, whereas central and local government are moving into deficit. The calculations made below are based on the official projections of how the future demographic changes will affect public spending on pensions, health care and long-term care for older persons reported in the November 2003 update of Finland's Stability Programme (Table 1.A2.1). This incorporates the effects of the recent pension reform.[1] To quantify the need for fiscal consolidation, the following calculations consider what permanent shift in the tax-to-GDP ratio or the spending-to-GDP ratio would be required to avoid an unsustainable

Table 1.A2.1. **Key assumptions of Finland's stability programme**

	2000	2010	2020	2030	2040	2050
Ageing-related public expenditure, per cent of GDP						
Pensions	10.7	11.8	13.3	14.7	14.6	14.5
Acute health care	4.6	4.9	5.2	5.6	5.7	5.8
Long-term care	1.6	1.9	2.2	2.7	3.3	3.3
Employment rate, per cent	66.9	68.7	71.2	72.5	72.8	73.2

Source: Ministry of Finance (2003), *Stability Programme for Finland, November* 2003 *Update*.

© OECD 2004

rise in the debt-to-GDP ratio, while assuming that the tax-to-GDP ratio should remain constant thereafter.[2] The methodology draws on earlier OECD work (Blanchard *et al.*, 1990) that outlined a summary "index of sustainability", also known as the "tax gap", and its recent application to the euro area (OECD, 2004c). As in the "target scenario" of the Stability Programme, general government net assets are required to reach 20 per cent of GDP at the end of the calculation horizon in 2050. Aiming for a positive net asset position in 2050 avoids a situation whereby the fiscal balance will need a large correction from a deficit at the end of the calculation horizon, although this *ad hoc* method does not fully mirror an infinite horizon sustainability requirement.

With these standard assumptions, an upwards adjustment of the fiscal balance of about 1 per cent of GDP would be needed to ensure fiscal sustainability. This illustrates that the current fiscal policy is not sustainable in the sense the current pension benefits and standards in services like health care cannot be maintained without raising taxes in the future, thereby leaving a fiscal burden for future generations.

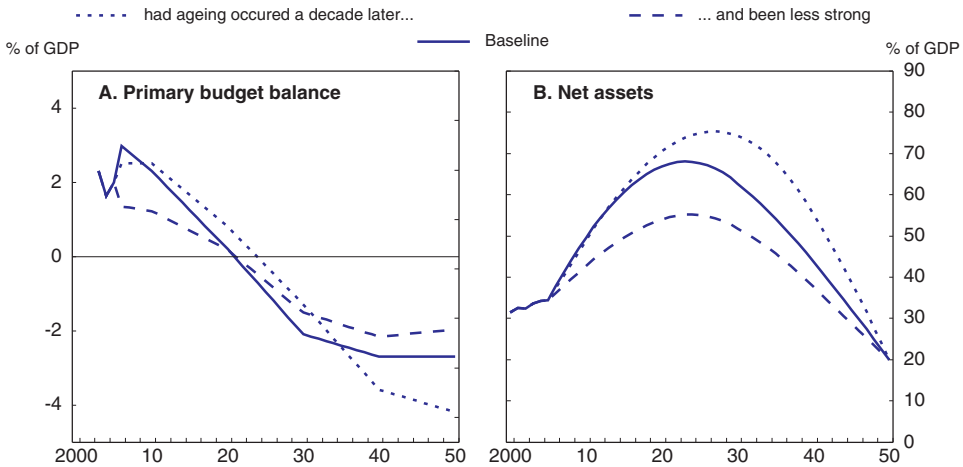
The magnitude of demographically-induced-spending increases differ across countries reflecting both differences in when and how strongly demographic changes set in and differences in institutions, including to what extent pensions and long-term care provision are publicly funded and how far countries have progressed with reforms to motivate later retirement. In Austria, for example, ageing is not projected to raise public spending as a share of GDP because the growing spending on health and long-term care is mirrored by declining public pension spending as private pensions increase their share. Compared with these other countries, ageing sets in earlier and more forcefully in Finland (see Figure 1.24 in Chapter 1).

The need for fiscal consolidation in Finland can be compared with what it would have been if ageing had *not* set in earlier and *not* been stronger than elsewhere by running variant simulations. Had ageing not occurred so early in Finland, but rather *a decade later*, then fiscal sustainability would have been attained by a slightly smaller adjustment of the primary budget balance. With more time to accumulate assets a larger deficit can be afforded when the ageing-related costs peak (Figure 1.A2.1). A larger difference can be observed relative to the situation, *had ageing occurred not just a decade later in* Finland, *but also been less costly*. If the change in ageing-related spending in percentage points of GDP had been similar to that of the weighted average of the other five countries shown in Figure 1.24 in Chapter 1, then the primary budget balance could have even been loosened, as fewer assets would need to be accumulated to reach fiscal sustainability (Figure 1.A2.1). But Finland is *not* in this position, and therefore should consolidate now.

The pre-funding of pension liabilities allows Finland to maintain much of its extensive welfare provision because there is no burden of interest payments on public spending. Having net assets equal to one-third of GDP makes the sustainable expenditure level almost 2 per cent of GDP higher than if general government had net debt equal to half of GDP as a number of European countries do. But starting with net assets rather than net debt does *not* imply that Finland can run smaller surpluses than other countries for the rest of this decade. Having such assets does allow Finland to run small deficits on *average* over the future, whereas indebted countries have to run surpluses on average over the future. Countries starting with net debt need to run large *primary* balances now which can be run down as ageing-related spending rises, but looking at *net lending* this is disguised by the profile of interest payments being large now but small later as debt is repaid. For countries that start with net assets, the profile of interest payments/receipts will be different, meaning that the run-down of the *primary balance* as ageing-related spending rises will have to be reflected in the total budget balance showing high surpluses now and deficits later. Consequently, having

© OECD 2004

Figure 1.A2.1. **Effect of early and strong ageing on fiscal sustainability requirements**
General government



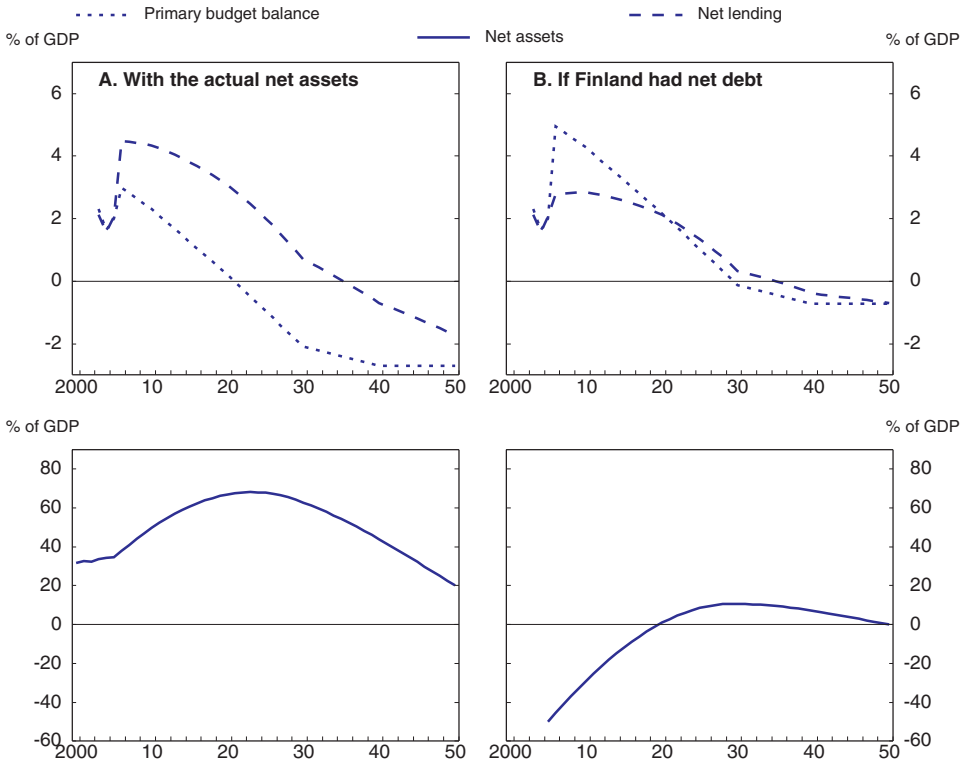
net assets equal to one-third of GDP allows Finland to have a primary budget balance more than 2 per cent of GDP lower than if general government had net debt equal to half of GDP but gives no "discount" on the requirement for the total balance of net lending (Figure 1.A2.2). To avoid tax hikes when ageing-related spending pressures set in, the assets cannot be spent before then.

Notes

1. Additional assumptions made here are that other elements of current spending will remain a constant share of GDP, and that public net investment will have to be raised from its current level of ½ per cent of GDP to 1¼ per cent of GDP. Moreover, a constant differential between the real interest rate and the GDP growth rate of 1 per cent is assumed.
2. Notice that as the contribution rates for the pension funds are expected to rise in the future, the assumption of a constant tax-to-GDP ratio implies that other tax rates are lowered when the pension contribution rates are raised.

© OECD 2004

Figure 1.A2.2. **Effect of net assets on fiscal sustainability requirements**
General government



© OECD 2004

2. Product market competition and economic performance

Introduction

Since the deep recession of the early 1990s growth has been strong and productivity gains were among the highest in the OECD. However, the scope for economic catch-up remains considerable. A substantial productivity gap *vis-à-vis* the best performing OECD countries persists and unemployment remains uncomfortably high and most of it is structural. Lowering it calls for labour market reforms (Chapter 3), but more intense product market competition should also have a positive impact (Alho, 2002; Nicoletti and Scarpetta, 2003). The OECD Growth Study and other empirical work have shown that competition plays a key role in raising economic growth. In Finland, the promotion of competition through broad-based regulatory reforms started in earnest in 1988, and accelerated after the economic crisis of the early 1990s and prior to European Union (EU) membership. They boosted growth and were in a number of cases ahead of the European liberalisation process. Nevertheless, some features of the economy, such as the prevalence of local monopolies and public ownership in many network industries give rise to competition issues. Moreover, greater vigilance to sustain and promote competition is required as the potential for competition is reduced by Finland being sparsely populated and relatively isolated from large markets. The difference between the outstanding productivity performance of Finnish world market leaders, such as Nokia, and the development in protected domestic sectors also points to a lack of competition. The policy challenge now is to raise the performance of the latter sectors.

The chapter first reviews Finland's growth performance over the past decade, before analysing product market competition indicators to gauge the strength of competitive pressures and the implications of barriers to trade and foreign direct investment. This is followed by an assessment of the general competition policy framework and its role in promoting competition. Subsequently, the competition issues associated with widespread public ownership are discussed. Next, the chapter examines a number of sectors where better regulation can be expected to have particularly large impacts, including a number

© OECD 2004

of network industries, and highlights the role of public procurement. The chapter concludes with estimates of the possible macroeconomic effects of regulatory reforms and a set of policy recommendations.

Macroeconomic performance and indicators of competition

Over the past decade, growth performance was better than in most other OECD countries, reflecting both the recovery from the economic crisis at the beginning of the 1990s and the strength of the information and communication technology (ICT) sector, which is dominated by the telecommunication equipment producer Nokia. Productivity gains were rapid after the recession but have been much slower more recently. As a counterpart, employment growth was subdued for several years after the recession, but was considerably stronger over the second half of the 1990s. The global downturn in the ICT sector is a reason why growth decelerated more sharply in 2000 than in most other European countries, and also highlights the potential vulnerability of the economy to the performance of a single company. Labour shedding during the recent slowdown was limited, but employment has not recovered to the pre-recession peak of the late 1980s, leaving unemployment still uncomfortably high (Table 2.1). Moreover, Finland has a relatively low level of average hourly productivity. While it is high in manufacturing, there is still considerable scope for catch-up in the sheltered and public service sectors, despite the good performance in the 1990s. This points to the need for reforms to foster the catch-up process.

Productivity growth has been broadly based across sectors, but over recent years, it has proved difficult to sustain a rapid pace. In manufacturing, productivity growth slowed, although the pace remains strong in international comparison. This can largely be ascribed to continued high productivity growth in the communication equipment sector, the so-called "Nokia effect".[1] On the other hand, the service sector has seen productivity growth falling back to levels experienced in some of the slower growing OECD economies with a consequent stagnation in the catch-up process.

The strong productivity increases in the aftermath of the economic crisis in the early 1990s reflected partly a substantial labour shake-out and partly regulatory reforms that were implemented – often ahead of reforms in other EU countries – in the wake of the economic crisis and in preparation of EU membership in 1995. These factors led to an initial boost to productivity growth in the agriculture and food processing sectors, but the process has slowed, reflecting lack of competition and state aid in agriculture, that is sizeable even by EU standards (OECD, 2003a). In a number of service sectors, such as distribution, construction, and financial and business services, productivity growth has slowed to rates which are well below the best performers, prolonging the catch-up process. On the other hand, the liberalisation of the telecommunication and

© OECD 2004

Table 2.1. **Output, employment and productivity**

	Finland		Norway mainland	Sweden	France	Germany	Italy	United Kingdom	United States
	1992-2002	1997-2002							
A. Growth decomposition, 1992-2002									
Average GDP growth	3.3	3.4	3.2	2.5	2.0	1.3	1.6	2.9	3.2
of which:									
Productivity	2.5	1.5	1.9	2.5	1.1	1.1	1.3	2.0	1.8
Employment	0.7	1.8	1.3	0.1	0.9	0.2	0.3	0.9	1.4
of which:									
Unemployment[1]	0.3	0.8	0.2	0.1	0.1	–0.2	–0.0	0.6	0.2
Labour force	0.4	1.0	1.1	–0.1	0.8	0.4	0.3	0.3	1.2
B. Labour productivity growth, 1992-2002[2]									
Agriculture[3]	6.5	4.4	4.3	3.5	3.0	4.8	4.0	1.7	1.5
Total manufacturing	5.4	4.2	0.8	7.0	3.6	2.1	1.6	2.6	3.9
Food products, beverages[4, 5]	3.9	2.6	1.8	2.6	–0.9	1.3	0.8	0.9	–1.7
Printing and publishing[5]	3.8	0.8	–1.1	3.3	1.1	1.4	0.4		–1.8
Machinery and equipment[5]	9.7	10.3	1.4	13.2	7.3	2.1	1.7	4.4	11.2
Electricity, gas and water	6.4	4.8	4.1	1.8	2.1	5.4	5.5	7.6	1.2
Construction	–0.1	–1.5	–0.6	0.6	–1.1	–0.2	–0.1	1.9	–0.2
Total services	1.7	0.9	2.0	1.7	0.2	1.0	0.9	2.1	1.6
Wholesale and retail trade[5]	2.6	2.1	5.2	3.4	0.6	–0.8	0.9	2.5	3.8
Communication[5]	4.8	4.5	4.3	3.9	2.7	7.6	3.4	5.1	2.3
Financial services[6]	7.0	1.2	4.2	4.9	–1.0	3.3	2.8	1.3	4.1
Other services	0.5	–0.1	0.3	–2.4	–0.2	0.2	0.2		0.0
Memorandum items:									
GDP per capita[7]	75.0		79.4	78.3	76.7	71.9	72.9	75.3	100.0
GDP per hour worked[7]	77.0		94.9	82.8	107.0	91.7	96.6	74.6	100.0
VA per hour in manufacturing[7]	96.2		91.1	88.9	105.4				100.0

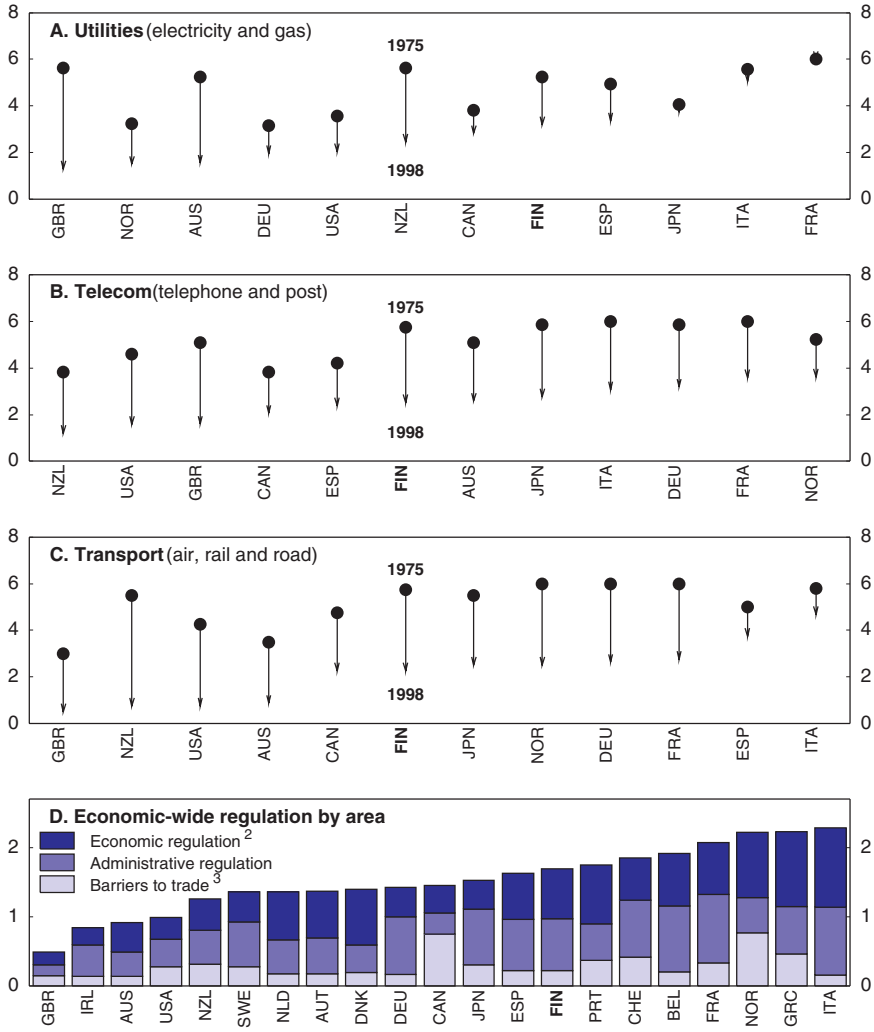
1. A positive sign indicates that unemployment has declined and contributed to boost output growth.
2. Or latest available year.
3. Including hunting and fishing.
4. Including tobacco.
5. 1993-2002 for Sweden.
6. Including non-financial services for the United Kingdom.
7. 2002 levels, with 2000 PPPs. United States = 100.

Source: OECD, STAN database.

electricity sectors boosted productivity performance. Nevertheless, there is still scope for further regulatory reforms, even in the better-performing service sectors, as the stringency of regulations is about average in the OECD (Figure 2.1). A main

© OECD 2004

Figure 2.1. **Indicators of product market regulation**[1]



1. The regulatory stance is measured by a synthetic indicator ranging between 0 (least restrictive) and 6 (most restrictive) for each year and sector. It covers public ownership, barriers to entry, market structure, vertical integration and price controls. See Nicoletti and Scarpetta (2003) for details.
2. Includes barriers to competition and state control.
3. Includes trade and FDI restrictions.

Source: Nicoletti G. and S. Scarpetta (2003), "Regulation, Productivity and Growth: OECD Evidence", *Economic Policy*, April; OECD Regulatory database.

© OECD 2004

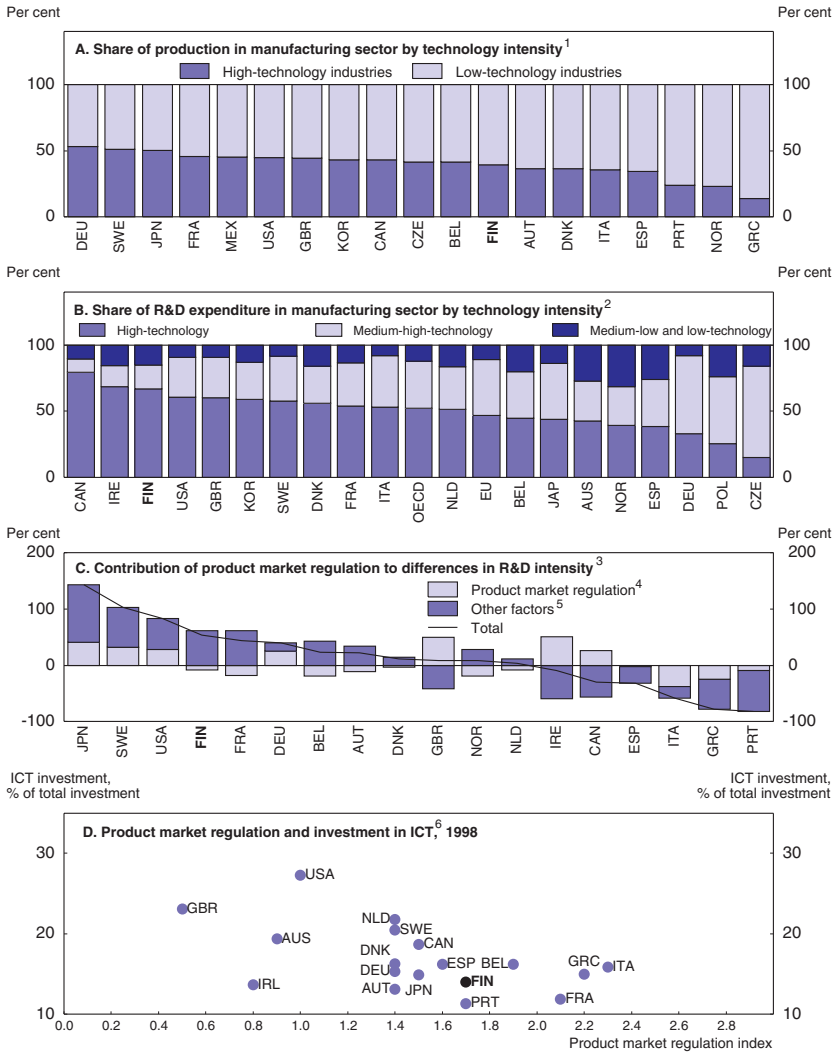
element pushing up the ranking in the OECD's indicator on the stringency of business regulations is the widespread public ownership in the service sectors, such as telecommunications, postal service and the railways, as well as in a number of manufacturing industries. Administrative barriers, impeding entrepreneurship and small and medium-sized enterprise (SME) formation, have been reduced with the introduction of one-stop shops and simplified procedural matters for issuing licenses and permits. Nevertheless, overall administrative barriers are at the same level as the OECD average.

The strong productivity performance is related to high spending on research and development (R&D) which, at nearly 3½ per cent of GDP, is among the highest in the OECD. R&D and competition are often reinforcing each other as the latter forces companies to search for new products and processes to maintain or expand markets – in the process moving production up the value added chain. The Finnish manufacturing sector is characterised by a relatively high technology intensity and accounts for the bulk of overall R&D spending. However, nearly two-third of R&D spending by the manufacturing sector takes place in the export-oriented (and Nokia dominated) communication equipment segment (Figure 2.2, Panels A and B). OECD research indicates that, in general across all OECD countries, domestic product market regulation has a negative effect on R&D spending (Panel C) as well as on the diffusion of information technologies through ICT investments (Panel D). For the latter, there is relatively large scope for catch-up in the case of Finland (Daveri and Silva, 2004). An additional issue is that public programmes providing business services support to innovative SMEs are possibly crowding out otherwise profitable private business (Väänänen, 2003).[2] Thus, R&D spending can be maintained at high levels by relying less on public support programmes and more on intense rivalry in domestic markets, which would also increase information technology diffusion.

Concentration tends to be high in most industries, also when compared with other smaller economies, and is pronounced in segmented industries (Figure 2.3). In itself, high concentration within the national boundary is not necessarily a sign of market power if the highly concentrated sectors are exposed to foreign competition, but the Finnish economy has a surprisingly low import penetration. Moreover, even when firms are in fierce international competition, such as in the wood product industry, the lack of domestic competition may reduce consumer welfare if such firms are able to pursue a pricing-to-market strategy at home. The prevalence of co-operatives in the primary production of food results in high concentration in this sector. The distribution sector is dominated by an unusually small number of vertically-integrated chains, linked through co-operatives and franchising. Such integration may lead to efficiency gains, but this will only benefit consumers if competition is sufficiently intense. In the transport sector, the government-owned incumbents' near monopoly status dominate both in the railway and air transport segments. The combination of high concentration and

© OECD 2004

Figure 2.2. **R&D spending and industry structure**

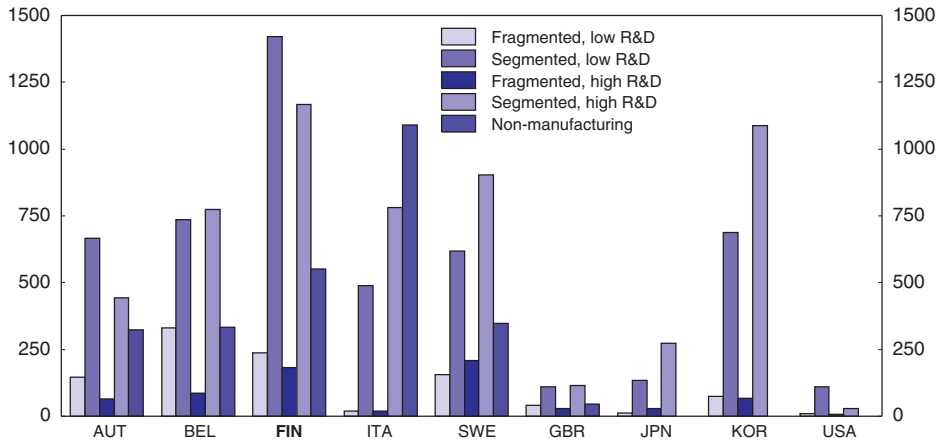


1. Latest available year: 2001 for Denmark and United States; 2000 for Belgium, Czech Republic, France, Mexico and United Kingdom; 1999 for Canada, Finland, Germany, Greece, Italy, Norway, Portugal, Spain and Sweden; 1998 for Japan and Korea.
2. 1998 for Norway and the OECD; 1999 for Denmark, France, Ireland, Netherlands, Sweden and the European Union; 2000 for all other countries.
3. Percentage deviation from OECD average, adjusted for industry composition.
4. Includes administrative and economic regulations.
5. Includes employment protection legislation, other controls, country-specific effects.
6. ICT: Information and communication technology.

Source: OECD, STAN and ANBERD database.

© OECD 2004

Figure 2.3. **Hirschmann-Herfindahl indices of industry concentration**[1]



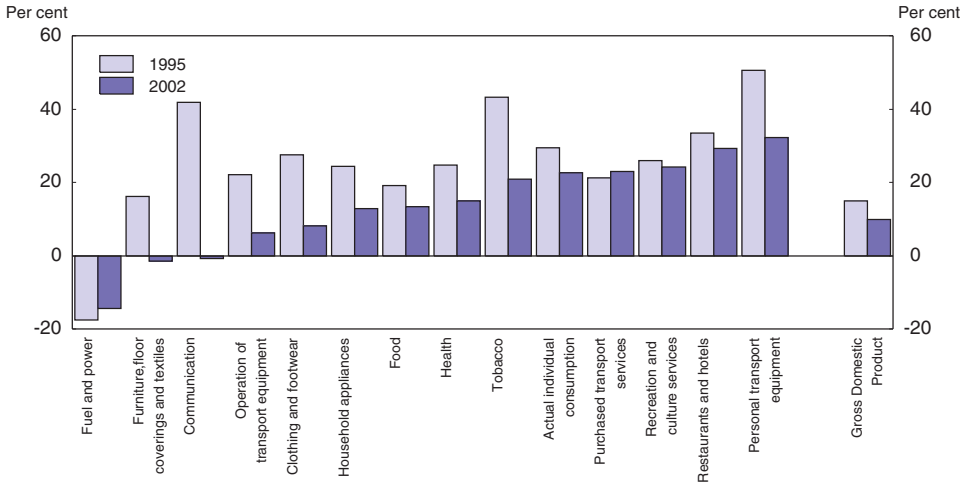
1. Based on establishment data for Japan, Korea and the United States and on enterprises data for the others.
Source: OECD, Statistics on enterprises by size class (SEC database).

government ownership is also found in alcohol retailing, the communication sector and in the utilities. On the other hand, mark-ups are more or less in line with international levels with the exception of an internationally high mark-up in the Nokia dominated communication equipment sector, which probably reflects innovation rents and continuous efficiency improvements in the context of a highly competitive international market.

Prices tend to be higher than in most other EU countries, although EU membership has led to a narrowing of the price differentials (Figure 2.4). Nevertheless, in areas where rapid price convergence could have been expected, such as for food, price differentials remain considerable. This may point to competition problems in the highly concentrated and vertically integrated food producing and retailing sectors. For example, some meat prices are still considerably above the EU average (Box 2.1). A closer inspection of the products where high taxes push up prices shows that also pre-tax prices are higher than in other countries. For example, Finnish pre-tax prices for tobacco and alcohol are about 20 per cent and 80 per cent higher than in Germany and France, respectively. By contrast, liberalisation efforts in the electricity and telecommunications sectors have resulted in electricity prices below the EU average and communication prices that are in line with the EU average.

© OECD 2004

Figure 2.4. **Price difference between Finland and the European Union**[1]



1. Percentage difference between the price levels in Finland and the average price levels of EU15 countries.
Source: Eurostat.

Foreign competition is limited

Foreign competition is important, particularly for smaller countries, to increase competitive pressures on domestic markets. However, the Finnish economy shows surprisingly low import penetration, even when controlling for transportation costs and per capita income (Figure 2.5).[3] Moreover, following EU accession, imports rose less rapidly than in the other accession countries. Both the import penetration for agriculture and manufacturing industry is well below that of other smaller (northern) European countries, where the former may be explained by continued high subsidies (see below). A further breakdown by industry type reveals a similar picture across all industries (Figure 2.6). In particular, import penetration in low R&D spending industries is low, irrespective of whether the industry is segmented, such as food manufacturing, or fragmented, such as printing and publishing. Even in segmented industries with high R&D, such as communication equipment, import penetration is low, even though these are normally associated with a high degree of international rivalry. Trade policies are an EU competency (Figure 2.7). However, a number of EU agreements are still in place, such as in agriculture, and specific national standards, especially in

© OECD 2004

Box 2.1. Meat prices in Europe

European meat prices were strongly affected by the bovine spongiform encephalopathy (BSE) and foot-and-mouth scares in 2001. Such price developments can be used to trace differences in market power across countries. Across Europe, the diseases lowered prices for beef and increased prices for pork and chicken, before reverting the following year towards their initial level. In Finland, price trends diverged from the European pattern, possibly indicating the presence of market power.

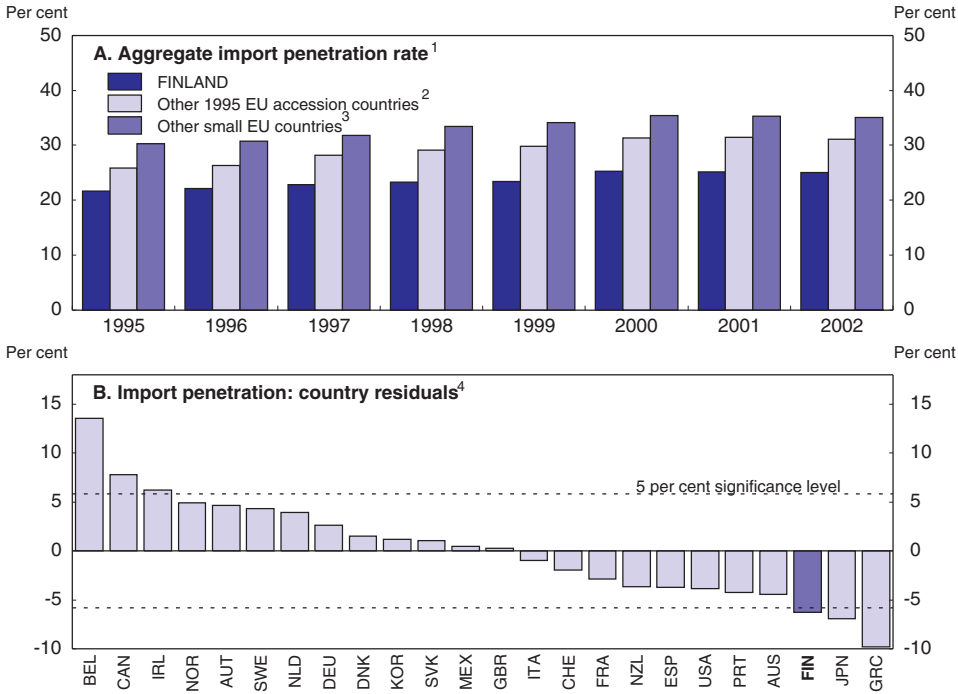
In 2001, European producer prices for beef (across all types of animals) fell by nearly 20 per cent before rebounding strongly the following year. The Finnish producer prices increased initially for bulls and heifers and declined moderately for cows. The following year prices came down, but that still left Finnish prices for bulls and heifers close to their 2000 level and nearly 20 per cent above the average price in the north of Europe, although the decline in prices for cows was stronger and left prices below the average price in the north of Europe. The 2001 producer price increase for pork was similar in Finland and Europe, but the Finnish decline the following year was less pronounced, leaving Finnish pork prices about 10 per cent above the average level in the north of Europe. Somewhat surprisingly, Finnish chicken prices are about one-third higher than in the north of Europe and follow a time path that appears unrelated to developments there. These price developments indicate that Finnish meat producers may have relatively more market power than in other countries, at least temporarily.

The pass-through to consumer prices tends to be relatively slow with the fluctuations in consumer prices for meat being of a smaller magnitude than for wholesale prices. However, considered over the period 2001-02, Finnish consumer prices for beef increased faster than producer prices and to a larger extent than in other European countries. For pork, a greater share of the initial increase in producer prices was passed on to consumer prices in Finland than in other countries. Moreover, the following year when producer prices for pork fell, it was only in Finland that consumer prices continued to increase. These price trends might point to less competition in the retail sector for these goods than in other countries.

construction and building materials sectors, continue to be an issue (the Finnish Standards Association applies more than 15 000 national standards), as they can be a hindrance to trade (OECD, 2003a). In addition, the Finnish recycling system for beverage containers raises barriers for foreign entry for natural mineral water, as EU regulations require that such products to be bottled at source, thus increasing transportation costs associated with the recycling system.[4]

© OECD 2004

Figure 2.5. **Import penetration**

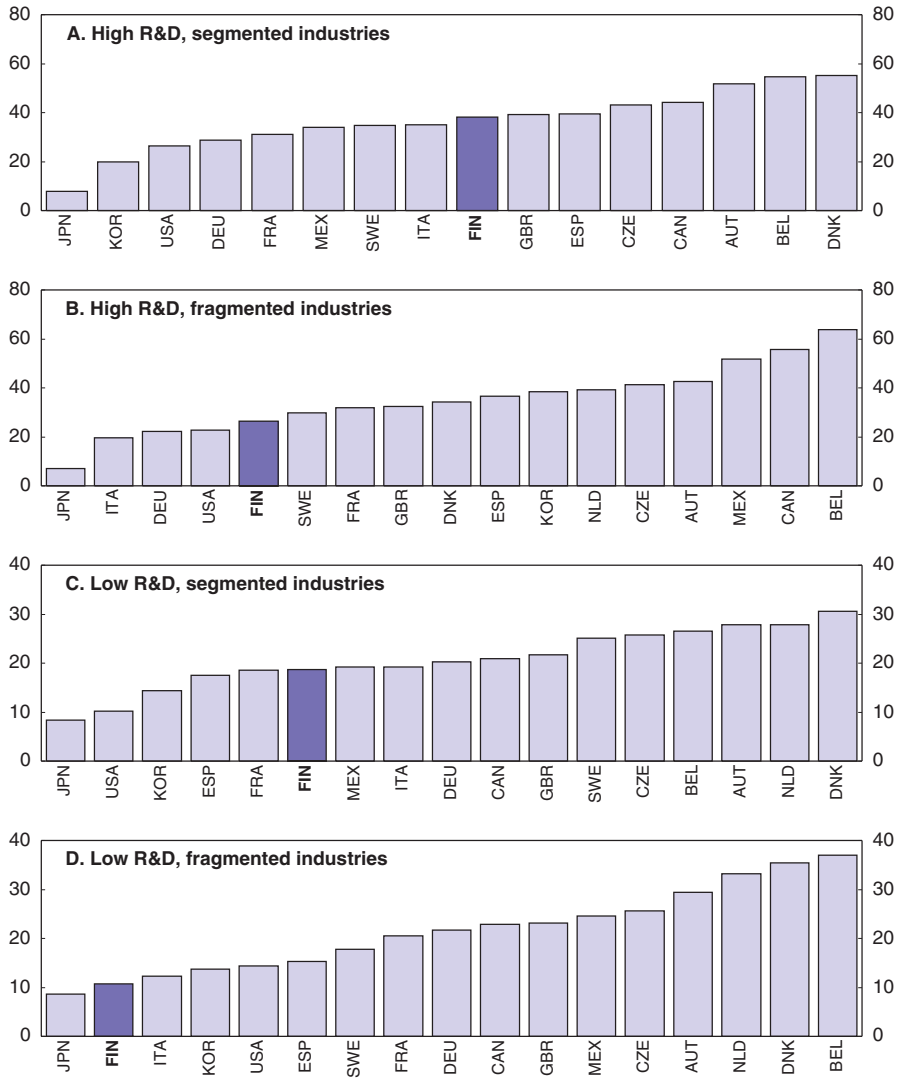


1. Defined as the ratio of imports of goods and services relative to GDP plus imports of goods and services.
2. Unweighted average of Austria and Sweden.
3. Unweighted average of Belgium, Denmark, Greece, Ireland, Netherlands and Portugal.
4. Residuals after control for effects of country size, GDP per capita and transportation costs.

The economy also appears relatively closed when looking at the inward foreign direct investment (FDI) position, which is among the lowest in the OECD area (Figure 2.8). While there are no formal barriers to inward FDI, the low position may be related to market and institutional conditions that discourage inward FDI – particularly in the service sectors – arising mostly from public ownership, small markets, high labour costs, and relatively high effective marginal taxation (Figure 2.7, Panel C) (Yoo, 2003).[5] The overall degree of restriction is now similar to the OECD average. Finland has removed many restrictions during the 1990s, when it had one of the most restrictive inward FDI policies in the OECD. Nevertheless, OECD estimates suggest that removing the remaining restrictions as well as easing

© OECD 2004

Figure 2.6. **Import penetration by type of manufacturing industry**[1]

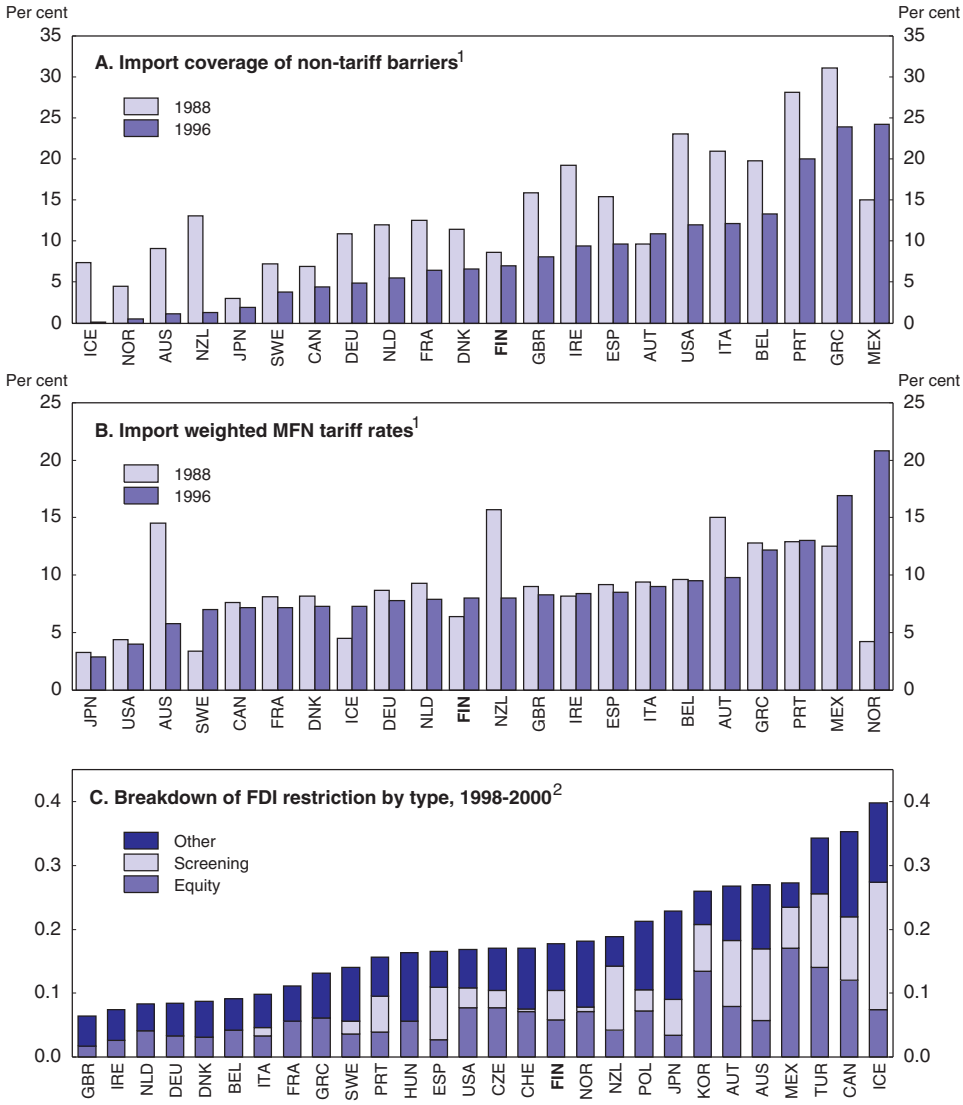


1. Segmented market structures are characterised by large firms and significant barriers associated with high costs, while fragmented market structures are characterised by small firms and low sunk costs and entry barriers.

Source: Oliveira Martins, J., T. Price and N. Mulder (2003), "A taxonomy of market structure cluster", *OECD Economics Department*, mimeo.

© OECD 2004

Figure 2.7. **Openness indicators**

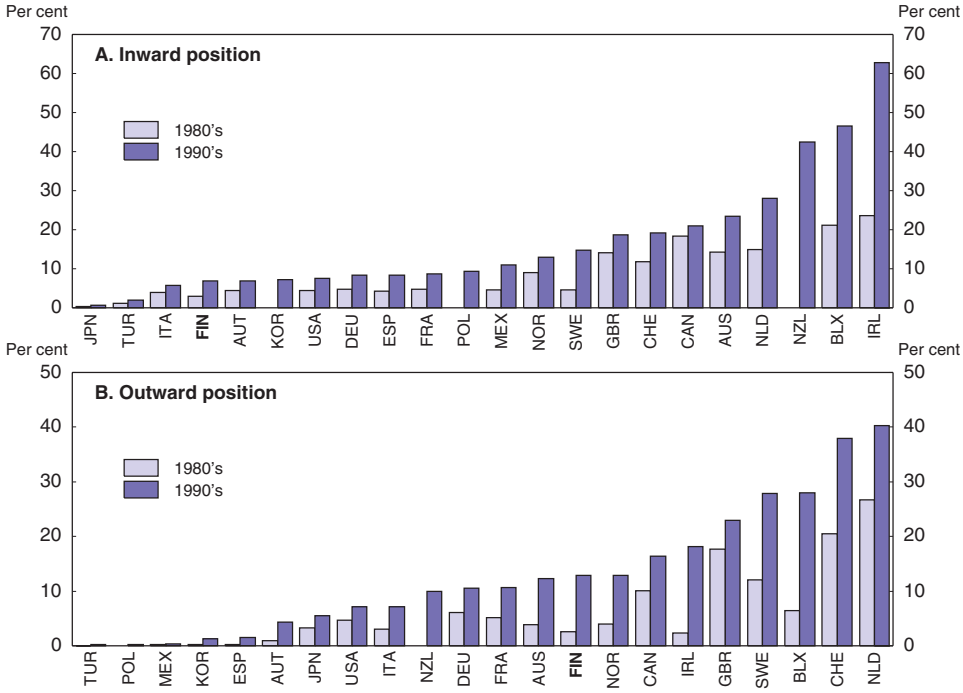


1. OECD calculations based on UNCTAD data. Aggregation from 2-digit level tariffs to national level using sectoral value-added weights.
2. The indicator ranges from 0 (least restrictive) to 1 (most restrictive). The most recent year for which data are available varies across countries between 1998 and 2000.

Source: UNCTAD.

© OECD 2004

Figure 2.8. **FDI positions in OECD countries**[1]
As a percentage of GDP



1. Average values over the two periods. For countries where the FDI position data are not available, values of bilateral stocks reported by their OECD partners were summed to obtain an approximate measure of multilateral FDI stocks.

Source: OECD, *International Direct Investment Statistics Yearbook: 1980/2000*, 2001 ed.

product market regulation could boost the inward FDI position by up to a third (Nicoletti *et al.*, 2003). Also other policies, especially labour market policy, play an important role in explaining the relatively limited FDI inflow, pointing to important interdependence effects between policies. In some sectors FDI has been playing a role in promoting competition, such as in retailing, where both Swedish and German investments have resulted in more competitive markets (see below), although similar effects are not visible in the telecommunications market, where the partly government-owned incumbent merged with the government-owned Swedish incumbent (Telia).

© OECD 2004

Competition law and its enforcement

The legal and enforcement framework for competition conforms to European Community practice (Box 2.2). It has been updated repeatedly and has been generally successful in supporting significant changes in the Finnish economy since the late 1980s, but it needs further strengthening. Most importantly, sanctions imposed by the courts have been too low to deter serious violations. The competition law provides – in line with European practice – for fines of up to 10 per cent of annual group worldwide turnover. The Finnish Competition Authority (FCA) has wide-ranging responsibilities and acts independently. Its *de facto* independence should be recognised formally. It is relatively small and the time required to decide cases has been increasing. The FCA has only been able to bring about a half dozen proposals for enforcement action each year to the Market Court, which is responsible for imposing fines in competition cases. The latter's case load is dominated by public procurement disputes. A number of measures should be implemented to enhance enforcement capacity. The FCA has long had substantial activity in liberalised network industries, partly reflecting the absence of sector regulators until recently. Strengthening the sector-specific regulatory oversight of liberalised network industries could free up FCA resources to address cartels and other restraints. The Market Court should use the new scope for imposing sanctions that are significant enough to secure deterrence. This would also increase the effectiveness of the leniency programme, which could be further enhanced by introducing individual liability to give executives stronger participation incentives. To allow the Market Court to concentrate on major competition cases, an administrative public procurement authority should be established in combination with a minimum jurisdictional threshold.

Extensive public ownership can create competition problems

A defining feature of the Finnish economy is the high degree of public ownership (Figure 2.9) (Willner, 2003). The prevalence of government ownership is in many cases related to Finland's history (Box 2.3). As in many other OECD countries, publicly-owned firms are active in network industries, which are increasingly being opened up for competition (Table 2.2). Publicly-owned firms compete with private companies in a number of sectors, such as alcohol retailing, air transportation, financial services, energy, manufacturing, forestry and mining. In addition, local governments have widespread holdings in such areas as utilities and the liberalised telecommunications. The playing field can be uneven if government-owned firms benefit from at least implicit financial guarantees or have a dominant position in the market.

Most of the government-owned companies in the manufacturing sector face foreign competition, thus reducing potential competition problems. On the other hand, many of the government-owned companies within the service sectors

© OECD 2004

Box 2.2. The Finnish legal and enforcement framework

A stronger enforcement body, the Finnish Competition Authority (FCA), was created in 1988. It was followed by substantive updates of legislation, while merger control was adopted in 1998. Finland brought its law into full conformity with the prohibition-based system of EC competition law in May 2004. The practical impact of the change is modest, though, because Finland's competition law, which was originally based on applying general principles case by case to correct abuses, had already been interpreted and applied to be generally consistent with EC law. The modernised enforcement system eliminates the reviewing of applications for exemption, while Finland's new law expands the FCA's role by empowering it to issue orders to cease violations.

Although cases inevitably respond to complaints, the FCA tries to focus enforcement attention on sectors that are economically significant and whose characteristics suggest competition problems. These include forest products and wholesale distribution of consumer products, where the FCA is concerned that industry structure and practices may lead to gate-keeper control over competition. Other areas of particular attention are public services, including health and financial and network industries. The FCA is paying increasing attention to horizontal collusion. One substantial case, against bid rigging in asphalt, has become public, and others are under investigation.

The leniency programme under the 2004 law is designed to deal with the fact that only the Market Court, and not the FCA, has the power to impose fines. However, the FCA can now promise leniency to the first applicant. Although some of the pending matters were prompted by leniency programmes in other Nordic countries, Finland's own leniency programme has not yet produced any completed enforcement action. If sanctions are not significant, the promise of leniency in exchange for insiders' direct evidence does not work. For years, the FCA's proposals to impose substantial fines against horizontal misconduct have been eviscerated in court. The new law should lead to higher fines. Before, the law set a maximum of EUR 670 000, which is well below the likely gain to a significant, long-standing cartel and in practice no court decision ever reached this statutory benchmark. The new law repealed the maximum and provides now for fines of up to 10 per cent of annual group world-wide turnover. This is consistent with the European Community approach, but the new law has not yet been tested in Finnish courts. The asphalt case that was submitted to the Market Court in March 2004 will be a serious test: the FCA alleges that the seven companies in the cartel were rigging bids nationwide for eight years, and has asked the Market Court to impose fines of EUR 97 million.

The FCA operates within the Ministry of Trade and Industry, but its enforcement independence seems secure despite the absence of formal protections. The FCA's manpower has grown by about 20 per cent over the last decade, but it remains a comparatively small organisation with a staff of about 65, which is about half the size of competition agencies in similarly-sized OECD countries and in the Nordic area. A major case, such as the recent asphalt investigation, can tie up much of the staff for an extended period. With several horizontal investigations now pending, the FCA's cartel unit seems overstretched, with the case-processing times nearly doubling between 2000 and 2002, although the situation may improve as available resources increase with the elimination of applications for exemption.

© OECD 2004

Box 2.2. **The Finnish legal and enforcement framework** (*cont.*)

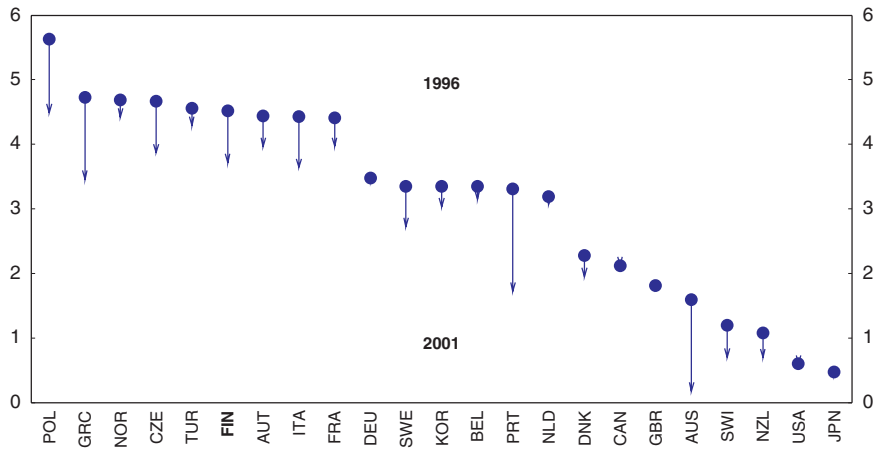
The Market Court, established in its present form in 2002, is still settling into its status. This new body combines jurisdiction over marketing practices and unfair competition with the powers of the old Competition Council to impose orders and fines to enforce the Competition Act. Assigning these functions to a judicial body removed a concern about the appearance that both prosecution and decision powers were under the influence or authority of the Ministry of Trade and Industry. The new Market Court has not indicated a policy direction in competition matters, in part because it is swamped by yet another responsibility, to decide disputes about public procurement. It handles over 200 procurement cases per year, compared to about 25 under the Competition Act and an equal number about unfair competition and marketing practices. Most of the competition matters are complaints against the FCA for not taking action in small controversies. The most important cases are the proposals from the FCA for orders or other remedies, but there are only about a half dozen of these per year. The Market Court has not used its power to dismiss cases of minor importance.

A significant proportion of the FCA's workload is about abuse of dominance, because application of the general competition law has been a principal tool to prevent abuses by network monopolies. The FCA maintains informal ties with the sector regulators in the energy and telecommunications sectors. Sectoral regulation does not displace the Competition Act, and the FCA has stepped in about issues such as broadband access and pricing where the coverage of the telecoms law was not clearly established. The conceptual framework under the sectoral laws for evaluating the prices and terms of network access is still evolving, as Finland's legislation has led to case-by-case determinations in the regulatory process. The relevant regulatory standards are related to those of competition law (and in telecoms, the FCA and the regulatory body co-ordinate about analytic issues such as market definition and determination of market power), but the standards may not be identical. In electric power, for example, the courts ruled that rates that are reasonable under electric power legislation could not be challenged as abuses under the competition law.

are active in more protected domestic markets and often have a dominant position, which creates a risk of strategic behaviour undermining competition by, for example, hampering non-discriminatory access in telecommunications or cementing a dominant position by co-operating with other market participants as in the airline industry. If such activities are against the competition law the deterrent effect of sanctions is limited by fines ultimately being paid by the public purse. In addition, the expected effect of sanctions is reduced further by the possibility that legislative action will undo the enforcement decision. Some

© OECD 2004

Figure 2.9. **Relative size of the public enterprise sector**[1]



1. Index 0-6 scale from lowest to highest share of public enterprises, index based on the extent of state ownership and (gross) proceeds from privatisations.

commentators even consider government-owned companies to be more prone to pursue exclusionary strategies than profit-maximising private firms, because incentives for managers of the former are more geared towards maximising revenues, which for example could explain the participation of the government-owned telecommunications incumbent in the German auction for UMTS licenses (Sappington and Sidak, 2003). Privately-owned firms may refrain from competing fiercely when facing competition from a government-owned company because of the political risk associated with such a company going bankrupt, and instead exploit their higher efficiency by allowing the government-owned competitor to be the price leader in the market. Indeed, the somewhat lower efficiency of government-owned companies probably arises from their corporate governance not always being focussed on profit maximisation and efficient operation (Box 2.4).[6]

Short of privatising public assets in the business sector, the organisation of government-owned businesses as limited companies is a partial measure to level the playing field *vis-à-vis* private companies. An additional step would be to change the current system of conferring the government's ownership responsibilities to the regulating ministries, creating a conflict between the government's roles as owner and regulator, by transferring all ownership control of

© OECD 2004

Box 2.3. Public ownership in Finland

The historical background for the widespread public ownership in Finland is different from that in most other countries. Following the establishment of the Finnish Republic in the aftermath of the First World War, private capital availability was seen as insufficient to support industrial development – a role that was filled by the government. Another factor was the need to pay war reparations after the Second World War. However, neither of these factors play any role today.

Finland has no explicit privatisation programme. The government distinguishes between three types of publicly-owned companies. "Special assignment" companies – including businesses in sectors like alcohol retailing, broadcasting, and gambling – are associated with wider public policy objectives and will remain – despite some privatisation – under public control. In companies with strategic importance – like energy and air transport – the public ownership share may be reduced to below 50 per cent, but the government will remain a shareholder. The third group includes companies *e.g.* paper, metal engineering and banking, which may be divested.* Moreover, traditional network industries, such as telecommunication, railways and the postal services, used to be part of the public administration, but have been reorganised into limited companies. Public ownership in these sectors tends to decrease as liberalisation leads to entry and as the government reduces its shareholding. An example of the latter is in telecommunications, where the incumbent (formerly Sonera) is co-owned by private investors and the Swedish government (as the result of the merger with the Swedish Telia). The merger with Telia took place after Sonera incurred substantial losses arising from its German UMTS license, raising the issue whether better corporate governance could have prevented that investment in the first place.

Ownership control of government-owned companies is normally delegated to ministries (involving in all nine different ministries). Some also have the regulatory responsibility, creating a potential conflict between the state's role as owner and regulator. The conflict is partly addressed through the co-ordinating role of the Ministry of Trade and Industry. A recent report commissioned by the Ministry of Trade and Industry proposes a centralisation of the government ownership responsibilities as part of the process of separating such concerns from regulatory issues (Ministry of Trade and Industry, 2004).

Some measures have been taken to secure a level playing field, when government-owned firms are participating in market activities. One such measure is accounting separation, which is typically required to prevent government-owned firms from cross-subsidising between competitive and monopolistic activities, which can be a problem in deregulated network industries. However, this measure suffers from problems of asymmetric information between the regulated and the regulator and the subjective nature of accounting rules, pointing to the need for formal – legal or ownership – separation to secure a level playing field.

* Legislation defines a state-owned company as the government holding at least 50 per cent and companies with a holding below that threshold as associated.

© OECD 2004

Table 2.2. **Central government ownership**

A. Banking and manufacturing

Company	Share in September 2004	Minimum ownership
Alko Inc (retail)	100.0	100.0
Altia Group (wholesale)	100.0	50.1
Fortum Corporation (energy production and oil refining)	60.4	50.1
Kemijoki Oy (energy production)	67.0	50.1
Kemira Oy (chemicals)	55.3	15.0
Metso Corporation (metal engineering)	11.5	0.0
Outokumpu Oyj (metals and technology)[1]	37.8	10.0
Patria Industries (defence)	73.2	50.1
Rautaruukki (steel)	40.1	20.0
Sampo (banking and insurance)	21.3	0.0
Stora Enso Oyj (forestry)	11.6	0.0
Vapo Oy (peat)	66.7	50.1

B. Network and traditional public sector industries

Company	Share in September 2004	Minimum ownership
Finland Post Corporation (post services)	100.0	. .
Finnair Oyj (air transport)	58.4	50.1
TeliaSonera Corp.(telecommunications)	19.1	. .
Oy Veikkaus Ab (gambling)	99.6	. .
VR-group (rail transport)	100.0	. .
Oy Yleisradio AB (broadcasting)	100.0	. .

1. The Finnish Social Insurance Institution owns 12.3 per cent of the shares, implying that the majority of shares is within public ownership.

Source: OECD (2003), *Review of Regulatory Reform – Finland, A New Consensus for Change*, OECD, Paris.

government-owned companies to one ministry with no regulatory functions. This should include the government-owned companies in sectors that are still only partially liberalised, such as railways and postal services. A further step would be to introduce measures to improve corporate governance of government-owned companies, for example by concentrating them in a profit-maximising holding company. However, only an extensive privatisation programme in the context of comprehensive regulatory reforms would solve the competition problems associated with publicly-owned companies in the sheltered sector. The government has agreed on a rule that a share of privatisation proceeds can be used for infrastructure investments, possibly speeding up privatisations.

© OECD 2004

Box 2.4. The relative performance of state-owned companies

The performance of government-owned firms may be hampered by less efficient corporate governance than in profit maximising private companies. Non-listed state-owned companies (such as Alko, Patria and Finland Post) have no market value to provide constant and direct monitoring and performance evaluation. The market valuation of partly privatised firms, like Finnair, is influenced by the constraints that governments are facing in the management of their shareholding. Lenders are serving an important monitoring function of management, but to the extent that loans are either explicitly or implicitly guaranteed by the government, this function is reduced. Additional financial support may arise from lower demands on rates of return on invested capital. Traditionally, performance incentives have been reduced by the lack of performance related remuneration of management in state-owned firms, but the Finnish government has introduced such measures over the past years, making this issue less of a concern. On the other hand, some government-owned listed companies have members of their Supervisory Boards appointed by parties represented in Parliament, which may mean that the participants in the oversight of state-owned companies may not necessarily have uniform and consistent goals, potentially leading to demands that the firms pursue non-profit objectives, such as regional or employment aims.

Measuring the relative performance of government-owned companies is not straightforward. In terms of return on equity for companies quoted on the Helsinki stock exchange, government-owned companies yielded on average a percentage point less than all companies quoted on the stock exchange (excluding the special case of Nokia) over the period 1997-2002. Comparing the average price/earnings (P/E) ratios in 2003 for government-owned companies with their relevant international peers shows that the best performing of the government-owned companies are in intense international competition. These include Metso (engineering) and Outokumpu (metals and technology group), although a number of other internationally competing government-owned companies, such as Kemira (chemicals) and Rautaruukki (mining) while having respectable P/E ratios are not performing as well as their international peers. Government-owned companies with dominating positions on their domestic markets, such as Finnair (air transport), Fortum (oil), and TeliaSonera (telecommunications) all have P/E ratios well below their international peers.

Regulatory policies at the sectoral level

Regulatory policies for private service sectors vary in scope. Some sectors, such as retail distribution and professional services, are inherently competitive, but competition may be hampered by entry controls and self-regulation, pointing to the

© OECD 2004

necessity of a forceful implementation of the general competition law and the elimination of exemptions from it. On the other hand, network industries are characterised by "natural monopoly" segments where competition is difficult to introduce. In these industries, regulatory efforts are directed towards securing non-discriminatory third-party access to the networks and the opening of potentially competitive segments to competition. A particular concern in these industries is the possibility for cross-subsidisation between monopoly areas and competitive activities, requiring a clear separation between various activities. Moreover, the market power of incumbents in these industries often implies that the playing field is anything but level. Internationally – but not in Finland – this has often led to the introduction of *ex ante* regulation of newly liberalised network industries, where the regulatory authority prescribes and enforces rules of conduct or access charges to support the introduction of competition and prevent companies from exploiting their local monopoly power. As competition becomes viable in these sectors, the regulatory approach can be replaced by the application of general competition principles. The latter is characterised by *ex post* regulation, where the regulatory authority determines whether conduct or rates in a particular case conformed to norms or principles. International experience shows that the potential gains from opening up network industries to competition can be very large. In cases where concerns with respect to supply reliability and insufficient network capacity have been raised, these problems have been related to the design of reforms and not to liberalisation *per se*.

Retail distribution

The Finnish retail distribution sector is highly concentrated and characterised by a relatively low density of fairly small shops (Table 2.3). Food retailing is dominated by a few vertically-integrated chains, which tend to be organised as co-operatives or franchises. Moreover, food wholesaling is dominated by two central trade organisations with powers to influence the selection of goods and their pricing and destination. The vertically-integrated nature of the distribution sector explains why, despite the relatively small size of shops, productivity is higher than in most other European countries, although the lack of very large-scale operations means that potential efficiency gains are not realised.[7] On the other hand, the prevalence of high prices raises doubts as to how much of these efficiency gains are actually passed on to consumers. Indeed, the rapid structural changes in the food retailing sector during the 1990s only led to a limited increase in competitive pressures as margins for most food products were reduced only marginally (Peltomäki, 2001).[8] Another sign of limited competitive pressures is the relatively large price dispersion for identical grocery products, which indicates that the food retailers have some market power to pursue a pricing-to-market strategy at the local level (Aalto-Setälä, 2001).[9]

© OECD 2004

Table 2.3. **Key structural features of the retail sector**[1]

	Outlet density[2]	Employees per enterprise	VA per employed person[3]	VA per unit of labour costs[3]	Concentration in food retailing[4]
Finland	**44.7**	**5.2**	**125.2**	**108.7**	**69.0**
Austria	45.6	7.6	102.2	97.1	45.0
Belgium	73.8	3.8	108.3	92.9	48.0
Denmark	45.5	8.4	82.7	97.2	52.0
France	64.3	4.3	133.7	102.0	31.0
Germany	32.4	9.6	100.3	105.7	30.0
Ireland	45.0	8.2	95.4	99.2	52.0
Italy	128.8	2.3	97.4	78.9	9.0
Netherlands	53.6	8.5	87.6	116.1	41.0
Norway	67.7	6.0	92.0	104.5	86.0
Portugal	136.6	2.6	66.0	87.8	46.0
Spain	130.0	2.9	91.8	98.5	23.0
Sweden	63.9	4.3	104.0	85.1	60.0
Switzerland	53.3	8.6	117.7		81.0
United Kingdom	35.9	14.9	85.8	121.6	41.0
European Union[5]	69.0	6.4	100.0	100.0	10.0
EU excluding Italy, Portugal, Greece and Spain[6]	51.9	7.4	104.1	103.2	

1. 2001 or latest available data.
2. Number of enterprises per 10 000 inhabitants.
3. VA expressed in USD PPP terms. European Union = 100.
4. Market shares of the first three firms based on sales, 1996 data.
5. Unweighted average of EU 15 excluding Greece for the first four columns and including Greece but excluding Luxembourg for the fifth column.
6. Unweighted average.

Source: O. Boylaud and G. Nicoletti (2001), "Regulatory Reform in Retail Distribution", OECD *Economic Studies*, No. 32, 2001/1; Eurostat.

There is evidence, however, that foreign entry is increasing competition in the retail market, notably the Swedish Axfood (whose SPAR retail franchisees have a market share of a bit less than 10 per cent) and more recently the German Lidl company, which has established 76 outlets despite facing problems in obtaining building permits and resistance from unions. One element in the latter's success in breaking into the Finnish market appears to have been the use of foreign beer as a marketing tool. The retail sale of beverages with a higher alcohol content than 4.7 per cent is a state monopoly (Box 2.5).[10] According to Gallup Food Information, the entry of Lidl has led to a price reduction of nearly 5 per cent for meat. Moreover, Maliranta (2004) has linked the increase in foreign ownership in retailing to a recent pick-up in the sector's labour productivity growth. More generally, Finnish food prices since the beginning of this decade (with the exception of the foot and mouth

© OECD 2004

Box 2.5. The Finnish market for alcohol

The government operates a retail monopoly (Alko) for sales of alcoholic beverages stronger than 4.7 per cent for public health reasons. Import and wholesaling were liberalised following entry into the Union, leading to the entry of some 250 importers and wholesalers. However, competition in the wholesale market remains limited. Alko has monopsony power as other importers and wholesalers can sell only to it or the less important restaurant and hotel segment. Wholesalers can either deliver to each individual Alko shop or against a charge (to cover storage costs) to Alko's central warehouse. The retailer's price policy – consisting of a mark-up that is fixed up to a limit and thereafter declining to a lower bound – and a legal ban on promotional offers and discounts on alcoholic beverages prevent the use of strategies for promoting new products or clearing unwanted stocks. The selection process of products – process time from the registration of the offer to the listing date of the product is on average six months – has a negative effect on new entry. Non-selected products can still be sold through a so-called sale-to-order list, where customers can ask any Alko shop to order the product from the supplier's warehouse. However, the list is not an attractive marketing device as the associated distribution costs can be high as products are sold in relatively small quantities and on an infrequent basis. Alternatively, the wholesaler can offer the product as a contract product, but must bear all associated costs if the minimum sale requirement is not attained.

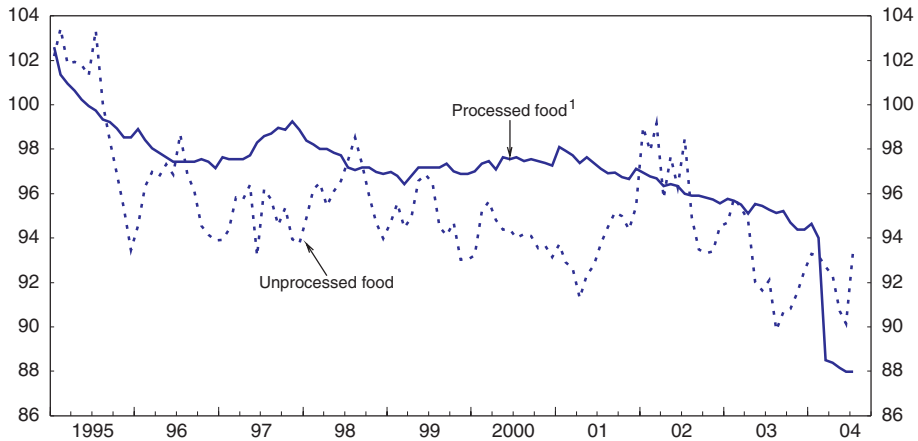
EU regulation forced the government to remove limits on private imports of alcohol in January 2004 which, together with visa-free travel between Finland and EU accession countries Estonia, Latvia and Lithuania, has put pressure on the viability of maintaining a monopoly on retail alcohol in view of public health reasons. Already Hella and Mankinen (1999) pointed out that increasing cross-border trade in alcoholic beverages was leading to a normalisation of consumption towards the levels observed in other EU countries – a process that was expected to accelerate as EU integration is completed. Limiting the number of outlets in such circumstances amounts to imposing an implicit selective tax on consumers without easy access to an outlet. Indeed, in other OECD countries other instruments for controlling the availability of alcohol, such as taxation, location, opening hours, age limits and right of refusal to serve, are compatible with retail competition.

scare and BSE in 2001) have risen at a slower pace than in the EU (Figure 2.10).[11] This can be attributed to both increased competition in the retail sector and restructuring in the agricultural sector (Box 2.6).

Consumer welfare has benefited from more intense competition in the retail sector, although consumer choice is restricted by the lack of very large outlets, the low outlet density and the declining number of smaller specialised

© OECD 2004

Figure 2.10. **The food price index in Finland relative to the European Union**
Index 1995 = 100



1. The decline in early 2004 is related to a lowering of alcohol taxation.
Source: Eurostat.

shops.[12] Thus, policies should be directed towards further expanding consumer welfare and choice by easing entry and improving the adaptability of existing shops to changing market conditions. Such measures should include the further relaxation of shop opening hours, which would for example enable the opening of 24-hour convenience stores.[13] Moreover, land use planning and control are governed by local government (with out-of-town large shops requiring special permission), which does not take into account wider considerations concerning competition and complaints have surfaced about problems in obtaining permits, pointing to the need for some liberalisation of zoning regulations. In addition, the abolition of the government's alcohol monopoly would increase the possibility for retailers to expand product range and increase the number of items for promotional purposes, thereby broadening entry strategies. So far little evidence of overt anti-competitive behaviour has been found in the retail sector. If such problems exist, perhaps the recently introduced leniency programme could help to uncover them. In addition, Post Finland's high administrative charges for handling value added tax (VAT) for goods purchased over the Internet should be reviewed (see below).

© OECD 2004

Box 2.6. **Agricultural support and restructuring**

Finland stands out as having still high food prices, a high level of subsidisation and a low level of import penetration. Reforms could thus lead to high welfare gains. Agriculture is even more heavily subsidised than in other EU countries, as Finland was allowed to maintain a large amount of national aid since it became a member of the European Union (see the previous *Survey* for a more detailed discussion). The amount of support has remained about constant over the past years at some 2¼ per cent of GDP with an unchanged split between EU and national programmes (OECD, 2003b). National aid in Finland is the highest in the EU and amounts to about twice the EU average. Indirect support from consumers in the form of higher than the EU average prices adds up to ¾ per cent of GDP. While the five-year transitional period for national payments, which was granted to compensate for the effects of the unfavourable climate on productivity, ended as foreseen in 1999, the Commission authorised Finland to continue to pay national support due to the serious difficulties caused by the accession. The current authorisation runs until 2007.

Despite rapid restructuring since EU membership – the number of farms declining from 103 000 to 73 000, the sector continues to account for a share of overall employment that is about twice the share in northern Europe. Despite rapid productivity gains, agricultural productivity still trails by more than 10 per cent and with a differential to the best performers of some 25 per cent. Import penetration in the sector is just above half of the average in northern Europe, pointing to limited pressures from abroad to accelerate the sector's restructuring process. With the extension of the transitional period it is doubtful that the productivity gap will be closed. Given that Finland does not hold a comparative advantage in agriculture, a further restructuring of the sector would reduce food prices and improve the budgetary situation.

Professional services

There is less self-regulation that restrains competition among professional services than in most other EU countries (Paterson *et al.*, 2003). This partly relates to an active approach by the FCA to remove such self-regulation as for example with the abolition of price recommendations by the Medical Association, Dental Association, Bar Association and the Association of Architects and Interior Architects, and the Association of Consultants. An OECD study found that this approach indeed increased price competition in professional services (OECD, 2000). In some areas, such as in architectural services, the competition-limiting rules continue to come under scrutiny. In the specific case, the rules of the Associations of Architects effectively restrict entry into architectural

© OECD 2004

competitions.[14] Arguably, professional associations' self-regulation alleviates information asymmetries *vis-à-vis* their customers. However, such regulation often restrains competition, and the recent case shows the importance of remaining vigilant in this area.

Network industries

Finland was one of the first countries in Europe to liberalise its electricity and telecommunications markets. In both cases, the regulatory approach has relied on *ex post* regulation with sector regulators mainly being responsible for securing third party access and the FCA mainly for pursuing infringements of the competition law. This approach has proved very time consuming. Elements of *ex ante* regulation will be incorporated to conform to the requirements of the new EU directive for energy. However, it is doubtful whether this will suffice to counter the market power of local monopolies. An additional problem is that the latter tend (particularly in the electricity sector) to be owned by local governments. In other network industries, deregulation has followed EU directives. A special case is the natural gas sector, which has been exempted from such directives.

Competition in the electricity sector

The opening of the electricity market was completed in 1998 with the introduction of load profiling – which lowers switching costs – for small consumers, expanding the free supplier choice to all customers (Box 2.7).[15] In addition, the integration into the Nordic electricity market (Nord Pool) countered the ability of large incumbents to dominate the market, although the limited international interconnector capacity still leads to market power during peak load demand periods. Liberalisation has secured relatively low prices for households, but they remain higher for industrial users when comparing with countries that also liberalised early – the other members of Nord Pool and the United Kingdom (Table 2.4). Nevertheless, Finnish prices are below the EU average. In addition, local market power appears to be a problem. Prices vary considerably within Finland. The highest prices for smaller consumers are almost double the lowest prices, with a 15 per cent difference between the highest and lowest quartile.[16] Consumers do not appear to be sensitive to price differentials. Increased competition has changed the price structure, so that electricity is priced very competitively, but network access fees have increased by about 10 per cent since 1997, as the vertically integrated utilities (about half of the 90 local utilities) may be benefiting from their natural monopolies (Box 2.7). Moreover, distribution charges exhibit a large dispersion (Figure 2.11), partly reflecting a sparse population, and partly reflecting differences in efficiency. Only about one-fifth of all distributors can be considered efficient according to their controllable operating costs.[17] On the other

© OECD 2004

Box 2.7. The electricity market and price formation

The market is characterised by relatively widespread public ownership and quite extensive cross-ownership. The central government has the majority shareholding in the largest utility (Fortum) and municipal utilities own substantial shares of the second largest (PVO). In addition, Fortum and other publicly-owned utilities together with partially government-owned manufacturing firms own a bit less than half of the shares in a PVO subsidiary (TVO). This subsidiary operates two of the four nuclear power plants and will construct and operate a recently licensed nuclear power plant. Both Fortum and PVO are vertically-integrated companies as are about half of the around 90 local utilities, which are mostly owned by the municipalities. To limit abuse of dominant positions, accounting separation has been introduced for vertically-integrated companies engaged in generation, transmission, distribution, and retail/trading. Only the national grid has been formally separated out in an independent transmission operator (Fingrid), which was created through a merger of publicly and privately-owned grid assets. The dimensioning of the national grid relies partly on market-based incentives, as Fingrid is responsible for maintaining Finland as one (wholesale) price area despite the tendency for prices to diverge between the (mainly electricity producing and low price) north and the (mainly electricity consuming and high price) south. The cost to Fingrid of purchasing and selling electricity provides information and incentives to invest in transmission capacity. On the other hand, there is no market-based incentive framework in place for investment in international interconnectors, which is subject to approval by the Ministry of Trade and Industry.

Competition has been effective in continuously lowering prices for electricity until the dry and cold winter of 2002-03 which depleted hydro resources and increased prices considerably. Prices have since come down, but are still 15-36 per cent above their previous level. Part of this can be explained by some nervousness in the market as it took most of 2003 before the depleted water reservoirs were back to normal levels (Montel, 2003). Another factor is the presence of relatively detailed retail price disclosure requirements which aims at protecting consumers against excessive price swings, but which tends to make prices sticky.

Electricity companies are obliged to inform their customers in writing at least one month ahead prior to price increases with the result that the companies normally only change prices with a month interval and probably even more rarely. This leads to more stable prices in Finland than in the other NordPool countries as prices respond less to market developments, thus reducing the efficiency of the market. Retailers with a dominant market position are obliged – as part of their supplier of last resort obligations – to provide official retail ("list") prices, providing the basis for price comparisons with other retailers. The retailer may offer a different price to consumers outside its service area. These list prices exhibit a considerable variation as many of the distribution companies have their own generating capacity and prefer to sell electricity at cost-based prices to their local consumers rather than at market prices, explaining the low customer-switching rate of 4 per cent. Additional factors contribute to explain this low rate:

© OECD 2004

Box 2.7. **The electricity market and price formation** (*cont.*)

some small suppliers do not even accept new customers from outside their supply area; in some cases, customers that applied to return to their local retailer were offered the higher market price; and switching charges are high (EMA, 2002).[1] These examples of strategic behaviour are part of a wider restructuring of the price structure, where the increased competition has led to competitively priced electricity and high network access charges as the vertically integrated utilities may be benefiting from their local natural monopoly power. Such a restructuring of prices often forms part of a strategy to foreclose entry of new operators, pointing to the need for isolating and regulating the natural monopoly element of the network.

A number of other factors are distorting the playing field. The incumbent utilities have been slow in providing information and metering services, which has hampered the switching of customers to other retail companies. Excessive charging continues to be an issue with one case – involving a utility owned by the Helsinki municipality – pending at the Market Court. Moreover, this and another 12 utilities enjoy an exemption from corporate taxation, because they are part of their municipality and have not been separated out as independent units. Whether the utilities are exploiting this apparent competitive advantage is unclear as at least some of the municipalities reportedly exact a charge on the utilities' earnings that is equivalent to the tax savings, although this may be offset by a lower required rate of return.[2]

1. The switching charges were abolished in September 2003, at the same time as distribution companies were only allowed a meter reading charge if the previous supplier switch occurred more than a year earlier.
2. Currently, there are 13 utilities that are exempted from corporate income tax. Among them are quite big actors like Helsingin Energia, Tampereen Sähkölaitos, Kuopion Energia and Pori Energia.

hand, the transmission charges on the national grid are among the lowest in Europe (IEA, 2004) and account for about 4 per cent of the household electricity price as compared with nearly one-third for local distribution charges.

Regulation has not sufficed to counter local market power. The network companies set their own access charges, while the sector regulator (the Energy Market Authority – EMA) ensures – in a lengthy *ex post* process – that they reflect cost developments and provide a reasonable rate of return on the basis of the annual report of unbundled accounts (IEA, 2004). This approach is opposite to the *ex ante* regulation in place in most other EU countries (European Commission, 2004). However, the new EU directive on the supervision of the electricity market

© OECD 2004

Table 2.4. **Pre-tax electricity prices in Europe**
1 July 2003, in euro cents per kWh

	Industry			Households		
	Small consumer	Medium consumer	Large consumer	Small consumer	Medium consumer	Large consumer
Finland	**6.8**	**5.3**	**4.2**	**15.2**	**8.0**	**4.9**
Austria	8.9	5.0	3.8	12.4	9.2	7.1
Belgium	12.2	7.3	5.0	14.8	11.2	7.1
Denmark	6.5	6.9	. .	17.0	8.7	7.2
France	8.3	5.3	. .	12.6	8.9	7.1
Germany	13.7	7.4	6.4	20.4	12.5	6.6
Greece	9.0	6.1	4.8	7.6	6.1	5.2
Ireland	12.8	7.6	6.1	19.1	10.1	6.4
Italy	10.4	8.4	7.3	7.8	14.7	. .
Luxembourg	12.7	6.8	4.3	21.7	11.9	7.2
Norway	6.9	5.1	3.4	33.2	9.6	5.6
Portugal	10.6	7.4	5.2	12.9	12.6	8.1
Spain	9.5	5.3	4.7	11.2	8.7	5.7
Sweden	4.6	4.1	3.7	21.8	8.6	6.9
United Kingdom	7.3	4.7	3.9	16.0	9.2	5.5
Average Europe	9.5	6.2	4.9	16.3	10.1	6.6
Average liberalised markets[1]	6.3	5.2	3.7	22.0	9.0	6.3

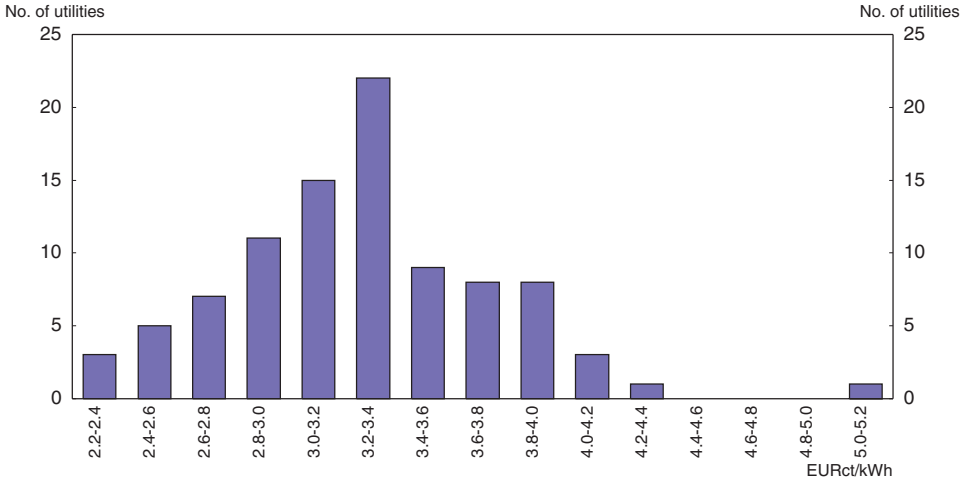
1. Average of the other Nordic countries and the United Kingdom.
Source: Eurostat.

will introduce more elements of *ex ante* regulation, requiring (by early 2005) the introduction of prior approval of the methodology for tariff calculations and a two-month time limit for dealing with complaints. In addition, EMA decisions become immediately enforceable.[18] The directive also requires formal unbundling of distribution and retailing activities, although this will not affect many of the local utilities as the directive is only applicable to firms with more than 100 000 customers.[19] Abuses of the competition law are dealt with by the FCA, but the high required legal standard means that action is mostly taking place when charges are manifestly unfair. Appeals (to the Supreme Administrative Court) suspend disputed decisions, enabling such actions to become part of a time-delaying tactic.[20]

The revisions of the regulatory framework will address some of the competition issues in the electricity market. Nevertheless, problems remain. The new directives will not affect many of the smaller utilities, and possibilities for exploiting local monopolies will remain. Measures to address such problems include effective *ex ante* regulation of access charges as well as the removal of overly detailed retail price disclosure requirements. Public ownership continues

© OECD 2004

Figure 2.11. **Distribution charges to household customers**
Detached house, 5 MWh per year



Source: Energy Market Authority.

to be an issue in the sector, creating problems of an uneven playing field. A particular problem identified in the electricity sector stems from the tax advantages of some non-incorporated public utility enterprises. This calls for the mandatory incorporation of utilities. However, such a measure should be the precursor for privatisation and formal separation of activities.

Natural gas

Finland has a derogation from implementing the EU Gas Directive because there is only one source of natural gas (Russia).[21] The derogation will remain in place until Finland has more than one source of supply or is connected to the European grid. The natural gas market is dominated by the partly government-owned vertically-integrated Gasum Oy.[22] The 2001 Natural Gas Act requires unbundling of supply from the grid and the implementation of a new pricing system, although so far a degree of competition is only emerging in a very small secondary market (IEA, 2004). The regulatory approach is similar to the *ex post* regulation in the electricity market with EMA monitoring and establishing guidelines for Gasum's tariffs. However, this falls well short of an established transparent evaluation methodology and the rare investigations of tariffs have been instigated by complaints rather than by the regulator.[23] Average natural gas

© OECD 2004

Table 2.5. **Pre-tax natural gas prices for industry**
Mid-2003, EUR per Giga Joule (GJ)

	Small consumers	Medium consumers	Large consumers	Very large consumers
Finland	**8.1**	**6.4**	**4.6**	**3.4**
Austria	5.9	5.6	. .	. .
Belgium	6.2	5.3	4.5	. .
Denmark	7.2	4.8	4.5	. .
France	7.8	6.6	5.0	3.5
Germany	7.6	7.1	6.0	3.7
Ireland	6.2	5.6	4.6	. .
Italy	8.1	5.5	4.9	. .
Portugal	7.8	5.8	3.8	. .
Spain	4.9	4.7	4.4	4.2
Sweden	6.4	6.1	4.7	. .
United Kingdom	4.4	3.8	2.8	. .
EU average	6.6	5.5	4.5	3.8

Note: Small consumers < 4 186 GJ per year, 200 days.
Medium consumers < 41 860 GJ per year, 200 days 1 600 hours.
Large consumers < 418 600 GJ per year, 250 days 4 000 hours.
Very large consumers < 4 186 000 GJ per year, 330 days 8 000 hours.
Source: Eurostat.

prices are low by international standards, but a more detailed investigation of the pre-tax structure shows that only very large industrial consumers enjoy prices below those in other EU countries, while other industrial consumers face higher than average prices (Table 2.5).

The new EU directives for natural gas will require a similar pricing methodology as in the electricity sector, but does not address the problem of a dominant vertically-integrated incumbent.[24] The successful introduction of full competition in the natural gas market will require more than one supplier, which, however, is unlikely to be forthcoming with the present market structure. Formal unbundling of the dominant incumbent's activities will level the playing field (by eliminating the possibilities for cross-subsidisation) and is a measure to introduce competition promoting market structures by enabling effective non-discriminatory third party access to infrastructure. The latter provides incentives for private investors to invest in alternative supply facilities, like for example liquefied natural gas. The benefits of formal unbundling over the weaker accounting unbundling can be seen in the correlation between the strictness of unbundling and prices in the EU, with for example the lowest prices in the UK (which relies on ownership unbundling) and some of the highest prices in Germany, which relies on management unbundling (European Commission, 2004). Formal unbundling, however, is not a stand-alone measure and should be combined with effective *ex ante* regulation to secure effective non-discriminatory third party access.

© OECD 2004

Telecommunications sector

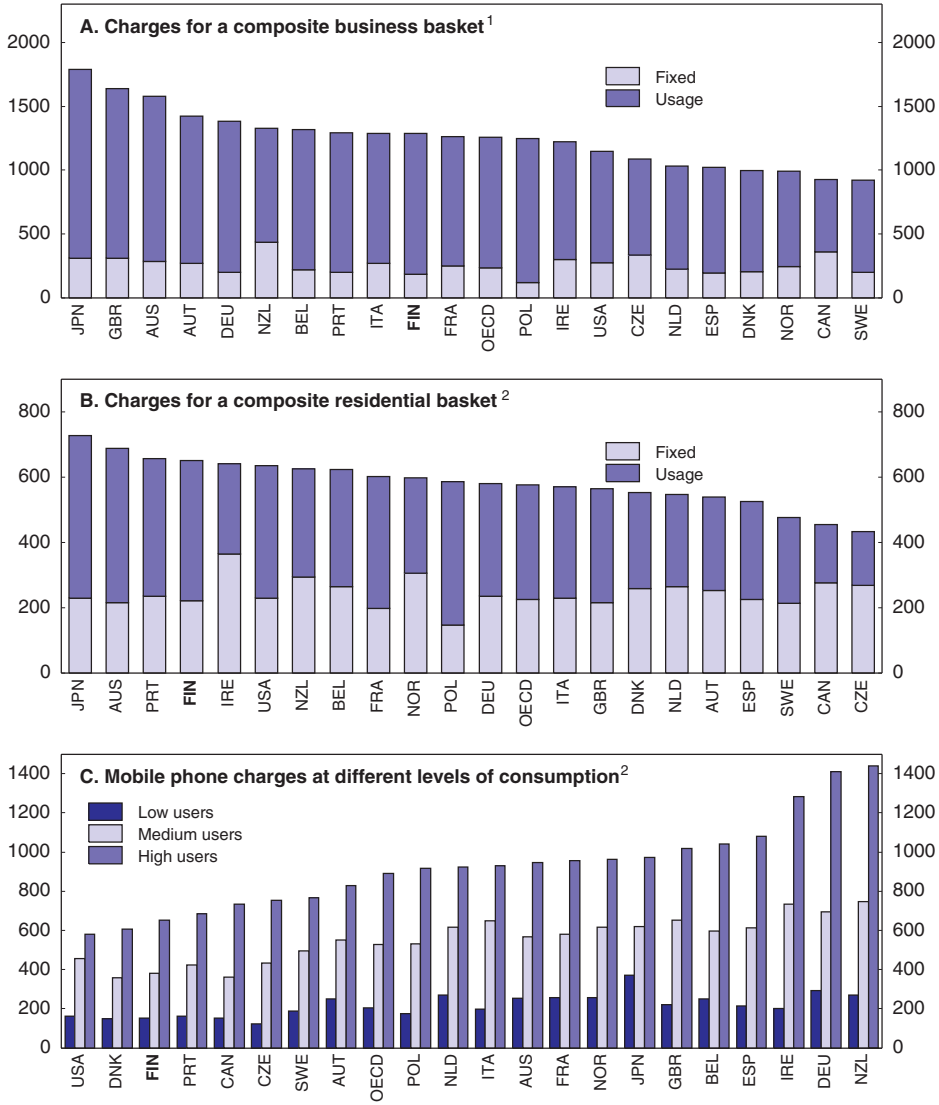
Deregulation of telecommunications started earlier in Finland (1994) than in many other European countries, leading to a rapid and widespread expansion of mobile phones combined with relatively cheap service provision, although access charges for most services remain high. The regulatory framework in the sector was modernised with the incorporation of the EU Electronic Communication Directives into the Communications Market Act in 2003, making the telecommunications regulator (FICORA) the independent regulatory authority of telecommunications with a mandate of promoting competitive markets. The latter implies that FICORA can declare operators to have significant market power (FICORA is in the process of assigning significant market power to some 40 operators) and imposes obligations to eliminate impediments to competition. The FCA continues to be in charge of pursuing breaches of the competition law. Nevertheless, the regulatory approach has maintained many aspects of *ex post* regulation as competition is relied on to drive down wholesale prices for network access that in other countries are regulated.

The market structure for voice telephony is rather unusual. There are only four national operators (less than in other countries), but the second highest (43) number of local operators in the European Union (European Commission, 2003b). In reality, however, the market is more concentrated as 37 of the local operators are members of the Finnet Group and two local and two national operators belong to the Elisa Group. These two groups together with the incumbent national operator (TeliaSonera) command a market share of more than 90 per cent in almost all segments of the voice telephony market. The regulatory framework combined with the somewhat special market structure has created a competitive retail mobile market and a fairly competitive long-distance market. At the same time competition problems persist in the areas of local calls and high-speed internet connections, reflecting to a large extent the continued presence of local market power.

An international comparison shows that business user prices are *at par* with the OECD average, but higher than in Sweden, Denmark and the Netherlands, countries that also liberalised early. Mobile phone charges are also lower than in most other European countries. On the other hand, residential charges are among the highest in Europe (Figure 2.12). The latter is largely the result of the high cost for short-distance calls, arising from one of the highest interconnection charges for call termination on the incumbents' fixed networks. Also the cost of termination on mobile networks is high compared with other EU countries. The cost of termination seems to be the result of operators exploiting market power, as there is little regulation of termination charges (Box 2.8). As a measure to strengthen competition in the telecommunications market, full number portability was introduced in mid-2003. However, associated costs

© OECD 2004

Figure 2.12. **Telecommunication charges**
In USD, May 2004



1. Excluding VAT.
2. Including VAT.

Source: OECD, Communications Outlook database.

© OECD 2004

Box 2.8. Interconnection regulation and termination costs in telecommunications

Contrary to other European countries there are no regulated termination rates for domestic calls in Finland. Mobile operators set their own retail "end-user" charges for calls to their networks and the fixed network operators set their own fixed network retail charges, so the total charge for a fixed-to-mobile call is the sum of the two. This system is thought to foster price competition between operators and thus achieve lower prices for interconnection. For competition to have its expected effect, the receiving party must take into consideration – when choosing an operator – the cost of the originating party and not just the cost of outgoing calls. However, judging from the level of "end-user" charges this seems unlikely to be the case. For example, the combined charges for fixed-to-mobile calls are similar to the highest termination charges in the EU (European Commission, 2003b). Moreover, the combined charges are about twice as high as the (cost-based) interconnection charge for an international call from a fixed network to a Finnish mobile network. An additional indication of the non-competitive end-user charges is the (mostly) higher charge for calling between two mobile phone operators as compared with calling within the same mobile phone operator, as the cost of the latter is presumably closer to the associated costs.* The interconnection charges for call termination on the fixed networks (determined by each individual operator) are also among the highest in the EU.

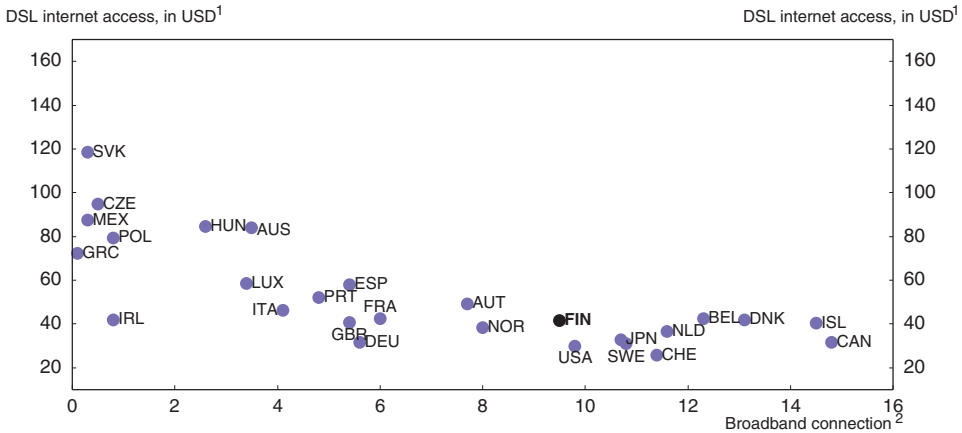
* The cost of calls to other networks depends on the type of subscription and tends to vary from zero additional cost to twice the cost of within network calls.

are prohibitively high. For example, the charges reported to the European Commission demanded by the two largest operators vary from EUR 16.80 to EUR 120. However, more recently there has been a general lowering of charges, which in the spring of 2004 were on average EUR 41, with individual charges ranging from EUR 0 to 125, even though such charges should be cost-based (European Commission, 2002). Moreover, international experience shows that portability only becomes significant when such switching charges are below EUR 10 and once they are above EUR 17 only very few numbers are ported (European Commission, 2003a). In sum, the observed high prices seem to originate in high access charges for most services, which competition has failed to lower, pointing to the need for more effective *ex ante* regulation.

The ability of operators to charge high prices for access to their networks is repeated in the broadband segment. Charges for broadband are relatively high and correspondingly penetration is less developed than in many other countries (Figure 2.13). As the network owners have been able to charge much higher prices

© OECD 2004

Figure 2.13. **Broadband penetration and user charges**
December 2003



1. Monthly charges, including VAT. Modem rentals are excluded as in most countries they can be purchased by users.
2. Per 100 inhabitants.
Source: OECD, Communications Outlook database.

for both full unbundled and shared access to the local loop as well as for unbundled broadband access than in other countries, the retail charges for broadband are unlikely to come down. Moreover, network owners have been engaged in strategic behaviour to prevent entry, such as charging wholesale prices to their competitors that were higher than their retail prices for broadband access or by refusing to lease broadband connections to competitors (FCA, 2003).[25] Broadband services could be delivered over the cable-TV networks, which cover 40 per cent of all households, but such competition is unlikely to be forthcoming, as the local incumbents own most of these competing networks, pointing to the need for ownership separation of non-telecommunication infrastructures.

Selected issues in transportation

The *railway sector's* market share of land passenger transport has been declining gently over the past decade and is one of the lowest among the northern European countries (Seabright, 2003). The intense inter-modal competition from long distance bus transportation accentuates the need for liberalising the railway sector. However, the railways are only slowly being opened up to elements of competition, following closely the EU directives in this area. The results in terms of productivity have been disappointing: unlike in other European countries, the Finnish reforms have left trend productivity unchanged (Friebel *et al.*, 2004). The

© OECD 2004

operation of tracks and services was separated into different companies (with the same parent company) in 2003 and the market for international freight services within the EU is beginning to be opened up. The latter, however, is unlikely to have much of an impact, as the Finnish railway gauge is not compatible with most EU members.[26] Furthermore, there are no plans to open the more important international railway freight service to Russia. More generally, as only non-EU members employ rolling stock compatible with the Finnish railway gauge, only the fully publicly-owned incumbent has rolling stock of sufficiently high quality and safety standards to be used in Finland. Thus, a key issue in promoting competition in the sector is to secure new service providers' access to the rolling stock. This requires the establishment of non-discriminatory rental rules and an independent rolling stock company, which should be in place prior to the opening up of national freight services to competition in 2008.[27] The reform process should be accelerated and extended to the formal separation of track and service provision combined with the opening up of competition in the area of passenger transport.

The *taxi market* is characterised by low entry costs, potentially fostering competition, but a number of non-cost factors tend to make for a non-competitive outcome in practice. There is a network effect in this transport segment: customers are given a single contact number to a central dispatcher that transmits the order (a so-called "call" system). In most Finnish cities, the taxis are members of one association, which operates the "call" system (only few cities have more than one) with a uniform tariff regime for its members. The tariffs are regulated under a maximum tariff system. However, the lack of competition often leads the actual tariffs to be equal to the maximum permissible. In addition, entry is controlled through a licensing system operated by the region. The issuance of new licenses is based on an assessment of demand, customer needs, financial requirements and other market data with the regions often relying on the taxi associations for such information. This reliance on "insiders" gives new entrants powerful incentives to become members of the associations, diminishing competitive pressures. In addition, these associations have also been at the origin of price cartels as witnessed in a string of recent cases, where taxi operators have co-ordinated their bid for municipal public procurement contracts for transport services.[28]

The Finnish *domestic air transportation sector* is smaller than in other Nordic countries, which may be explained by the concentration of the large cities in the south of the country. The sector is dominated by the (partly) government-owned carrier Finnair. Entry is not promoted by the common ownership and organisation of airports. The dominance of Finnair is further strengthened through co-operation agreements (including code sharing and frequent flyer programmes) with the second largest domestic carrier, which has a market share of 5.7 per cent. This dominant position also has an effect downstream in the market, as travel agencies tend to be dependent on the dominant carrier, raising the possibility of foreclosure of entry of both new carriers and travel agencies. The latter might

© OECD 2004

explain the fact that the five biggest travel agencies (of which two are subsidiaries of Finnair) sell the vast majority of all tickets. In addition, Finnair also dominates the computerised reservation system (CRS) through its 95 per cent holding in Amadeus Finland – the dominant system in Finland.[29]

Almost all the airports are operated by the Finnish Civil Aviation Administration (FCAA), which is a state enterprise under the Ministry of Transport and Communications.[30] A uniform aviation charge – across all carriers and airports – is applied to all airports independent of the actual cost of operating individual airports.[31, 32] Thus, there is a cross-subsidy from the few profitable international airports to the non-profitable regional airports.[33] Such cross-subsidisation leads to inefficient allocation of resources and is not conducive to competition as, for example, "no-frill low-cost" carriers are not able to exploit fully their cost advantages (Box 2.9). The cross-subsidisation lowers the cost of using regional airports in sparsely populated areas, helping to maintain air transport services to such areas. However, insofar as the latter is considered politically desirable, a more cost-efficient and pro-competitive measure would be to impose a public service obligation on such routes and purchase such services through competitive

Box 2.9. Different forms of variable airport charges

A system of differentiated airport charges may be conducive to a more efficient use of available airport capacity and to intensify competition. Such systems can take different forms, with each having different effects.

a) If charges depend on traffic intensity (*i.e.* varying over the day) resource allocation would be improved as such a charge system would directly address and alleviate congestion problems.

b) If charges depend on cost, they vary between high and low cost airports, which would make smaller regional airports more commercially attractive to new entrants, such as low-cost carriers, thus increasing competitive pressure in air transport. The increased traffic flow to smaller airports would also remove, at least partially, the present need to subsidise small airports.

c) Service dependent charges would facilitate entry of "no-frills" carriers as they tend to demand simpler and cheaper airport services as they are independent of catering services, interlining of baggage handling, aircraft docking, etc.

d) Fare dependent charges establish a connection between the carriers' costs and revenues and again would facilitate entry of low-cost carriers. However, such a charge system will have little effect on resource allocation and make the airport authorities' revenue stream more unpredictable as it will come to depend on carriers' pricing policy.

© OECD 2004

tenders.[34, 35] Such a measure should be combined with setting airport charges to reflect the true cost of each individual airport, allowing the tenders to reveal the full cost of servicing public service obligation routes and airports to differentiate in terms of cost and quality. The latter would be facilitated by privatisation of the airports. An additional measure would be to introduce a market-based system for slot allocation to replace the current "grand-fathering" system.

Postal services

Liberalisation of postal services is following the EU postal directive, which implies a *de jure* opening of the market, but *de facto* competition remains limited as new entry is prevented by high mandatory public service requirements. These are stipulated in the Postal Services Act and include five-day per week service and next day delivery for 95 per cent of all letters. Moreover a Universal Service Obligation (USO) fee is collected from companies with restricted licenses, which may be as high as 20 per cent – although currently Post Finland receives no compensation for its universal service obligations. However, imposing a USO fee on competitors may create a cost disadvantage for them as the associated benefits are larger than the assessed cost (Gönenç *et al.*, 2001). This points to the need for determining the compensation for the USO through an analysis of the associated costs and benefits – the latter arising from such factors as having a nation-wide brand and network. Sweden and New Zealand have carried out a cost-benefit analysis, which in both cases have led to the assessment that the cost of USO is balanced by the associated benefits, thus the incumbents are not receiving any compensation. Furthermore, in a funded system, the competitive disadvantage of imposing such an obligation on one operator is eliminated by the subsidy, removing the need to impose USO on all operators. Moreover, if the net cost of USO is found to be positive then such obligations should be financed through a fiscal transfer, since universal services benefit the entire economy, which would have the additional benefit of making the cost of USO explicit to taxpayers.

The incumbent Post Finland also enjoys a range of other advantages over its competitors. The government-owned company (ownership oversight is with the Ministry of Transport and Communication and FICORA is the regulator) is dominating the postal market. The company has ample possibilities for cross-subsidising its competitive activities with its revenues from the non-contested standard letter market (accounting for about 40 per cent of overall revenue) and the handling charges for VAT payments (Box 2.10).[36] Cross-subsidisation is prevented – in principle – by a requirement on Post Finland to separate its activities within its internal accounts, although the lack of capital accounting makes this unlikely to suffice. In addition, a time-consuming license application process hampers entry and the granted licenses are often restricted to three years despite the maximum legal limit of 20 years, which is considered to be too short to recuperate the sunk

© OECD 2004

Box 2.10. **VAT handling charges for purchases abroad**

Post Finland (Posti) is providing a custom clearance service in connection with VAT payments for goods purchased abroad through post-order catalogues and the Internet. The company is allowed to charge EUR 32 for smaller packages, which is supposedly a cost-based charge. However, similar charges in other Nordic countries are half or less of the Finnish charge. Other countries, such as France and Germany, have no charge, but ensure VAT compliance through spot checks by the tax authorities on the premises of the postal providers. In a thinly populated country like Finland, the evaluation of the correct size of the charge should not only include cost considerations, but also the effects on promoting competition in the retail sector. The potential for doing so is huge considering that Internet usage is relatively high in Finland and already in 1999 as many as 7 per cent of the population had made purchases over the Internet (Peltonen and Innamaa, 1999).

cost of establishing a postal network that can fulfil the required service standards (OECD, 2003). Entry is further hampered by Post Finland's ownership of the address register and by the incumbent not being obliged to provide access to its infrastructure, which is subject to commercial negotiations.

The public sector may stimulate competitive markets

Public procurement is both a vehicle to improve public sector efficiency and a means to increase product market competition. The public procurement market is, at some 15 per cent of GDP, comparable with the EU average, but still smaller than in other Nordic countries. Private producers are supplying about 20 per cent of the market, particularly in social and health services at the local government level, but there are large differences in the degree of outsourcing between municipalities (Ministry of Finance, 2003). Indeed, developing a private sector supply of welfare services is an important step to mitigate the fiscal implications of ageing as highlighted in Chapter 4. Moreover, a large part of public procurement is below the EU threshold, pointing to the importance of national measures to secure competitive tendering. An electronic information exchange (JULMA) for public tendering was established in 2002 and to further broaden the scope and knowledge of public procurement, an advisory board was founded by the central government and the association of local municipalities in early 2004. This body will provide free advice with respect to procurement legislation and to strategic consideration in terms of production, information and education (Ministry of Finance, 2003). These measures may alleviate some problems arising from the decentralised public sector organisation with small local government units and large geographic distances, which may increase transaction costs and make it difficult to obtain economies of scale

© OECD 2004

(Joumard *et al.*, 2004). The dispute settlement body is the Market Court, which provides a legal review and, as noted above, spends a considerable amount of time on relatively minor matters. A more efficient use of resources would be to establish an administrative public procurement authority (endowed with sanction powers) to address minor disputes, the non-issuance of tenders (particularly in the absence of complaints), and broader issues, such as proposing measures to secure a level playing field whenever private and public units are competing (Box 2.11). The Market Court should decide more substantial disputes and hear appeals against this authority's decisions.

Box 2.11. Competition problems when public units participate in market activities

A central entity (Trading House Hansel) is handling larger procurements for all levels of government to exploit economies of scope and scale. However, smaller businesses have complained that this system has prevented direct sale to local government. Another concern has been the creation of monopolistic structures, such as when municipalities combine to offer educational services to tenders issued by the Labour Administration. The competition problems in the latter case are amplified when the public providers are not separated out into a company (FCA, 2002). Even when the latter is the case, the playing field is uneven if the company is engaged in several activities, as is the case in waste management (FCA, 2003). Additional problems of entry arise when incumbent providers receive long-term tender contracts.

The competition law applies in full to government activities, unless these are regulated by separate laws. There are jurisdiction complications, though, in enforcing the competition law against public production that is not taking place in a legally separate identity. When the latter is the case, the Competition Authority has no authority to order corrections, a point that was made clear in a case involving private and public owners of tennis facilities. Other sources of distortion, which the competition law cannot easily reach, are subsidies that are provided for carrying out social task, such as when private and public laundry services are competing, but where the latter received subsidies for employing handicapped people.

In-house providers of services offered for tendering often enjoy an advantage if they do not have to take into account the true cost of capital when submitting bids. They may benefit from an exemption from corporate taxation, an issue that has arisen in the electricity sector. In principle there is VAT neutrality between private and public producers, with public producers receiving a VAT refund of about 5 per cent (the estimated average amount of VAT spent on inputs). However, public producers also receive this refund in the case of VAT-free services, which puts the private producer at a disadvantage, implying for example that it can be cheaper for municipalities to arrange meal services in-house (Joumard *et al.*, 2004).

© OECD 2004

Macroeconomic effects of regulatory reform

The macroeconomic benefits of reforms to increase competitive pressures can be substantial. The propagation and channels through which product market reforms affect the economy depend on a number of factors (Box 2.12). Assessing the impact of such reforms is a complex undertaking, but at least two simple approaches are useful to provide some rough indications. First, including synthetic indicators of regulatory stance in regressions of aggregate performance variables is a relatively straightforward method that does not require assumptions about the character of reforms. Following this method, Nicoletti *et al.* (2001) estimated that product market reforms in Finland in the 1980s and 1990s have increased the employment rate by about 2 percentage points and if Finland moved towards best practice for product market liberalisation in the OECD, then the employment rate could increase by another ¼-½ percentage point.

Box 2.12. Economy-wide effects of sectoral reforms

In general, sectoral reforms change relative prices, which improve overall resource allocation and consumer welfare – effects that are further enhanced by dynamic effects. Reforms within a sector improve the sector's economic performance through a number of channels.

- Reforms reduce output prices via a lowering of price-cost margins, which in turn diminishes the scope for rent sharing, putting downward pressure on wage *premia* in the sector. Aggregate real wages, however, will be increased as output prices decline.
- Reform forces firms to reduce slack in the use of input factors (boosting X-efficiency), enhancing labour and/or capital productivity.
- In addition to these static gains, a more competitive environment stimulates efforts to innovate and adopt new technologies, which raises productivity growth.

Quantifying the effect of reforms on sectoral performance and their timing is bound to be subject to considerable uncertainty, and uncertainties rise further, when assessing the economy-wide effects. An example is that a sectoral reduction in wage *premia* may have beneficial effects on wage formation more generally. Furthermore, propagation of sectoral effects onto the wider economy depends on labour market institutions, as the initial effects of a sectoral reform may be a reduction in employment, which has to be employed elsewhere in the economy – highlighting the importance of a flexible labour market in maximising the economy-wide effects of reforms.

© OECD 2004

Table 2.6. **Assumptions and effects of pro-competitive regulatory reform in selected industries**

	Energy	Post and telecommunications	Road transport and railways	Retail distribution	Professional services[1]	Community social and personal services[2]	Total economy
Assumptions (per cent change)							
Costs of intermediate inputs	0.0	0.0	–5.0	–5.0	0.0	–5.0	
Labour costs							
Labour productivity	–7.5	–15.0	–10.0	–7.5	–10.0	–10.0	
Wages	–12.5	–7.5	–5.0	0.0	–10.0	–5.0	
Capital costs	–5.0	–10.0	–15.0	–10.0	0.0	–10.0	
Profits	–5.0	–15.0	–10.0	–5.0	–10.0	0.0	
Price elasticity of demand	–0.5	–0.5	–0.2	–0.5	–0.5	–0.2	
Sectoral effects (per cent)							
Direct price effect	–4.1	–11.9	–10.7	–6.9	–8.9	–11.3	
Price-induced output effect	2.0	6.0	2.1	3.5	4.5	2.3	
Employment, price-induced effect[3]	–5.5	–9.0	–7.9	–4.0	–5.5	–7.7	
Economy-wide effect on (per cent)							
Producer prices, direct effect	–0.1	–0.2	–0.6	–0.6	–0.4	–1.4	–3.2
Producer prices, total effect[4]	–0.2	–0.3	–0.9	–0.8	–0.7	–1.4	–4.2
Labour productivity (weighted by share in aggregate output)	0.2	0.2	0.5	0.6	0.4	1.2	3.3
Memorandum items:							
Share in aggregate employment	0.9	2.1	5.3	11.5	4.2	17.6	
Share in aggregate value added	2.5	2.0	6.6	8.9	3.0	10.9	
Share in aggregate output	2.9	1.5	5.3	8.0	4.4	12.3	

1. ISIC74, Other business services.
2. Effects from improving public procurement policies and greater use of competitive tendering.
3. Resulting from the direct effect via productivity and the induced offsetting effect via higher output.
4. Combines the direct effect of the fall in prices of the sector being deregulated with that resulting from the fall in prices in other sectors due to lower input costs.

© OECD 2004

The second approach makes explicit assumptions about the potential for product market reforms to reduce price-cost margins and to enhance productive efficiency and performance. Following this approach, Table 2.6 presents estimates of the possible economic effects on sectoral and aggregate economic performance of reforms in network industries, distribution and professional and community services. The estimates suggest that regulatory reform in these sectors may increase aggregate labour productivity by 3 to 3½ per cent and could lead to a decline in producer prices by 3 to 4 per cent. The estimates rely on judgemental assumptions about the scope for reducing price-cost margins and increasing labour and capital productivity within each sector based on a realignment with international practices. The economy-wide effects are obtained by using the 1995 input-output tables. No aggregate employment gains were factored in, even though dynamic effects of regulatory reform are likely to lower structural unemployment and increase labour supply. The estimates do not include effects of increased dynamic efficiency and improved resource allocation, which means that they are on the conservative side.

Overall assessment and scope for further action

Finland has made considerable progress in introducing and promoting competition. However, the initial benefits from liberalising and opening up markets to more competition are waning. Available indicators point to relatively weak competitive pressures across a number of sectors. Thus, further reforms are required to promote competition, which should contribute to boosting growth as well as increasing the economy's resilience to shocks. The next phase of reforms requires both fundamental changes in the regulatory approach and more incremental measures to expand the scope for competition by exposing larger segments of the economy to increased competition.

The basic framework for general *ex post* regulation has a good foundation with the Finnish Competition Authority as a modern independent competition authority with an appropriate focus on promoting competition. The resources and tasks of the authority should be re-balanced, with greater attention to problems of horizontal collusion. The effectiveness of the new leniency programme should be enhanced by issuing fines sufficiently large to ensure deterrence and by introducing personal liability to create incentives for individuals' participation. The FCA should direct more of its resources on cartels and other restraints. The role of sector regulators should be enhanced. Although more elements of *ex ante* regulation are being implemented, such regulatory oversight of liberalised network industries should be strengthened further to support the introduction of competition and to prevent companies from exploiting their local monopoly power. Non-discriminatory third party access charges need to be applied more effectively and formal separation of vertically-integrated companies pursued.

© OECD 2004

Regulatory capture, and over regulation should be prevented and as competition becomes viable in these sectors, the regulatory approach can be replaced by the application of general competition principles. Efforts to promote competition in network industries would also be helped by a more rigorous and transparent evaluation and competition-neutral financing of universal service obligations.

Another important measure to increase competitive pressures is to expose the large sheltered sector to increased foreign competition by removing remaining barriers to trade, particularly in agriculture, as well as addressing indirect barriers to inward FDI such as high effective marginal taxation and public ownership. A further step in this direction is to level the playing field between public and private businesses through a broad-based privatisation programme as well as introducing clear and transparent rules for public participation in market activities. Furthermore, an administrative public procurement authority should be established to improve the functioning of this market and to relieve the Market Court from being involved in minor cases. For the latter, an additional measure would be the introduction of a minimum jurisdictional threshold. Besides these general recommendations, a summary of the more detailed recommendations is presented in Table 2.7.

© OECD 2004

Table 2.7. **Summary of recommendations**

The competition framework needs strengthening

- The FCA should direct more of its resources towards addressing cartels and other restraints. The Market Court should be freed from minor public procurement disputes by establishing an administrative public procurement authority and introducing a minimum jurisdictional threshold. The *de facto* independence of the FCA should be recognised formally.
- Sanctions need to be substantial and credible to secure deterrence. Moreover, individual liability should be considered. Both measures will contribute to increase the effectiveness of the new leniency programme.
- As a part of a comprehensive programme to expand the role of competition, remaining import barriers, particularly in agriculture, should be removed and implicit restrictions on inward FDI in the form of high effective marginal taxation and public ownership should be addressed to increase foreign rivalry.
- In publicly-owned companies formal separation between competitive and non-competitive activities should be introduced. The playing field *vis-à-vis* private companies should be levelled by removing public unit's tax advantages. To remove the conflict between the state's regulatory role and its ownership interests, the ownership function of publicly-owned companies should be concentrated in a ministry without regulatory oversight. However, the preferred solution should be an extensive privatisation programme.

Regulation in retail distribution should be relaxed

- Shop opening and zoning laws should be reviewed to facilitate new entry.
- National agricultural subsidies should be removed and be replaced by income support, if deemed necessary, to increase competitive pressures from abroad.
- Remaining state monopolies should be removed to increase economies of scope.

Sector regulation needs comprehensive reforms

- The role of sector regulators should be enhanced to support the introduction of competition and to prevent companies from exploiting their local monopoly power. Non-discriminatory third party access charges need to be applied more effectively and formal separation of vertically-integrated companies pursued. Regulatory capture and over regulation should be prevented and as competition becomes viable the regulatory approach can be replaced by the application of general competition principles.
- A common approach to universal service obligations needs to be introduced, entailing cost-benefit analysis to determine the net cost of such obligations, which should be financed through a fiscal transfer.
- The successful initial liberalisation of the *electricity sector* should be secured by expanding interconnection capacity to the other members of Nord Pool. Relatively detailed retail price disclosure requirements should be reduced to a minimum.
- Measures to restructure the *natural gas sector* are required to facilitate new entry. This measure should be combined with a general opening up of the market and the introduction of *ex ante* regulation.
- In the *telecommunication sector* a more effective *ex ante* regulation is required, particularly to counter the market power of local telecommunication companies. To stimulate the creation of network competition, ownership separation of non-telecommunication activities should be implemented. Interconnection and termination charges should become subject to *ex ante* regulation.
- In the *postal sector*, new entry should be stimulated by relaxing service requirements, speeding up license application processes and extending license periods to enable new entrants to recuperate initial sunk cost investments. Moreover, non-discriminatory access to the incumbent's infrastructure should be secured. Furthermore, competitive tendering for the USO should be introduced and charges should be cost-based.
- In the domestic *air transport sector*, cost-based user charges for airport services should be introduced. Cross-subsidies of regional airports should be terminated. They should be privatised and unprofitable airports financed through a fiscal transfer. A market-based system for slot allocation should be introduced to improve resource allocation.
- The liberalisation process in the *railway sector* should be accelerated, including formal separation of track and service provision and securing non-discriminatory third party access to rolling stock.
- Public regulation of the *taxi market* should be reviewed to increase competition in the sector.

Public procurement can be used to promote competition

- An independent dispute settlement authority for public procurement with sanction powers should be introduced. The activities of such an authority should also include securing a level playing field whenever public units participate in market activities. To further this objective, public units that participate in market activities should be separated from public administrations.

© OECD 2004

Notes

1. The communication equipment sector has enjoyed annual productivity increases of nearly 20 per cent over the decade as well as a tripling of the sector's share in total employment.
2. SME support programmes have been found to underpin private spending on R&D, perhaps offsetting capital market imperfections (Hyytinen and Toivanen, 2003). However, public programmes providing business services support do not appear to alleviate any obvious market failures, raising the concern that such programmes might be crowding out otherwise profitable private business.
3. Investigating home bias via a gravity equation, Chen (2004) also found that Finland is more closed than the large EU countries. She argues that the late accession of Finland to the Union may be a possible reason for the apparent lower degree of market integration.
4. There are two additional issues concerning beverage containers. There is a differential tax treatment of refillable (tax exempted) and of reusable (standard tax rate of 16 cents per litre) containers – and if the latter does not belong to a recycling system the tax rate is 67 cents per litre. There are three different recycling systems, which have raised competition concerns with respect to dominance by large incumbents and entry for small companies and importers.
5. Other barriers to inward FDI include special establishment permissions in a range of business activities for entities from outside the European Economic Area and that only companies established in Finland can avail themselves of pension insurance. In addition, other factors, like the small size of the Finnish market and its peripheral location in relation to the EU market, may also reduce the attractiveness for foreign investors (OECD, 2003a).
6. Another concern is information asymmetries between state enterprises and private companies. A recent Supreme Administrative Court ruling argued that state enterprises are public authorities, which must obey the Act on Openness of Government Activities, implying that information provisions applied to state enterprises are different from those applicable to private companies (Finnish Competition Authority, 2003).
7. For a more detailed discussion of the Finnish retail sector, see Marjanen (2000). The author also finds the survival of local retailing is independent of the existence of large format retailers, but most rely – less surprisingly – on attracting a larger customer base.
8. The sector's restructuring halved the number of shops and increased the supermarkets' market share from 3 per cent to a bit less than a quarter. In addition, from the mid-1980s to the beginning of the 2000s the number of rural shops fell from more than 2 600 to less than 900 (Home, 2002).
9. In addition, the finding that large grocery retailers have larger mark-ups could indicate that such firms prefer to use (at least partly) their more efficient operations to increase profits (Aalto-Setälä, 2002).

© OECD 2004

10. The sale of beer is not completely liberalised as the National Product Control Agency has issued an instruction that beer cannot be sold at prices below cost of production.
11. The sharp fall in relative prices for processed food in early 2004 is related to the lowering of indirect taxes on alcohol.
12. There is some evidence that the establishment of large-scale retailers has led to the closure of small grocery and speciality shops, reducing consumer choice (Järvinen and Saarinen, 2003).
13. Current shop opening hour regulations restrict opening hours from 07:00 to 21:00 during weekdays and from 07:00 to 18:00 on Saturdays. Furthermore, only shops smaller than 400 square meters can be open on Sunday afternoons throughout the year.
14. The rules stipulate that architectural competitions (mostly organised by large public entities) must conform to the association's competition rules, which give members of the association both the right to participate in such competitions and to sit on the judging panel. This organisation of competitions effectively constitutes a barrier to entry as only members of the association can participate in competitions that are organised in collaboration with the association. The FCA has ruled against these rules, but the association has appealed with the case still pending.
15. Generation is very diversified, relying on nuclear power plants (27 per cent of generation), coal-fired plants (21 per cent), hydropower (16 per cent), natural gas (13 per cent), a relatively high share of renewable energy sources, such as peat (10 per cent) with the rest provided by decentralised combined heating and power (CHP) systems.
16. For a typical household (medium-scale industrial customer), the components of the electricity price consists of 35 per cent (22 per cent) that can be attributed to network charges, 39 per cent (53 per cent) to the price of electricity and the remaining 26 per cent (25 per cent) to taxes and VAT.
17. To enhance efficiency, the EMA has allowed incentive bonuses, but so far only two high efficiency distributors have been allowed to benefit and no low efficiency distributor has been affected.
18. Currently, EMA must refer its findings to the Supreme Administrative Court with the possibility of time-delaying appeals.
19. The threshold of 200 GWh transmitted electricity (covering at least 108 000 customers) means that more than 85 per cent of all distributed electricity will flow through legally unbundled lines.
20. The range of corrective measures in the Act on Competition Restrictions is meant to safeguard conditions for competition and not to solve disputes between market participants (FCA, 2003). Another sign that access charges are not always cost-based is the rule that in case of a merger, the merged companies can apply the highest of their access charges.
21. Russian gas comes on a 20 year take-or-pay contract (signed in 1994) with Gazprom prices tied to those of other energy resources. Most of the demand comes from combined heat and power plants, accounting for nearly ¾ of all natural gas.
22. Gasum Oy is responsible for all imports, transmission and wholesaling and has ownership stakes in local distribution companies. The company has a diverse ownership structure, with the government holding 24 per cent, the partly government-owned Fortum 25 per cent, the Russian Gazprom 25 per cent, the German Ruhrgas 20 per cent and Finnish forestry companies holding the remaining shares.
23. Gasum cooperates with EMA in a sort of *ex ante* consultation before undertaking major spending to assure that the regulator approves the company's plans.

© OECD 2004

24. Some observers see no obvious reasons why gas production, gas transport, gas storage, local gas distribution and retailing should be provided by one company (Newbery, 2004).

25. Such a price squeeze has also been found in other telecommunications segments. Sonera, for example, has been charging higher prices for wholesale transmission of content (logos and ringing tones) than retail charges for the same services to its own customers.

26. If the currently debated privatisation of the Russian railway operator is decided and implemented, then the perspectives for international competition change substantially.

27. A new development in this respect is the creation of a company – jointly owned by the incumbent (35 per cent) and municipalities in the Helsinki area – which is to purchase and lease rolling stock for commuter traffic in the metropolitan area.

28. Another source of revenue for taxi owners is the secondary car market, where they can exploit the tax exemptions granted to taxis.

29. Bohrenstein (1992) observed that airlines used the CRSs to announce future price changes to elicit market responses without the airlines actually changing any prices. The only fares not listed on CRS systems are corporate rates negotiated directly with each individual customer. In Finland, the FCA recognises that these problems also extend to the fares of tour operators (revealed in the Finnmatkat case in April 2000). Switching costs for CRS systems are considerable (often requiring new support systems), creating lock-in effects and hampering entry of other CRS systems. Other competition concerns relate to the possibility for partial search (such as specifying airlines or alliances).

30. In addition, an independent unit of the FCAA – fully financed through cost-based fees – is responsible for air traffic safety. In addition to the FCAA airports, there are two municipal airports.

31. Airport charges typically include passenger, take off, en route navigation, and terminal navigation charges. Apart from the En Route Air Navigation Facility Charge, they are usually not directly cost-based. The charges are set to include a profitability target for returns on initial capital of 4 per cent.

32. A previous charge system with a differentiation between domestic and intra-EU flights and with a frequency-based discount system was deemed to be infringing EU law in 1999. Particularly, it was noted that the former differentiation did not reflect differences in costs and thus constitute discriminatory landing charges (European Commission, 1999).

33. Of the FCAA administered airports, 19 out of a total of 25 have runways sufficiently long to take international flights.

34. Currently, none of the 21 major domestic routes is run as a public service obligation route (The Nordic Competition Authorities, 2002).

35. The following principles are important to observe if public procurement in this area is to promote competition. Public purchases should be tendered in small portions to allow new small entrants to bid. Preference clauses should be included stipulating that the government is always allowed to use cheaper or better quality services offered by someone else. Fixed fares over a certain time lapse are preferable to percentage discounts as the latter may tend to bid up the fare for all other clients.

36. Only one other company has obtained a post license, although it has not yet commenced operations.

© OECD 2004

Bibliography

Aalto-Setälä, V. (2001), "The Effects of Imperfect Information on Pricing – Why are there Different Prices for the Same Product", National Consumer Research Centre, 8/2001.

Aalto-Setälä, V. (2002), "The Effect of Concentration and Market Power on Food Prices: Evidence from Finland", *Journal of Retailing*, No. 78.

Alho, K.E.O. (2002), "The Equilibrium Rate of Unemployment and Policies to Lower it: the Case of Finland", ETLA *Discussion Paper*, No. 839.

Borenstein, S. (1992), "The Evaluation of US Airline Competition", *Journal of Economic Perspectives*, No. 6.

Chen, N. (2004), "Intra-National *versus* International Trade in the European Union: Why Do National Borders Matter", *Journal of International Economics*, No. 63.

Daveri, F. and O. Silva (2004), "New Economy Growth", *Economic Policy*, April 2004.

Energy Market Authority (2002), *Annual Report of the Energy Market Authority*, Helsinki.

European Commission (1999), "Commission Decision of 10 February 1999", *Official Journal of the European Communities*, Brussels.

European Commission (2002), "Directive 2002/22/EC of the European Parliament and of the Council of 7 March 2002 on Universal Service and Users' Rights Relating to Electronic Communications Networks and Services (Universal Service Directive)", *Official Journal of the European Communities*, Brussels.

European Commission (2003a), *Report on the Implementation of the* EU *Electronic Communications Regulatory Package*, Brussels, COM(2003)715 Final.

European Commission (2003b), *Technical Annexes of the Ninth Report on the Implementation of the Telecommunications Regulatory Package*, Bruxelles.

European Commission (2004), "Third Benchmarking Report on the Implementation of the Internal Electricity and Gas Market", *Commission Staff Working Paper*, Brussels.

Finnish Competition Authority (2002), *Yearbook* 2002, Helsinki.

Finnish Competition Authority (2003), *Yearbook* 2003, Helsinki.

Friebel, G., M. Ivaldi and C. Vibes (2004), "Railway (De) Regulation: A European Efficiency Comparison", *http://ssrn.com/abstract*=505302.

Gönenç, R., M. Maher and G. Nicoletti (2001), "The Implementation and the Effects of Regulatory Reform: Past Experience and Current Issues", OECD *Economic Studies*, No. 32, 2001/I.

Hella, H. and R. Mankinen (1999), "Alcoholic Beverage Taxation: Alternatives and Impacts", Summary of ETLA Series B 136, Helsinki 1997, ETLA *Discussion Papers*, No. 696.

Home, N. (2002), "Rural Consumers' Patronage Behaviour in Finland", *International Review of Retail, Distribution and Consumer Research*, No. 12:2, April.

© OECD 2004

Hyytinen, A. and O. Toivanen (2003), "Do Financial Constraints Hold Back Innovation and Growth? Evidence on the Role of Public Policy", ETLA *Discussion Papers*, No. 820.

IEA (2004), *In-Depth Review of Finnish Energy Policies*, Paris.

Järvinen, R. and P. Saarinen (2003), "Evaluation of the Competitive Effects of Large Retail Units – the Kirkkonummi Prisma in an Evaluation Framework", *National Consumer Research Centre Publications*, 3/2003.

Joumard, I., P.M. Kongsrud, Y.S. Nam and R. Price (2004), "Enhancing the Effectiveness of Public Spending: Experience in OECD countries", OECD *Economics Department Working Papers*, No. 380, OECD, Paris.

Malirinta, M. (2004), "Creative Destruction in Finnish Manufacturing", *The Finnish Economy and Society*, The Research Institute of the Finnish Economy, No. 1.

Marjanen, H. (2000), "Retailing in Rural Finland and the Challenge of Nearby Cities", *International Journal of Retail and Distribution Management*, Vol. 28, No. 4/5.

Ministry of Finance (2003), "Product and Capital Market Reforms in Finland", *Economic and Economic Policy Surveys*, No. 6, Helsinki.

Ministry of Trade and Industry (2004), *Evaluator Report of the State's Ownership Policy*, Helsinki.

Montel Powernews (2003), No. 7-8/2003.

Newbery, D.M. (2004), "Privatising Network Industries", CES*ifo Working Paper*, No. 1132.

Nicoletti, G., A. Bassanini, E. Ernst, S. Jean, P. Santiago and P. Swaim (2001), "Product and Labour Market Interactions in OECD Countries", OECD *Economics Department Working Paper*, No. 312, OECD, Paris.

Nicoletti, G., S. Golub, D. Hajkova, D. Mirza and K.Y. Yoo (2003), "Policies and International Integration: Influences on Trade and Foreign Direct Investment", OECD *Economics Department Working Paper*, No. 359, OECD, Paris.

Nicoletti, G. and S. Scarpetta (2003), "Regulation, Productivity and Growth: OECD evidence", OECD *Economics Department Working Paper*, No. 347, OECD, Paris.

The Nordic Competition Authorities (2002), *Competitive Airlines – Towards a More Vigorous Competition Policy in Relation to the Air Travel Market*, Report from the Nordic Competition Authorities, No. 1/2002.

OECD (2000), *Competition in Professional Services*, Paris.

OECD (2003a), *Reviews of Regulatory Reform – Finland. A New Consensus for Change*, Paris.

OECD (2003b), *Agricultural Policies in OECD Countries*, Paris.

Paterson, I, M. Fink, A. Ogus, J. Merz, F. Fink and H. Berrer (2003), *Economic Impact of Regulation in the Field of Liberal Professions in Different Member States. Regulation of Professional Services*, Final Report – Part 1 Study for the European Commission, DG Competition, Institute for Advanced Studies, Vienna.

Peltomäki, M. (2001), "The Marketing Margin Calculations of Foodstuffs in 1997-1999", in Borgen, S.O., *The Food Sector in Transition*, Nordic Research, Proceedings of NJF-Seminar No. 313, June 2000. NILF-report 2001:2.

Peltonen, M. and I. Innamaa (1999), "Electronic Commerce in Finland", *European Regional Review*.

Sappington, D. and G. Sidak (2003), "Competition Law for State-Owned Enterprises", *Antitrust Law Journal*, Vol. 72/2.

© OECD 2004

Seabright, P. (2003), *The Economics of Passenger Rail Transport – A Survey*, IDEI Report #1 on Passenger Rail Transport, Toulouse.

Väänänen, L. (2003), "Public Provision of Business Support Services in Finland", ETLA *Discussion Papers*, No. 850.

Willner, J. (2003), "Privatisation and Public Ownership in Finland", CES*ifo Working Paper*, No. 1012, presented at CESifo Conference on Privatisation Experiences in the EU, January.

Yoo, K.Y. (2003), "Corporate Taxation of Foreign Direct Investment Income 1991-2001", OECD *Economics Department Working Paper*, No. 365, OECD, Paris.

© OECD 2004

3. Raising the employment rate

An ambitious employment target is appropriate given rapid ageing

A major aim of the government is to raise employment by 100 000 by the end of the current electoral period in 2007, implying an increase in the employment rate from 67½ per cent in 2003 to about 70 per cent, which is also the EU-wide Lisbon target. This target is an intermediate step towards realising the more ambitious objective of a 75 per cent employment rate by the end of the following electoral period in 2011. Achieving the employment rate target is important to mitigate the shock to both living standards and fiscal sustainability from rapid ageing, as highlighted in Chapter 1. International benchmarking suggests the greatest scope for doing so is by raising the employment rate of younger and older workers as well as by tackling the broader problem of mismatch. This chapter evaluates the measures that have been taken in each of these areas and considers what further measures would help to reach the target. In this context, and given the emphasis in the current government's strategy, the chapter also considers the best way to implement tax cuts on labour, as well as the contribution from active labour markets policies (ALMPs).

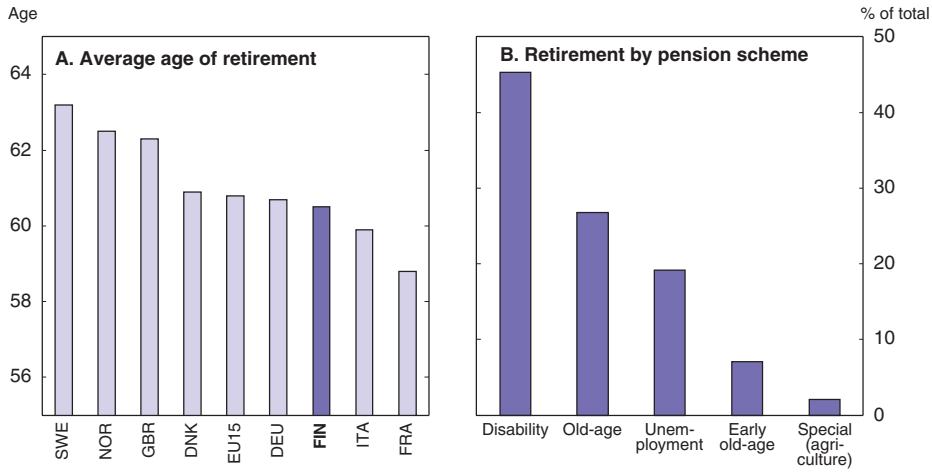
Raising the employment rate of older workers

Despite a statutory retirement age of 65, the effective age of retirement is estimated to be just over 60 in 2002, which is the lowest among the Nordic countries and among the lowest in the European Union (Figure 3.1, Panel A).[1] A wide ranging pension reform involving major changes to many aspects of the pension system will be implemented from 2005 onwards,[2] with one of the principal aims being to increase the average age of retirement and so raise the employment rate of older workers. As regards the impact on the employment rate of older workers, two broad elements of the reform can be distinguished:

1. I*ncreased financial incentives to retire later on an old-age pension* through the introduction of a flexible retirement age between 62 and 68, with a sharp rise in the accrual rate of pension rights after reaching the age of 63 and the abolition of the current ceiling on the maximum pension.[3]

© OECD 2004

Figure 3.1. **Retirement, by age and pension scheme**
2002



Source: Eurostat; Central Pension Institute, *Statistical Yearbook of Pensioners in Finland 2002*.

2. *Options for early retirement will be further curtailed*. The early retirement schemes are particularly important in explaining the relatively low retirement age in Finland. During 2002 only about one quarter of all new retirees retired to take the full standard old-age pension, with a further 7 per cent retiring early to take a reduced old-age pension (Figure 3.1, Panel B). The remaining two-thirds retired under various early retirement schemes, the most important being disability and unemployment pension schemes, which accounted for 45 and 19 per cent of all new retirees, respectively.

These changes and their possible effects are first discussed, before considering the case for further reform.

The 2005 *reform of old-age pensions*

Cross-country empirical evidence[4] suggests that retirement decisions can be strongly influenced by fiscal incentives, which can be separated into two components. The first is the replacement rate – *i.e.* the pension received as a proportion of working income prior to retirement. The higher the replacement rate, the greater will be the incentive to retire. The second component is the

© OECD 2004

change in net pension wealth from working an additional year and so forgoing an extra year of pension and paying a further year of contributions. If net pension wealth remains constant as a result of working an extra year, then the system is neutral, but if it falls then the system imposes an implicit tax on working.

The impact of the 2005 reform of old-age pensions can be evaluated in terms of its effect on these incentives (Figure 3.2). Mainly as a consequence of the abolition of the ceiling on the maximum pension and the higher accrual rates earned from the age of 63, the change in pension wealth for workers continuing to work in their sixties will be more positive after the reform. Indeed, for a worker in the early sixties the implied change in pension wealth from continuing to work for an additional year will be among the most favourable of the 15 OECD countries considered in Figure 3.2. Most importantly, the absence of a ceiling will avoid the current situation where continuing to work can lead to a sharp fall in pension wealth. In terms of the effect on the replacement rate, because old-age pension can no longer be drawn at the ages of 60 and 61 there will also be little incentive to retire on an old-age pension before the age of 62. From the age of 62 the reform is likely to raise replacement rates, which will, to some extent, counteract the incentive to continue working.

The net result of these conflicting effects on incentives is difficult to judge. It is likely that the "larger" reduction in the implicit tax on pension wealth and zero replacement rate at age 60 and 61, will dominate the "smaller" increase in the replacement rate from age 62 (where the relative size of these movements is judged according to the existing range of country experience represented in Figure 3.2). However, for these incentive effects to translate into a higher average age of retirement it is essential that alternative pathways to early retirement are also curtailed.

The 2005 *reform of early retirement schemes*

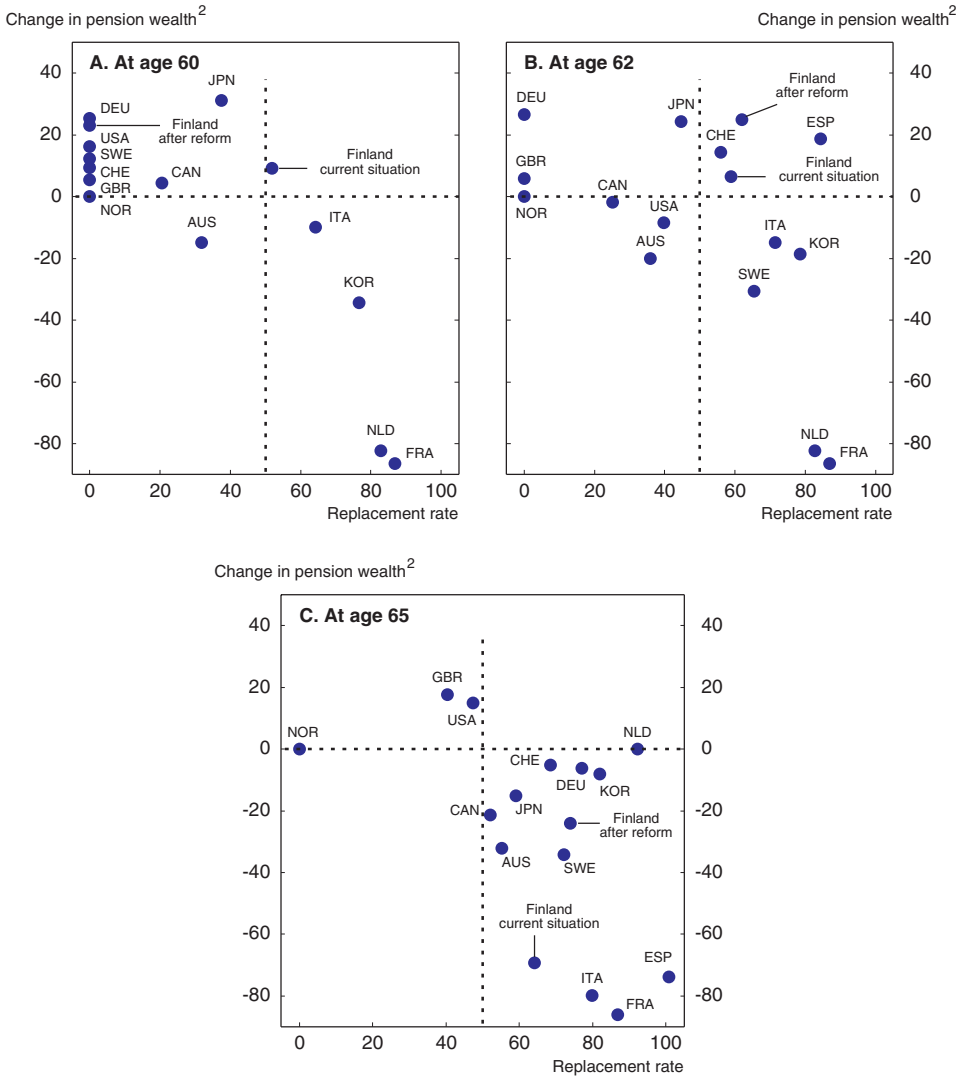
The fiscal incentives to use unemployment and disability benefits as an alternative pathway to early retirement are strong. For example, a person aged 55 receiving an average wage who stops working, either as a result of disability or unemployment, will benefit from a quite high initial replacement rate of about 60 per cent, and the change in pension wealth from an additional year of work is strongly negative. Moreover this result generalises across all older ages up to the official age of retirement at 65 (OECD, 2002a).

The early retirement pathway through unemployment

Early exit from the labour market is currently facilitated by the so-called "unemployment pipeline", whereby from the age of 57 the standard unemployment insurance period is followed by an extension to age 60, finally leading to an unemployment pension. An unemployment pension is paid to those aged 60 to 65

© OECD 2004

Figure 3.2. **Financial incentives to retire under regular retirement schemes**[1]
Per cent



1. Calculations are for a full-career worker with average earnings. The higher the replacement rate and the greater the fall in pension wealth (*i.e.* the more south-easterly the co-ordinate) the greater the incentive to retire.
2. Changes in pension wealth as a percentage of net annual earnings.

Source: OECD, "Increasing Employment: The Role of Later Retirement", *OECD Economic Outlook*, No. 72 and OECD calculations for effect of reform.

© OECD 2004

who have been long-term unemployed and received unemployment benefits for the maximum period, which is 500 days. This means that the "pipeline" leading to an unemployment pension already starts at the age of 55. The incidence of unemployment is calculated to be about twice as high for those who are old enough to qualify for the "pipeline", compared to those who are immediately below the age of qualifying for it (Ilmakunnas and Rantala, 2002). Further evidence of the distortionary effect on incentives can be seen from the sharp rise in age-specific registration-based unemployment rates from the age of 55 (Rantala, 2002). Moreover, there is a gap of more than 10 percentage points between the registered unemployment rate and the corresponding labour force survey unemployment rate for workers aged over 55, which is not apparent for younger age groups. This indicates that job search requirements for the unemployed over 55 may be weak, given that inclusion in the labour force survey measure of unemployment includes only those actively seeking work. Moreover, while the incidence of long-term unemployment rises with age, there is a clear jump in incidence at age 55-59 which accounts for 35 per cent of long-term unemployment, again indicating the importance of the unemployment pipeline.

Following the reform the minimum age for qualifying for the "unemployment pipeline" will rise to 57, and the unemployment pension will be abolished, but after the reform unemployment benefits can be drawn from the age of 57 up to 65 when certain conditions are met. The main effect of the reform should be to lower the incentive to stop working and claim unemployment benefit for those aged 55 and 56. The effect of the reform on those aged 57 and older may, however, be marginal. In addition, these changes only apply to those born after 1950, slowing the effect of the reform.

The early retirement pathway through disability

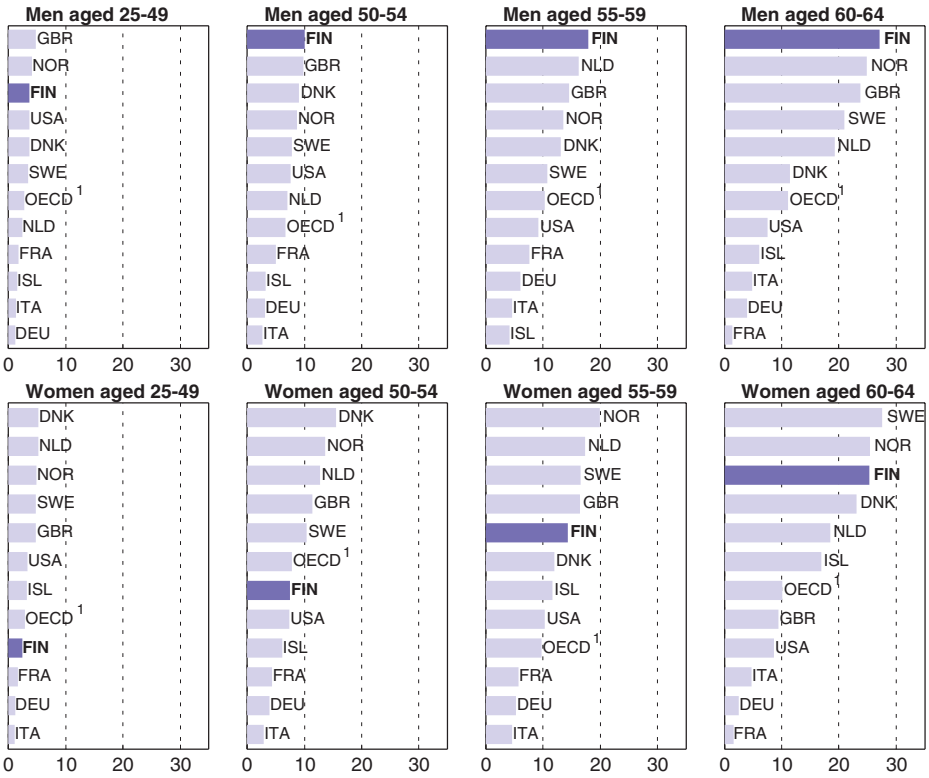
There are currently two forms of disability pension. The main disability pension is awarded to any person aged 16 to 64 who is certified as being incapacitated for work. In addition there is an individual early retirement pension that is available to those aged 60 to 64, for which the medical eligibility conditions are less strict. The reform will phase out the individual early retirement scheme, although this accounted for less than one tenth of all new retirees taking a disability pension in 2002. At the same time the medical conditions for obtaining the main form of disability pension will be relaxed for those aged over 60, so the net impact of the reform is unclear.

Moreover, there is still a concern that the curtailing of other paths to early retirement (including the "unemployment pipeline") may put further pressure on disability pensions. In particular there has been a link between disability and unemployment pensions in Finland during the 1990s, with the number of disability pensions declining while the number of persons in the unemployment

© OECD 2004

pension pipeline increased (Gould and Nyman, 2002). If this link also works the other way round, the effects of the reform on raising both the average effective retirement age and aggregate employment could be significantly damped. Indeed there are a number of OECD countries where disability benefits have effectively become a form of unemployment benefit with an adverse effect on labour market performance. Already inactivity in Finland because of illness or disability, especially among elderly males, is among the highest in the OECD (Figure 3.3).

Figure 3.3. **Inactivity because of illness or disability**
As a percentage of population in each age group, 2001



1. Average of 23 OECD countries for which data are available.
Source: European Labour Force Survey.

© OECD 2004

The early retirement pathway through a part-time pension

The part-time pension scheme has been the most rapidly growing early retirement scheme in recent years, in the three years to 2002 it accounted for 85 per cent of the growth in part-time jobs. It enables those over 56 to work part-time and be compensated for half of their income loss due to the reduction in working time while old-age pension rights continue to accrue at the same rate as if the person was working full-time at their previous level of earnings. Survey evidence suggests that a large proportion of part-time pensioners would have continued full-time work in the absence of a part-time pension, implying that the scheme is reducing effective labour supply. Under the 2005 reform the minimum age for a part-time pension will be raised from 56 to 58 and the accumulation of pension rights from part-time retirement will be halved (Table 3.1).

Table 3.1. **Changes in early retirement schemes in 2005 reform**

	Target group	Beneficiaries 2002 thousands[1]	Age restrictions	
			Currently	After reform
Early retirement schemes				
Disability pension	Disabled	247 (7.1)	16-64	Relaxed medical requirements 60+
Unemployment pension	Long-term unemployed	58 (1.7)	60-64	Phased out from 2009
Early old-age pension	Older workers	16 (0.4)	60-64	62
Individual early retirement	Sick and aged	20 (0.6)	60-64	Abolished
Agricultural pension	Agricultural workers	14 (0.4)	55-64	Unchanged
Related schemes				
Unemployment pipeline	Long-term unemployed	33 (0.9)[2]	55-64	57-65
Part-time pension	Part-time workers	40 (1.2)	56-64	58-68

1. Figures in brackets are expressed as a percentage of the working-age population in 2002.
2. Differences between numbers registered unemployed and the labour force survey measure of unemployment (which requires active job search), for the age group 55 to 64.

Source: Central Pension Institute; OECD calculations.

Why has the employment rate of older workers risen so sharply?

Understanding the reasons for the sharp rise in the employment rate of the age group 55-59, up 16 percentage points between 1995 and 2002, is important both for assessing future developments and the need for further reforms. Over the same period the employment rate of prime-age workers only rose 5 percentage points (Table 3.2), suggesting that favourable demand condition are not the only factor explaining the growth in employment of older workers. Indeed, a number of

© OECD 2004

Table 3.2. **Employment, unemployment and inactivity status**
In per cent of relevant population group

	Change 1995-2002			Level, 2002		
	Aged 55-59	Aged 60-64	Aged 30-49	Aged 55-59	Aged 60-64	Aged 30-49
Employed	16.2	7.7	5.0	65.0	26.1	82.9
Unemployed jobseekers[1]	–4.6	1.5	–5.2	13.6	4.5	8.4
Unemployment pensioners	–	5.2	–	–	21.1	–
Disability pensioners	–9.5	–16.2	–0.4	17.4	29.1	3.9
Early old-age pensioners	–	–0.3	–	–	5.4	–
Memorandum items:						
Unemployed (labour force survey)	–0.8	–0.5	–5.2	6.5	1.4	6.0
Part-time pensioners	6.5	4.0	–	6.8	5.4	–

1. Unemployed jobseekers are those registered at the Public Employment Office as a requirement to receive benefits, which differs from the labour force survey measure.
Source: Statistics Finland, Central Pensions Institute.

changes to early retirement schemes also undoubtedly played a role, although quantifying their individual contribution is difficult:

- Perhaps the most important change was to the individual early disability retirement pension, a disability pension payable to those with a reduced working capacity and with a work history, but on less strict medical criteria. In 1994 the minimum age was raised gradually from 55 to 58, over the years 1995 to 1998. Between 1995 and 2002 the proportion of the population aged 55 to 59 claiming a disability pension fell 9½ percentage points.

- Over this period the proportion of the population aged 55 to 59 taking a part-time pension rose 6½ percentage points. Survey evidence would suggest that at least half of those on a part-time pension might otherwise have continued in a full-time job (and so have had no effect on the employment rate), however at least part of the remainder may have taken a part-time pension as a more attractive alternative to an early retirement schemes (and hence boosted the employment rate).

- In 1996 the accrual of pension rights during the years of early retirement until the official retirement age at 65 was reduced.

- In 1997 the unemployment pipeline was shortened with the minimum age being raised from 53 to 55. While this does not immediately impact on the age-group 55 to 59, given that probability of exit from the pipeline is low, there may have been a significant indirect impact.

© OECD 2004

– Finally, in 2000 the accrual of future pension benefits while on the unemployment pension was eliminated, reducing it by up to 4 per cent of the reference wage, thus making an unemployment pension less attractive financially. The financial disincentive for large employers to use the unemployment pension scheme was also raised.

Among the older age group, 60-64, the increase in the employment rate is more in line with that of prime-age workers, although there is evidence of switching between alternative early retirement pathways. In particular, there was a large fall in the use of the disability pension, but the proportion of unemployed pensioners and job-seekers in this age group rose (even while unemployment for all other age groups fell substantially) suggesting a link between the two early retirement schemes. In addition, there was a strong increase in the uptake of the part-time pension scheme.

A tentative conclusion is that the strong pick up in the employment rate of older workers is partly the consequence of an unusually strong and sustained cyclical upswing during the second half of the 1990s, which is unlikely to be repeated, with the remainder mainly explained by changes to the early retirement schemes.

An estimation of the employment effect of the reforms

An estimate of the effect of the 2005 pension reform, as well as the effect of more radical measures on labour force participation is provided by recent OECD work (Burniaux *et al.*, 2003 and Duval, 2003). The effects are evaluated using cross-country evidence relating financial incentives to continuing work (as summarised in measures of the implicit tax rate on continued work) on labour force participation, taking allowance of the possibilities for early retirement. On the basis of these calculations, the effects of the 2005 pension reform on labour force participation are small, with the aggregate participation rate of those aged 15-64 increasing by only about ½ a percentage point by 2025 (Table 3.3).[5] A baseline projection incorporating the pension reform calculated by Burniaux *et al.* (2003) implies virtually no change in the aggregate participation rate over the coming decades, with the positive effect of the pension reform on participation rates being nullified by the ageing of the population of working age. Thus, unless there was a significant fall in the unemployment rate this would imply virtually no progress would be made towards the government's employment target (based on the standard 15 to 64 age definition). Indeed, on a broader definition of the participation rate, based on the population aged over 15, ageing leads to a fall in the participation rate of over 8 percentage points by 2025.

The potential employment effects of further pension reform

One important reason why estimated effects of the 2005 pension reform are not greater is that the limited reform of the early retirement schemes blunts

© OECD 2004

Table 3.3. **Effect of alternative pension reforms on participation rates and the employment rate**

			Change 2000-25, percentage points		
			Participation rate, 15-64	Participation rate, 15+	Employment rate[1]
Projections					
(A)	Baseline excluding 2005 reform		–0.3	–8.9	–0.3
(B)	Baseline including 2005 reform		0.2	–8.2	0.2
(C)	(B) plus reform of early retirement	Low	1.2	–7.3	1.1
		High	2.7	–5.9	2.5
(D)	(C) plus actuarial neutrality	Low	1.8	–5.8	1.7
		High	4.3	–3.1	4.0
Effects of policy changes					
(B) – (A)	2005 reform		0.5	0.7	0.5
(C) – (B)	Reform of early retirement	Low	1.0	0.9	0.9
		High	2.5	2.3	2.3
(D) – (C)	Actuarial neutrality	Low	0.6	1.5	0.6
		High	1.6	2.8	1.5

1. The change in the employment rate is calculated as the product of the participation rate, aged 15-64, and (1 minus the unemployment rate) which is assumed to remain at 8 per cent.

Source: Burniaux *et al.* (2003), "Coping with Ageing: a Dynamic Approach to Quantify the Impact of Alternative Policy Options on Future Labour Supply in OECD Countries", OECD *Economics Department Working Papers*, No. 371, OECD, Paris; OECD calculations.

the improved incentives to work longer in the old-age pension schemes. If financial incentives to take early retirement were eliminated, then additional simulations suggest the effect on participation rates would be much greater (indeed when this exercise is carried out across all OECD countries the effects on Finland are among the largest), with estimates of the effect on the aggregate participation rate of between 1 and 2½ percentage points, with the participation rate rate of those aged 55 to 64 rising by between 4½ and 11 percentage points.[6] In practice, closing down early retirement pathways would mean taking actions well beyond what is included in the 2005 reform. In particular, the unemployment "pipeline", whereby those aged over 57 can continuously claim unemployment benefits to age 65, should be abolished and the elderly unemployed should be subject to the same conditions requiring job search as the rest of the unemployed; the phasing out of the unemployment pension should be brought forward from 2009 so that it has a greater effect on the baby-boom generation; and medical assessments for disability benefits should be tightened rather than eased.[7] Consideration should also be given to discontinuing the part-time pension scheme, or at the very least ensuring that it is no implicit subsidy.

With early retirement pathways curtailed, there may be scope to further raise the participation rate of older workers through increasing financial incentives

© OECD 2004

in the old-age pension system. In particular, despite the higher rate of accrual earned by those working after the age of 63, the implicit change in pension wealth from working an additional year progressively declines[8] for a worker continuing to work beyond 62. Reforming the old-age pension system to put it on an actuarially neutral basis (so that there was no implicit tax on pension wealth from working an extra year[9]) would increase the participation rate by between 1 and 1½ percentage point for those aged between 15 and 64 and by 3 to 7 percentage points for those aged between 55 and 64, on the basis of the calculations reported in Table 3.3. However, this significantly understates the gain in labour utilisation because there would also be an increase in the participation rate of workers aged older than 64, implying that the increase in the participation rate on a wider measure of all those aged over 15 would be between 1½ and 3 percentage points. Alternatively, Laine (2004) suggests that a more effective and simpler way to increase participation would be to raise the age limits at which a pension can be drawn.

In summary, there is scope for further reforms to significantly raise the employment rate of older workers. The highest priority should be given to removing remaining pathways to early retirement. An ambitious package of measures might then be expected to raise the employment rate by up to 4 percentage points, with additional improvements in labour utilisation coming from an increase in the employment rate of those aged 65 and over.

Other policies to raise the demand for older workers

While much of the preceding analysis has focused on financial incentives for older workers' labour supply, it is also important to ensure that demand for older workers is not impaired. Wages need to be flexible to adjust to productivity, in particular to avoid widespread occurrences of labour demand falling because declining productivity with age is not matched by appropriate wage adjustment. In this respect, a positive aspect of the reform is that, because pensions will be calculated on the basis of lifetime earnings, they will be less closely linked to wages just prior to retirement, suggesting that resistance to continuing to work at a lower wage might be reduced.

Perhaps the most obvious weakness of the existing pension system in terms of its effect on the demand for older workers is that employers' social security contributions rise with the age of their employees to finance increased risk of unemployment and disability.[10] By phasing out the unemployment pension the reform partially addresses this problem, although the disability component of contributions will still rise with age. On the other hand, another aspect of the reform, whereby employee contributions will be higher for older workers could exacerbate the problem because it is unclear where the effective incidence of such increases will finally lie. To further address this issue, the risk of disability should be pooled by spreading the increased costs across the contribution rates

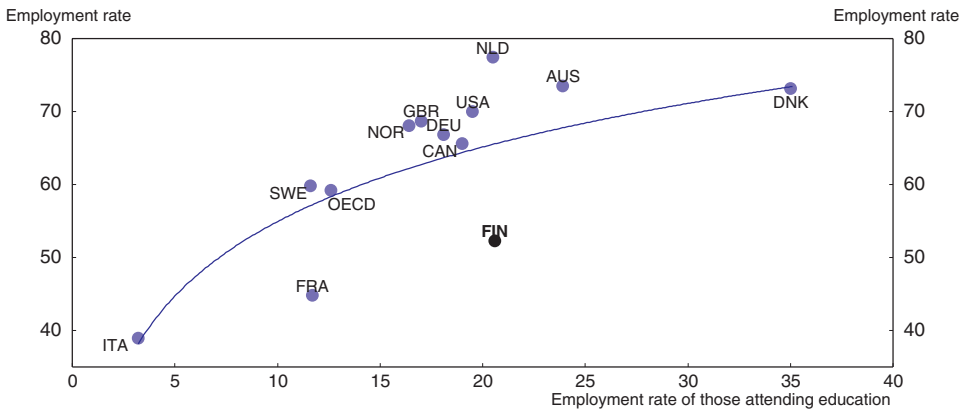
© OECD 2004

of all employees (regardless of age), thereby removing an important disincentive to hire older workers. Moreover, a more rapid phasing out of the unemployment pension would also be helpful in this respect.

Raising the employment rate of younger workers

In comparison with other OECD countries, the low rate of employment of those aged 15 to 24 is surprising given the high proportion of students that are included in the employment statistics, mainly doing part-time or summer work (Figure 3.4). Another reason for focussing on this group is evidence that past unemployment has a substantial "scarring effect" on future labour market performance (Hämäläinen, 2003). The government currently has an objective to offer training, a traineeship, or a workshop to every unemployed person under 25 after 3 months of unemployment at the latest. At the same time, young people under 25 without vocational training have no right to labour market support (the flat-rate assistance benefit) unless they are in vocational training or participating in active labour market measures. In consequence there is a concentration of active measures among this age group, with spending on youth labour market measures being among the highest in the OECD (OECD, 2002b). There is, however, a risk that the requirement to provide training measures on a large scale may

Figure 3.4. **Employment rate of young adults**[1]
Share of young adults population, per cent, 2001



1. Persons aged 20 to 24 years old. The curve shown reflects a log linear, rather than linear, relationship because as the employment rate of those attending education increases, the total employment rate must begin to flatten off (and cannot exceed 100 per cent).

Source: OECD, *Education at a Glance – OECD indicators*, 2003 ed., Table C4.1.

© OECD 2004

compromise their quality,[11] raising the question as to whether there are other policies which could more directly promote the employment of young people in the open labour market.

Although there is no national minimum wage, wage floors determined in sectoral wage agreements may have a similar effect, with potentially adverse effects on the employment of younger workers, particularly given the interaction with the high tax wedge. For example, in the retail sector – often considered a major source of employment for unskilled workers – the current level of the wage floor (compared to the average wage in the whole economy) exceeds the national minimum wage in most other OECD countries that operate such a policy.[12] Moreover, unlike some OECD countries where younger workers are subject to a lower level minimum wage, no exception is usually made for younger workers.[13] At the same time a consistent finding, from a range of empirical studies across different countries, is that it is this group which is among the most vulnerable to the imposition of high minimum wages (Abowd *et al.*, 1999; Neumark, 1999; Neumark and Wascher, 1999; Neumark *et al.*, 2000). It is significant that in Figure 3.4 the other country, apart from Finland, where there is a notably low rate of employment among younger workers is France, where there is both a relatively high national minimum wage and no distinction made for younger workers.[14] This is therefore one priority area for introducing greater wage flexibility, an issue which is discussed more broadly below.

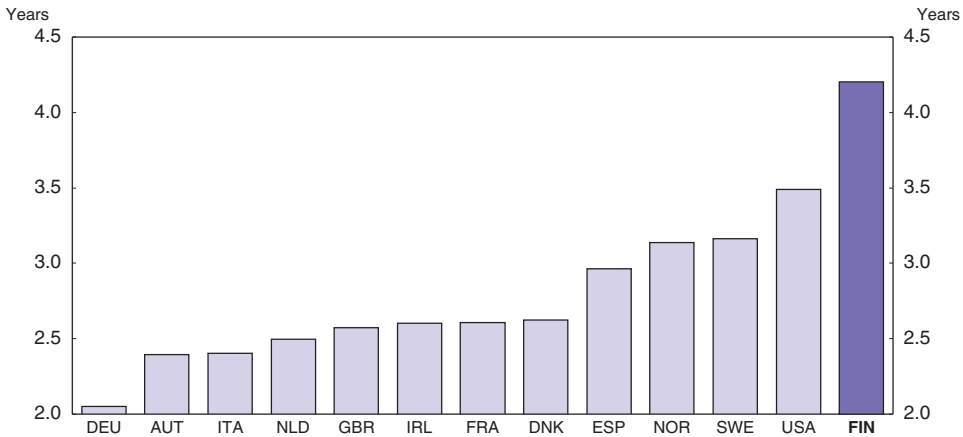
For younger workers lower employment rates also partly reflect the long time taken to complete education and begin work (Figure 3.5). Another focus for policy is therefore to reduce the average age at which young people begin working life, through lowering the average age of beginning and completing studies. Measures taken so far include the possibility of splitting the usual 5-year degree course into a 3-year bachelor's degree and a two-year master's degree, and attempts to streamline the student selection process by universities. In addition, as discussed further in Chapter 4, some changes to the study-grant system are being proposed which will provide greater incentives to complete degrees on time, in particular by giving partial tax deductibility for repayment of loans if the course is completed within the stipulated timeframe. If these changes do not succeed in significantly reducing study times, then more radical changes to the study-grant system may be worth exploring, as discussed further in Chapter 4.

Tackling job mismatch by increasing wage flexibility

Wage bargains are negotiated at the industry level between employer and workers' organisations, and usually contain an agreement on the general wage increase to be applied to all wages. Such collective agreements cover non-union members in those sectors where at least half of the employers belong to an employers' organisation, in practice implying that 95 per cent of workers are

© OECD 2004

Figure 3.5. **Expected length of study in tertiary education**[1]
Full and part-time, 2001



1. All tertiary education. The expected years of study are calculated by adding the net enrolment rates across age groups.

Source: OECD, *Education at a Glance – OECD Indicators*, 2003 ed, Table C2.2.

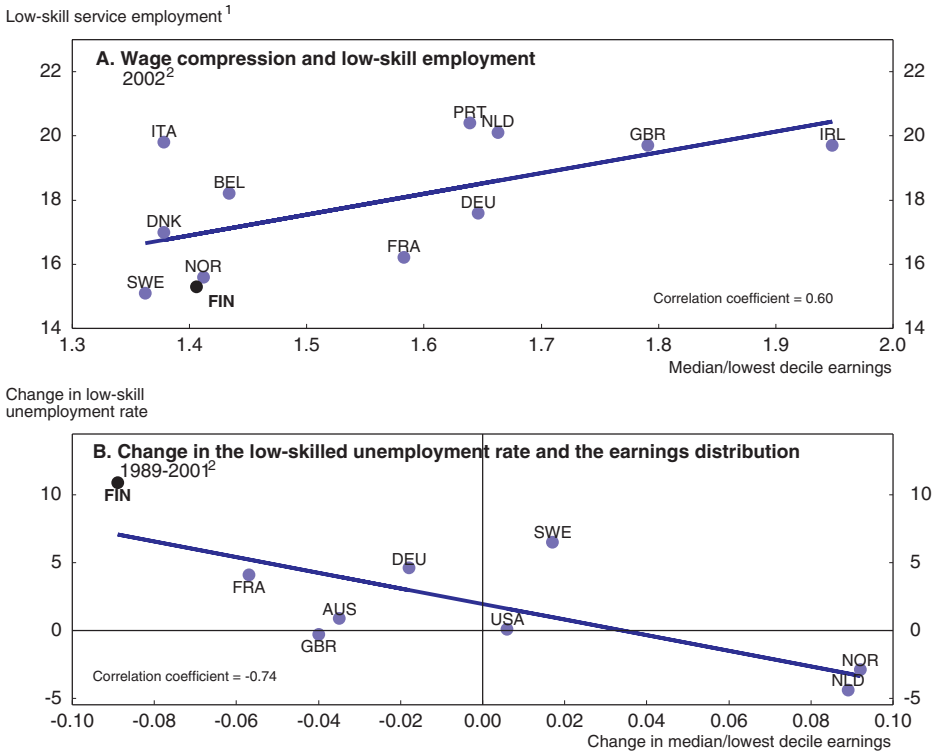
covered. Most, although not all, wage bargaining rounds have begun with negotiations between confederations of employers and employee unions, leading to a high degree of co-ordination in the individual union contracts.

A number of studies suggest co-ordination of union bargaining may have macroeconomic benefits through generating more moderate wage increases by internalising the unemployment cost of excessive wage increases (Calmfors, 2001). In the case of Finland, there is some evidence to suggest that wage increases have indeed been more moderate, even allowing for differences in unemployment and price inflation, during periods when there were centralised wage bargains with wide coverage compared to periods when there has been no central agreement (Koskela and Uusitalo, 2003).[15] Nevertheless, even if centralised wage agreements have had some macroeconomic advantages in containing inflation there is also evidence to suggest that they may have had costs in terms of allocating labour efficiently.

Wage dispersion has fallen over the last decade, which is consistent with a decline in the extent of market-driven sectoral wage drift around the central wage agreement during the 1990s compared to previous decades (Marjanen, 2002). This stands in marked contrast to a general tendency for wage dispersion to increase across most OECD countries. At the same time those countries in which earnings inequality increased more slowly (or fell) have tended to fare worse in terms of employment or unemployment than did those where earnings inequality rose more

© OECD 2004

Figure 3.6. **Wage compression, low-skilled service employment and unemployment**



1. Low-skill services are defined as the wholesale and retail trade, hotels and restaurants sector and are expressed as a percentage of total employment.
2. Or nearest available year.

Source: OECD, Earnings database and Labour Force database.

rapidly. Furthermore the apparent trade-off between a strong employment performance and a more equal distribution of earnings appears to have worsened, consistent with relative labour demand having shifted towards high-skilled workers, (OECD, 2004a). For Finland, there does appear to be some evidence that wage compression may have contributed both to a relative shortage of low-skilled service sector jobs and an increase in the low-skilled unemployment rate (Figure 3.6).

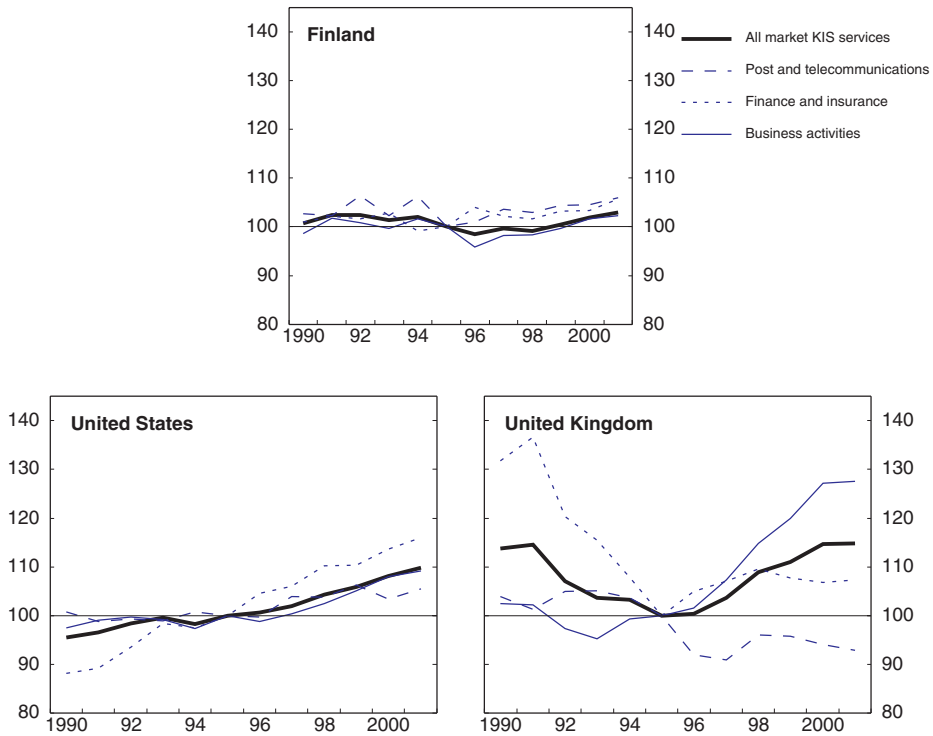
Perhaps more surprisingly, there is also evidence that wage compression can not only shift employment away from industries with low mean wages, but also away from industries with high mean wages (Davis and Henrekson, 2003). The authors suggest that the effect of wage compression on labour supply in Sweden led to a sharp twist in the hours distribution away from workers in the higher deciles of the Swedish wage distribution compared to contemporaneous

© OECD 2004

developments in the United States, which was somewhat reversed with the decline of centralised bargaining in Sweden in the early 1980s.[16] For Finland there are also some signs that growth in high-wage service sectors may have been inhibited by wage compression. The average labour compensation per employee in the knowledge intensive service industries has remained remarkably stable relative to the average for the whole economy over the last decade, in contrast to developments in countries where wage determination is more decentralised, such as the United States and United Kingdom, where there have been marked increases since the mid-1990s (Figure 3.7). At the same time, by international

Figure 3.7. **Relative wages in knowledge intensive market services**[1]

Labour compensation per employee in the sector relative to total economy, index 1995 = 100



1. Knowledge intensive market (KIS) services include ISIC sectors 64, 65 to 67 and 71 to 74.
Source: Groningen University Industry Labour Productivity database and OECD, STAN database.

© OECD 2004

comparison, the relative after-tax wage of skilled service sector jobs requiring many years of education is low relative to that in industrial sector jobs (Kouvonen, 2002).[17]

In order to address the problem of job mismatch, greater flexibility should be introduced into the wage agreements to reflect differences in sectoral productivity developments and other factors affecting different segments of labour and product markets, perhaps following the example of other Nordic countries (Box 3.1). At the very least, future central wage agreements should avoid

Box 3.1. Wage bargaining in other Nordic countries

In Sweden wage bargaining has become more decentralised, particularly compared to the early 1980s, and now consists of a variety of different systems (OECD, 2004c). In wage bargains covering about two-thirds of state employees and over one-half of private sector employees, there are cut-off provisions regulating the amount by which pay at the company/workplace is to be raised together with a minimum pay increase for each individual. In some parts of the private sector, the cut-off mechanism involves a wage board/arbitration board headed by an impartial chair chosen by the social partners deciding how the wage margin is to be distributed. This has resulted in some increase in wage dispersion, although within-sector and between sector variation still remains low by broader international standards (Hibbs and Locking, 2000). This has been achieved without any apparent worsening in the unemployment-inflation trade-off,* as might be feared from a combination of strong unions and reduced centralisation.

In Denmark, the traditional centralised wage bargaining was ended in 1987, since when industry-level bargaining with an increasing firm level and individual component has evolved. Today, the most common model in the private sector is that industry-level negotiations determine aspects like working hours, holidays and pensions whereas wage negotiations are decentralised to the firm level. Two other systems are in place but cover a declining share of private sector employment: *i*) in part of the food processing industry and manufacturing a minimum wage is negotiated at the industry level on top of which an often sizeable addition is negotiated at the firm level; *ii*) the actual hourly wage is negotiated at the industry level. In the public sector, wages are determined by profession-specific negotiations, but with some element of individual bonuses and more flexible career patterns compared to previously. The gradual decentralisation of the wage formation has helped to advance the structural adjustment of the economy by increasingly letting wages reflect differences in productivity and earnings potential. The dispersion of earnings *within* firms has increased during the 1990s particularly in some blue-collar areas, although it is still low compared to most OECD countries.

* The OECD's estimate of the NAIRU for Sweden has fallen by about 1 percentage point since the mid-1990s.

© OECD 2004

specifying minimum absolute changes in wages which tend to lead to further compression of wages at the lower end and, as argued previously, any sectoral wage floors should separately distinguish younger employees.

Subsidising low-skilled employment via a tax credit for domestic work

Cross-country empirical evidence suggests that a high tax wedge both encourages the shadow economy and the taking of more leisure time in order that domestic work tasks, such as cleaning and decorating, can be done on a do-it-yourself basis, rather than employing someone through the market (Davis and Henrekson, 2004). In Finland the high tax wedge (including the payment of VAT) implies that a worker earning the average wage would have to work more than 2 hours to pay for someone earning the same gross wage to do one hour of domestic work (OECD, 2002c).

One policy measure which has been specifically designed to overcome this problem and so encourage low-skilled service employment is an income tax credit against domestic work. This credit against state income tax is available for 60 per cent of the wages paid for employing someone to do domestic work – defined to include housekeeping, nursing and the provision of care (excluding health care services) and the repair and renovation of dwellings – up to a maximum of EUR 1 100 *per annum*, although it cannot be claimed against labour costs which already receive a subsidy.[18] From its introduction in a more limited form in 1997, the take-up of this measure has steadily increased and in 2003 the tax credit was claimed by over 100 000 people at an average value of about EUR 750. Some small companies have emerged, mostly in Southern Finland, to provide such household services, although no assessment of the magnitude of the net employment impact or its effect on reducing undeclared work is yet available. The recent report by the Employment Working Group (2003), usually referred to as the "Sailas Report", recommended an extension in the use of this credit to allow firms to pay for such services on behalf of their employees and to also allow the tax allowance to be used against labour which already received an employment subsidy. Such an extension may indeed be worth considering, but subject to an evaluation of the effects of the policy to date.

Reducing the unemployment trap

The majority of those unemployed receive either an earnings-related unemployment allowance paid from the Unemployment Insurance funds or a flat-rate means-tested labour market support paid by the state (Table 3.4). The earnings-related allowance is more generous, but is only payable for 500 days, whereas the labour market support is payable indefinitely. An important exception is that those aged 57 are currently entitled to an extension of benefits until the age of 60. This age limit will be raised to 59 in 2005, although the

© OECD 2004

Table 3.4. **Unemployment benefits**[1]

Benefit	Percentage of all registered jobseekers	Qualifying conditions	Amount	Maximum duration	Net replacement rate at APW for single person[2]
Earnings-related allowance	42	Employed for 43 weeks in last 2 years. Member of unemployment insurance fund for 10 months	Basic allowance + 45% of difference between previous earnings and basic allowance	500 days	64
Basic allowance	7	Employed for 43 weeks in last 2 years	Euro 23/day + allowance for dependent children	500 days	51
Labour market support	50	Subject to means test	Euro 23/day + allowance for dependent children	Unlimited	51

1. All figures are for 2003, except net replacement rate calculations which are for 2002.
2. APW is the average production worker wage, net replacement rate calculation includes housing benefits.
Source: *Finnish Labour Review*, Vol. 47, 2004; OECD (for net replacement rate figures).

extension of benefit will be available to age 65, as a compensating measure for the abolition of the unemployment pension.

Once account is taken of other available allowances, particularly for housing and children, the level of support, especially for those with families, appears high compared with most other OECD countries. In addition support falls off more slowly than elsewhere as the spell of unemployment lengthens.[19] For a worker earning two-thirds of the average wage with a family, taking into account housing and family allowances, net replacement rates can be in excess of 90 per cent even after 2 years. This helps to explain the relative scarcity of low-paid unskilled jobs.

There are plans, as yet to be clearly defined, to introduce a cut-off point for passive labour market support so that, after some uninterrupted time in unemployment, participation in an active programme would be required for continued support. Providing the cut-off period is not too short, perhaps a period of a year, so that any required expansion in active measures is not overly ambitious, such a change is to be welcomed. It should, however, be applied equally to all the unemployed, particularly those aged over 55 for whom job search requirements and participation in active measures are currently weak, despite the fact that they also account for a disproportionate share of the long-term unemployed. The effectiveness of such a measure would be reinforced by restoring the taper to the earnings-related unemployment allowance and consideration should also be given as to whether, in the light of the additional (housing and family) benefits that are also available to the unemployed, a tapering of labour market support is also appropriate.

© OECD 2004

What form should tax cuts take?

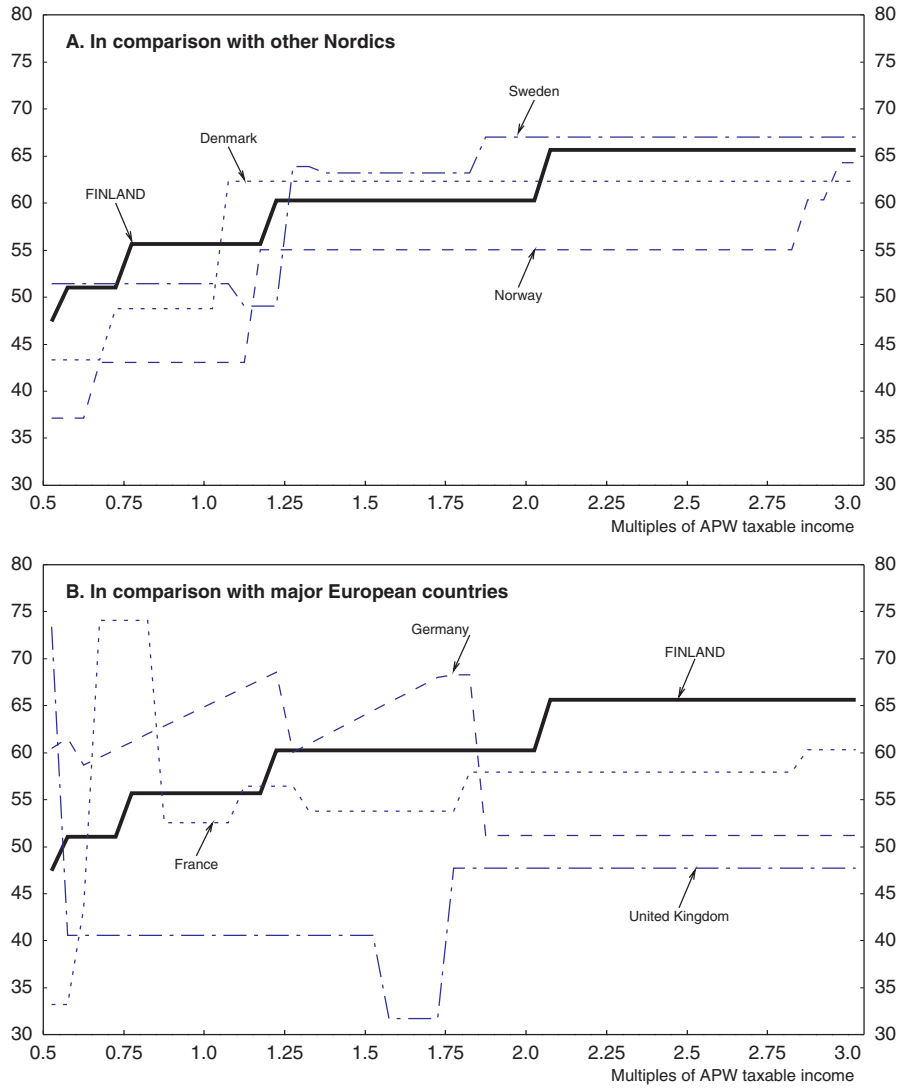
Despite recent cuts, tax rates on labour income still rank among the highest in the OECD. The average and marginal tax rates on labour income (income tax plus employer and employee contributions less cash benefits) in 2003 for a single person receiving the average production worker wage were 46 and 56 per cent, respectively – ranking 8th and 4th across all OECD countries (OECD, 2003a). The progressive tax schedule implies that marginal tax rates are particularly high, ranking in the top quartile of all OECD countries across a range of family circumstances, particularly at higher wage levels (Figure 3.8). Moreover, while there has been a gradual fall in tax rates over recent years, the point at which the higher income tax thresholds apply, measured relative to the average production worker wage, has also fallen, suggesting that more people may be subject to the highest rates.

These high levels of taxation raise several concerns, particularly due to their interaction with the highly compressed wage structure: first, high taxes at the low end of the wage distribution contribute to the crowding-out of low-skilled employment; second, high (average) taxes at the upper end of the wage distribution may make it difficult to attract and retain the highly-skilled workers that many of the specialised industries in Finland rely on; finally, high marginal tax rates throughout the wage distribution may discourage work effort, including the number of hours worked, as well as further dampening already weak wage signals which might promote structural change. While there is widespread agreement that lowering taxes on labour is important to improve incentives and raise employment, there is much less agreement as to which of these problems is most pressing and therefore disagreement about what form the tax cuts should take.

In terms of the positive effect on employment, probably the most cost effective form of tax cut would be to target the low paid, by reducing employers' social security contributions, in line with previous OECD Survey recommendations as well as the conclusion of a recent report from the Prime Minister's office (Koskela *et al.*, 2004). This is because the largest negative effects of tax wedges on labour demand arise because of the inter-action with wage floors that are established following central wage agreements, and which limit the possibility of shifting the incidence of tax (from employer to employee) and so effectively increase the minimum cost of labour. Targeted cuts in employers' social security contributions have been introduced in several EU countries (Joumard, 2001). In most cases, for example in Belgium, France, Netherlands and Spain, there have been positive results as evidenced by the stronger response of employment to output growth,[20] although in Sweden and Norway cuts in employers' contributions are estimated to have had little employment effect (Bohm and Lind, 1993; Johansen and Klette, 1998).[21] The case of Norway – where tax cuts led to higher wages rather than lower labour costs – emphasises the importance that under a

© OECD 2004

Figure 3.8. **Marginal tax wedge on labour**[1]
For a single person with no children in 2003, per cent



1. Tax wedges – between labour costs to the employer and the corresponding net take-home pay of the employee – are calculated by expressing the sum of personal income tax, employee plus employer social security contributions together with any payroll tax, as a percentage of labour costs.

Source: OECD, *Taxing Wages 2000-2003*.

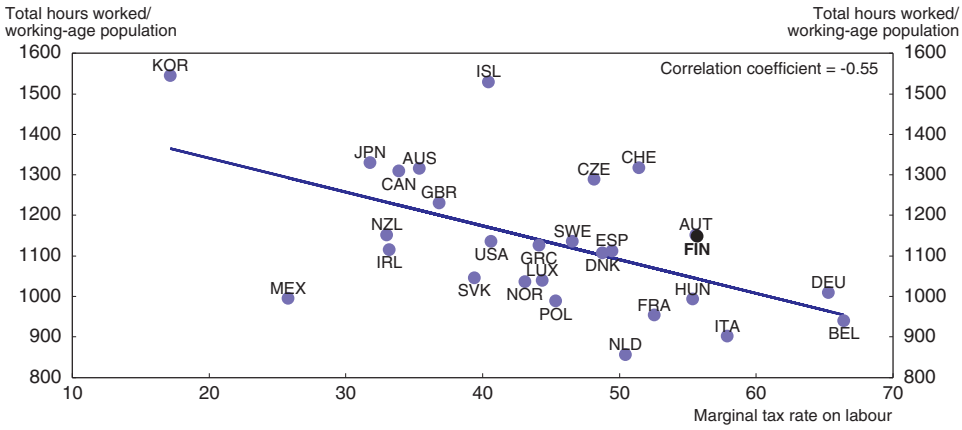
© OECD 2004

system of centralised wage agreements, the measure will only be effective if there is an agreement with the social partners that cuts in contributions for the low paid reduce labours costs rather than feed into higher wages. Cutting employers' contributions, rather than the lowest income tax rates, also has the advantage that it is more cost effective at increasing employment, because the cuts are focussed on wages and salaries, and do not include other forms of income such as transfer payments. An objection to targeted cuts in social security contributions is that it increases the complexity of the tax system. However, a differentiation in social security contributions already exists – by size and capital intensity of companies – and replacing such a system with better targeted cuts in social security contributions may boost employment without significantly raising the complexity of the system (Joumard and Suyker, 2002).

While this may be an appropriate focus for tax cuts, lightening the tax burden higher up the earnings scale should not be ignored either. There is increasing recognition of the negative impact of taxation on labour supply as suggested by simple cross-country correlations (Figure 3.9), even if the magnitude of the underlying effect is still open to debate (for example, comparing Prescott, 2004 and Blanchard, 2004). For Finland, particular concern is evidence that the

Figure 3.9. **Marginal taxes[1] and hours worked**

Single person – 100% of the average production worker, 2003



1. Taxes here are income tax plus employee and employer social contributions less cash benefits, expressed as a percentage of the total labour costs of an average production worker.

Source: OECD, *Taxing Wages 2002-2003; OECD Economic Outlook*, No. 75, June 2004.

© OECD 2004

highly progressive tax system may be discouraging work effort of the most highly skilled, with the average hours of those with highest educational qualifications tending to fall the most; over the last 5 years the average hours worked of those with a doctorate has fallen by three times the economy-wide average and those with a higher level tertiary degree (excluding those with a doctorate) now work fewer hours than the average. Moreover, while it is difficult to point to current evidence of a "brain drain",[22] the increasing mobility of skilled labour suggests this could become a problem in the future and underlines the recommendation of a recent government Committee, set up to investigate the impact of globalisation on Finland (Rehn, 2004), that there should be an upper limit on the top rate of tax faced by the highest earners. The case for further tax cuts, emphasises the importance of controlling public spending as well as the benefits of using tax bases other than labour, such as property, as discussed further in Chapter 4. It also points to the need to avoid a situation whereby, as a consequence of poor control of public expenditure, tax cuts for the low paid implemented by central government are ultimately financed by general increases in income tax by municipalities, leading to even higher marginal tax rates.

Nevertheless, the majority of studies suggest that the likely employment effects from tax cuts may be quite modest. A recent survey of international evidence (Nickell, 2003) concluded that a 10 percentage point fall in the tax wedge would increase labour input by between 1 and 3 percentage points. Moreover, the effects of changes in taxation in a corporatist economy may be even weaker (Koskela and Uusitalo, 2003). Thus, further tax cuts should not be viewed as an alternative to taking action on other fronts, such as increasing activation.

What contribution can reforms to active labour market policies make?

Total spending on active labour market policies has stabilised at around 1 per cent of GDP since 2000. While this is above the level in most other OECD countries, it is lower than in France and Germany (which spend 1¼ per cent of GDP) or Sweden and Denmark (1½ per cent of GDP) (OECD, 2003b). The average number of people on ALMPs was equivalent to about 3½ per cent of the labour force in 2003. The government intends to expand such measures, raising the "activation rate", defined with respect to the number of registered unemployed,[23] from 23½ per cent in 2003 to 30 per cent. At the same time, as discussed above, there will be an obligation to participate in ALMPs after a certain period of unemployment for continued receipt of labour market support and a new activation allowance will supplement the basic maintenance allowance for those taking part in ALMPs. An organisational reform of the employment service is also currently under way, with the aim of establishing new labour service centres which will focus on the hard-to-place jobseekers, leaving the remaining employment offices to focus on the regular job brokerage function.

© OECD 2004

The main schemes covered by ALMPs can be divided into wage-based measures and labour market training, as described below:

- L*abour market training* involves on-the job training and accounted for 55 per cent of those on active measures in 2003. Evaluation studies generally find some beneficial effects. Tuomala (2002), for example, finds that training increased the probability of post-programme employment and shortened the duration of unemployment. Nevertheless, only about 30 per cent of those completing training were employed three months after completing training.

- W*age-based measures* involve wage subsidies to the employer and to the unemployed job seeker and accounted for over 40 per cent of those on active measures in 2003. The results of evaluations are more mixed, with Tuomala (2002) finding that in some cases participation reduced the probability of finding a job in the open labour market. The best results are for start-up subsidies (but which only apply to a few people because it entails starting a business) and for apprenticeship in the private sector, both of which have employment rates of about 70 per cent three months after the end of the subsidy. There are generally more positive findings for placements in the private sector than in the public sector, with only 20 per cent in employment three months after a period of subsidised employment with the state or municipal sector. Consistent with these findings the share of subsidised employment in the public sector has been falling over recent years, but still accounted for about 40 per cent of all those covered by wage subsidies in 2003.

Judged only by the extent of long-term unemployment, ALMPs appear to be successful; those unemployed for over a year represent about one-quarter of total unemployment which is less than the OECD average of about 30 per cent and well below the average for the European Union of over 40 per cent. However, this understates the extent of long-term structural unemployment due to carousel effects, whereby periods of unemployment are typically followed by periods on active labour measures which seldom lead to permanent employment, but are instead followed by further periods of unemployment. A recent study (Aho, 2004), defined an alternative measure of "chronic unemployment" as those who had been either unemployed or on active labour market policies for 90 per cent of their time over the preceding two years. On this basis, 45 per cent of the combined stock of those unemployed or on active measures at the end of 2000 were found to be chronically unemployed (*i.e.* double the proportion officially classified as long-term unemployed). The study also revealed that over 60 per cent of the chronically unemployed at the end of 2000 had become chronically unemployed since 1995, implying that the problem cannot be explained solely by the deep recession of the early 1990s.

© OECD 2004

Table 3.5. **Age distribution of unemployment and active labour market measures**
December 2003, percentage of total

Age	Unemployed jobseekers	Long-term unemployed	Employed using wage-based ALMPs	In labour training based ALMPs
15-24	12.7	1.6	24.2	14.7
25-54	64.9	52.3	66.8	81.7
55-59	18.0	35.0	8.5	3.3
60+	4.5	11.2	0.6	0.4
Total	**100.0**	**100.0**	**100.0**	**100.0**
Total (thousands)	286.3	70.5	44.0	30.0

Source: Ministry of Labour (2004), *Employment Report* 2003.

A weakness of current ALMPs is their failure to engage the elderly unemployed. At the end of 2003 the over 55 age group accounted for 23 per cent of total registered unemployment and 45 per cent of long-term unemployment, but only 9 per cent of wage subsidy-based ALMPs and only 4 per cent of training-based ALMPs (Table 3.5). This highlights an urgent need to step up ALMPs for older workers, applying sanctions in those cases where the older unemployed refuse a suitable job or training. Otherwise the current approach would appear to provide tacit official acceptance of unemployment as a legitimate pathway to early retirement.

Among the countries which do spend most on active measures it is notable that the expenditure targeted specifically at re-integrating the disabled is quite low in Finland; less than 0.1 per cent of GDP as compared with three or four times this level of spending (relative to GDP) in Denmark or Germany and 5 or 6 times as much in Norway and Sweden. The number of disabled covered by all ALMPs is also lower than in these other high spending countries; for example, in Sweden and Norway the number of disabled on active measures is equivalent to 1½ and ¾ per cent of the population, respectively, whereas in Finland the proportion is ¼ per cent.[24, 25] The government is considering the possibility of introducing a long-term or permanent employment subsidy payable to an employer based on the reduction in work ability of an individual disabled person, although employment subsidies for the disabled can already be granted for a maximum of 24 months rather than the normal maximum of 10 months. Given that among certain age groups, particularly elderly males, the incidence of sickness and disability is among the highest in the OECD, there is scope for redirecting active measures towards this group, although experience across OECD countries cautions against the use of long duration employment subsidies (Martin, 2000).

A recent overall evaluation of active measures as part of the European Employment Strategy concluded that active measures may play a useful social role in preventing displacement, but that the long-term impact on employment is

© OECD 2004

modest and in many cases they "simply turn long-term unemployment into recurrent unemployment" and rarely into lasting jobs (Ministry of Labour, 2002). Thus any expansion in measures, taken in isolation, is unlikely to make a significant contribution to achieving the employment target. However, the government's emphasis on ALMPs is welcome to the extent that it is conceived as part of a "mutual obligations" approach whereby effective re-employment services and benefits are provided to job-seekers, which in turn have to look actively for a job. Nevertheless, it would be unfortunate if, in order to meet the target activation rate, there was to be an expansion in those measures, such as public sector wage subsidies, which have been shown to be the least effective in the past.

Overall assessment and concluding remarks

While there are similarities, there are also a number of important differences between the policy recommendations stemming from this chapter and the current policy approach. The government's current approach puts particular emphasis on tax cuts and an expansion of active labour measures. However, the scope for further tax cuts appears to be exhausted if the government intends to stick to its fiscal objectives, as discussed in Chapter 4. A further expansion of active measures is only likely to be effective if accompanied by more effective re-employment services and greater obligations on job-seekers (particularly older job-seekers) to look actively for a job.

In any case, it appears unlikely that the government's ambitious employment targets will be met without a more wide-reaching set of policy reforms. Perhaps the most important area for further reform is pensions and early retirement schemes. Given that a major package of changes will be introduced from 2005 it is perhaps not surprising that further reform in this area is not currently on the policy agenda. However, the difficulty with adopting a "wait-and-see" approach to the effectiveness of 2005 reform package, is that, because many of the changes are being phased in, it will be well into the next decade before it is possible to make any clear judgment. While the reform package restricts early retirement pathways in some respects (phasing out the unemployment pension and individual early retirement pension) there are some off-setting changes (extension of the unemployment pipeline to 65, the relaxation of medical criteria for disability benefit for those over 60) so the net effect is ambiguous. However, the scale of current take-up of early retirement options, as well as the experience from some other OECD countries particularly with respect to the growth in disability-related benefits, argues for a more fundamental re-think. As argued in OECD (2004d) "Disability benefits and unemployment benefits should return to their original purpose, where a first step would be to separate these benefits from the old age pension system and instead have them integrated with the sickness insurance and unemployment scheme, respectively".

© OECD 2004

Other areas for reforms which are not on the immediate policy agenda include: introducing greater flexibility into central wage agreements, especially to allow for sectoral productivity developments and to distinguish younger workers; tapering the generosity of unemployment benefits with duration of unemployment; eliminating the higher social security charges for older workers; and shifting the burden of taxation from labour to other bases such as property. Further consideration should also be given to extending the use of the tax credit for domestic work and, if there is no substantial reduction in study times for current policy initiatives, then further changes to the study grant system should be explored.

© OECD 2004

Notes

1. The indicator for the average effective age of retirement is the measure constructed by the EU, although OECD measures of the effective age of retirement confirm Finland's relatively low ranking (Burniaux *et al.*, 2003). However, Hytti and Nio (2004), highlight weaknesses in the EU measure, pointing out that it has recently moved in the opposite direction to movements in the employment rate of older workers. They propose an alternative indicator which is related to life expectancy, although currently measures are only calculated for Finland and Sweden.

2. Other important changes include an automatic adjustment of the pension system to future increases in life expectancy, the calculation of the pension base over an entire career rather than the last ten years of each employment relationship as at present and changes in the method of indexation. For further discussion of these and other details of the pension reform to be implemented in 2005 see the previous *Survey*.

3. From the age of 63 pensions will be calculated according to the accrued rights. Between 62 and 63 the pension will be reduced by 0.6 per cent for each month of early retirement prior to 63. The accumulation rate will remain at 1.5 per cent a year between ages of 18 and 52, increase to 1.9 per cent between 53 and 62 and then rise to 4.5 per cent between 63 and 67 (this compares to the current rates of 1.5 per cent between ages 53 and 59 and 2.5 per cent for those aged over 60). The ceiling on the maximum pension will be abolished.

4. See, for example, Blöndal and Scarpetta (1998) and OECD (2002a).

5. Estimates by the Finnish Centre for Pensions suggest the effect of the reform of private sector pensions being introduced in 2005 will be to raise the employment rate by ½ a percentage point by 2020 and by 1½ percentage points by 2050. However, alternative estimates by Laine (2004) suggest that the effects on participation will be much smaller.

6. There are 2 distinct estimates, a "low case" and a "high case", of further reforms based on different methodologies. The first, "low case", makes use of panel data regressions in which changes in the participation rate of successive five-year age groups are regressed on the implicit tax rate to continue work (Model B in Table 2 of Duval, 2003). The result that a 10 percentage point decline in the implicit tax rate reduces the fall in participation between two successive (five-year) age groups of older workers by about 1½ percentage points is consistent with other panel data estimates at the macro-economic level. However, as discussed in Duval (2003), such panel estimates may underestimate the true long-run elasticities. Hence a second estimate, used to construct the "high case", makes use of the coefficients from simple bivariate regressions (Figures 7 and 8 in Duval, 2003) that are more in line with the elasticities typically found in the micro-econometric literature.

© OECD 2004

7. While the simulation results reported in Table 3.3 are calculated on the basis of the "elimination of financial incentives" to take early retirement, the measures outlined here – essentially implying that access to unemployment- or disability-related benefits for older workers is on the same basis as other workers – represent a more practical way in which reform of early retirement pathways could be implemented.
8. Despite the high accrual rate, because by continuing to work for an extra year the worker forgoes an additional year in which a pension could have been drawn, the change in pension wealth from working an additional year can be negative.
9. The actuarially neutral rate is here calculated as $(r + p)/(1 + c)$ where r is the real discount rate, p is the mortality rate and c is the contribution rate to the pension system, see Duval (2003) for further details.
10. In practice, employers' contribution rates only depend on the age of their employees for firms with over 50 employees, see OECD (2004d) for further details.
11. Hämäläinen (2003) suggests that the evidence of significant scarring effects from unemployment on younger persons casts doubts on the effectiveness of widespread public measures adopted in the 1990s.
12. The minimum wage in the retail sector is EUR 7.75 per hour according to the latest sectoral wage agreement. Assuming that 173 hours are worked each month this is equivalent to about 60 per cent of the average monthly wage across the whole economy. In comparison, those countries that operate a national minimum wage, the level rarely exceeds 60 per cent of the median wage, and there are sometimes exceptions made for younger workers. There are, however, other jobs with other lower wage floors, for example for cleaning the minimum wage is EUR 6.70 per hour.
13. In certain industries (including retailing and hotels and restaurants) there are some exceptions where an employer can hire a young trainee for a six month period at a lower salary, but such exceptions are not widely used.
14. In contrast the United Kingdom, Australia and Netherlands all have national minimum wages, albeit at a lower level relative to median wages, but also make exceptions for younger workers (in the case of the United Kingdom and Australia up to age 21, and for the Netherlands up to 23) and all have relatively high levels of employment for younger age groups.
15. This does not necessarily prove that centralised wage agreements have had a beneficial effect on inflation. If for example they led to strains, either because the aggregate increase in wages was too low or because relativities were squeezed, they may have made it difficult to reach a subsequent central agreement and hence ultimately have been the root cause of a (more) inflationary period of subsequent catch-up in a period when there was no agreement.
16. Davis and Henrekson (2003) estimate that in 1985 the relative employment share of the United States compared to Sweden is 25 per cent larger for an industry with a mean wage one standard deviation above the aggregate mean wage, and 79 per cent larger for an industry with a mean wage one standard deviation below the aggregate mean.
17. A further indication that wages may not be allocating labour efficiently is that there is an unusually high concentration of graduates (around 45 per cent of all employees) in the wholesale and retail trade, while at the same time the proportion of graduates in financial intermediation is not exceptional compared to other OECD countries (OECD, 2004b).
18. The credit is only available for deductions that exceed EUR 100 *per annum*, but is available to both spouses.

© OECD 2004

19. Under the terms of the original 1984 Unemployment Security Act, earnings-related unemployment benefits were reduced by 20 per cent after 100 days of unemployment, however a series of changes since then have eliminated any tapering off in benefits as the duration of unemployment spell continues.
20. This does imply that there may be an adverse "batting average" effect on the level of productivity as lower skilled worker are employed.
21. At the beginning of 2003 employer social security contributions were experimentally abolished for three years in 20 municipalities in northern Lapland, in order to study the effects on employment. A full evaluation of the effects will not be available until 2006.
22. Tax incentives to attract foreign highly-skilled experts who are taxed at a lower rate (35 per cent) on income that exceeds EUR 5 800 per month have had little impact, with a take-up in recent years of less than 200 people.
23. The activation rate is defined as the average number of ALMP participants as a proportion of the sum of registered unemployment and average number of ALMP participants.
24. The figures for Norway and Sweden are taken directly from OECD (2003c) and relate to 1999, whereas the figure for Finland is calculated from figures for the number of disabled on active measures in 2002 given in Ministry of Labour (2003).
25. Conversely, the activation rate for the disabled, defined with respect to the number of disabled who are registered unemployed, is little different from the activation rate across all the unemployed. However, the comparison with other Nordic countries referred to in the main text suggests that there is scope for extending ALMPs to some of the disabled who are not currently registered as unemployed.

© OECD 2004

Bibliography

Abowd, J., F. Kramarz and D. Margolis (1999), "Minimum Wages and Employment in France and the United States", *National Bureau of Economic Research Working Paper*, No. 6996, March, *www.nber.org/papers/w6996*.

Aho, S. (2004), Kroonisen työttömyyden laajuus, rakenne ja syntytausta (The Width, Structure, and Background of Chronic Unemployment).

Blanchard, O. (2004), "The Economic Future of Europe", *National Bureau of Economic Research Working Paper*, No. 10310, February, *http://papers.nber.org/papers/w10310.pdf*.

Blondäl, S. and S. Scarpetta (1998), "The Retirement Decision in OECD Countries", OECD *Economics Department Working Papers*, No. 202, June, OECD, Paris.

Bohm, P. and H. Lind (1993), "Policy Evaluation Quality", *Regional Science and Urban Economics*, Vol. 23.

Burniaux J., R. Duval and F. Jaumotte (2003), "Coping with Ageing: a Dynamic Approach to Quantify the Impact of Alternative Policy Options on Future Labour Supply in OECD Countries", OECD *Economics Department Working Papers*, No. 371, November, OECD, Paris, *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Calmfors, L. (2001), "Wages and Wage Bargaining in the EMU – A Survey of the Issues", *Empirica* 28.

Davis, S.J. and M. Henrekson (2003), "Wage-Setting Institutions as Industrial Policy", *School of Economics Working Paper Series in Economics and Finance*, No. 352, Stockholm, *http://ideas.repec.org/p/hhs/hastef*/0352.*html*.

Davis, S.J. and M. Henrekson (2004), "Tax Effects on Work Activity, Industry Mix and Shadow Economy Size: Evidence from Rich Country Comparisons", *National Bureau of Economic Research Working Paper*, No. 10509, *www.nber.org/papers/w10509*.

Duval, R. (2003), "The Retirement Effects of Old-Age Pension Systems and Other Social Transfer Programmes in OECD Countries", OECD *Economics Department Working Papers*, No. 370, November, OECD, Paris, *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Employment Working Group (2003), Final Report, Prime Minister's Office, 5/2003.

Gould, R. and H. Nyman (2002), "Työkyvyttömyyseläkkeet 1990-2001" (Disability Pensions in 1990-2001), *Papers*, 2002:38, Central Pension Security Institute, Helsinki.

Hämäläinen, K. (2003), "Education and Unemployment: State Dependence in Unemployment among Young People in the 1990s", *Government Institute for Economic Research, Discussion Paper*, No. 312.

Hibbs, D.A. and H. Locking (2000), "Wage Dispersion and Productive Efficiency", *Journal of Labour Economics*, Vol. 18, No. 4.

© OECD 2004

Hytti, H. and I. Nio (2004), "Työllisyysohjelman seuranta ja työssäoloajan pituus" (Monitoring the Employment Programme and the Length of Time at Work), Työpoliittinen aikakauskirja, 1/2004.

Ilmakunnas, S. and J. Rantala (2002), "Evaluating the Unemployment Pension Reform in Finland", paper presented at the Ninth International Research Seminar of FISS (Foundation for International Studies on Social Security) on Pension Reform, held at Sigtuna in Sweden, June.

Johansen, F. and T. Klette (1998), "Wage and Employment Effects of Payroll Taxes and Investment Subsidies", Department of Economics, University of Oslo, Memorandum 27/1998.

Joumard, I. (2001), "Tax Systems in European Countries", OECD *Economics Department Working Paper*, No. 301, *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Joumard, I. and W. Suyker (2002), "Options for Reforming the Finnish Tax System", OECD *Economics Department Working Paper*, No. 319, OECD, Paris, *www.oecd.org/dataoecd*/49/29/20686301.HTM.

Koskela, E., J. Pirttila and R. Uusitalo (2004), "The Effect of Taxation on Employment", Publication series of the prime minister's office, 13/2004.

Koskela, E. and R. Uusitalo (2003), "The Unintended Convergence: How the Finnish Unemployment Reached the European Level", *Labour Institute for Employment Research Discussion Paper*, No. 188.

Kouvonen, S. (2002), "Suomalaisen palkansaajan ansiotaso ja ostovoima euronäkökulmasta" (The Earnings Level and Purchasing Power of the Finnish Wage Earner from a Euro Point of View), Tuposeto Study, *Raportti* 8.10.2002, Statistics Finland, *www.stat.fi/tk/hp/tuposeto.pdf*.

Laine, V. (2004), "Incentive Effects of the Pension System", VATT, *Government Institute for Economic Research Discussion Paper*, No. 331, March, Helsinki.

Marjanen, R. (2002), "Palkkaratkaisujen sisältö ja toteutuminen tulopolitiikan aikakaudella" (The Content and Realisation of Wage Settlements in the Period of Income Policy), *Series* B, No. 188, ETLA, The Research Institute of the Finnish Economy, Helsinki, *www.etla.fi/english/research/publications/searchengine/pdf/abstract/b188eng.pdf*.

Martin, J. (2000), "What Works Among Active Labour Market Policies", OECD *Economic Studies*, No. 30, 20001/I.

Ministry of Labour (2002), National Evaluation of the Effects of the European Employment Strategy, *www.mol.fi/english*.

Ministry of Labour (2003), *Finland's National Action Plan for Employment* 2003, *www.mol.fi/english*.

Ministry of Labour (2004), Employment Report 2003, May, *www.mol.fi/english/*

Nickell, S. (2003), "Employment and Taxes", CES*ifo Conference Paper*, July, *www.bankofengland.co.uk/speeches/*.

Neumark, D. (1999), "The Employment Effects of Recent Minimum Wage Increases; Evidence from a Pre-Specified Research Design", *National Bureau of Economic Research Working Paper*, No. 7171, June, *www.nber.org/papers/w*7171.

Neumark, D. and W. Wascher (1999), "A Cross-National Analysis of the Effects of Minimum Wages on Youth Employment", *National Bureau of Economic Research Working Paper*, No. 7299, August, *www.nber.org/papers/w*7299.

Neumark, D., M. Schweitzer and W. Wascher (2000), "The Effects of Minimum Wages throughout the Wage Distribution", *National Bureau of Economic Research Working Paper*, No. 7519, February, *www.nber.org/papers/w*7519.

© OECD 2004

OECD (2002a), "Increasing Employment: The Role of Later Retirement", OECD *Economic Outlook*, No. 72, OECD, Paris, *www.oecd.org/dataoecd/56/43/2487116.pdf*.

OECD (2002b), "Recent Labour Market Developments and Prospects", Chapter 1 in OECD *Employment Outlook*, July, OECD, Paris.

OECD (2002c), OECD *Economic Surveys: Sweden*, OECD, Paris.

OECD (2003a), *Taxing Wages* 2002-2003, OECD, Paris.

OECD (2003b), OECD *Employment Outlook*, OECD, Paris.

OECD (2003c), *Transforming Disability in Ability: Policies to Promote Work and Income Security for Disabled People*, OECD, Paris.

OECD (2004a), "Wage-Setting Institutions and Outcomes", Chapter 3 in OECD *Employment Outlook* 2004, OECD, Paris.

OECD (2004b), "Promoting Innovation in Services", chapter in OECD *Science and Technology Outlook* 2004, forthcoming.

OECD (2004c), OECD *Economic Surveys: Sweden*, OECD, Paris.

OECD (2004d), *Ageing and Employment Policies: Finland*, OECD, Paris.

Prescott, E. (2004), "Why do Americans Work so much more than Europeans?", *National Bureau of Economic Research Working Paper*, No. 10316, February, *http://papers.nber.org/papers/w10316.pdf*.

Rantala, J. (2002), "Ikääntyvien työttömyys ja työttömyyseläkejärjestelmä" (Ageing Unemployed Persons and the Unemployment Pension Scheme), Reports, 2002:28, Central Pension Security Institute, Helsinki, *www.etk.fi/english/6/r6-3-1.asp*.

Rehn, O. (2004), "Finland in the World Economy, Intermediate Report", Publication series of the prime-minister's office, 14/2004.

Tuomala, J. (2002), "Työvoimakoulutuksen vaikutus työttömien työllistymiseen", *Government Institute for Economic Research Research Report*, No. 85 (in Finnish), *www.vatt.fi/index.htm*.

© OECD 2004

4. Fiscal priorities ahead of ageing

Growth in public spending has been vigorous and pressure for raising spending is likely to continue to be strong, especially due to ageing as reviewed in Chapter 1. At the same time, the tax burden is high, especially on labour. Achieving the government's medium-term objectives and ensuring the sustainability of public finances over the long term, while maintaining the essential parts of the welfare society will only be possible by: *i*) raising the effectiveness of public spending; *ii*) reforming the financing of municipalities to encourage better control of spending and limit future rises in municipal income taxation; and *iii*) rebalancing the mix between public and private provision and funding of services. This chapter discusses ways in which progress could be made on such a policy agenda.

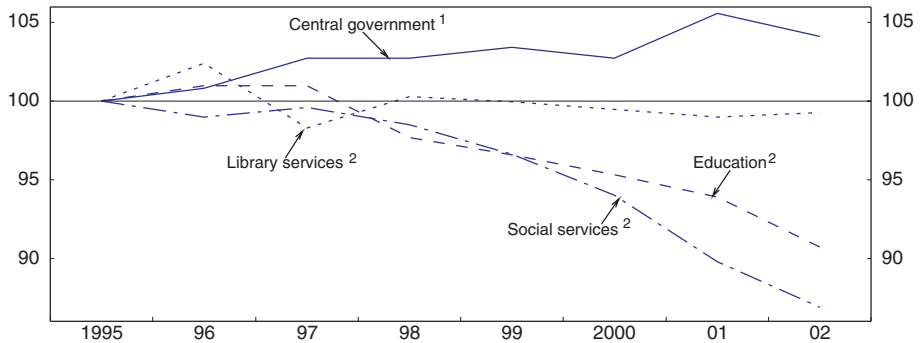
Improving services via more efficient provision

Due to the nature of public welfare services there are difficulties in measuring productivity. Nevertheless, even allowing for measurement problems, there has been a worrying decline in productivity in delivering public welfare services since the late 1990s, particularly in education and social services provided by municipalities, which comprise a large share of overall municipal spending (Figure 4.1).[1] This reflects an upward drift in spending that is not matched by increased service provision. Moreover, although there is a popular perception that the rise in service spending over recent years has only made up for cuts in the crisis years of the early 1990s, total public employment already reached its pre-crisis level in 2001.

While cost containment brought efficiency gains during the 1990s, other mechanisms are needed now to ensure value for money in publicly-funded services. The deep cuts in public employment and service spending during the recession of the early 1990s were undoubtedly difficult to manage, but appear to have had the beneficial effect of reducing non-essential spending. In health care, for instance, productivity in both hospitals and local health centres had declined steadily during the 1980s, but the trend was reversed with substantial productivity improvements in the early 1990s. Thus, the reductions in inputs taking place in

© OECD 2004

Figure 4.1. **Productivity in public administration and services**
Index 1995 = 100



1. Includes also administrative functions and services such as the police which are localised across the country, but are part of the central government sector. Measured figures cover about 69.5 per cent of the central government sector.
2. Provided by municipalities.

Source: Statistics Finland.

the early 1990s did not lead to a commensurate decline in measures of output such as number of patient visits or operations. The implied productivity gains were maintained during the mid-1990s, but between 1997 and 2001 productivity has fallen sharply in health centres (Järviö, 2004).

Increases in spending over recent years have been motivated by the desire to expand service provision, but in practice, the extra resources have not paid off in terms of more output or better outcomes. This may reflect a misperception of the extent to which extra input actually matters for service quality. For example, in the case of schools, the evidence shows that the number of students per teacher matters only slightly for learning outcomes unless class size becomes large (above 25 to 30 students). Finland is a good example of this, boasting the number-one position regarding the ability of 15-year olds to read, understand and analyse a text as measured in the PISA study, despite the fact that the number of students per teacher and spending per student are both close to the OECD average (Hanushek, 2002; OECD, 2001 and 2003a).[2] To bring about improvements in outcomes, any spending increases therefore have to be tightly targeted based on available evidence of where it can produce improved outcomes. Moreover, the variation in cost-efficiency across municipalities indicates that substantial improvements are possible if more were to adopt best practice. A recent study of municipal health care centres found some evidence of improvement of those

© OECD 2004

Figure 4.2. **Variation in health centre productivity**

Source: Government Institute for Economic Research, VATT.

centres having low productivity in 1997, but still with large variation remaining (Figure 4.2; Järviö and Räty, 2003).

With the aim of raising public sector productivity, the government has launched a broad programme aiming at administrative simplifications, better use of IT and increased exposure to competition (Box 4.1). This initiative is welcome as new mechanisms are needed to stop the decline in productivity in publicly-funded services and to ensure that the current standards can be maintained without increasing taxes over the medium term. A broadly based strategy should include five main elements:

– *Realise the productivity potential in administrative functions via increased* IT *usage which will free resources for other services.* The differential between the gradually improving productivity in central government, which has many administrative tasks, and the declining productivity in education and social services shown in Figure 4.1 is striking.[3] This differential is likely to persist, as new technologies continuously widen the scope for automation of administrative procedures. To reap the full potential of IT investments, however, it is essential that the necessary organisational changes are implemented and this may include adjustments in the allocation of tasks between central government and municipalities (OECD, 2003b).

© OECD 2004

Box 4.1. The government's programme to raise public sector productivity

The programme aims at substantial productivity gains over the medium term. The main channels for improving productivity are:

- Adjustment of administrative procedures relating to accounting, human resource management, etc. with a view to simplify procedures.
- Increased use of information technology to introduce more self-service opportunities via the internet for citizens and firms and to make administrative data processing automatic. In connection with this, work sharing among administrative offices across regional borders will be enhanced, including call centres, and by making better use of spare capacity where it exists.
- Reaping economies of scale and scope via outsourcing of non-core and support activities.

To support this, the use of statistical information and research on public sector productivity will be enhanced. While the basic data for productivity analysis exist, they are so far used only sparingly to monitor and analyse productivity developments, for example in health care and education. The ongoing efforts aim to provide these productivity data to municipalities and to supplement them with data monitoring client satisfaction and the work load experienced by staff. Also, a set of processes related to the annual budget cycle are being implemented:

- In its budget proposal, each ministry has to prepare a plan for enhancing productivity covering also activities funded by transfers to municipalities and non-government organisations. This procedure will begin with the budgets for 2006 to be prepared during 2005.
- Within the newly established Basic Services Programme a document evaluating the balance between municipal welfare services and public funding is now part of the annual decision on central government spending limits which include grants to municipalities. This document includes a chapter on efficiency and measures to raise it (Ministry of Interior, 2004).
- While the budget system encourages efficiency gains as each ministry has a fixed budget envelope that allows ministries to reallocate funding to the activities and purposes they find most valuable, the incentives to invest in for example IT solutions that can bring future savings, may be more muted. To address this issue, the Ministry of Finance is considering an arrangement to allow ministries to "borrow" extra budget resources for such investments conditional on a clear plan for how productivity gains are to be achieved and future savings to be "paid back" via reductions of the ministry's future budget envelope.

At a later stage, it is intended to set quantitative targets for productivity growth based on the plans drawn up by ministries.

© OECD 2004

– E*nsure better control and prioritisation in the ongoing expansion of service spending*. While IT can bring administrative savings, such savings are not enough to match the magnitude of the current expansion of service spending or to offset the productivity declines in other services. A better management of resources in these other services is therefore of vital importance to prioritise and focus increases in public service spending on where they bring most value. In this respect a closer dialogue between central government and municipalities to clarify the limited fiscal room for increased service spending is important. In any case, simply spending more money will not work as the labour force is contracting in aggregate, as discussed in Chapter 1.

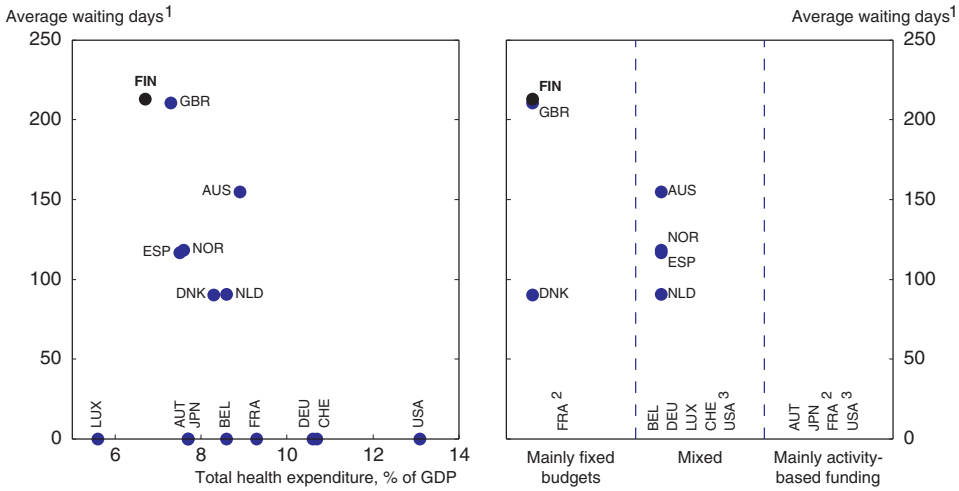
– I*ncrease the use of benchmarking*. Contrary to other Nordic countries, such as Norway, detailed published benchmarking of municipalities is underdeveloped in Finland. While many data are recorded, these results could be made more widely available, for example by publishing league tables of input and output indicators.

– C*hange the way funding is allocated among service providers to improve incentives to be more efficient*. Sharpening incentives via funding mechanisms is more effective than specific targets for client satisfaction. Experience from other OECD countries shows that attempts to drive through improved performance via centrally-stipulated, detailed quantitative targets for service outputs can also have adverse effects (OECD, 2004a). However, broader quantitative measures and targets can be important in guiding the overall priorities and reallocation of resources across services. Activity-based funding in health care could be better developed given the international evidence showing that waiting times for surgery are not simply determined by how much money is spent on health care, but just as much by the way in which funding is allocated among hospitals. Countries that involve some degree of activity-based funding typically have shorter waiting times than countries in which hospitals receive fixed budgets (Figure 4.3).

– I*ncrease the use of contracting out*. The scope for contracting out is large not just for support functions, but also for social and welfare services. Non-profit institutions and private firms already play an important role in providing institutional placement for children and youth, adapted housing for the elderly and disabled, helping substance abusers and providing work rehabilitation (Figure 4.4). But the role of non-profit institutions and private firms is surprisingly little developed in institutional care and home help for the elderly and disabled and in day care for children, which are the three largest areas of social services.[4] Moreover, in comparison with other countries, there seems ample scope for

© OECD 2004

Figure 4.3. **Waiting times, spending and incentives**
2000



1. Mean waiting times for persons admitted for inpatient surgery. Simple average for hip replacement, knee replacement, cataract surgery, varicose veins, cholecystectomy, and inguinal and femoral hernia.
2. In France, public hospitals have fixed budgets, while private hospitals treating publicly funded patients receive activity-based funding.
3. In the United States, Health Maintenance Organisations use mixed funding mechanisms, while the public Medicare programme uses activity-based funding.

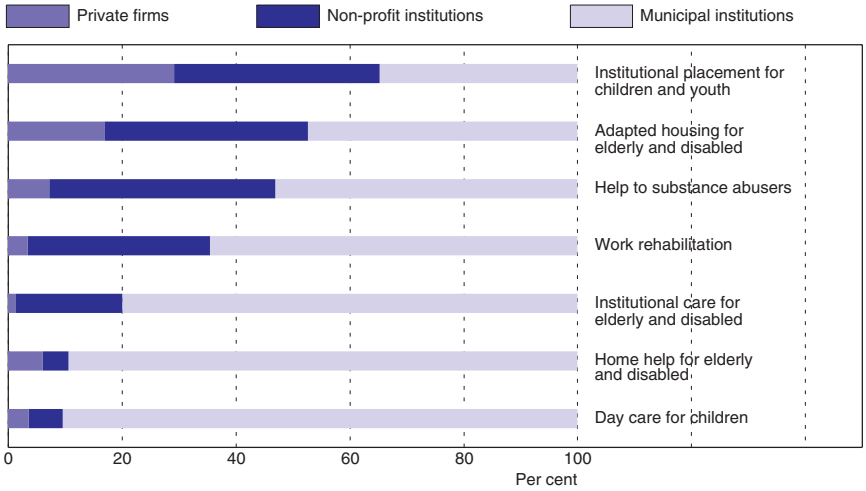
Source: OECD Health Data 2003; Siciliani and Hurst (2003), "Explaining Waiting Times Variation for Elective Surgery across OECD Countries", *OECD Health Working Papers*, No. 7.

involving a wider mix of providers thereby increasing contestability in service provision. In Norway for example, private institutions receiving public funding cater for two in five children in institutional day care (Figure 4.5). Replacing municipal institutions with other providers is not a goal in itself, but the very low share of non-public providers indicates that moving towards a wider mix of providers could raise efficiency by making service provision contestable and testing and spreading innovations in work organisation and service provision. In some social services, private providers are highly concentrated in the Uusimaa region surrounding the capital, but in all services, some private providers exist in virtually every region.[5]

Considering the large number of comparatively small municipalities, mergers should be expected to lead to economies of scale. With an average size of 11 400 inhabitants, Finnish municipalities are much smaller than in Sweden where the average size is 30 700 inhabitants. Moreover, in Denmark, where the

© OECD 2004

Figure 4.4. **Public and private providers by service area**
Share of total output value, 2002

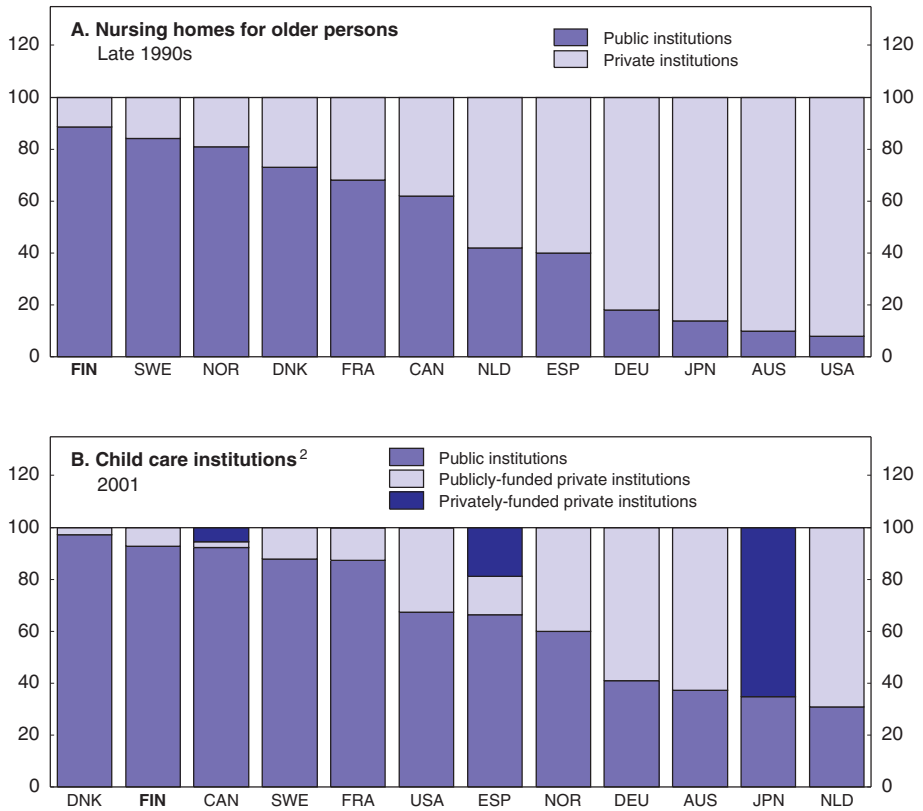


Source: Employers' Confederation of Service Industries.

average size is 19 600 inhabitants, a political agreement has been reached to reform the municipal structure by 2006 with the aim that municipalities should have a minimum size of 30 000 inhabitants while municipalities below 20 000 that refuse to merge will be forced to enter into binding partnerships with other nearby municipalities to ensure professional sustainability in the tasks they perform (Danish Ministry of the Interior, 2004). However, mergers do not automatically ensure gains in cost-effectiveness or lower taxes, as research has been unable to find clear evidence of reductions in total spending in those Finnish municipalities that have merged (Moisio and Uusitalo, 2003) over recent decades. While mergers have led to savings on administrative functions, total spending has typically increased more than in comparable municipalities as extra spending growth notably in education and health care has more than offset savings on administrative functions. Based on the available research, it is not clear whether this extra spending growth reflects higher service standards or inefficiencies. Current policy promotes mergers via central government grants to cover the preparatory costs, but this has only led to very few mergers in recent years. For municipal mergers to be instrumental in meeting the fiscal objectives, a more active approach to inducing consolidation and co-operation among the many municipalities focused clearly on improvement in cost efficiency is therefore needed so that the potential economies of scale lead to cost savings.

© OECD 2004

Figure 4.5. **Public and private service providers:[1] an international comparison**



1. Based on the number of users in each type of institution. Private institutions include both non-profit institutions and private firms.
2. Includes pre-primary education and organised centre-based programmes designed to foster learning and emotional and social development in children from 3 years to compulsory school age. For Australia, Germany and Norway, some of the private institutions may be predominantly privately funded, but the available data cannot determine the exact share of private and public funding for private institutions.

Reforming the fiscal framework guiding municipal spending and taxation

While there appears to be ample scope for raising productivity in public services, it is equally important to assure that municipalities have incentives to pursue these options. With a favourable macroeconomic environment, the risk is that spending simply drifts up leading to slack rather than genuine service improvements.

© OECD 2004

Municipal employment and spending growth has been remarkably rapid recently. In 2002 alone, municipal employment grew by over 2 per cent or 10 000 persons, and on average from 1995 to 2003 employment grew 1½ per cent a year in the municipalities whereas it remained unchanged in central government. As municipalities account for three-quarters of total public employment, increases of this magnitude could undermine the government's fiscal strategy. This is illustrated by the adjustment of government transfers paid to municipalities in the 2005 budget proposal. Legislation requires that state grants to municipalities are adjusted at four-year intervals if municipal spending on statutory tasks has increased faster than the state grant. As a consequence transfers to municipalities would have to rise ¼ per cent of GDP from 2005 onwards – which is more than the stipulated increase in the total central government spending limits from 2004 to 2005 which include grants to municipalities. Virtually all of this adjustment relates to health and social services and it came as a surprise when public finance statistics were released in late 2003 (Ministry of Finance, 2004a). To avoid deviating from its spending limits, the government has proposed to implement this adjustment only gradually over four years beginning in 2005 and to abolish this feature of the legislation. Ending the automatic adjustment of grants should increase the fiscal responsibility of municipalities and is welcome.

But even without an automatic adjustment of state grants, the increased cost within municipalities can undermine fiscal policy by pushing up municipal income taxes and thereby reverse the recent central government tax cuts. The central government's grant to municipalities is part of the central government's spending limit, but otherwise municipal finances are not covered by the fiscal objectives set out in the government programme. While each municipality is obliged to balance its budget over three years, there are no limits on spending. The government does not have an explicitly stated fiscal policy objective for municipal spending developments apart from what is implicit in the medium and long-term scenarios for general government finances. While there is an ongoing dialogue to build consensus between central government and municipalities, it does not conclude with any binding agreements concerning municipal spending growth or tax rates. Each municipality has full discretion to raise its income tax rate if spending pressures accumulate. After a period of stability since the mid-1990s, average income tax rates began to increase in 2002, and although 2004 income tax rates are only half a percentage point above the 2001 level, further tax rises may be forthcoming as the deficit of the municipalities has risen to ½ per cent of GDP in 2003. This corresponds to a further 1¼ percentage point rise in municipal income tax rates if municipalities choose to restore budget balance by tax rises rather than spending cuts – after the municipal elections in October 2004.[6] And if public consumption growth continues at current rates then tax increases could be even sharper. Indeed, rising deficits, while municipal employment is expanding by 1 to 2 per cent annually suggests that there is too little focus on improving efficiency in municipal service provision.

© OECD 2004

The strength of current pressures for increased municipal spending risks causing substantial fiscal slippage over the coming years, which is also illustrated by past developments in the other Nordic countries. In Denmark, the average income tax rate of municipalities and regional authorities went up by 3 percentage points from the early 1990s to 2000 (Box 4.2). If a similar development were to

Box 4.2. Control problems in municipal finances in other Nordic countries

Municipal service spending caused substantial fiscal slippage in Denmark during the 1990s

Throughout the 1990s, growth in public consumption in Denmark outpaced the government's medium-term objectives primarily because service spending in municipalities and regions grew strongly. After stability during the late 1980s, a new government came into power with the ambition to kick-start the economy and gradually raise the provision of services, as stipulated in the plan "New Course" of May 1993. The actual growth in public consumption, however, outpaced what was intended (Figure 4.6, Panel A), a pattern that has been repeated for the later plans, "Denmark 2005" from April 1997 and "Denmark 2010" from January 2001.

Developments in municipal and regional service spending are key to understanding why these slippages occurred, as consumption growth has been more rapid at the local and regional level and because the larger part of public consumption is administered by municipalities and regional governments, as in Finland. Part of the increase reflects obligations imposed by parliament and central government which have been matched by increased transfers, but the reason why public consumption has increased so much is that service demand has grown more than anticipated, and virtually every year, actual municipal and regional service spending growth has outpaced what was stipulated in the annual agreement between central government and the municipalities and regional authorities. As a consequence, the average income tax rate of municipal and regional authorities has increased by 3 percentage points between the early 1990s and 2000 (Figure 4.6, Panel B). In particular, growing health care spending has contributed to this development.

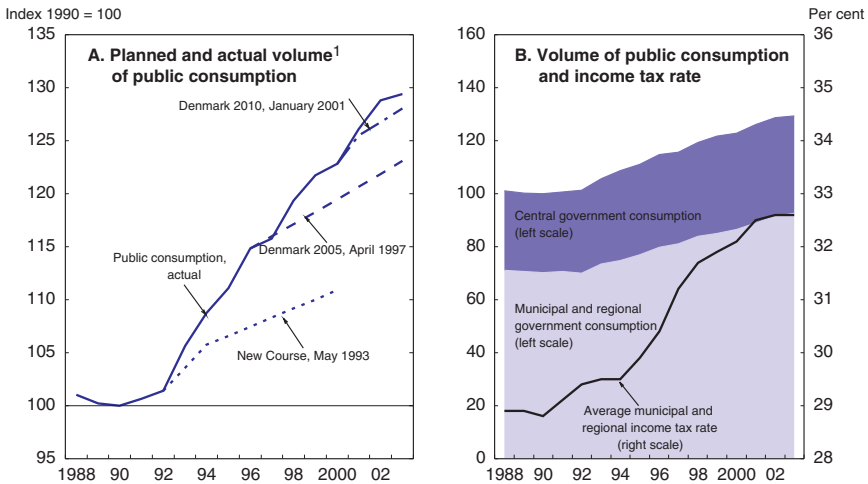
Instruments to achieve coordination between central government and municipalities

Looking at experience from the other Nordic countries, one option is to make agreements between government and the association of municipalities on maximum spending and tax increases. Such agreements exist in Denmark, but did not prevent the unintended upward spending drift. In Norway, there has been an

© OECD 2004

Box 4.2. Control problems in municipal finances in other Nordic countries (*cont.*)

Figure 4.6. Public consumption and municipal tax rates in Denmark



1. Problems with the deflator calculations in the Danish national accounts during the 1990s may imply that too much of the value growth in public consumption is attributed to volume growth and too little to price increases (Davidsen and Hanus, 2001). Nevertheless, the qualitative conclusions drawn above remain valid. Public employment measured in full-time equivalents increased by over 9 per cent from 1992 to 2000 – twice as much as originally intended, and the share of public consumption in trend GDP increased by about 1 percentage point, whereas the intention with the "New Course" plan was for it to decline.

Source: Danish Ministry of Finance (1993, 1997, 2001 and 2003); Danish Ministry of Taxation; Davidsen, S. and N. T. Hanus (2001), *Analyse af det offentlige forbrug siden 1992* (Analysis of public consumption since 1992), Danish Ministry of Finance Working Paper, No. 1/2001; Statistics Denmark.

upper limit on the income tax rate municipalities can set for two decades but the experience has been mixed. All municipalities now apply the maximum rate and even in cases where individual municipalities receive large extraordinary income they prefer to increase spending rather than being the only one to reduce tax rates. Cutting taxes is considered to signal to central government that there is scope to reduce grants. Moreover, with all municipalities applying the maximum tax rate, the onus is back on central government to finance spending increases via grants as local politicians are freed from the fiscal responsibility to justify higher tax rates (Rattsø, 2003). Other options are to "tax tax rises", with central government confiscating a proportion of the revenue from tax increases, as recently introduced in Denmark, or to issue tradable permits for tax increases as suggested in the latest *Survey* of Denmark (OECD, 2003c).

© OECD 2004

occur in Finland, all of the reductions in labour taxation made by central government in 2003 and 2004 and contemplated for 2005 would be completely neutralised by the end of this decade. This underscores the urgency of reforming municipal finances and strengthening the domestic coordination of fiscal policy.

The government is preparing a reform of municipal finances to take effect from January 2006 which is expected to focus mainly on removing the automatic adjustment of transfers from central government in response to cost developments in municipalities. In light of the problems that adverse developments in municipal finances could bring, a number of other changes should however be considered, including changes to the menu of taxes available to municipalities and implementing a framework for avoiding spending hikes.

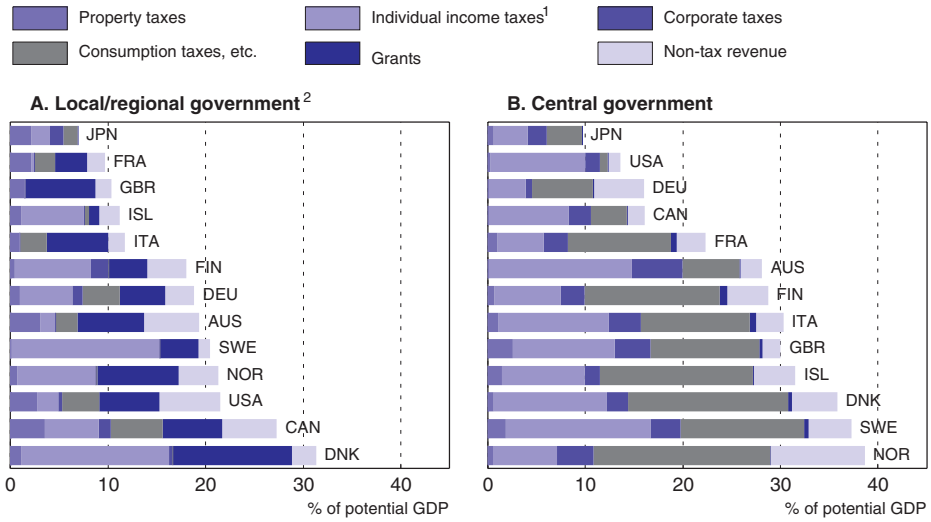
Changing the menu of taxes available to municipalities

The increase in municipal spending has been financed by increased income tax revenue, higher state grants and borrowing. Revenue from corporate income tax is volatile and has declined from a peak of 22 per cent of total municipal tax revenue in 2000 to 7 per cent in 2003, partly due to the reduction in the municipal share of total corporate tax revenues from 36½ to 19¾ per cent. As with changes in the personal income tax base, this has been compensated by increasing central government grants since 2002. Property taxes have increased their share of total municipal revenues slightly, but still account for only 5 per cent. Although the tax revenue accruing to municipal finances as a share of GDP is high by international standards, it is not higher than in other Nordic countries, and relative to non-tax revenue and central government grants it constitutes a smaller share of municipal finances than for example in Sweden (Figure 4.7). Higher tax revenues at the local level should not be ruled out, but this should not be allowed to undermine the central government's tax policy objectives by increasing taxation of labour.

Property taxation, and in particular the taxation of immovable property (buildings and land), is low in international comparison (Figure 4.8). All revenues from taxation of immovable property accrue to municipalities, whereas the revenue form other property taxes such as the net wealth tax, the inheritance tax and the taxes on financial transactions accrue to central government. The total level of these different property taxes in Finland is among the lowest in Europe and much lower than in Australia, Canada and the United States.[7] This is striking since taxes on immovable property are generally considered among the taxes best suited for financing local government (Joumard and Kongsrud, 2003). The virtue of increasing taxation of immovable property are particularly clear as Finland subsidises housing via the tax deductibility of mortgage interest payments which is not matched by taxation of imputed rental income (Catte *et al.*, 2004).

© OECD 2004

Figure 4.7. **Composition of revenue**
2001 or latest year available

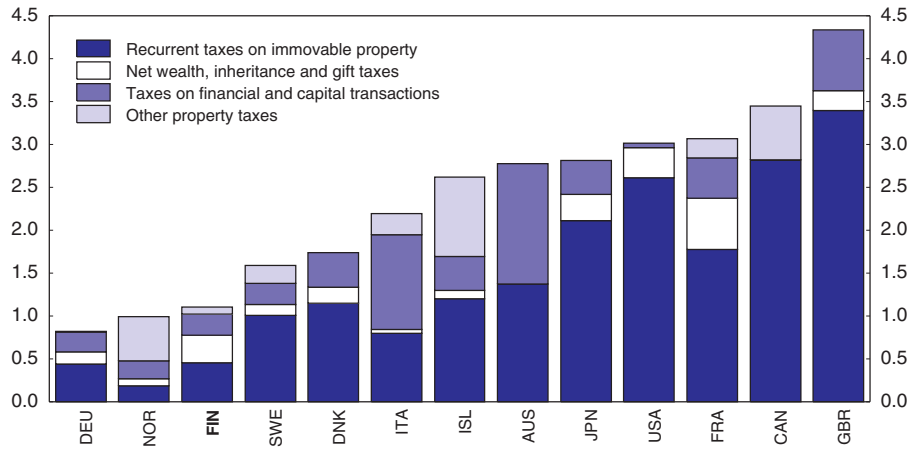


1. Also includes payroll taxes and social security contributions where these accrue to local, state/regional or central government.
2. For the federal countries, *i.e.* Australia, Canada, Germany, United States, Panel A combines local and state levels.
Source: OECD, *Revenue Statistics, 1965-2002*, 2003 ed.

While municipalities can freely choose their income tax rate, the tax rate for immovable property can only be set within a fairly narrow interval given by law. For primary residences, tax rates can vary between 0.22 and 0.50 per cent, and for most other immovable property between 0.50 and 1.00 per cent.[8] Indeed, it is difficult to see the economic rationale for having an upper limit on property tax rates while none exists on income tax rates. The lower limit for property tax rates should thus be raised and the upper limit abandoned. It should, however, be noted that while the distribution of property tax rates has shifted upwards over the last decade, most municipalities still do not apply the top level, but choose property tax rates in the lower end or middle of the range, presumably because property taxes are politically unpopular (Figure 4.9). To achieve a change in the composition of taxation from labour to property, it is therefore equally important to raise the lower limit for property tax rates and/or constrain the recourse to income tax increases. Moreover, municipalities could be given the requirement that any increase in income tax rates must be paralleled by an increase in property tax rates. This would reduce the extent of income tax increases while maintaining the fiscal autonomy of municipalities.

© OECD 2004

Figure 4.8. **Property tax revenue**
As a percentage of GDP, 2002[1]

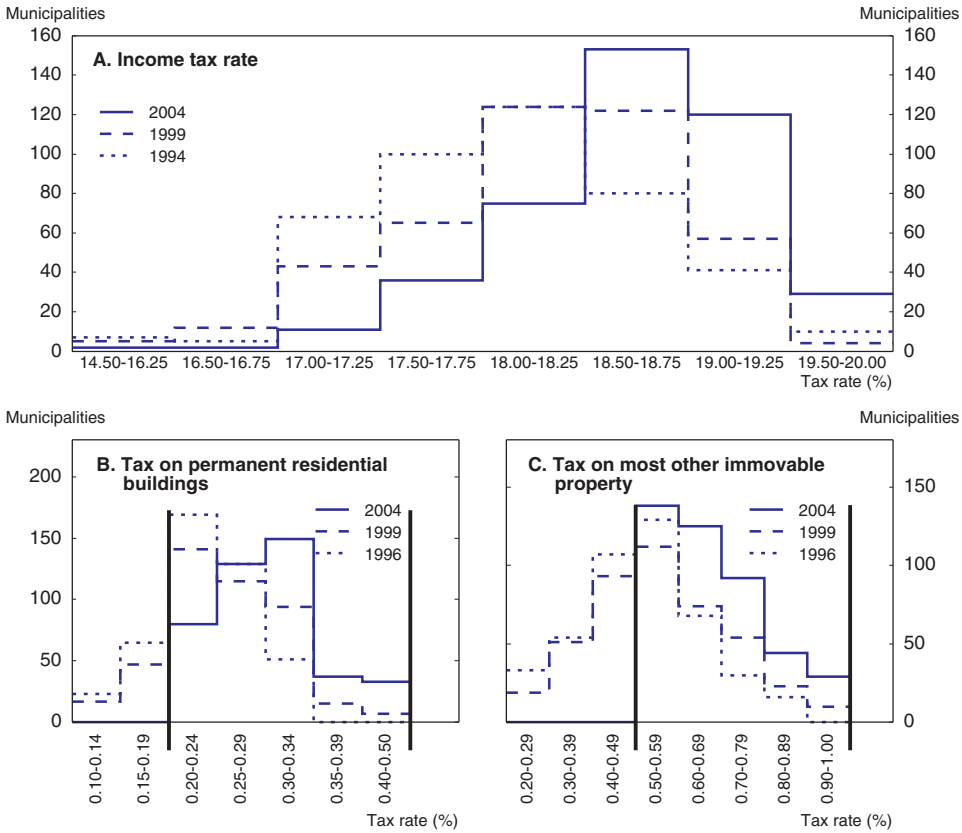


1. 2001 for Australia and the United States.
Source: OECD, *Revenue Statistics, 1965-2002*, 2003 ed.

Having a very unstable revenue component, such as corporate taxes, is likely to produce ratchet effects in spending, as municipalities tend to raise spending when revenues grow fast while finding it hard to cut back when revenues recede. In Norway, this process is considered to have been a key factor behind rapid spending growth, leading to strong political pressures for increased grants from central government in periods when corporate tax revenues have slumped (Rattsø, 2003; Lotz, 2004), and the municipal share in corporate tax revenues was therefore abolished in the late 1990s. A similar process is operating in Finland, where part of the revenue from corporate taxes accrue to municipalities and is distributed in proportion to how many the particular firm employs on plants in each municipality. The municipal revenue share has been reduced gradually from 45 per cent in 1997 to 19¾ per cent in 2004, but this process seems to have stalled, and while the corporate tax rate will be reduced from 29 to 26 per cent from 2005, government has proposed to keep municipal revenue unchanged by raising their share from 19¾ to around 22 per cent. Thereby, municipalities are still exposed not only to the fluctuations in corporate profitability but also to the specific fortune of firms located within their boundaries *via* this arrangement. In Helsinki and Espoo where much of Nokia's activities are located, corporate tax revenues reached peaks of respectively 26 and 28 per cent of municipal operating expenditure in 2000, with a subsequent decline to 7 and 9 per cent in 2003. For both

© OECD 2004

Figure 4.9. **Distribution of municipal tax rates**



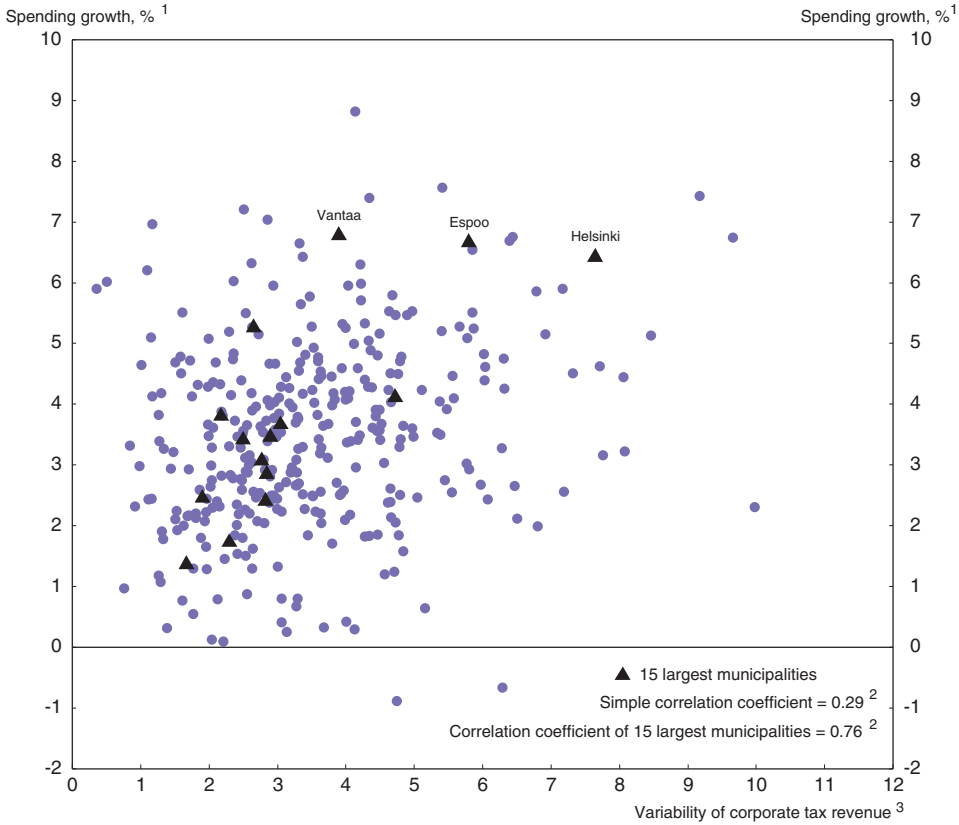
Source: Ministry of Interior.

municipalities this led to a boost in spending but in particular for Helsinki it seems not to have been matched by increased satisfaction with services, suggesting that the windfall led to inefficiencies. Helsinki now has a fiscal consolidation plan for 2004, but the process has been difficult and the personal income tax rate has gone up from 15 per cent in 1992 to 17½ per cent in 2004, illustrating the ratchet effect. Similarly, it is striking that Espoo did not in *any* year during the boom take measures to reduce its personal income tax rate which instead went up from 16½ in 1992 to 17½ per cent in 2004 – in exact parallel with the national average. Considering the development across all Finnish municipalities, it is seen that in municipalities where fluctuations in corporate tax revenue have had a

© OECD 2004

significant magnitude, the part of spending which is not financed by corporate tax revenue, has grown more than in other municipalities (Figure 4.10). In other words, municipalities have *not* succeeded in finding sufficient savings to match the recent decline in corporate tax revenues.[9] The broader macroeconomic implication of financing municipalities partly by corporate income tax revenue is likely to be that fiscal policy becomes pro-cyclical. Corporate tax revenue should thus be shifted

Figure 4.10. **Municipal corporate tax and spending growth**
1997-2003



1. Average annual growth from 1997 to 2003 of operation expenditure less corporate tax revenue, *i.e.* current spending which has to be financed from other revenues. Volumes based on GDP deflator.
2. Municipalities below one-sixth of average size are not included.
3. Standard deviation of the ratio of corporate tax revenue to operation expenditure in the years 1997-2003.

Source: Ministry of Interior and OECD calculations.

© OECD 2004

completely to central government, as recommended also in previous Surveys (OECD, 2002a and 2003d). A simultaneous increase in property taxation could compensate for the revenue loss in a fashion that largely maintains the regional distribution of municipal income as immovable property will generally be valued higher in areas with a profitable and growing business environment.

Strengthening the framework for controlling spending in municipalities

The current approach to overall cost control in the municipal sector is based on consensus building. The Basic Services Programme introduced in 2003 aims at achieving a better balance between financial resources and the tasks and obligations of municipalities. It consists of an annual budget review and service assessments (Ministry of the Interior, 2004). It is supported by a Committee for Municipal Finances and Administration consisting of an equal number of delegates from government ministries and the Association of Finnish Local and Regional Authorities. Underlying this cooperative framework is an intention expressed in the government's 2003 programme to compensate municipalities for spending associated with new service obligations and expansion of existing tasks and to compensate for revenue changes when the tax bases are altered by central government decisions. The programme may stem an otherwise important source of drift in service spending, namely the lack of co-ordination as central government ministers and members of parliament press for new obligations for municipalities to raise service provision in their particular area of interest, while not paying attention to the associated costs. The expansion of the "subjective rights of citizens" to benefit from certain services has gained momentum and municipalities feel that this is a key source of the upward drift in spending. In these circumstances introducing a system of fiscal compensation (from central government to municipalities) for such obligations will help if it disciplines central government ministers and parliament.

Together with its decision on central government spending limits made each spring, the government now publishes a projection for the block grants to municipalities based on an estimate of municipal spending and revenues for four years which matches the planning horizon for the central government budget. The size of the block grants is negotiated in the Committee for Municipal Finances and Administration, but these negotiations do not limit the ability of individual municipalities to subsequently raise income tax rates. In parallel, a plan for service assessments to be undertaken between 2004 and 2007 has been prepared (Ministry of the Interior, 2003). These assessments focus on specific aspects, such as morning and afternoon activities for school children, and address both the quality of service provision and the scope for improving cost efficiency including via structural changes and cooperation among municipalities. This co-operative approach is likely to improve services by advancing the implementation of new

© OECD 2004

technology in conjunction with better organisation which can give cost savings as discussed earlier. However, the overall fiscal outcome may be higher public spending, as in many areas the service assessments are likely to raise national service standards with no limits on municipal taxes.

The acceleration in spending and the rapid decline in productivity reviewed earlier in this chapter indicate that stronger mechanisms might be needed to damp the municipal spending dynamics. Various instruments have been used in other Nordic countries, limiting the possibility for municipalities to hike income tax rates (Box 4.2), but such instruments have to be adapted to the specific circumstances of each country. Freezing the current income tax rates would imply a different and arbitrary treatment of municipalities because their income tax rates currently vary by a couple of percentage points (Figure 4.9). Alternatively, fixing an upper limit on municipal income tax rates in the same way as for property tax rates, will only affect those municipalities currently close to the upper limit and, as the experience from Norway shows, such a single upper limit can create adverse incentives. A better way forward for Finland would therefore be to maintain the autonomy of municipalities to determine income tax rates, but commit each individual municipality more firmly to the macroeconomic necessity of meeting the apparent demand for more and better services *via* efficiency improvements rather than higher tax rates.

- R*aise transparency* by developing benchmarking of service efficiency (unit costs) in a way that can alert citizens and municipal councils when local service efficiency is below average. Such benchmarking is currently under-developed, in particular compared with Norway (Box 4.3).

- C*onsider combining benchmarking with enhanced fiscal procedures*. A weakness of benchmarking of public services can be that citizens tend to interest mostly for the quality of the services they use personally and less for cost efficiency of the wider range of municipal activities. Benchmarking and transparency therefore risks reinforcing an asymmetric interest-group pressure to drive up public spending and, in turn, taxes.[10] Thus, there may be a case for combining benchmarking with enhanced fiscal procedures to ensure that in the case of below-average efficiency, any expansion of service provision is funded by first exhausting the potential for productivity improvements and reductions in unit costs before increasing municipal tax rates. For example, if a municipality with above-average unit costs wished to provide child care services to more families, it would do so, first by approaching the national average for the number of children per employee in its child care institutions. Only once it reached the point where its unit costs are equal to or go below the national average, would it expand child care coverage through investing in new facilities and employing more child care teachers funded by

© OECD 2004

Box 4.3. The Norwegian KOSTRA information system

This box illustrates how benchmarking of service unit costs could be implemented and used in Finland if municipal data were made publicly available to a similar extent as currently in Norway.

The Norwegian KOSTRA information system obliges municipalities to report about their service provision and resource use. Covering more than a thousand variables for each municipality it is so far unique in the world in terms of the detail it provides and its user friendliness for the public, researchers and decision makers. The first year for which data have been collected was 1999 and from 2001 the coverage of municipalities and their activities has been more or less complete with all information being publicly available via the internet on *www.ssb.no/kostra*. Data for 2003 were already published on March 15 as submitted by the municipalities and later, on June 15, in the final version audited by Statistics Norway. This impressive timeliness implies that municipalities can take their comparative performance on last years data into account already when they set the direction for next year's budget and decides about next year's tax rates in the autumn.

For each area of activity, KOSTRA provides information on *priorities* (in terms of public spending per inhabitant or relative to some measure on need), *coverage* (the number of users such as the share of 3-5 year olds having a kindergarten place) and *productivity or unit costs*. In addition, it includes information on the municipality's financial position, user charges, extent of contracting with private service providers as well as information on conditions determining service needs, such as the population structure, family structures, local mortality or life expectancy, share of immigrant population, employment and unemployment, and geographic conditions such as average travel distance to the municipal centre. Data on unit cost have gone through extensive adjustments to ensure comparability such as to reflect the average number of users during the fiscal year, and take account of depreciations and internal transactions.

The type of unit costs that is most appropriate for benchmarking depends on the service in question. Although this is currently not done in KOSTRA, the actual unit costs could be adjusted for inter-municipal differences in conditions such as population density, immigrant population and other factors that may warrant higher spending and possibly higher unit costs across municipalities so as to base benchmarking and any enhanced fiscal procedure on the residual variation in unit costs. They are three types of unit costs:

- Genuine unit costs are readily available for most education services, in the form of cost per student in high schools or vocational schools, while for example in child care it can be necessary to adjust for intensity of participation. KOSTRA has a measure of "operating expenditure for municipal child care institutions per adjusted child hour" and a similar variable for operating subsidies to private child care institutions.
- Unit costs that are conceptually correct, but could be prone to manipulation are available for most health care services. In particular payments via the DRG system for health care treatments relies on information about these "prices" or unit costs, and for long-term care institutions, KOSTRA compares municipalities based on operating expenditure per place.

© OECD 2004

Box 4.3. **The Norwegian KOSTRA information system** (*cont.*)

– For other services, however, the number of users may be more difficult to specify (for example for roads) or the concept of unit costs can be misleading (for example in home care for older persons where low unit costs may not reflect efficiency, but rather that more persons with lesser needs receive publicly funded home care a few hours a week). In these cases it is safer to use information on total spending relative to some measure of potential need (for example limited population density for roads or share of older persons in the population for long-term care). Such measures are always available in a form that cannot be manipulated.

increased taxes. If municipal tax rates continue to rise over the coming years, then there is a case for considering institutional changes that would oblige local democratic institutions to "think twice" before raising expenditure or taxes, while at the same time maintaining their autonomy from the state. For example, it could be a requirement to have a two-thirds majority in the municipal council, a public hearing or even a local referendum for a decision to increase tax rates in a municipality with above-average unit costs.[11] In Switzerland, 17 out of 26 cantons require that new municipal spending projects are approved by a public referendum, and research has found that this requirement has effectively limited public spending (OECD, 2002b).

The Norwegian KOSTRA information system shows that it is feasible to compile the necessary data to genuinely benchmark municipal service unit costs and possibly support an enhanced fiscal procedure (Box 4.3). Measuring productivity in services like education and health care can be very difficult because of hard-to-observe quality aspects of both inputs and outputs (National Statistics UK, 2004). By contrast, unit costs are easier to measure provided that total expenditure can be broken down in main service areas and the number of users can be counted in an auditable way. In schools, for example, it can be hard to establish quality-adjusted productivity indices, but it is straightforward to calculate the cost per pupil which is all that would be needed here. The detailed form in which such benchmarking is implemented and what enhanced fiscal procedures it might be linked with can be varied in a number of ways, but what remains is that a number of the recent municipal tax hikes (Figure 4.9) could probably have been avoided if the municipalities in question had addressed the possibilities for

© OECD 2004

raising efficiency more vigorously, as it is clear that service efficiency has declined (Figure 4.1) with quite some variation in the level of efficiency across local units and only slow convergence (Figure 4.2).

Another option would be to strengthen the reward for keeping tax rates low. Currently, the tax equalisation system is based on *potential tax revenue* per capita which is the total revenue from income, corporate and property tax that the municipality would have had if it had applied the national average tax rate for income and property tax. In cases where per capita potential tax revenue is below 90 per cent of the national average, the municipality is fully compensated as the grant it receives from central government is augmented by an amount equal to the difference between that municipality's potential tax revenue and 90 per cent of the national average potential tax revenue. Conversely, municipalities above 90 per cent of the average potential tax revenue have their state grants reduced by 40 per cent of the amount by which their potential tax revenue exceeds 90 per cent of the national average. This implies that irrespective of the income level of their citizens, municipalities receive the full revenue from increasing income tax rates, as the tax equalisation transfers to/from any particular municipality does not depend on its tax rates.[12] However, for municipalities significantly below the 90 per cent threshold there is no incentive to make the tax base grow – neither by attracting high-earning citizens nor firms. Tax competition thus exerts no control on spending increases in these municipalities. The tax equalization system could be changed so that municipalities with below-average potential tax revenue receive less than 100 per cent of the difference between their tax revenue and the national average/potential, which is the case in the other Nordic countries (Lotz, 2004), so giving municipalities at all income levels increased incentives to boost their tax bases by limiting growth in tax rates.[13]

Finally, to strengthen the fiscal responsibility of municipalities, the access to discretionary grants should be reconsidered. Municipalities can apply for extra financial assistance grants if they are exposed to special circumstances, and these discretionary grants grew during the late 1990s to a peak in 2000 where 148 out of the 430 municipalities were granted assistance, amounting to a total of EUR 71 million. In later years the total amount and the number of municipalities receiving assistance has declined, and in December 2003, 95 municipalities received a total of EUR 47 million. At around 0.05 per cent of GDP, this does not in itself constitute significant fiscal slippage, but it weakens the incentives for municipalities to take responsibility for their financial situation and deal with inefficiencies. The requirements for municipalities receiving such grants to commit to specific fiscal retrenchment measures *via* negotiations with the Ministry of the Interior have been tightened recently, but still it seems unwarranted that each year one out of five municipalities should need to be "bailed out" by discretionary grants from central government. The provision of *ad hoc* financial support to individual municipalities should be abolished or the conditions tightened considerably.

© OECD 2004

Creating room for future welfare service demand by rebalancing public and private funding

With the strong spending pressures stemming from ageing, it will be necessary to focus public spending on what is essential for safeguarding welfare. Improving efficiency in public service provision can free resources and, if pursued vigorously, it can go a long way to make it fiscally sustainable to maintain today's service standards. But over the longer term, service demand from the elderly – who on average will be wealthier than today – is likely to grow far beyond today's service standards. Allowing part of this future demand to be met by private spending is therefore important so that public spending can be focused on what is most essential. While public funding and equal access to services that are truly necessary is a central feature of the welfare society, future service demand is likely to evolve well beyond what can be considered as essential. The risk is that if core public welfare services are not distinguished, then expanding demand for less-vital services will drive up public spending, simply because such services are produced in the public sector today, with the risk of crowding-out spending that is more vital for safeguarding welfare. To avoid such a situation, institutional arrangements allowing growing demands to be met via increased private spending should be put in place. At the same time, consideration should be given as to whether current public service spending is sufficiently focused on where it is most needed, or whether the underlying policy objectives could be achieved – or even better achieved – with less demand on public finances, thereby providing room to cope with the future ageing-related spending pressure. Key to the success of such a strategy will also be the further development of an alternative private service supply, which will also help to promote both entrepreneurship and service sector job creation.

In parallel with more focused funding of services, the justification for the most expensive elements of pensions and transfer incomes should be reconsidered. The pension reform agreed in 2003 which is now being implemented contains a number of aspects that underpin fiscal sustainability such as the automatic adjustment of pension benefits to changes in average life expectancy (OECD, 2003d). Nevertheless, the Central Pension Institute still projects that contribution rates will have to rise from 22 per cent in 2005 to 27 per cent in 2035. More than half of this increase is explained by two expensive elements introduced with the reform: a 1.9 per cent accrual rate from the age of 52 and inclusion of non-wage periods such as study when calculating the level of pension benefits. Removing these two elements which do not give incentives to stay in the labour force would reduce pension outlays by 1¾ per cent of GDP in 2050. Reconsidering these aspects and closing the remaining pathways to early retirement should be a priority, while preparations for further pension reform should get underway.

© OECD 2004

Ageing-related spending – meeting some of the future service demand via private funding

The authorities have started a review of user charges for health care and social services so as to bring these into line with cost developments for these services. The share of municipal health and social service operating costs being financed by user charges has declined from 12.2 per cent in 1995 to 10.7 per cent in 2002. The decline has been clearest for basic and specialised health care and institutional care for older persons, together representing three quarters of municipal spending on health and social service, whereas the share of user charges has grown for dental care and home help for older persons. The government has adopted the principle of adjusting user charges to reflect cost developments for these services as a part of the Basic Services Programme (Ministry of Interior, 2004). This principle should be welcomed, but is unlikely to be sufficient over the longer term.

Firstly, consideration should be given to whether public funding should be available for all forms of care services, or for example confined to treatments with proven effectiveness. As much as half of the total increase in health care costs over the past half-century is due to new technologies and therapies for previously untreatable conditions. Recent developments in imaging, biotechnology and pharmaceuticals suggest that this trend is likely to continue (Aaron, 2003), and the prospects of future molecular medicine and treatments based on results of research on the human genome are considerable. While some of these medical advances are likely to bring cures for serious conditions that are today hard to deal with, other advances will have a "well-being" character, for which access can hardly be considered a core element of a welfare society. While prioritisation already exists implicitly today, as for example in the coverage of drugs and the treatments offered in public health care that are selected on the basis of their medical effectiveness, the need for distinguishing core treatments from treatments with a "well-being" character will probably grow.

Secondly, the way users are charged for ageing-related services, particularly personal care and practical help at home could be re-shaped in a way that makes it easier for users to pay for extra services themselves. Today municipalities have fairly wide discretion over the level of user charges, but there are limits set by legislation. These limits are typically defined as a maximum charge per visit, for example a maximum EUR 7 per visit by a nurse in the home of an elderly person, combined with an annual ceiling of EUR 590 introduced in 2000. The way in which maximum charges are defined has a bearing on the incentives users face to search for less costly solutions. Instead of setting a fixed charge per intervention, municipalities should rather set a subsidy determined *inter alia* by the intensity of need, but let each user carry the marginal cost. Apart from giving an incentive to search for less costly solutions, it would also allow users to contribute more resources themselves

© OECD 2004

to pay for extra services. The introduction of vouchers for the elderly receiving personal care and practical help at home is a step in this direction, although it so far operates on a limited scale with incoherent legislation being seen by municipalities as the largest obstacle (Räty, 2004 and Räty *et al.*, 2004).

The ability of seniors to pay for services will in practice also depend on the financial market instruments available:

- R*everse mortgages* allow home owners to gradually withdraw equity. For the elderly who have limited liquid savings but who have paid down their mortgage debt, this instrument would enable them to finance for example temporary or permanent need for practical help in the home. Reverse mortgages have been introduced by some financial institutions in Finland.
- P*rivate health insurance* is not without drawbacks in terms of administrative and other transaction costs, but could still be a source for financing some spending. In Australia and Ireland, for example, private voluntary health insurance plays a significant role alongside the public health care system (OECD, 2004b).

As in most other OECD countries, Finland seeks to advance private savings via tax-favoured voluntary pension schemes, and the government's recent proposal for adjusting the tax treatment should be welcomed. With assets of 7 per cent of GDP these schemes are fairly small in Finland compared to the statutory occupational pensions (see also Figure 1.21 in Chapter 1).[14] Nevertheless, private savings via voluntary pension schemes can help seniors to finance service demand, although the fiscal costs of favourable tax treatment can be substantial and notably low-income groups may not respond much to tax incentives. A particular problem with tax-favoured voluntary pension schemes is that they can lead to tax planning and simply shift savings from other arrangements, not raising the overall level of household savings and thereby not mitigating the fiscal challenge of ageing. In May, the government presented a draft bill to parliament partly addressing this issue by making the magnitude of tax subsidy provided for savings within voluntary pension schemes less dependent on individual circumstances. For an average person, the proposal does not change the magnitude of the tax subsidy, but the proposal may lower it for middle-to-high income groups while raising it for low-income groups (Box 4.4). The government's proposals should be welcomed, but will not ensure neutrality between different savings vehicles with respect to their more or less favoured tax treatment. Consideration might be given to reducing the special tax subsidy given to voluntary pension schemes by introducing, for instance, a partial taxation of the returns that accrue to the assets held in voluntary pension schemes, while lowering capital income taxation more generally. This line should also be pursued for the other financial instruments. The focus should be on developing instruments and market regulations without introducing costly tax incentives.

© OECD 2004

Box 4.4. Proposed changes to the tax treatment of voluntary pension schemes

As in many other countries, voluntary pension schemes in Finland are subject to the expenditure tax regime, which implies that contributions are deductible from taxable income, the return on accumulated savings is exempt from taxation when it accrues, but pensions are taxed. Other forms of savings are subject to the comprehensive income tax regime so that savings are not deductible from taxable income and returns on assets are taxed the year they accrue, but savings are not taxed when spent. Having the two arrangements side-by-side implies a distortion with the voluntary pension schemes being tax favoured relative to other savings vehicles. So far, all voluntary pension schemes have fallen under the earned income tax regime. The progressive tax rates have thereby applied both to the tax deduction of contributions and to the taxation of the pension.

The proposed legislation which is to come into force from 2005 will change this situation, as *individual* voluntary pension schemes will be treated under the capital income taxation regime implying that contributions will not be deductible under the earned income taxation regime but under the capital income taxation regime where a flat tax rate of 29 per cent applies. This is about 20 percentage points lower than for earned income taxes. In parallel, pensions will be taxed as capital income rather than earned income. The tax exemption of returns as they accrue, however, will not be changed. Finally, individual voluntary pension schemes will only benefit from the favourable tax treatment if they are received at age 62 or later, compared to 60 years now.

A problem with tax deductibility under earned income taxation is that the outcome for the person saving depends on her/his relative income position while making contributions and while receiving pension payments. If a person has lower income when retired and therefore faces a lower marginal tax rate, then the person gets a net subsidy as the contributions entail a larger tax reduction than the tax paid on the pension. A particular problem is that the *pension income deduction* makes the combined marginal tax rates faced by pensioners at low income levels higher than the rates these persons have typically faced when saving. They will suffer a tax sanction which can turn out to be substantial. Covering the individual voluntary pension schemes under capital taxation will solve these problems. This change is in line with the suggestions of recent OECD work pointing to the benefits of making the value of the tax deductibility of contributions less dependent on income (Yoo and de Serres, 2004).

The government's proposal does not consider taxing investment returns, and the move to treating individual voluntary pension schemes under capital income taxation should not be confused with putting them on a tax-neutral position *vis-à-vis* other savings vehicles. The immediate effect on tax revenues will be positive with an estimated increase in tax revenues of EUR 130 million (0.1 per cent of GDP) from 2006 onwards, although for 2005 tax revenues will temporarily decline by an estimated EUR 70 million (0.05 per cent of GDP) as the changes are phased in. But there will be no long-term fiscal gain as the tax payments from pensioners will be less under capital taxation than hitherto, and the government estimates that on a net present value basis the fiscal effects of the reform are by and large neutral for an unchanged savings volume within these pension schemes and for unchanged retirement patterns. In other words, the proposed reform does not change the tax subsidy for the voluntary pension schemes on average.

Source: Ministry of Finance (2004b).

© OECD 2004

Reconsidering existing spending – focusing on what is most essential to safeguard welfare

In addition to finding ways of funding growing demand in ageing-related services, today's service spending should also be scrutinised for areas where public resources could be freed for other purposes. Higher education and child care are two examples where the policy objectives could be better achieved with less demands on public funding and better coordination between central government and municipalities could be warranted.

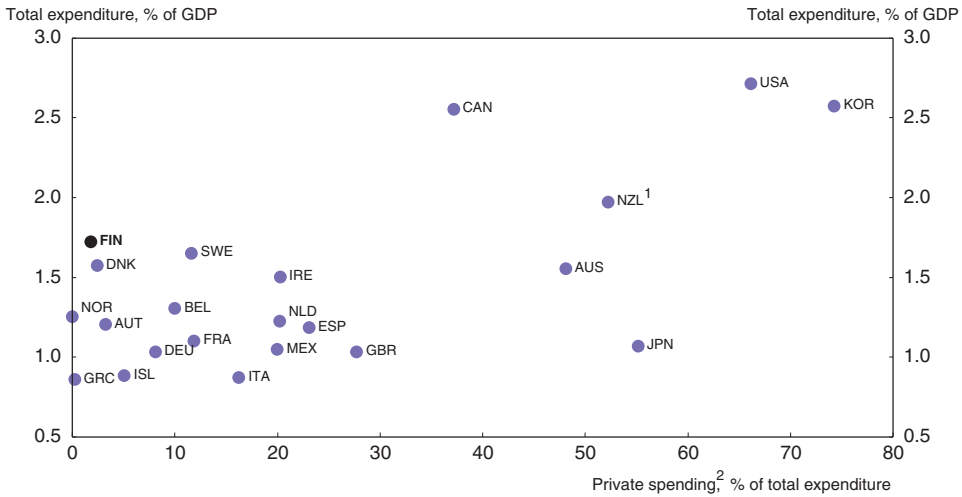
Higher education

While higher education is vital for economic growth, the role of comprehensive public funding is increasingly being questioned. Indeed, in a number of European countries, the reliance on public funding seems to have become a strait jacket for universities as the many competing demands on public budgets have led to declining resources per student as the number of students has gone up rapidly over the latter decades without additional funding. By contrast, the OECD countries spending most on higher education institutions rely only partly on public funding (Figure 4.11). Experience from countries like Australia and New Zealand, indicates that with appropriate loan arrangements, equity of access can be maintained with less demand on public funding. These countries have introduced forms of graduate contributions whereby former students repay their tuition cost out of their income as graduates, an arrangement that the United Kingdom will be pioneering in Europe from 2006 (OECD, 2004a).

With 1¾ per cent of GDP being spent on higher education institutions, lack of resources is less of a problem in Finland than in other European countries, but there are other reasons why it would benefit Finland to allow higher education institutions to attract private funding including contributions from students. First, to broaden its growth potential, Finland would benefit from development of knowledge intensive services as argued in Chapters 1 and 3. Maybe combined consultancy and training for professionals in those industries where Finland has world leading capabilities such as paper, forestry, engineering and electronics could develop to a large service industry based on cooperation between institutions of higher education and business firms in those industries. To explore the potential and give it the best conditions to grow, education institutions would need to be able to charge students for tuition. Similarly, higher education institutions would have clearer incentives to make their general programmes more international if it became standard practice to charge foreign students coming to Finland in pursuit of a partial or full degree, as argued by a recent OECD review of polytechnics (OECD, 2003e). While non-EU students can be charged under separate arrangements, students from other EU countries can only be charged if nationals are charged, making it necessary to develop general arrangements for student contributions.

© OECD 2004

Figure 4.11. **Expenditure on tertiary education institutions**
2000



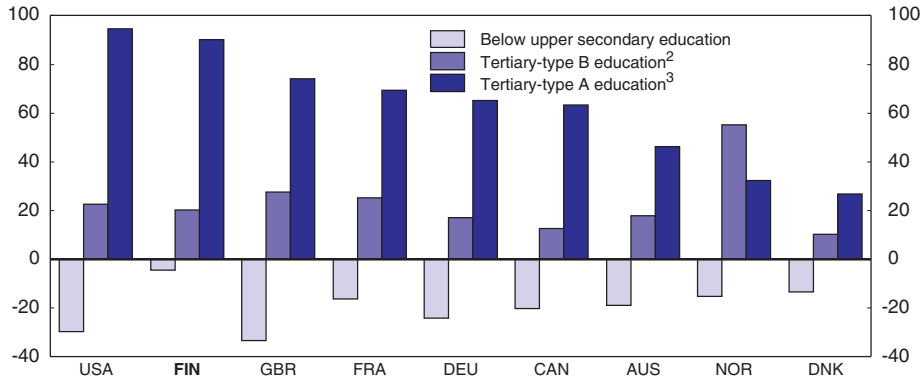
1. For New Zealand, OECD education data has information about public spending only. Other spending components are estimated based on the Statement of Financial Performance for tertiary education institutions from the cash flow from tuition fees, revenue from services provided, investment income and other sources. Using the same data source to estimate public spending produces results that are consistent with what the New Zealand authorities report to the OECD education data.
2. Contributions from students, donations and other non-government sources, net of tuition fees paid by government, as a share of total expenditure.

Source: Statement of Financial Performance for tertiary education institutions in New Zealand; OECD, *Education at a Glance – OECD Indicators*, 2003 ed.

Individuals with higher education benefit from a relatively high earnings premium, supporting the case for the introduction of graduate contributions for tuition costs. Whereas the overall earnings distribution is very narrow in Finland, the differential between persons with a different level of education is fairly large. Econometric studies of the relation between education and earnings which control for other characteristics find that returns to education on average are higher in Finland than in other Nordic countries (Asplund, 2001; PURE, 2001; Uusitalo, 1999; Wössmann, 2003). Moreover, behind this average is a "truncated" income distribution with little difference between those with little or no post-compulsory education, those with upper secondary and those with practically oriented tertiary education. But the earnings premium on tertiary education similar to an advanced university degree as compared with persons with upper secondary education only is very large compared with other European countries (Figure 4.12).

© OECD 2004

Figure 4.12. **Relative earnings by level of education**[1]
Percentage difference from upper secondary education, 2001



1. For those aged 25 to 64 years old.
2. Tertiary education with an orientation towards practical, technical or occupational skills.
3. Tertiary education with a theoretical orientation and advanced research program.

Source: OECD, *Education at a Glance – OECD Indicators*, 2003 ed., Table A14.1.

In conjunction with these earnings differences, the current funding arrangement is likely to be regressive because of the absence of any contribution by students to tuition costs as well as extensive financial support for students' living costs. A typical full-time student aged over 20 and living apart from her/his parents would get a monthly grant of EUR 259 in 2004 which is taxed as income and a housing supplement covering 80 per cent of the rent with a maximum benefit of EUR 172 which is exempt from taxation.[15] Net of taxes this gives EUR 400 a month corresponding to 56 per cent of what a single working mother with two children has for herself if she is earning two-thirds of the average production workers' income. Coming on top of this, the state-guaranteed bank loan of up to EUR 220 a month, makes the total financial resources available for a full-time student correspond to about 85 per cent of what the single working mother has for herself.[16] However, about half of the university students study part-time and are therefore not eligible for grants and often make their own living by working. About one-third of the university students take state-guaranteed loans. With this system Finland puts more emphasis on grants than other OECD countries as they absorb 18 per cent of total public spending on higher education. In both Sweden and Norway most of the financial support for students' living costs is in the form of loans. Changing this funding system can also benefit study times with beneficial effects on the employment rate (Chapter 3) as illustrated by a recent study finding

© OECD 2004

that students take longer time to complete their studies in those European countries where the public share of higher education funding is largest (Brunello and Winter-Ebmer, 2003). The current system was introduced in 1992 with the ambition of reducing study times by replacing a loan-based system with grants. The effects however have been very modest and changes in study completion time can mainly be explained by changes in the level of unemployment determining access to part-time jobs for students (Häkkinen and Uusitalo, 2003).

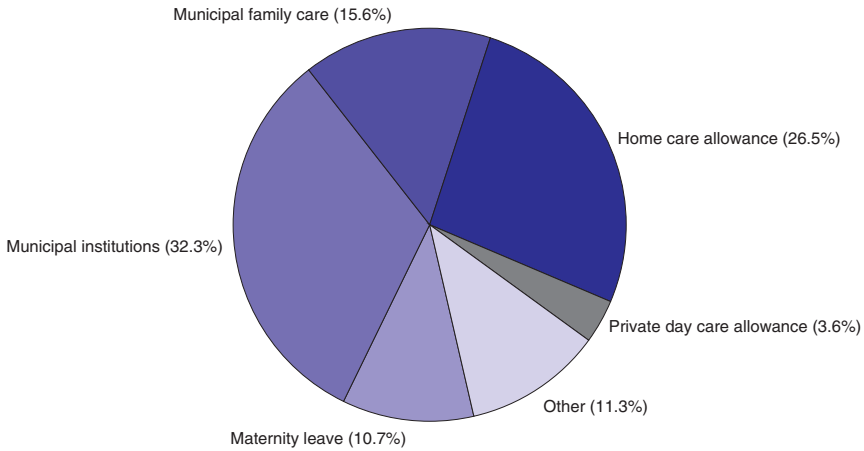
The recent Employment Working Group proposed a switch from grants to a loan-based support system for living costs, making more funding available in the early years of study while strengthening the incentives to complete studies on time (Employment Working Group, 2003). A legislative proposal is now being prepared which, however, does not replace existing support, but adds to it by raising the maximum monthly guaranteed loan amount from EUR 220 to EUR 300 and introducing a partial tax allowance for debt repayments on the condition that courses and exams have been completed within the stipulated time.[17] As a side effect this will create an incentive for graduates to remain in Finland rather than migrating. This proposal should be welcomed. But reforms should be more ambitious and the grants and housing allowance should be abolished while the maximum guaranteed loan amount should be raised in parallel. Going further by introducing graduate contributions for tuition costs while at the same time using the savings to lower top income tax rates should also be considered as it would make it more attractive for highly-skilled foreigners to come and work in Finland.

Childcare

Child care is an example where public spending could be better coordinated across levels of government to achieve direct fiscal savings and better support the employment and entrepreneurship policy objectives. Municipalities are responsible for organising child care for children under school age and about half of all children under school age are in municipal child care institutions or in family day care organised by the municipality (Figure 4.13). Parents pay a charge depending on income with a monthly maximum of EUR 200 in 2003 for one child and EUR 180 for each additional child. As an alternative to municipal child care, parents can use a private institution and receive a private child care allowance (operating essentially as a voucher), and for children under three, parents can also choose to care for the child themselves at home and receive a child home care allowance. This system appears to work well, but in some municipalities, large supplementary payments are now added on top of the statutory child home care allowance which creates disincentives to work (Box 4.5). Reducing these supplementary payments while getting a better market-based supply of child care can benefit not just public finances but also the government's employment target.

© OECD 2004

Figure 4.13. **Day care arrangements for children under school age**
Share of children aged 0-6 years at year-end 2002



Source: KELA, Statistical Yearbook of the Social Insurance Institution, 2002.

Overall assessment and concluding remarks

With rapid ageing ahead it will be challenging to keep the welfare society intact. It will require a strong commitment throughout publicly-funded services to constantly raise efficiency, while prioritisation will be needed to focus public spending on what is really essential to safeguard welfare. The ongoing upward drift in service spending and the deficit in municipalities is a clear sign that efficiency and prioritisation have not been pursued vigorously enough. Moreover, continuation of the current growth in public employment will not be feasible over the coming decades as many public sector employees will retire, while the labour force starts to contract. This macroeconomic reality needs to be better reflected in the fiscal framework of municipalities: improvements or expansion of publicly-funded services should be pursued via new work practices, improved organisation and better use of information technology, and only if a municipality is above the national average in terms of service efficiency should it be allowed to increase tax rates. And any further revenue increases should preferably come from raising taxes on immovable property rather than income taxes, so as not to undermine the government's objective of raising employment by lowering taxes on labour.

Over the longer term, even the best efforts to raise service efficiency are unlikely to be sufficient to match the demand for still more and better services adding to the spending pressures from demographic change and going well

© OECD 2004

Box 4.5. Child care allowances

Parents who do not make use of municipal child care are entitled to a *private day care allowance* if the child is in a private facility. This has grown more common over recent years, but still only 4 per cent are in private child care which can be provided by either non-profit institutions or self-employed child minders. The monthly allowance is EUR 118 per child plus an income-related supplement of up to EUR 135 per child. On average the monthly payment to families receiving the private day care allowance in 2002 was EUR 166 (EUR 128 per child). This payment is taxed as income for the person providing care. The allowance is paid directly to the provider of child care but its level is independent of the total price charged by the private provider (although the allowance cannot exceed the total price charged by the provider). This implies the desirable property that parents have a clear incentive to search for less costly solutions as they will obtain cost savings via smaller net charges.

Parents who care at home for children below the age of three are entitled to a child home care allowance and a quarter of all pre-school children are cared for in this way. The monthly payment is EUR 252 for one child and EUR 84 for each additional child under three years. If apart from a child under three years other children under school age are cared for at home another EUR 50 is paid. In addition, an income-related supplement of up to EUR 168 per month which does not depend on the number of children cared for is paid. On average the monthly payment to families receiving the child home care allowance in 2002 was EUR 346 (EUR 226 per child). This payment is taxed as income. On top of the payments from the social security institution (KELA) described above, however, some municipalities pay substantial additional amounts. Such municipal supplements are paid for one in five children under the private day care allowance and child home care allowance with an average monthly amount per family in 2002 of EUR 203 (EUR 185 per child).

The municipal supplement of the child home care allowance can hamper incentives to work. The problem does not arise for an unemployed parent, as the child home care allowance cannot be received along with unemployment benefits so it does not add to the replacement rate. However, for a second earner with limited earnings potential, the net income loss of leaving work to care at home for a couple of children may be limited as the combined effect of taxes and the child home care benefit implies that the person retains only little of the extra value produced if in work. The situation depends on the additional municipal supplements, as with only the statutory allowances disincentive problems do not arise (Kurjenoja, 2004). This calls for reducing the additional municipal supplements to the child home care allowance, in particular where there is only one child as in that case the net production loss compared to when the person is in work and the child in institutional care would be pronounced. In fact about 60 per cent of the families receiving child home care allowance have only one child. A related problem is that students can receive study grants and child home care benefit at the same time, possibly muting the incentives to complete studies without delays, and this problem would also be mitigated by lowering the child home care benefit.

© OECD 2004

beyond what can be considered basic necessities. Allowing part of the future service demands to be funded by the elderly themselves as they grow increasingly wealthy will be necessary to avoid other service spending, that is more essential to safeguard welfare, being crowded out. Such arrangements should gradually be put in place now because they need time to evolve in order to function well. Meanwhile, the young could carry more of the cost of higher education themselves and the savings used to reduce high top income tax rates that otherwise may have increasingly harmful effects on work incentives and location decisions given increased globalisation.

© OECD 2004

Notes

1. The productivity indices in Figure 4.1 are calculated on the basis of inputs, measured as total costs deflated by input deflators for different segments of public sector inputs, and outputs measured in physical terms, for example number of home visits or students. Quality changes in the form of changes in the composition of output are reflected in the indices, but more subtle quality improvements or deteriorations such as the frequency of medical errors are not reflected (Statistics Finland, 2004 and 1999). Currently, these productivity trends are not integrated into the national accounts, which so far have followed the traditional convention of setting output volume equal to input volume for non-market services, implicitly assuming zero productivity change. As in other EU countries, this is to change in 2006, although Statistics Finland has made the reservation that it will only change practice after a probationary period.
2. While the *level* of productivity in education compares well with other countries, it should also be recognised that it seems to have declined recently (Figure 4.1).
3. Earlier studies show that this differential is not a new phenomenon as for example productivity improved by an annual average of 0.7 per cent and 2.4 per cent in the tax and customs administration respectively over the period 1980-93, compared to an annual decline of 1.4 per cent in hospitals over the same period (Järviö, 2004).
4. The total output of institutional care and home care for elderly and disabled and day care for children amounted to EUR 2.7 billion in 2002 compared with EUR 0.5 billion for the three other services shown in Figure 4.4.
5. Half of the private providers of day care for children and institutional care for elderly and disabled are located in the capital region. A similar concentration, however, is not seen for other social services such as home help for elderly and disabled or institutional placement for children and youth (STAKES, 2003).
6. After the elections have taken place on 24 October 2004 the outgoing municipal councils are to announce their 2005 income and property tax rates on 17 November 2004. The newly elected councils will enter office on 1 January 2005.
7. Moreover, the composition is skewed towards the net wealth tax which previous S*urveys* have recommended to abolish (OECD, 2002a).
8. These limits have remained unchanged for a number of years. Forests and agricultural land are exempt, however, and buildings used by non-profit organisations are in many municipalities only taxed lightly. On the other hand, for vacant lots municipalities can choose to set a special tax rate between 1 and 3 per cent, and also power plants and in particular nuclear power plants can be made subject to above-standard tax rates. Property taxation at the municipal level was introduced in 1981 but only reached its current level with the reform in 1993.

© OECD 2004

9. In principle, the pattern in Figure 4.10 could reflect that municipalities try to smooth consumption despite the fluctuating corporate tax revenue. However, there is also a positive correlation of 0.51 between the fluctuations in corporate tax revenue and the *total* level of operating expenditure in the 15 largest municipalities indicating that not only have the municipalities been unsuccessful finding savings to match the decline in corporate tax revenue, fluctuations have even led municipalities with large and fluctuating corporate tax revenues to *raise* spending more than other municipalities, where in fact they ought to have held back in response to both the recent decline in corporate profitability and the gradual reduction in the share of corporate tax revenues accruing to municipalities.

10. The typical finding from studies of who in practice read benchmarking results is that service providers and professionals are the most interested as they are concerned about their public image and compare their own position with that of colleagues (Reilly *et al.* 2002). Many citizens even appear to be unaware of the municipal tax rates they are paying. A recent survey in Denmark found that while four out of five knew who their mayor was and what functions and services the municipality was responsible for, only *one out of three* knew what municipal income tax rate they were paying within a margin of five percentage points – even though comparisons of municipal tax rates feature prominently in newspapers every year (Pedersen, 2003). This clearly illustrates that even in a Nordic context with municipalities playing a large role, local democracy may exert only a limited control on the upward drift in income tax rates that seem to be underway in Finland, and that there is a need for better information on each municipality's efficiency and the link to taxes.

11. If a proposal to raise taxes is turned down in a referendum, the municipality would then still be obliged to balance its budget over three years, and it would therefore have to reduce the speed of service expansion (or ultimately reduce the level of spending in real terms).

12. Indirectly, the income tax rate set by each municipality affects the level of tax equalisation transfers via its effect on the average municipal tax rate. That is, if one municipality increases its income tax rate, it will increase the transfer from *all* of the municipalities with per capita tax base larger than 90 per cent of the average and to *all* of the municipalities with per capita tax base below 90 per cent of the average, but as this effect is spread out over all municipalities, it does not enter with any particular weight in the decision for each municipality considering whether to raise its tax rate.

13. For such a change to be budget neutral it must balance the increases and reductions in equalisation payments by different municipalities. To do so, the threshold would need to be raised from the current 90 per cent of potential tax revenue or the contributions made by wealthy municipalities be reduced from the current 40 per cent. Fine tuning of these parameters will also re-distribute among municipalities and would need careful attention.

14. In 2003, 320 000 persons (12 per cent of the population aged 25-60) had established one or more voluntary individual pension schemes and 100 000 persons (4 per cent of the population aged 25-60) had similar individual schemes established by their employer.

15. For students living with their parents the monthly grant is only EUR 106 unless the parents (jointly) earn less than an average production worker's income, and the housing supplement is not available. If the student is below 20 years, this monthly grant is only EUR 39. Grants are also available for students in secondary education, but are lower than the rates for tertiary education.

© OECD 2004

16. A single person with two children working full time and earning 67 per cent of APW has an annual gross income of EUR 18 546, but a disposable income of EUR 21 507 because housing and family benefits exceed the income taxes and social security contributions. If each child consumes ⅔ of an adult, the disposable income left for the adult is EUR 717 a month (OECD, 2004c). An alternative comparison would be with a single person at the APW income of EUR 27 682 who has a monthly disposable income of EUR 1 580, the student's grant, housing supplement and loan being equal to about 40 per cent of this.
17. The government has announced its intention to present legislation on this matter to parliament in autumn 2004, with changes taking effect from August 2005.

© OECD 2004

Bibliography

Aaron, H.J. (2003), "Should Public Policy Seek to Control the Growth of Health Care Spending?", *Health Affairs*, January.

Asplund, R. (2001), "Private Returns to Education – Lessons from a European Research Project", *The Finnish Economy and Society*, No. 3/2001.

Brunello, G. and R. Winter-Ebmer (2003), "Why Do Students Expect to Stay Longer in College? Evidence from Europe", *Economic Letters*, Vol. 80, No. 2.

Catte, P., N. Girouard, R. Price and C. André (2004), "Housing Markets, Wealth and the Business Cycle", OECD *Economics Department Working Papers*, No. 394.

Danish Ministry of Finance (1993), *Ny kurs mod bedre tider* (New course towards good times), May, *www.fm.dk*.

Danish Ministry of Finance (1997), *Danmark som foregangsland* – 2005 (Denmark as a frontrunner – 2005), April, *www.fm.dk*.

Danish Ministry of Finance (2001), *En holdbar fremtid, Danmark* 2010 (A sustainable future, Denmark 2010), January, *www.fm.dk*.

Danish Ministry of Finance (2003), *Kommunal Budgetoversigt* (Budget review of municipalities and regional authorities), February.

Danish Ministry of the Interior (2004), *Agreement on a Structural Reform*, June, *www.im.dk/publikationer/agreement/index.html*.

Employment Working Group (2003), *Final Report*, Prime Minister's Office, 5/2003.

Häkkinen, I. and R. Uusitalo (2003), "The Effect of a Student Aid Reform on Graduation: a Duration Analysis", *Uppsala University Department of Economics Working Paper Series*, No. 2003:8, *http://econpapers.hhs.se/paper/hhsuunewp/2003_5F008.htm*.

Hanushek, E. (2002), "The Failure of Input-Based Schooling Policies", NBER *Working Papers*, No. 9040.

Järviö, M.L. and T. Räty (2003), "Productivity and Effectiveness of the Public Health Service", in R. Hjerpe, A. Kangasharju and Vuorento (eds.), *Municipal Services – Productivity of Public Health Service and Care for Older Persons*, VATT publication, No. 37.

Järviö, M.L. (2004), *Productivity Studies by the Government Institute for Economic Research* (VATT), unpublished memo.

Joumard I. and P.M. Kongsrud (2003), "Fiscal Relations across Government Levels", OECD *Economic Studies*, No. 36.

Kurjenoja, J. (2004), "*Kenelle työ kannattaa? Kannustinloukut* 2004" (Is working profitable? Incentive traps 2004), Taxpayers' Association of Finland, *Verotietoa*, No. 39, March, *www.veronmaksajat.fi/uploads/verotietoa*39(1).*pdf*.

© OECD 2004

Lotz, J. (2004), "Local Government Finance in Nordic Countries: A Comparative Perspective", in A. Shah (ed.), *Local Government Organisation and Finance*, World Bank, Washington DC.

Ministry of Finance (2004a), *Decision on Central Government Spending Limits in* 2005-2008, submitted to Parliament 10 March.

Ministry of Finance (2004b), *Regeringens proposition till Riksdagen med förslag till revidering av stadgandena gällande inkomstbeskattningen av frivilliga pensionsförsäkringer* (Legislative proposal for tax treatment of voluntary pension insurance), 6 May.

Ministry of the Interior (2003), *Utvärderingsplan för basservicen*, 2004-2007 (Basic service assessment plan, 2004-2007), Ministry of the Interior, Helsinki, December.

Ministry of the Interior (2004), *Basserviceprogram* 2005-2008 (Basic service programme), Ministry of the Interior, March, *www.intermin.fi/intermin/images.nsf/files/*6D177D6764B4B54DC2256E9B00473ED7/*$file/peruspalveluohjelmaruotsi*04052004,*suojattu.pdf*.

Ministry of Trade and Industry (2001), *Laatua ja tehokkuutta palvelujen kilpailulla* (Quality and Efficiency Through Competition in Services), *Ad hoc* Committee Reports, 17/2001, *www.ktm.fi/1/kilpailu/tyto*17.*pdf*.

Moisio, A. and R. Uusitalo (2003), *Kuntien yhdistymisten vaikutukset kuntien menoihin* (Effects of municipal mergers on municipal spending), Ministry of the Interior, September, *www.intermin.fi/intermin/biblio.nsf/*1E52DE3F31803A93C2256DB1004AEA47/*$file/kuntienyhdistyminen.pdf*.

National Statistics UK (2004), *Atkinson Review: Interim report, Measurement of Government Output and Productivity for the National Accounts*, July, *www.statistics.gov.uk/about/methodology_by_theme/atkinson/downloads/atkinson.pdf*.

OECD (2001), *Knowledge and Skills for Life, First results from* PISA 2000, OECD, Paris.

OECD (2002a), OECD *Economic Surveys: Finland*, OECD, Paris.

OECD (2002b), OECD *Economic Surveys: Switzerland*, OECD, Paris.

OECD (2003a), *Education at a Glance*, OECD, Paris.

OECD (2003b), OECD *e-Government Studies: Finland*, OECD, Paris.

OECD (2003c), OECD *Economic Surveys: Denmark*, OECD, Paris.

OECD (2003d), OECD *Economic Surveys: Finland*, OECD, Paris.

OECD (2003e), *Review of National Policies for Education – Polytechnic Education in Finland*, OECD, Paris.

OECD (2004a), OECD *Economic Surveys: United Kingdom*, OECD, Paris.

OECD (2004b), "Private Health Insurance in OECD Countries: The Benefits and Costs for Individuals and Health Systems", Chapter 6, in *Towards High-Performing Health Systems, Policy Studies*, OECD, Paris.

OECD (2004c), *Benefits and Wages* – OECD *Indicators*, forthcoming, OECD, Paris.

Pedersen, C.S. (2003), "Viden om kommunalpolitik" (What people know about municipal affairs), in U. Kjær and P.E. Mouritzen, *Kommunestørrelse og lokalt demokrati* (Size of municipality and local democracy), Syddansk Universitetsforlag, Odense, Denmark.

Pure (2001), "Public Funding and Private Returns to Education, Final Report", January, *www.pjb.co.uk/npl/bp*29.*htm*.

Rattsø, J. (2003), "Vertical Imbalance and Fiscal Behaviour in a Welfare State: Norway", in J. Rodden (ed.), *Fiscal Decentralization and the Challenge of Hard Budget Constraint*, MIT Press.

Räty, T. (2004), "Palvelusetelit sosiaalipalveluissa 2004" (Vouchers in social services 2004), VATT *Discussion Papers*, No. 340.

© OECD 2004

Räty, T., K. Luoma and P. Aronen (2004), "lvelusetelit kuntien sosiaalipalveluissa" (Service Vouchers in Municipal Social Services), VATT *Discussion Papers*, No. 325.

Reilly, T., G. Meyer, C. Zema, C. Crofton, D. Larson, C. Darby and K. Crosson (2002), "Providing Performance Information for Consumers: Experience from the United States", in *Measuring Up, Improving Health System Performance in* OECD *countries*, OECD, Paris.

Siciliani, L. and J. Hurst (2003), "Explaining Waiting Time Variation for Elective Surgery across OECD Countries", OECD *Health Working Papers*, No. 7.

Stakes (2003), *Statistical Yearbook on Social Welfare and Health Care* 2003, Stakes, Helsinki.

Statistics Finland (1999), *Final Report of the Public Sector Productivity Project*, Statistics Finland, Helsinki.

Statistics Finland (2004), *Productivity of Public Services*, memo provided to the OECD.

Yoo, K.Y. and A. de Serres (2004), "Tax Treatment of Private Pension Savings in OECD Countries and the Net Tax Cost per Unit of Contribution to Tax-Favoured Schemes", OECD *Economics Department Working Papers*, No. 406, October, OECD, Paris.

Uusitalo, R. (1999), "Return to Education in Finland", *Labour Economics*, Vol. 6, No. 4.

Wössmann, L. (2003), "Returns to Education in Europe", *Review of World Economics/ Weltwirtschaftliches Archiv*, Vol. 139, No. 2.

© OECD 2004

Annex A

Progress on structural reforms

This annex provides a compendium of recommendations carried forward from the previous *Economic Survey*, finalised in January 2003, and records what actions have been taken since then together with an updated assessment and current recommendations as appropriate. Recommendations from the previous *Survey* are still valid unless otherwise noted.

Labour market policies

Reform unemployment and related policies

Previous Survey

- Shorten the maximum unemployment benefit duration to increase job search intensity.
- Taper unemployment benefits during the first 500 days of unemployment.
- Introduce medical re-examination of disability beneficiaries.

Current Survey

- Phase out the unemployment pension before 2009.
- Abolish the unemployment pipeline completely, rather than just for workers aged 55 and 56.
- Tighten rather than relax the medical conditions for receiving disability benefits for older workers.
- Put the part-time pension on an actuarially-neutral basis and consider phasing it out altogether.
- Once early retirement pathways have been curtailed, consider raising the financial incentives to retire later provided by the old-age pension system and/or further raising the age limits in the old-age pension system.

Active labour market policies

Previous Survey

- Step up ALMPs for older workers. Apply sanctions in those cases where older unemployed refuse a suitable job or training.
- Evaluate the effectiveness of all ALMPs and end those with poor results. Given limited effects an overhaul of some ALMPs is needed.
- Pursue better job counselling, for instance reaching the target of one contact per month with every unemployed person.

© OECD 2004

Policy actions taken

- The authorities have stated their intention to target more older workers with ALMPs, but much remains to be done, with the activation rate among older workers well below the average.
- The labour administration monitors regularly through surveillance and evaluation studies the labour market status of the participants in the ALMPs after they have completed the measure. The latest large-scale evaluation study of ALMPs was undertaken in the context of the EU project: National evaluations of the effects of the European Employment Strategy. A new project "Early intervention as an employment policy method" has recently been launched.
- A reform in the organisation of the employment service is currently under way. The new labour service centres will be established for improving services for the hard-to-place jobseekers. The idea behind the reform is to enhance regional collaboration between the various authorities responsible for employment. The remaining part of the employment offices will be transformed to job-centres, which will focus mainly on job brokerage.
- Currently the objective is for a personal binding job-seeking plan to be made within five months of unemployment, with progress being reviewed every 1-3 months. The reform of the structure of the public employment services in 2004-06 aim to further promote active job-seeking.

Increase employment and labour cost flexibility

Previous Survey

- Support greater wage differentiation in wage agreements to promote the employability of low-skilled workers, while maintaining moderate average wage rises.
- Reform employment protection and working time legislation to encourage job creation, especially by small and medium-sized enterprises.

Current Survey

- Avoid specifying minimum absolute wage increases in central wage agreements as well as minimum wage levels in those sectors, such as retailing, where there is scope for increasing employment of low-skilled workers. In any case, it is important that younger workers be exempt from such minima.
- Evaluate the effect of the tax credit on domestic work before considering whether it should be extended to cover the employment of those already employed under a wage subsidy.

Labour force skills

Previous Survey

- Reform the support for living expenses for tertiary education students and consider moving away from universal unconditional payment of fees, with the objective of reducing the time taken for students to complete their studies.

© OECD 2004

Policy actions taken

– In 2005-06 there will be a change to the current system of awarding a masters degree after 5 years to awarding a degree in 2 steps: a bachelor degree after 3 years and a master degree after a further 2 years of study. Simultaneously, government has proposed changes to the student loans for living costs that will give incentives to reduce study times by introducing a partial tax allowance for debt repayments on the condition that courses and exams have been completed within the stipulated time.

Current Survey

– Implement the government's proposal for student loans and consider introducing graduate contributions while lowering the top marginal tax rates.

Taxation

Previous Survey

– Broaden the tax base on personal income and reduce statutory rates.
– Cut social security contributions, especially for the low paid.
– Remove the age dependency of social security contributions. Reduce tax incentives for people to retire early.
– Keep the capital/corporate income tax rate competitive. Consider reducing the imputation credit for dividends.

Policy actions taken

– All marginal tax rates in the state income tax scale were cut by half a percentage point from July 2003, and a further one percentage point from January 2004. Moreover, the earned income allowance in municipal taxation was increased from EUR 2 550 to EUR 3 550 by January 2004.
– The excise duty on alcoholic beverages was lowered by on average a third from March 2004 to counter cross-border trade. VAT eligibility for businesses with turnover below EUR 20 000 was lessened by January 2004.
– The Government has proposed changes to company and capital income taxation to take effect from 2005, the net effect being a tax reduction by ¼ per cent of GDP. The corporate income tax rate will be reduced by 3 percentage points to 26 per cent and the capital tax rate will be reduced by 1 percentage point to 28 per cent. Taxation of dividends and facultative individual pension insurance will increase by the introduction of partial double taxation of dividends and by taxing such pensions as capital income instead of as earned income.

Competition

Previous Survey

– Examine scope for completing privatisation of partially privatised state enterprises to increase efficiency.
– Place full privatisation of most state-owned companies on the agenda and separate the government's role as regulator from its role as owner.

© OECD 2004

- Strengthen enforcement of competition laws, in particular with larger fines. Introduce a leniency programme. Expand range of sanctions with liability for individuals who are responsible for violations of the law.
- Promote a level playing field in the energy and telecommunications markets.
- Promote a level playing field in the postal market.
- Reduce agricultural subsidies.

Policy actions taken

- In February 2004 the Government approved a decision-in-principle on the State's ownership policy. State-owned companies are divided into two main groups: companies operating on market terms and companies tending to the State's special duties which have societal targets.
- A new competition law came into force in May 2004.
- A new Bankruptcy Act will enter into force later in 2004. The general aim of this reform is to make a bankruptcy procedure as quick, efficient and transparent as possible.
- An amendment to the Electricity Market Act, aiming at making it easier to change electricity supplier, came into force in September 2003.
- A new Communications Market Act came into force in July 2003. Under the law, a user of telecommunications services can retain his telephone number if the provider of the mobile communications services is changed.

Financial markets

Previous Survey

- Raise competition among pension insurers.

Public finances

Budget procedures to ensure aggregate fiscal discipline

Previous Survey

- Strengthen the influence of the spending rule of the government programme in the annual budget process. For example, move towards a more genuine, medium-term rolling budget by making greater use of the four-year budget projections that are included in the annual budget documents.
- Consider introducing a fiscal rule in the government programme that stipulates that additional spending during the year needs to be offset by spending cuts elsewhere.
- Enforce spending limits and aim at lower aggregate spending as a per cent of GDP to allow further tax cuts. Aim for greater clarity in the technical details of the spending rule. Exclude interest payments from the expenditure rule in the government programme.
- Reduce financial inflexibility across ministries.

Policy actions taken

- The new government, following the general election in March 2003, eased the objective for public spending, allowing an increase in real terms equal to ¾ per cent of GDP by 2007. With the budget proposal for 2005 this spending limit has not been overshot – unlike in previous years.

© OECD 2004

– Interest payments on debt are no longer included among the outlays governed by the central government spending limits.

– As a new approach to implementing the government programme, horizontal policy programmes are established for key priorities – currently employment, entrepreneurship, information society and citizen participation – for the whole electoral period. These policy programmes are then linked to the Government's decision about ministry spending limits and the Parliament's discussion of budget policy each year in March/April. The framework thereby facilitates budget reallocations towards key priorities that cut across ministries, and will also involve more systematic evaluations and follow-up.

Municipal structure and financing

Previous Survey

– Continue encouraging both the merger of small municipalities and the use of co-operative arrangements to exploit economies of scale.

– Reduce the role of direct tax revenue in municipal financing by, at least, further reductions in the municipalities' share of corporation tax. Make up for the lost revenue with increased block grants and evaluate the funding formula.

– Remain vigilant on municipalities abusing the system of discretionary funding the central government uses to assist municipalities in financial difficulties.

Policy actions taken

– A reform of central government transfers to municipalities is currently being prepared and is to be presented in Parliament in autumn 2004 and should enter into force from 2005. The number of municipalities receiving discretionary grants has declined, but is still high.

Current Survey

– Reconsider the strategy for municipal mergers to ensure that mergers are done in a way so that the potential economies of scale are realised in terms of cost savings. Consider a more active approach to induce consolidation and co-operation among the many municipalities.

– Reduce the share of corporate tax revenues accruing to municipalities, remove the upper limit on municipal tax rates for immovable property and limit the possibilities to raise municipal income tax rates.

– Abolish or substantially reduce the system of discretionary funding for municipalities in financial difficulties.

Publicly funded services

Previous Survey

– Ensure that goals and targets are accompanied by stronger sanctions and rewards so that they play a greater role in political and media discussions.

© OECD 2004

- Make greater use of benchmarking, particularly across municipal-based public services. Make the results of benchmarking more widely available, for example by publishing league tables of input and output indicators.
- Continue to take measures that increase contestability in the provision of public services, including steps to increase outsourcing and the role of private sector providers. Consider expanding choice, for example via voucher systems.
- Alter or replace the hospital district system so as to improve incentives for cost containment by, *inter alia*, ensuring that the municipal authorities are only the purchasers of hospital care and not also involved in the process of provision.

Policy actions taken

- The Ministry of Finance has launched a Productivity Action Programme which is to bring about a structural and functional renewal of the public sector so that productivity of public administration and services will grow and that the gains will be used in a systematic manner. Implementation and development programmes drawn up by each administrative domain will be linked to the spending limit and budget proposals beginning in 2005-07.
- The extent of outsourcing for services funded by municipalities has increased over recent years notably for "customer services", and for nursing and basic health care services. To promote this development, an advisory service for municipalities will be established in 2004. Moreover, following the introduction of new EU procurement directives, the Government is preparing legislation of competitive tendering principles for procurements below the EU directive's threshold value and for secondary services. Finally, a study into procurement neutrality of value-added taxation has been commissioned.
- In September 2003, the government submitted a bill to parliament about social and health care service vouchers. Based on the positive experience of pilot projects, the objective is to introduce vouchers more generally especially for home help services for disabled and older persons.

Current Survey

- Recommendations on increased benchmarking and exposure to competition are maintained.
- Only allow municipalities to raise tax rates if options for increasing efficiency have been exploited and the municipality shows above average productivity on the measures to be developed under the government's basic service programme.
- Develop ways for users to fund some of the future increase in services demand, including via reverse mortgages for seniors to purchase increased practical home help and personal care. Also reconsider if current public spending is sufficiently targeted on what is essential to safeguard welfare, including for example in higher education and child care.

© OECD 2004

Acronyms and abbreviations

ALMP	Active labour market policy
BSE	Bovine Spongiform Encephalopathy
CO_2	Carbon dioxide
CRS	Computerised Reservation System
EMA	Energy Market Authority
EU	European Union
EUR	Euro
FCA	Finnish Competition Authority
FCAA	Finnish Civil Aviation Administration
FDI	Foreign direct investment
FICORA	Telecommunications regulator
Gj	Gigajoule
HICP	Harmonised index of consumer prices
ICT	Information and communication technology
IT	Information technology
JULMA	An electronic information exchange
GDP	Gross domestic product
GHG	Greenhouse gas
MFN	Most favoured nation
MWh	Megawatt-hour
NAIRU	Non-accelerating inflation rate of unemployment
P/E	Price-earnings
PPP	Purchasing power parity
R&D	Research and development
SME	Small and medium-sized enterprises
UMTS	Universal mobile telephone systems (third generation)
USO	Universal Service Obligation
VA	Value added
VAT	Value added tax

© OECD 2004

OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 2004 14 1 P) ISBN 92-64-00658-3 – No. 53795 2004
ISSN 0376-6438